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The Middle Eastern Bathroom & Kitchen Product Markets

- 2020 Edition -



Saudi Arabia

BRG
BUILDING SOLUTIONS

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Overview

BRG Building Solutions is a specialised market research consultancy serving the global building technologies industry. Combining unparalleled industry experience with expert research and analysis, our team delivers lasting results to hundreds of companies worldwide.

Our core expertise lies in our coverage of the bathroom, kitchen, HVAC, and other building products/technologies. Throughout a history spanning over 40 years, we have assisted industry players in identifying and realising growth opportunities through a combination of regular market monitoring and ad-hoc consultancy services.

BRG's unique Enterprise Database is at the centre of our offering. This is a comprehensive tool and very detailed source of historic, current and forecast market trends and market share data (by holding and brand) on a country comparable basis. The database provides an essential tool to our clients as a platform to support their strategic decision making.

BRG Building Solutions is a genuinely global company, staffed with individuals from varied backgrounds and nationalities, working collaboratively from four offices across four countries. Combining a high level of industry experience with expert research and analysis, our team delivers lasting results to hundreds of companies worldwide.

Our market coverage is also global, reflecting the nature of the industries we serve. Currently, 68 individual markets are covered annually in detail across the following key geographical regions (and number of countries):

- Africa (3)
- Australasia (2)
- East & Southeast Asia (6)
- Central America (4)
- Central Asia (3)
- Europe (31)
- South Asia (1)
- Middle East (7)
- North America (3)
- South America (5)
- Sub-Saharan Africa (3)

BRG has its own in-house dedicated modelling and forecasting unit. In cooperation with clients, we have since extended our offering to include market sizing for countries outside the traditional geographic reach of our main research

programme, via global market models

Product Coverage

Since the 1980s, BRG's Bathroom & Kitchen programme has provided industry players with insightful analysis and evidence-based information. In addition to detailed data on trends, values, end use, technical segmentations, market shares and distribution, our programme also includes perceptive text commentary, enabling our clients to easily identify and understand market characteristics and the latest industry developments.

BRG's programme has evolved steadily in terms of both geographic scope and product coverage and continues to do so each year. Each country report follows a uniform structure, to ensure that the data can be readily compared across regions and countries.

The product coverage has also expanded to cover virtually all bathroom, sanitary and kitchen related products, used in both residential and non-residential buildings, including:

Baths and Shower Trays

- Baths: cast iron, steel and synthetic
- Hydromassage baths
- Shower Trays: ceramic, steel/ cast iron and synthetic
- Shower systems (NAM): shower modules, integrated tub showers

Sanitary Ware

- WCs: wall hung, floor standing 1-piece and squat
- Washbasins: hand washbasins and countertops
- Other CSW: bidets, kitchen sinks, pedestals, shower trays, urinals and cisterns
- Plastic Cisterns: concealed and exposed.

Taps and Mixers ('Faucets'), both sanitary and kitchen:

- By application: basin/sink, bath, bidet, shower, kitchen sinks
- By type: pillar, two head, one head, thermostatic, self-closing, electronic
- By type (Americas): 4in centre set, 8in widespread, electronic, hand spray, pressure, single handle/one-head, self-closing, thermostatic, three handle.

Shower Wall

- Bath screens, conventional shower cubicles, hydrotherapy cubicles, bath & shower surrounds (NAM)

Bathroom Furniture

- Base units, mirror / mirror cabinets and separate cabinets.

Bathroom Accessories

- Soap holders and dispensers
- Towel holders, towel rings and towel bars
- Toilet paper holders and toilet brushes
- Towel and bathrobe hooks
- Toothbrush holders and tumblers
- Shelves, wastepaper bins, shower storage units and tissue holders.

Shower Accessories

- Shower heads, flexible hoses, shower supports, shower panels and shower pipes.

Kitchen Sinks

- Cast Iron, ceramic, enamelled steel, stainless steel and synthetic.

Definitions

Please note that all volumes given in the report refer to the number of units sold, where not indicated otherwise. In-depth product definitions are included in a separate document and available upon request.

All prices, both manufacturer and retail, exclude value-added-tax (VAT) and installation costs.

Methodology

The methodology behind the data remains true to our origins in that the industry participates in the research process, in many cases by providing BRG Building Solutions with annualised volume sales by product category per country and contacts for detailed expert interviews in all countries covered.

Our approach follows a multi-pronged strategy, gathering data inputs and information from many different sources. A further USP of BRG is the fact that we live and breathe the markets in which we specialise (bathroom, kitchen, plumbing & HVAC) and are in constant contact with manufacturers, distributors and other key influencers all of the time during our repeat annual research programme. The markets are built via a bottom-up approach. Extensive primary and secondary research complement the picture and provide all necessary insight for many

additional segmentations shown in the reports, like e.g. price segmentations, technical and end-use segmentations.

The reports are constantly evolving and refined based on industry feedback, and always reflect the latest developments in the industries.

All research is conducted in-house with a team of around 30 individuals who speak 20 different languages between them. As a result, we can transfer that knowledge and experience into services designed to assist stakeholders in understanding the opportunities available to them, at a fraction of that charged by the larger and less nimble global consultancies. BRG operates a policy of direct management of the team required to conduct the regular research work and avoids subcontracting its market studies to outside agencies.

The analysis has grown in complexity as the number of drivers affecting the markets grows, like e.g. economic uncertainty, construction cycles, new technologies, legislation. As a result, BRG Building Solutions considers all drivers through a holistic approach, recognising that products, end use segments and countries are all inter-linked.

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SAUDI ARABIA

BACKGROUND

THE MIDDLE EASTERN BATHROOM & KITCHEN PRODUCT MARKETS



Geography and Demographics

The Kingdom of Saudi Arabia is an Arab country, and the largest of the Arabian Peninsula. It is bordered by Jordan to the north west, Iraq to the north and north east, Kuwait, Qatar, Bahrain and the United Arab Emirates to the east, Oman to the south east, and Yemen to the south. The country is approximately 2,150,000 square kilometres in size and is by far the largest of the Gulf Cooperation Council (GCC) countries.

The arid climate over the centuries has structured the views of the population with regards to water, which was seen as something precious and hard to obtain. Nowadays, the overwhelming majority of Saudi homes are situated in urban zones connected to a water network with an unlimited supply of water, thanks to desalination plants.

The country is historically known for its cities in the Western region, namely Jeddah, Mecca, and Medina. With the increasing population, many cities were created or experienced an exponential rate of development, and 11 cities now have more than 500,000 inhabitants, including five cities with over one million people. Most of the population now lives in urban areas. Riyadh, with its 5.7 million people in 2010 (latest data available), is a relatively new city in the history of the peninsula and is Saudi Arabia's capital, as it was the homeland of the Saud family, founders of the country in the 18th century.

The population of Saudi Arabia has increased dramatically in the last decades, thanks to investments made in the health sector reducing sharply the rate of natural death, along with a huge number of foreign workers that came to the country.

The majority of the population is under 30 and the workforce is largely made by immigrants. Over a third of the population is comprised of expatriates mostly coming from Asia, according to the CENTRAL DEPARTMENT OF STATISTICS AND INFORMATION. In mid-2019 and according to an estimate made by the National Census, the population had reached 34.2 million. In 2020, the government plans to conduct a new Census, as the last one was made in 2010.

Following the programme of 'Saudisation' (a government policy that aims to decrease the dependence on its foreign workforce), 1.2 million foreigners have left the labour market since the end of 2016. In Q2 of 2019, around 132,000 expats left the country, according to JADWA INVESTMENT.

Macroeconomic Overview

Saudi Arabia is typically considered one of the richest countries in the world, due to its large reserves and production of oil. Despite this, it is still counted as a *developing country*, mainly due to its excessive dependence on fossil fuels and limited level of industrialisation.

It is a *rentier-state*: almost all of its national revenue comes from selling its natural resource completely unprocessed or with very little transformation, to foreign countries. The monarchy, often called the House of Saud, is the main beneficiary from this wealth, redistributed through a very generous welfare-state. In return, political claims from the civil society are void and this balance - welfare state with no tax on income versus absence political claim – has been providing political and social stability for decades. In fact, this welfare system contributes to the legitimacy of the Saud family over the Kingdom. Created from a mutual oath of loyalty (18th century) between a religious leader and a political leader, Saudi Arabia is less a theocracy than an absolute monarchy, but the importance of Islam, in one of its most conservative forms, is predominant in the society. Authoritarianism, paternalism, and Islam are the three elements best describing the political and social spheres of the country, while the capitalism with strong control on key economic sectors such as oil & gas, best describes the economic sphere.

Higher oil production combined with higher oil prices boosted by two major crises (in 1973, following the war between the Arab States and Israel and the revolution in Iran in 1979, followed by the war between Iran and Iraq) led the country to generate massive revenues. A fast urbanisation took place in the country, along with a huge increase in the purchase power of the population. As everything is imported to the country, this modernisation came along with a westernisation in terms of housing, equipment, and similar amenities.

From an international perspective, the Kingdom has developed, at a very early stage, a very tight and indefectible relationship with the United States. The rich and young Kingdom secured the supply of the U.S demand for oil, in exchange for military protection. This oil became among the national interests of the US. This relation was re-enforced by the American foreign policy of “containment” (to contain the expansion of the Soviet Union, particularly towards the South hemisphere), along with Iran, their second pillar in the region (until the Revolution).

Because of its very lucrative exploitation of its natural resource, Saudi Arabia suffers from the “Dutch disease”: its wealth is exclusively made from the exploitation of its natural resources, and other sectors were just neglected (as per Ricardo’s economic theory, regarding the concept of “absolute advantage” in international trade). As a result, the low level of industrialisation led the country to rely on massive imports to cover their needs, in all sectors. This is why the country remained among the developing countries, despite its wealth and despite the fact that it is a member of the G20 organisation. The counter-effect of the generous welfare state inhibits the empowerment of Saudis in ruling the economic sector through the job market. The high share of foreign workers in Saudi Arabia is not only due to the absence of skilled Saudi people, but it is also due to a sort of social acceptance in being reluctant to roll up the sleeves and toil, which is meant to be done by the expats. High positions are less sought after for personal achievement/success through a meritocracy system than the social prestige they provide. It is not rare that the real decision-makers on day-to-day operations for these particular positions are highly skilled Westerners working more or less in the

shadow. The most common and easy way for Saudis to be successful is to sponsor a foreign businessman in a partnership that is, by law, highly in favour to the Saudi partner, with a total control on the asset engaged by the foreign businessman, who depends largely on his sponsor for everything. This has a great influence in structuring the presence of foreign companies in the kingdom, including distributors of foreign manufacturers.

In the last decade, the low and persistent oil prices have led the government revenue to drop significantly. Moreover, the high volatility of oil prices means that oil revenue cannot be depended on, while the government spending is structurally high and steady. On-going government deficit, with few solutions apart from hoping for the return of high oil prices has led the government to take radical reform to transform the country towards a sustainable development. The porosity of the “Arab Springs” across the Arab countries, (an unexpected social and transnational movement claiming for a better governance boosted by the combination of economic stagnation, population growth and high level of education of the people), accelerated the awareness for adopting radical reforms.

The new geo-economics configuration of the energy supply (exploitation of shale oil, the return of Russia, and Iraq in the oil market supply, development of renewable and nuclear energies), reduced the importance of Saudi Arabia in the oil market. These elements motivate furthermore the government to radically change the society and its economy.

The rising power of Prince Mohammed Bin Salman (often called MBS) constituted the beginning of the real transformation of the country. He was appointed Crown Prince in June 2017, strengthening his position at the effective head of the Kingdom. His young age (30's) constitutes a rupture with the previous generation that were not really keen in engaging radical reforms; he could potentially lead the country for half a century. The Arab Springs that affected many Arab countries were emanated from the population. In Saudi Arabia, it seems that changes come from MBS at the head of the country. He is more modern but not less authoritarian, fighting corruption at all levels and with all ranges of responses.

In dire need of economic reform, Saudi Arabia found in MBS the leader to conduct this transformation, mapped through the SAUDI VISION 2030 plan. This plan aims to deliver deep economic reforms along with social transformation needed to enhance these economic reforms. Diversification, more privatization, and “Saudisation” constitute the main points. The diversification includes the mega-projects to develop the tourism sector, and since 2018, it became easy to obtain a tourism visa online or upon arrival, for 49 countries.

While most leaders of the country support, at least officially, the main lines of the SAUDI VISION 2030 programme, they are also incurred by his decisions. In May 2017, he publicly warned everyone against corruption, including princes and ministers. The rough fight against corruption led to the arrest of 200 VIPs a few months later (including CEOs, princes, and ministers), that were fined for a total of over \$100 billion to get their freedom back.

MBS is also keen to liberate the country from an excessive conservatism. He officially ended the requirement of separate entrances in restaurants (women and family in one entrance and single men through the other entrance). Women are now authorised to drive their car, to travel internationally independently and are encouraged to get into the job market. This women's liberation group 'made in Saudi' should contribute to increase the workforce available in the country as it did in Europe in the previous century, but also contribute to the reduction of the foreign force in the country. Music concerts of international stars are taking place, and the religious police are less active. These social transformations came along with Saudisation of the job market, along with more women at work, and a reduction of the welfare state, along with new taxes (such as the VAT). Economic, social, and fiscal reforms are expected to contribute to the development of the country and the empowerment of the Saudi population.

While oil prices play an important role in the economic development, the real mechanism underneath is less linked to the oil price itself than linked to the fiscal break-even price, which depends on country to country. The fiscal break-even price is indeed a high bench-mark for government spending.

In September 2019, a number of drones targeted oil processing facilities in the Eastern region of Saudi Arabia (related to the war in Yemen). This attack led to the shutdown of the facilities, cutting the country's oil production from 9.8 to 4.1 million barrels of oil per day for several days (5% of the world oil production), enough to have a temporary economic slowdown worldwide.

The 2019 GDP growth rate estimation was slashed by the IMF, from 1.9% to 0.3%, largely due to the oil output cuts. Beyond the consequence of the attack mentioned above, it is actually also a consequence of the government's decision - in line with the OPEC's - to cut the oil production in order to support oil prices. However, it did not work due to a weak oil demand worldwide, which kept the price under pressure. In 2019, the non-oil sector performed much better.

A negative inflation was registered for 2019, it is believed to come from the lower rental and buying prices registered in the country.

In 2019, the government has introduced the Premium Residency. A form of Saudi green card aiming to give a permanent residency for \$213,000, with advantages unseen before. For the first time, a foreign investor will be able to set up a company without the need for a sponsor.

On the 1st of January 2019, the General Authority for Foreign Trade was created. It aims to boost trade activities in the country through eliminating barriers, supporting the private sector as well as helping the non-oil exports reach foreign markets.

In 2020, Saudi Arabia has launched the third phase of its renewable energy programme. This should add 1.2 gigawatts of solar photovoltaic power capacity to the grid.

From the 1st of January 2020, shops and businesses are allowed to stay open 24 hours a day, but business owners are requested to apply for a licence to stay open, for around \$25,000 fees.

The development of the tourism industry is one of the key economic sectors that the government focuses on, to diversify its economy and boost the GDP unrelated to oil & gas.

In Q4 of 2019, a tiny share (1.5%) of ARAMCO, the national company that constitutes most of the government revenue, was privatised through an Initial Public Offering (IPO) on the Tadawul Stock Exchange (the Saudi financial marketplace). This makes the world's largest IPO to date, with \$25.6 billion.

Tighter bilateral trading relations with China as well as countries from SE Asia were boosted in 2019, through the very long diplomatic trip of MBS in the region. In contrary to some observers, it is more the global shift towards Asia that pushed Saudi Arabia to get closer to this region than the Prince's attempt in finding new allies following the Khashoggi affair.

Saudi Arabia was ranked 18th in GDP (14th in PPP), in 2019. The foreign reserves were estimated at \$500.6 billion in September 2019 (5th in ranking). In the Economic Freedom Index, the country was ranked 91st in 2019.

According to ARABNEWS, in a paper dated in April 2019, foreign investments in the Kingdom increased sharply in Q1 of 2019, jumping by 28%, thanks to a number of new licenses given to foreign businesses that increased by 70%, largely driven by Chinese and British companies. In Q2 of 2019, 291 foreign investors got their license to trade in the Kingdom. Most of these licenses were captured by the following sectors: construction (61), ICT (51) and manufacturing (45). Other licenses were given to the distribution sector (wholesale and retail). This increasing foreign investment is in line with the VISION 2030 programme. In the practical aspect, only two documents are required for a response within a day.

Within two years (2018 & 2019), it is believed that 55% of over 300 economic reforms were already implemented, putting the country on a new track. It will also affect those setting up a business in Saudi Arabia or working with Saudi Arabia.

The main export partner countries are China, Japan, India, USA, South Korea, and Singapore while its main import partner countries are China, USA, Germany, Japan, UAE and South Korea. According to government statistics, imports from China have increased when looking at the period Q1 to Q3 of 2018 and 2019.

The pandemic of the COVID-19 will certainly have a negative impact on the building material markets during the forecast period. This is less correlated to the number of casualties due to the virus, than the behavioural changes resulted by the management of the crisis through measures adopted by the government.

The curfew imposed to the population, as well as slower construction activities and a clear slowdown of the retail market constitute the most direct and immediate impact on the construction market.

Other long-term impact on these markets is linked to the sharp decline of oil prices. Indeed, the high production of shale oil in the USA led to the agreement between Russia and Saudi Arabia to tackle shale oil producers, (which ended with a price war between these two latter countries) leading to an oil offer larger than the demand and consequently, price dropped. This was aggravated by the pandemic, with much lower demand and so, much lower price. The complexity of the causality is the fact that low prices may have started with the pandemic and were aggravated by this oil market environment.

Lower government income for this oil-monarchy constitutes a threat on the government balance, which can jeopardize the ambitious SAUDI VISION 2030 programme, (as it is mostly financed by the government), constituting of many projects in residential and non-residential construction. Consequently, this can impact the bathroom and heating markets..

Residential Construction

Overview

The residential construction in Saudi Arabia, and more generally, the whole construction industry, is largely dominated by major developers that have strong relationships with the government and the royal family. The government has major stakes of the main real estate developers including BEN LADIN GROUP, AL AKARIA, DAR AL ARKAN, JABAL OMAR REAL ESTATE, MAKKAH CONSTRUCTION & DEVELOPMENT, and KINGDOM REAL ESTATE DEVELOPMENT.

The tax on white lands (lands that are not used), established in 2017, has contributed to the finance of some housing projects while, at the same time, some of these white lands led to construction projects, so that owners won't have to pay the tax.

Around 1.7 million Saudi nationals are on a waiting list on the government housing programme, which aims to increase the ownership rate, one of the lowest in the region.

According to the Ministry of Housing, the plan for 2019 of the "Sakani" programme aiming to provide financial and housing support has been successfully completed, actually exceeding its target. Over 300,000 families benefited from this programme. This includes free land received by 90,000 families, and around 120,000 families got prefabricated housing units.

During the Housing forum 2020 held by the Ministry of Housing, the goal for 2020 should concern 300,000 families.

In Riyadh, the dwelling stock increased by 7,600 units in Q2 2019, reaching 1.3 million units. For 2019 and 2020, a total of 50,000 residential units are expected to expand the housing stock of the capital city. In Jeddah, the second largest city, 1,500 detached houses were completed in Q2 2019, and 4,000 units are believed to have been delivered in H2 of 2019, bringing the total residential stock to 825,000 units. Mid-rise towers were also completed in 2019. Some of these completed projects were on hold and not dispatched due to real estate cycles conditions, as rent declined by around 10% for both apartments and houses while sales price declined by 6% and 7%, respectively. An additional 14,000 units are expected to be completed for 2020-2021. In Makkah and other cities, new residential units had the same effect on the real estate sector, with decline in both rent and selling price.

Saudi Arabia suffers from a low ownership rate, and part of the VISION 2030 goal, is to increase the rate to 60% in 2020 and 70% by 2030.

Statistics from the SAMA (Saudi Arabian Monetary Agency) shows that the demand for loans has increased sharply in 2019. SAMA reports 155,893 contracts up to November 2019, while this number reached only 54,496 and 30,833 by the end of 2018 and 2017, respectively. According to ARABNEWS.COM, in a paper dated in January 2020, almost a half billion US dollars were injected into the Real Estate Development Fund, aiming to help Saudis to become homeowners.

The declining rent and selling prices in 2019 were less the result of an oversupply of new residential units, but more due to the high number of dwellings that became vacant following the high number of immigrants that left the country. It is also due to a slow economic recovery.

Fees on expats, introduced in 2017, have increased gradually every year. Besides disrupting the construction sector, it increases the construction costs as almost all workers are foreigners. Since 2017, around two million immigrants have left the country.

The Red Sea project, a mega-project aiming to develop the tourism in Saudi Arabia, should cover 28,000m² with multiple islands and 200 km of coastlines. While the full completion is expected for 2030, it should welcome its first visitors by the end of 2022. In April 2020, workers were at the stage of raising the ground level to 3.5m above sea level (everyday, 10,000m³ of earth are compacted into 7,000m²), prior to the development of the infrastructure and the construction of buildings (hotels..).

The government generally struggles to find affordable land on which to build hundreds of thousands of necessary social dwellings. Many owners prefer to hold on to their land rather than sell it or build property on it, as the value of these lands is increasing steadily. However, the new tax on white lands introduced recently pushed many of them to build or sell.

New Housing

For the first time in four years, the construction market experienced a growth in 2019, even if it is tiny. The radical measures taken by the country to reduce its dependence on foreign labour ('Saudisation') led to some disturbance in the construction sector, as some projects continued to be delayed due to the lack of skilled people, following the reorganisation of the immigration policy. The law that obliges foreign companies to employ a certain percentage of Saudi citizens in key positions led sometimes to an absurd situation in which companies, who simply cannot find a Saudi person skilled enough for a particular role, have to hire two people: one Saudi national to comply with the law, and another person to do the actual job.

The level of transactions within the real estate market picked up significantly in the first half of 2019, after a year of low activities in that sector.

According to SAMA, the number of mortgages increased sharply in 2019, and reached a level that has never been reached in the past. This was the government focus in increasing the ownership rate of its population to 60% in 2020 and 70% in 2030.

However, Saudi Arabia counts among the lowest mortgage penetration in the World, as interests are ban in Islam and finding home finance alternative options continued to be difficult. Long term loans from the Saudi Real Estate Refinance Company (SRC) are offered interest-free to Saudi Nationals. Among other options, there is the "Murabaha" which is similar to rent-to-own: the price of the property is marked up (known in advance and agreed by both parties), in exchange for allowing the buyer to pay over a time, so that interest (usury), in its traditional understanding, is avoided.

One of the measures taken to reach this objective, is the government decision, through SAMA, the SAUDI ARABIAN MONETARY AUTHORITY, to raise the loan-to-value, from 85% to 90% (for first residential unit). This helped a larger number of Saudis to contract a mortgage in 2019.

In 2019, the government continued its effort in developing partnerships between the public and the private sector in order to increase the output capacity in terms of residential construction, as well as the effectiveness from the announcement of the project to the completion. In this regard, prefabricated houses are promoted, which are also available at a lower cost compared to the construction of a house in the classic way. In 2019, KATERRA signed a \$650 million contract with the government to build 8,000 homes. This is part of a larger non-binding agreement of \$40 billion signed in October 2018.

The distribution of dozens of thousands of plots of land in 2018, to Saudi's citizens, an easier way to access mortgages and the welfare state for housing, has contributed to boost the residential construction in Saudi Arabia for 2019.

While the plots distributed should ultimately lead to the construction of a dwelling, the time between the distribution of these plots and the effective construction of a residential unit depends only on the individuals: the number of plots distributed in a specific year does not correspond to the number of residential units built during that year.

Limited budgets led builders to operate on lower margins in order to win projects, leading to price wars for building products. Stricter financial rules have strained the working capital available in the country. Longer payment terms moved from 77 days to 120-180 days, on average.

The dramatic increase in Saudi Arabia's population over the past decade has ensured that there is a significant shortage in housing – particularly affordable housing, for the country's young population. The government is presently struggling to address this shortage, due to issues with obtaining land, bureaucracy and paperwork issues, and construction labour shortages stimulated by the government-implemented process of 'Saudisation'. An additional issue concerning Saudi Arabia's new housing shortage and construction output is that a sizeable proportion of new homes completed are luxury housing that cost over a million riyals, out of the price-reach of many of the young Saudis that require housing and presently live with family, as well as the less well-off segment of the population.

The demand of housing in Saudi, beyond the increasing demand generated by a growing population, is also due to the change of lifestyle with many people living in cities far away from their homes for work. Also, the social transformation led to a higher number of Saudis to reconsider their views on living together with their extended family in a detached house, leading to more demand of private homes for a nuclear family. This explains the increasing share of apartments against villas, which was perceived for decades, as negative to live in such a dwelling due to the lack of privacy.

Housing RMI

In 2019, the strong return in activities within the real estate sectors contributed to a healthy housing RMI market, as generally, refurbishment of dwellings in Saudi Arabia follows transactions on existing properties.

There is no official data available with regards to levels of housing RMI in Saudi Arabia. For cultural reasons, the time spent at home is important in the country, and maintaining a home is essential. Industry evidence suggests that bathroom products are very often replaced for big-ticket items (sanitary ware, baths, and shower trays) and even more frequently for smaller, cheaper items (bathroom accessories and faucets).

Long term, the government goal to increase the home ownership rates should constitute a positive driver for the sales of better quality products going to that segment, as spending on a home that is owned, (beyond the fact that, generally,

families living in a home that is owned move less often than those who are renting), is not perceived in the same way as those that are rented. This goal is clearly stipulated in the VISION 2030 PROGRAMME.

However, like the new housing construction segment, RMI activity is understood to be inhibited by several factors. Although home improvement is highly desirable to many Saudis, the difficulty in obtaining mortgages has ensured that the level of home ownership in Saudi Arabia is low, restricting the scope for discretionary renovations.

Similarly, the country's sizeable population of non-Saudi citizens are not permitted to own their own homes and are thus less likely to engage in home improvement work. Furthermore, when replacement and RMI work is done by non-Saudi citizens, the cheapest products are typically selected, as this typically transient proportion of the population is unwilling to invest excessively in their accommodation. Finally, heavy, or 'full-scale' renovations (such as an entire remodelling of a bathroom) are uncommon, as it is sometimes cheaper to simply demolish the house and build a new one.

Finally, the construction of commercial facilities, such as hotels, and religious buildings (mosques) has increased in several main cities in Saudi Arabia, leading to the demolition of some of Saudi Arabia's existing building stock. This is particularly the case in cities such as Mecca and Medina, where inhabitants have recently been relocated prior to demolition in exchange for a generous financial compensation fee.

Non-Residential Construction

The number of offices in Riyadh has increased slightly in 2019.

The government's decision to promote the tourism sector has led to an increase in the construction of new hotels, particularly in Mecca, the holy city. The construction of these hotels was also motivated by an expected increasing number of visitors to the Kingdom, following a new policy to obtain a visa, as part of the economic openness decided by MBS.

In the beginning of 2019, the construction of the entertainment mega project QIDDIYA was started. It includes resorts, parks, and city centres. By 2030, it is expected to be the largest tourism destination worldwide with a total area of 334 km², with an expected 17 million visitors. Situated half-way between Europe and Asia, Saudi Arabia should become a new destination for worldwide travellers, but also for Saudis, as in the country, entertainment is very limited. From some countries in Asia, and at a lesser extent, minorities in Europe, this project is in line with the demand for halal tourism (touristic destinations that follow Islamic rules in terms of food and drinks, separate swimming pools/spa, etc.).

In the capital city of Riyadh, almost 2,000 hotel rooms were added to the total hotel park. This includes the Shaza Riyadh Hotel Residence (225 rooms), as well as

Narcissus Classic Tower, Hilton Riyadh King Saud University, the Grand Millennium, and the New Airport Marriott Hotel.

In Jeddah, new hotels were built in 2019, including two Ibis in Jeddah in Malik Road & Alesayi Plaza, the new Jeddah Marriott in Al Bawadi, the Crowne Plaza Jeddah, and the Park Inn Radisson Madinah Road.

Along with new hotels that opened in 2018, (to name a few: the HILTON RIYADH HOTEL & RESIDENCES, the COPTHORNE HOTEL in Makkah, JABEL OMAR, SWISS-BELHOTEL AL AZIZYA MAKKAH, the MILLLENIUM HOTEL in Jeddah, and the HILTON GARDEN INN in Al Khobar), Saudi Arabia has dramatically increased its hotel room capacity.

In 2019, some mosques were renovated by the government.

While cities such as Riyadh, Jeddah, Makkah (Mecca) and Madinah (Medina) continue to lead the way, considerably increasing their hospitality offering, a number of smaller destinations are beginning to rise as attractive opportunity markets, such as Dammam and Jazan. Even international hotel chains such as Hyatt and IHG have plans to double their existing capacity in the next five years.

Saudi Arabia's non-residential construction segment is fairly robust, with a significant number of public buildings (hospitals, schools, mosques) and private buildings (hotels, restaurants, spas) planned and constructed annually. The government has extended its budget on several construction programmes, including social housing, schools, hospitals, and other public buildings, that will take some years to complete. Other current non-residential projects include the construction of hotels and hospitals, especially in the regions of Jeddah and Mecca, to accommodate people coming for the pilgrimage.

Indeed, the government leads the overwhelming majority of projects. The fact that the government's budget is based on oil income constitutes the main cyclical driver. The demand is derived from many projects that are led by the government, which is worried about providing affordable housing to its population. A sudden decrease in the oil revenue may be a negative driver for the housing construction sector.

Furthermore, uninhabited 'white lands' count for 40% to 50% of the empty space within cities, which has always hampered the progress of the real estate market due to the excess of what is supplied in relation to the demand, especially when many white land owners refrain from selling their properties for decades while awaiting price increase. The government of Saudi Arabia, and as part of its programme 'Vision 2030', has decided to tackle such issue by subjecting white land owners – who possess unused lands starting from 10,000-meter square and above – to a 2.5% annual tax on all lands allocated for residential or commercial buildings, the Saudi Minister of Housing announced on its official website.

A massive entertainment project called AL QIDDIYA is expected to be built in the coming years. Worth several billions of USD, it should include a Six Flags theme

park, water parks, motor sports, cultural events, and vacation homes with an expected 1.5 million visitors annually from 2022.

II.2 Key Figures

SA - DEMOGRAPHICS AND HOUSEHOLDS

Value		Year
Segmentation	Category	2019
Demographics	Population (% Rural)	16.00
	Population (% Urban)	84.00
	Population ('000)	34 200.00
Households	Average Size (Persons h/h)	5.58
	Total ('000)	6 127.06

Source: BRG based on Country Statistics.

II.3 Macroeconomic Trends and Forecasts

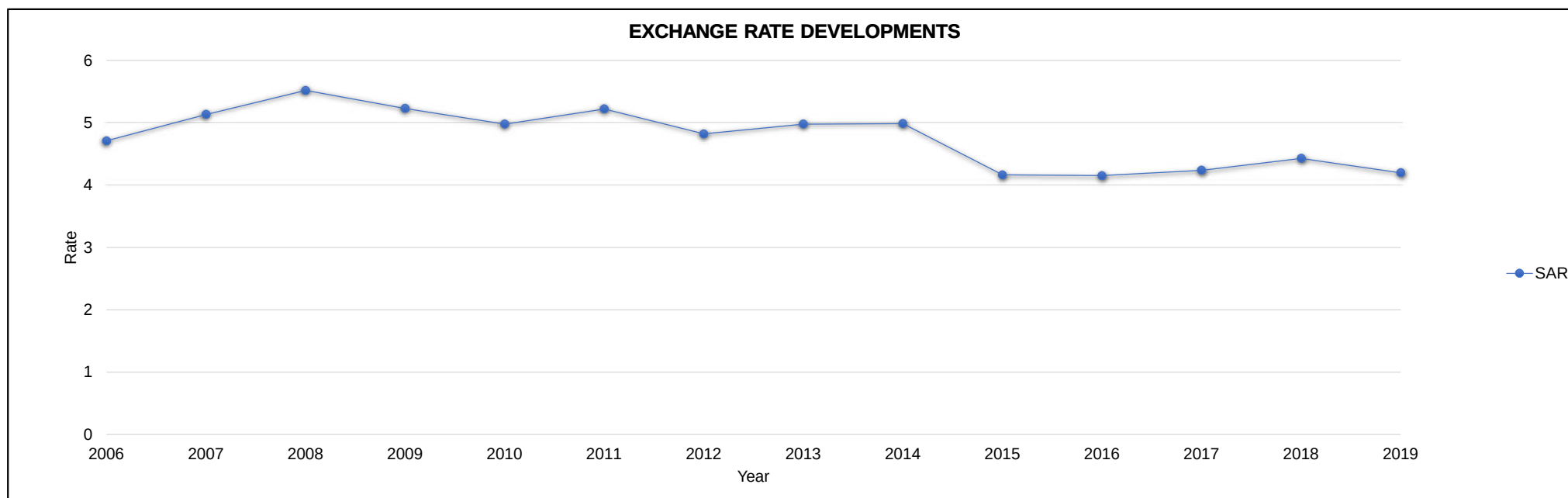
SA - MACROECONOMIC KEY INDICATORS

Value	Year																
Category	2005	2006	2007	2008	2009	2010	2011	2012	2013	2014	2015	2016	2017	2018	2019	2020	2021
Consumer Price Index (% change)	0.55	1.90	5.06	6.08	4.18	3.78	3.76	2.88	3.52	2.20	1.27	2.03	- 0.85	2.48	- 1.21	0.87	1.96
GDP (% change)	5.57	2.79	1.85	6.25	- 2.06	5.04	10.00	5.41	2.70	3.65	4.11	1.67	- 0.74	2.43	0.33	- 2.28	2.93
Government Balance (% of GDP)	17.99	20.82	11.78	29.80	- 5.38	4.39	11.55	11.93	5.64	- 3.54	- 15.84	- 17.20	- 9.24	- 5.87	- 4.45	- 12.59	- 9.03

Source : IMF

N.B. No data available beyond 2021 at the time of publication.

II.4 Historical and Current Exchange Rates
SA - EXCHANGE RATES : HISTORICAL AND CURRENT



Local Currency	2006	2007	2008	2009	2010	2011	2012	2013	2014	2015	2016	2017	2018	2019
EUR / SAR	4.71	5.13	5.52	5.23	4.98	5.22	4.82	4.98	4.99	4.16	4.15	4.24	4.43	4.20
% change	-	9.02%	7.47%	-5.23%	-4.79%	4.89%	-7.67%	3.29%	0.09%	-16.46%	-0.32%	2.11%	4.50%	-5.18%

Source: OANDA
The Saudi Riyals (SAR) is the Currency of Saudi Arabia. The Exchange Rates Shown are the SAR to the EUR.

II.5 Overview of Impact of COVID-19 on Forecasts
SA – OVERVIEW OF IMPACT OF COVID-19 TO DATE

Start of the lockdown [expected start of easing]	Curfew from 24 th March at 7pm to 6 am on 30 th March; movement suspended in and out of Jeddah governorate. 24-hour curfews in Makkah and Madinah (2 nd April), Riyadh, Dammam, Tabuk, Dhahran, Hofuf, Jeddah, Ta'if, Khobar, Qatif (6 th April), with movement restricted to essential travel only from 6 am to 3 pm. ¹
Number of officially confirmed cases [fatalities]	As of 28 th April, 21,400 cases, 157 deaths ² .
General measures in place to support the economy	Economic stimulus package of SAR50 billion for SMEs. SAR30 billion allocated for banks to cover loan payments due from SMEs for six months. ²
Statistics on affected individuals (unemployed or temporarily off work)	60% of salary for Saudi employees only who have been working in the private sector for three months. Renewal of residency permits for expatriates free of charge for three months, adjustment of wages based on actual working hours. ³
Measures in place to mitigate economic impact on INDIVIDUALS	21 st March: lockdown on transport (domestic flights, trains, buses, taxis) for 14 days. ⁴
Statistics on affected companies (% of total forced to suspend activities)	NA
Specific measures affecting BUILDING CONSTRUCTION and RMI	NA
Measures in place to mitigate economic impact on COMPANIES	NA
Support measures from international organisations (EU, IMF, World Bank, other)	NA
Other	Possibility that Saudi Arabia could borrow an extra \$26 billion to support lower oil prices and pandemic crisis. ⁵

¹ <https://english.alarabiya.net/en/News/gulf/2020/04/06/Coronavirus-Saudi-Arabia-imposes-24-hour-curfew-in-several-cities-including-Riyadh.html>

² <https://www.worldometers.info/coronavirus/#countries>

³ <https://home.kpmg/xx/en/home/insights/2020/04/saudi-arabia-government-and-institution-measures-in-response-to-covid.html>

⁴ <https://www.arabnews.com/node/1644101/saudi-arabia>

⁵ <https://uk.reuters.com/article/uk-health-coronavirus-saudi-debt/saudi-arabia-to-boost-borrowing-as-oil-glut-weighs-on-virus-hit-economy-idUKKCN22434G>

SAUDI ARABIA

DISTRIBUTION

THE MIDDLE EASTERN BATHROOM & KITCHEN PRODUCT MARKETS



Overview

Despite its relative wealth, Saudi Arabia is, in fact, a developing country that has a distribution structure similar to that of other developing countries. However, Saudi Arabia is a rentier state: the non-oil industry remains at an embryonic stage, and the country is a huge importer of almost everything else. In terms of bathroom and kitchen product manufacturing, the local industry is limited to ceramic sanitary ware products. Furthermore, high levels of clientelism in Saudi Arabia (the exchange of goods and services for political support) has led to the rise of a specific class of importers and distributors; their empowerment led them to become key contacts for bathroom and kitchen product manufacturers looking to sell their products in the country. Clientelism is part of the Saudi business culture, found at different levels and often implicit. The interconnection between politics and business in Saudi Arabia is the basis of most issues that manufacturers face in the country, aside from negative economic developments.

Furthermore, the paternalistic form of governance in Saudi Arabia has led much of the population to rely on government support. As a result, levels of entrepreneurship are low. Indeed, many Saudi entrepreneurs are simply partnered with foreign manufacturers for use of their citizenship, as foreign players cannot export to Saudi Arabia without being associated with a Saudi national (under the government's 'Saudisation' programme). Economic difficulties in recent years has led the government to take several measures to change this situation but results thus far are limited.

Due to the low levels of local entrepreneurship, paternalistic government, and levels of clientelism, the country (and its distribution sector) remains under development. Furthermore, the dramatic growth of the population and resultant housing shortage has led to intense construction activity. As a result, large housing developments and commercial projects (such as hotels) are typically supplied directly to the contractor by the manufacturer. Such sales are the backbone of the Saudi bathroom and kitchen products market's distribution structure, as a significant share are sold to the new housing segment.

Uncertainty and chaotic decision-making processes are part of the business environment in Saudi Arabia. Very often, contractors face difficulties in obtaining payment from the government, which in turn can affect their ability to pay their suppliers: flexibility and patience is crucial for manufacturers operating in Saudi Arabia. Macro-economic factors such as the government budget for construction, oil prices and types of money available (monetary aggregates) may significantly disturb the construction sector with delays in payment. Worse, projects can be postponed, cancelled or simply on hold, partway through its completion.

Housing constructions are mostly led by the government and individuals that received a plot of land, as well as finance solutions, from the Public Authority for Housing and Welfare (PAHW). In the first scenario, the distribution of products

goes through bids and tenders. Considering the number of housing completions, a high volume of products is involved giving the share of direct supply relatively high in the country. Contractors often deal directly with manufacturers as and when the projects come in. In the second scenario, householders are supplied through retailers.

As houses in Saudi Arabia typically contain several bathrooms, but often only one kitchen, the quality of products installed in the house can vary greatly; the master bathroom/guest bathroom may include high-end products, while the bathroom for the maid/nanny is generally equipped with low-end products. In between, bathroom for children may vary in quality. For this reason, bathroom products that equip a single house may come from different sources, from showrooms to the “souk” (traditional Arab marketplace). Offering different end-product ranges should help to optimise sales of bathroom products.

Beyond the strong agreement that links a Western manufacturer with his distributor, customer loyalty is an informal aspect in Saudi Arabia when it comes to distributing local, regional, or Asian brands (excluding Japanese products). Customer loyalty is less based on a legal document than on a long historical relationship between a manufacturer and a distributor, sealing an informal form of loyalty.

Depending on how tight the specifications are, any brand can win projects, but local manufacturers are generally favoured. In recent years, the government tried to favour regional manufacturers to increase economic integration within the GCC. However, bathroom and kitchen products in Saudi Arabia have high price elasticity. When the price for building materials is the key criteria to select a supplier, contractors opt for the cheapest offer. Also, Saudi Arabia experiences increasing outsourcing activities within the construction sector. Each intermediary tries to generate the highest margin, and when no brand is specified, the company in charge of installing the bathroom product will typically select the cheapest supplier.

Manufacturers use two main distribution strategies in Saudi Arabia. On the one side, some players prefer to use one sole distributor. This has both advantages and disadvantages; the manufacturer’s sales will depend entirely on a sole distributor, but on the other hand, the distributor is typically well-established and able to maximise sales. Other players prefer to manage their own distribution network throughout the country – these are mainly comprised of both local and major manufacturers. Western manufacturers can also distribute their products through a partnership with these local manufacturers (if there is no product competition). For example, the manufacturer of ceramic sanitary ware SAUDI CERAMICS distributes GROHE through its network of selling points throughout the country, which constitutes a precious distribution route for GROHE. On the other side, SAUDI CERAMICS’s product image is enhanced by the fact that its ceramic products are sold alongside German products.

Thanks to the greater economic integration of the GCC, along with local and regional companies offering better quality products, sales from local manufacturers

experienced a dynamic growth rate in recent years, as opposed to most of European brands. A trend towards bigger market share being held by local and regional companies is developing. Regional companies are becoming more powerful, as governments are favouring GCC companies. Tighter budgeting also explains the empowerment of local and regional brands.

The construction sector in Saudi Arabia depends on some imports of spare parts and other building materials. Exporting countries such as China experienced a clear slowdown of their economy due to the COVID-19 pandemic. Moreover, the Saudi authorities restricted, in March 2020, movement between the main cities, and many shops and malls were temporarily shut down. Along with the confinement, the retail market for building products was affected, reducing sales to the RMI segment (as well as the replacement market within the non-housing segment), as well as sales to new builds in residential and non-residential segments, this will certainly delay the completion date. These are the main impacts at the micro-level.

Wholesale and Merchant Trade

Due to the absence of strong local manufacturers for non-ceramic products, there is a high level of imports of bathroom and kitchen products in Saudi Arabia. These come mostly from Asia and the West. The absence of brand recognition for Asian manufacturers leads these players to focus on supplying large quantities of products rapidly. Asian brands generally have an agent acting as an importer, clearing documents, receiving containers of bathroom and kitchen products that are quickly dispatched to large distributors. Small distributors may get supply from large distributors, rather than dealing directly with importers: the price difference is sometimes non-existent, as large distributors receive a specific price, giving enough room to resell to another distributor at a price lower than the B2C price and still generate some margin.

Western manufacturers are traditionally more focused on a strong value-proposition (quality, technology, branding), which generates higher margins yet smaller volume sales. They focus mostly on the medium to high-end product ranges. For this reason, showrooms are their favourite distribution route, rather than wholesalers and merchants. However, the development of manufacturing plants in developing countries helped some of them to supply cheaper products. Sometimes, this creates ambiguity among Saudis. Some Saudi householders may consider a bathroom mixer as an Asian product if it is produced in Asia, even if the manufacturer is originally from Europe. For this reason, some Western products sold in the souk and known to have been produced in Asia are seen as on-par with non-branded products in terms of quality. This is one of the reasons that the distribution route chosen by the manufacturer has a strong impact on how consumers perceive the product.

In Saudi Arabia, other difficulties for distributors are linked to a strong protectionism and a strong competition due to a low level of regulation. Therefore, Western manufacturers, generally unable to compete with the price, should market their product with a strong value proposition. In the case of an issue with a distributor,

the law is generally in the favour of the Saudi partner. Law enforcement is not as developed as in Europe. On the other hand, the ability for wholesalers and large distributors to provide the right product in large quantities in a relatively short time constitutes a key strength of the Saudi distribution segment; large stock or excellent logistics are the key to delivering products in due time.

Retail Trade

Within the retail market, a new law effective since the beginning of 2020, allows retail shops to remain open 24 hours (and seven days a week). This aims to stimulate the retail market and should have a positive impact on the bathroom market.

DIY Retailers

Although some DIY retailers are present in the country, they do not represent a significant share of sales within the bathroom and kitchen products market. This is due to several factors; firstly, the fact that the concept of DIY is not part of the culture of the country since the cost of installation is very low. Secondly – in the case of IKEA – the offering of DIY products within the market is very limited. What limits the development of DIY business is also a form of aversion for manual works across the Saudi population. The local mentality is to purchase something ready-to-use and already installed. In Saudi Arabia, it is not uncommon that, after visiting a DIY store, a Saudi will seek out an (often illegal) immigrant to complete the home-improvement work – these immigrants often wait in well-known areas in cities in order to receive this kind of informal work.

Apart from IKEA, mentioned above, there are several other DIY retailers present in Saudi Arabia. GULF DEPOT is a Saudi DIY retailer with 32 stores throughout the country. However, its offering of bathroom and kitchen products is limited. SACO is another hardware retailer that can also be consider as DIY. It has 27 retail outlets in 15 cities throughout the country. However, the range of bathroom and kitchen products offered is extremely limited. In mid-2016, the US-based DIY retailer DO IT BEST in partnership with ATTKEN INTERNATIONAL (part of ALBAWARDI GROUP) opened its first shop in the country, in the eastern province of Dammam.

Specialist Retailers

In 2019, the government authorised shops to open 24 hours. This became effective from the 1st of January 2020.

Consumer Price Index has continued to fall with a 1.2% decline on average during 2019, mainly due to the effect of economic and fiscal reforms along with the decline in rents.

The Private Sector Stimulus Package (PSSP) and the execution of mega projects contribute to boost the construction sector, which registered a positive growth for the first time in three years.

In the first half of 2019, the retail trade registered a 3.8% growth.

In 2018, the first BAGNODESIGN showroom (part of SANIPLEX GROUP) opened in Saudi Arabia, located in Riyadh.

GROHE is distributed by several companies throughout the countries, including SAUDI CERAMICS. BOLD, DANIEL, CARLO FRATTINI, and NINGBO REX are the other brands distributed by SAUDI CERAMICS.

Within the new housing segment, once the sales captured by contractors are excluded, the rest is split between showrooms, traditional markets (or 'souk') and other retailers.

In Saudi Arabia, the distribution of products with labels (containing the name of the manufacturer) is forbidden. The government has taken this measure to reduce the number of fake products present in the country. However, fake products continue to be sold in the "souk", sometimes unknown to the customer, and, sometimes, the salesman can openly offer two options – both the real product and its copy.

While local manufacturers generally have their own showrooms, regional manufacturers are often, but not always, assimilated within the distribution channels taken by Asian products, through importers/distributors. The opacity of the distribution flow for Asian and regional products is generally high.

We can say that most European products are sold through showrooms and most local products are sold through the 'souk'. The volume of bathroom and kitchen products sold through the 'souk' is often underestimated and this is generally the favourite distribution route for the replacement market.

Another aspect in the retail market is constituted by the customer type. Depending on whether consumers are Saudis or non-Saudis, the distribution routes for products may differ. The dichotomy Saudi/non-Saudi reflects less a difference of consumer habits based on the origin than the difference of disposable income. The other difference is the fact that only Saudis own their house while foreigners are renting.

Indeed, Saudis have a much higher purchasing power than immigrants (excluding Westerners), as well as typically larger families and family homes with several bathrooms per housing unit. The roughly 100,000 Western immigrants generally have high incomes but live in compounds for a limited period of years and most of the time they do not play a direct role in purchasing bathroom and kitchen products, as home improvement is generally conducted by services within the compound. In that case, the doormen or the company servicing the compounds may represent a key target for marketing purposes.

Internet Sales

The development of new technology is often a precursor of new consumer habits. These new habits shape the distribution structure. For instance, new methods of payment and the development of sales through internet channels contribute to that phenomenon.

In 2019, Saudi Payments planned to introduce a national QR code for payments in Saudi Arabia. It is still at its embryonic development, as only a MoU (Memorandum of Understanding) was signed between Saudi Payments and 12 parties, including nine banks and three financial technology firms. However, it shows a clear trend towards online payment and consequently, an expecting rising of internet sales that should have an impact on the bathroom products.

The other reason of the development of internet sales is also the lower price generally found online. In practise, the official list price is rarely applied. In a traditional sales route, a 10% discount and another 10% following the price negotiation is applied, while online prices can offer directly a 30% discount, thanks to a lower number of intermediaries from manufacturers to end users and lower fix and variable costs that a traditional sales route would imply.

Online sales in Saudi Arabia are mostly made through platforms such as souq.com, noon.com, AliExpress or Amazon. However, bathroom products are limited and only souq.com offer a significant range of products that our reports cover.

Some bathroom products are more adapted for internet sales than others, depending on criteria such as the level of standardisation/customisation of the product, this is why shower accessories are the most found, as they are relatively standardised. A ratio benefit/risk concerning online sales, can be roughly estimated as follow:

- Low benefit-high risk: shower enclosures,
- Low benefit-medium risk: bath screens,
- Medium benefit-medium risk: ceramic sanitary ware, bath & shower trays, plastic cisterns, faucets other than electronic,
- High benefit-low risk: shower accessories,
- High benefit-high risk: electronic mixers.

Knowing that in Saudi Arabia, fake products can be easily found, the risk of finding them online is even greater.

SAUDI ARABIA

BATHS AND SHOWER TRAYS

THE MIDDLE EASTERN BATHROOM & KITCHEN PRODUCT MARKETS



Market Characteristics and Product Mix

Over the last 10 years, the bath and shower tray markets in Saudi Arabia experienced very dynamic growth, the result of intense construction activities in the residential sector as the population grew by over 31% during this decade. Principally, it is less the population growth but more the population structure that explains the dynamism of the bath and shower tray market as most of the population is made up of young adults that have reached the age of getting married and settling down in their own homes, creating a huge housing shortage in the country. For this reason, the government has been investing heavily in housing construction, which constitutes the main driver for the bath and shower tray market in Saudi Arabia.

The demographic transition in Saudi Arabia led to smaller household sizes, structured around the nuclear family. This has a direct impact on the bath and shower tray market: the number of products sold per head has increased since the 2000s. When looking more closely at the population's personal habits, a Saudi home tends to have several bathrooms. Different configurations may appear depending on the social class, but generally, the bathroom used by the family is not the same as the one used by the maid or by the guests, and within the family, boys and girls use different bathrooms. For villas and wealthy people, each member of the family tends to have their own en suite bathroom.

Over the last few years, the popularity of synthetic baths and synthetic shower trays has led to a fast decline in sales of products made of steel, ceramic and cast iron, due to the generally lower price of synthetic products, which quickly became the preferred option for price conscious project developers. Overall, the success of synthetic products is explained by their material properties, which have allowed manufacturers to be able to offer a wide range of sizes, shapes and colours, owing to the relatively recent technology enabling this type of material to step out of the low-end segment. Indeed, while in the past synthetic products were found mostly in the low and medium segments, now they hold a hegemonic position even in the high-end segment.

Among the high-end segment, the market for hydromassage baths has been expanding for over ten years. However, this market remained small. Relatively young, it is mostly restricted to high-end dwellings as well as spas and beauty salons and has remained for many years at an embryonic stage. Until 2009, the hydrotherapy market experienced limited growth. Since 2010, the market has increased by a double-digit growth rate almost every year, thanks to the affordability of this product generated by massive imports from Asia.

In the last few decades, the country experienced a significant development of the middle-class population that is more educated and well-travelled (especially to the West). This has increased significantly the potential of the market as there is a higher purchasing power amongst some of the population, better quality of homes,

an increasing awareness of health and wellness, a demographic transition (smaller family sizes), and a slow trend of westernisation, which has created an environment for the market of hydrotherapy products to take off in Saudi Arabia.

As a result, the market has experienced a fast and continuous growth rate over the last few years. In terms of supply, although JACUZZI introduced hydrotherapy massage baths into the country, Chinese manufacturers pioneered the introduction of this product specifically to the middle class.

Due to the high maintenance required by hydromassage baths, householders are not always keen to have such a product, especially in small dwellings where the number of bathrooms is limited and where the children may use it incorrectly.

Although non-synthetic products continue to be in demand, their scope is narrowing, and only specific projects request these types of products. Even though some projects may specify a certain type of material, contractors may suddenly opt for a synthetic bath or shower tray for several reasons, mostly due to budget restrictions, but also other reasons such as product shortages, or a short delivery time.

The demand for cast iron baths, in particular, has been declining over the past decade, as well as the number of distributors offering these cast iron baths. Due to the inertia of the market, it is difficult to define a trend for this type of product, as the market is mostly nurtured by one-off sales generated by the non-housing segment and some luxury villas. The supply structure for cast iron baths has changed several times within the last 20 years: while in the past, these products were supplied by European manufacturers, Chinese suppliers replaced them quite quickly and very recently, Saudi distributors and importers are now favouring European products again, coming mostly from Italy, Spain and Germany.

In general, the shower tray market has grown faster than the bath market, as a result of the trend towards smaller dwelling sizes. This is partly due to the demographic transition mentioned above, but also due to dwelling construction costs, as the government focuses on building social housing. With regards to product substitution, walk-in showers and to a lesser extent hydromassage baths represent the main 'treats' for consumers among the sales of baths and shower trays. Larger and thinner shower trays, which are half-way between the traditional shower trays and the walk-in showers, seem to characterise the current bath and shower tray market in Saudi Arabia. The purchases of larger and thinner shower trays might represent, also, a trend away from traditional bathtubs. The type of bath or shower tray installed in one dwelling is different in terms of range, depending on whether it is intended for usage by the parents, the guests, the maid, or the children.

Recent Market Trends

In 2019, sales of baths and shower trays in Saudi Arabia have increased, thanks to the "Sakani" (literally: residential) programme aiming to provide housing solutions

to the Saudi population.

The overall economy in Saudi Arabia has been shaken by the recent, sudden, and radical reforms initiated by the Crown Prince MBS that started in 2017 and continued in 2019, in line with the SAUDI VISION 2030. These reforms have surprised many investors due to the way they have been implemented. As a result, the economy is boosted by positive but also negative drivers, some are temporarily affecting the economic while others constitute the new structure of the economic landscape of the country.

The percentage of Saudis that do not own their homes continued to be high, mostly due to low levels of mortgage penetration (as mentioned in the background section). The government aims to increase the rate of homeowners through an ambitious housing development programme, which should, via more dwelling constructions, lead to additional sales of bath and shower trays.

Synthetic products (baths and shower trays), continued to be favoured in 2019, by contractors and installers. The weight, price, and ease of installation, but also the ability to source large quantities in a short time frame, explained the reason why these products represent the majority of baths sold in Saudi Arabia during that year.

Mineral cast materials have a tiny share of the upper market for baths and shower trays, which is the second smallest segment after solid surface materials. Consequently, the volume sold was limited in 2019. DURAVIT is one of the main Western suppliers for this type of baths. Solid surface materials are generally favoured when the product differentiation is focused on the colour, due to the added pigments in the manufacturing process. However, this type of bath in Saudi Arabia is limited and generally, solid surface materials are mainly used for kitchen sinks and tops, rather than bathtubs.

Sales increased for hydromassage baths, due to a higher demand from new housing and RMI activity. Sales of hydromassage baths within the overall bath market is extremely tiny: while the unique major driver in Saudi Arabia is the desire of wealthy Saudi people to upgrade their bath, the main barrier to entry is the small size of the potential market.

Prices and Market Values

In 2019, the overall MSP for baths and shower trays in Saudi Arabia increased. Also, the increasing share of the low-end segment contributed to the containment of the price.

The MSP for the upper ranges experienced the strongest increase. This was due to the inflation in the exporting countries, as well as the fact that upper range products have a low price-elasticity. However, due to the small volume of upper range products sold in the country compared to low-end ranges, the overall MSP was largely contained by the limited price increase for low-end products.

New Housing

After three years of decline, sales of baths and shower trays to the new housing segment grew again in 2019.

The vast majority of products installed in new housing were made of synthetic materials.

The government's input in providing houses to its population contributed to the sales growth.

The government aims to provide housing solutions to its population with an objective to increase the rate of ownership in the country, one of the lowest in the Middle East.

These housing solutions include plots of lands distributed by the government along with financial tools that helped many Saudis to build their own house.

These social dwellings are far from tiny: around 400 metre squares. They contain several bathrooms, including one bathroom dedicated for the maid. Above 80% of the population in Saudi have a maid, and sometimes a maid and a driver (which may decline for the latter since women have now the right to drive a car).

During 2019, an increase of mixed-use development (commercial and residential) was observed in the construction industry.

Housing RMI

In 2019, the increasing sales activities in the real estate sector led the replacement market for baths and, at a lesser extent, for shower trays, to grow further. Generally, Saudis refurbish the bathrooms once they move to a new house bought from the existing dwelling stock.

Moreover, the price increase was limited, and suppliers increased their discounted offer during that year, which boosted the sales of bath and shower trays to the replacement market.

Most baths and shower trays that were replaced during that year were made of synthetic products.

Non-Housing

The return to intense construction activities registered in 2019 led to additional sales of baths and shower trays to the non-housing segment. This concerns mostly new hotels that have been completed during that year.

Indeed, as part of the SAUDI VISION 2030 programme concerning the diversification of the economy, the tourism sector is a key sector, along with the government measure to boost the non-oil sectors.

In 2019, it became easy to obtain a visa for Saudi Arabia. This should attract an increasing number of tourists and consequently boost the sales of bath and shower trays to the non-housing sector through more hotels throughout the country.

In the replacement market in hotels, the refurbishment of some bathrooms led to the replacement of baths by larger and longer shower trays or walk-in showers.

Supply Structure

In 2019, the supply structure for baths and shower trays in Saudi Arabia remained unchanged. The local production was still not sufficient to cover the demand, which was mainly covered by imports. The price-elasticity for this type of products being high, Asian manufacturers continued to enjoy a favoured position.

However, within these tactical day-to-day procurement operations, an increasing number of Asian manufacturers attempt to supply higher end-ranges, to escape from their traditional role in supplying only the economy range that can only sustain with a “high-volume, low margin” strategy. The maturity of the Chinese market along with higher production costs in China contributed to that trend. From a financial perspective, it is about achieving higher margins with higher-end range products. Similarly, Western manufacturers tend to increase their sales volume by reaching the largest base of the demand, which is generally the low-end range, and do this for all countries.

But beyond that arithmetic, a deeper transformation is taking place and concerns the rise of strategic sourcing, which becomes more and more distinct from the procurement and its tactical aspect.

The rising economic power in Asia that initiates the shift from West to East in terms of the centre of the global economy, and the Saudi government’s efforts to tighten its economic cooperation with Asian countries has led the Kingdom to review its strategic sourcing at a higher level.

Since the vast majority of construction projects are generated by the government, and it is committed to supplying a high number of dwellings to its population (as per its SAUDI VISION 2030 programme, that includes also other construction projects), the strategic sourcing is less about getting the lowest purchase price than getting the lowest total cost. Indeed, one of the main challenges for the government is to supply affordable houses to its population in order to achieve its target regarding the home ownership rate. This explains, for instance, the multiplication of prefabricated housing projects, in which baths and shower trays are already mounted prior to the actual house being built.

This means a significant share of sales of baths and shower trays linked to government evades manufacturers-suppliers that are not involved in the upstream housing construction market. Some hotel chains can also be equipped with baths and shower trays pre-mounted into bathroom pods, more economical than the 6% to 10% of the hotel cost that constitutes the bathrooms, in a traditional construction.

Having said that, a non-negligible share of bath and shower tray products are sold without the frame described above. All non-projects within the new construction sector (those individual building their house in a plot of land given by the government along with a loan), some projects of small scale, and the replacement market for both residential and non-residential segments are more influenced by procurement operations rather than strategic sourcing.

For the construction of hotels, particularly hotel chains, bath and shower trays can be also pre-mounted.

In 2019, local and regional manufacturers such as SIDC CASAVIA, AWAL BATH AND RAK CERAMICS count among the main players in the synthetic bath market. Within Western brands, DURAVIT CERAMICS led the market for ceramic shower trays.

Some local manufacturers of ceramic sanitary ware products import baths and shower tray products such as SAUDI CERAMICS. This company offers a wide range of unbranded traditional bath, shower trays and hydromassage baths.

Along with the Saudisation of the economy, local manufacturers are generally favoured by the government, unless something else is specified. Regional manufacturers such as SHADUBE and AWAL ACRYLICS experienced a significant increase of their market shares for synthetic bathtubs.

With regards to hydromassage baths, the supply structure can be divided into three main groups. Firstly, the market comprises regional and local manufacturers such as AWAL BATH, SHADUBE and BADR AQUALUX, respectively from Bahrain, UAE, and Saudi Arabia. It is believed that their products are sold under other brands, such as SAUDI CERAMICS. The second group is made of Chinese manufacturers and they currently represent the main suppliers in terms of volume and are focused mainly on the economy/low range. Finally, the last group comprises European manufacturers such as IDEAL STANDARD, ROCA, TEUCO and JACUZZI - historically the most present - holding a hegemonic position within the luxury products.

Turkish manufacturers are also believed to play a certain role within the medium range, as their products are increasingly available in other bathroom product families.

Forecasts

Given the exceptional circumstances related to the spread of the COVID-19 virus and measures in place for its containment, forecasts for 2020 and beyond are based on the latest information available at the time of publication. BRG has attempted to factor in the latest developments – see Macroeconomic data in Table II.3, and supporting summary table at the end of the Background section. Given the fluidity of circumstances at this time, we expect that these forecasts are likely to be superseded by events, and therefore BRG will be updating them, as required, in any subsequent update of our estimates scheduled during 2020.

The impact of the pandemic on the bath and shower tray markets (as mentioned in the “Background” section) is inevitable. However, measuring its impact in terms of intensity and time frame is problematic. This depends on both government measures and recoveries from supplying countries. While the pandemic constitutes the main negative drivers for the bath and shower trays market in the short term, the oil prices constitute a bigger challenge for the whole forecast period.

Sales of baths and shower trays are expected to have a positive CAGR at the end of the forecast period, as positive drivers are strong and oil prices are expected to increase thanks to political agreement already made in April between Russia and Saudi Arabia, and an expected return of oil demand worldwide. This should bring more income to the government to finalise its ambitious construction projects.

While the country experiences a fast and deep social, political, and economic transformation, it is difficult experts based in Saudi Arabia for, even without the pandemic, to see clearly what is going on and the outcome of all these reforms. The advent of the pandemic and its impact in the market may be weighted against these reforms. What is almost certain, is that the pandemic may be used to justify failure from the government and from commercial partners.

Most government projects in Saudi suffer from structural delay. The National Anti-Corruption Commission (NACC) has identified that 44% of faltered projects were abandoned. The main causes identified by the NACC was the lack of planning, the lack of visibility during the studies and design stage, deficiencies in study of the nature of the project and the lack of a PMO in large construction companies. From a global construction market view, only 5% of projects have a PMO in the Middle East, compared to 35%, 31% and 29% in Americas, Europe, and APAC region, respectively.

As part of the SAUDI VISION 2030 programme, the government should pursue its goal of increasing the house ownership rate in the country. With the huge shortage in housing, it is believed that sales of bath and shower trays should increase greatly by the end of the forecasting period.

New cities are currently under construction, such as KAEC (King Abdullah Economic City), of which 40% had been built by Q3 of 2019, and over 10,000

households live there already. The city includes a number of significant non-housing projects such as hospitals, restaurants, universities, schools, etc. The KAEK should capture a large amount of sales of baths and shower trays in the coming years.

However, many Saudis still cannot afford to buy a dwelling. The reason is less due to the household income, than to the poor banking systems in the country that offer limited options. An excessive number of new builds that remain vacant may slow down the housing construction despite the shortage in housing (until these new builds are absorbed by the real estate market). The financing of houses in this conservative Islamic Saudi Arabia differ greatly from Western countries due to the fact that interest (fees for borrowing money) is illegal in Islam.

The new project management process introduced in 2016 through the creation of PMO (Project Management Office) has been increasing dramatically. Input by the government should make the projects more efficient in terms of completion date, while reducing the corruption.

The market for hydromassage baths in Saudi Arabia should get back on track in the coming years. Although distributors offer a limited choice of products (mostly made in China), this type of products is more visible in retail shops than a few years ago.

At the same time, unprecedented development within the hospitality sector, as documented in the Vision 2030 should lead to the construction of many hotels over the forecast period, creating sales opportunities for these products in the non-housing segment.

Moreover, the tourism sector is set to develop beyond the two holy cities (Mecca and Medina), already visited by millions of pilgrims: massive investments in the Red Sea projects (a 34,000 km resort development project) should boost the sales of faucets during the forecast period, and beyond.

Among sensitive issues that could impact the construction sector and consequently the baths and shower tray market are the radical socio-economic reforms (including a massive crackdown on corruption from the elite) initiated by the Crown Prince MBS and the instability in the region. This situation in the domestic and international spheres may influence the ambitious and long-term development of the country.

The possible failure in diversifying the economy may reduce capacity of the country to carry forward its ambitious housing development programme. At the same time, the purchasing power of the population may decline, slowing down the replacement market.

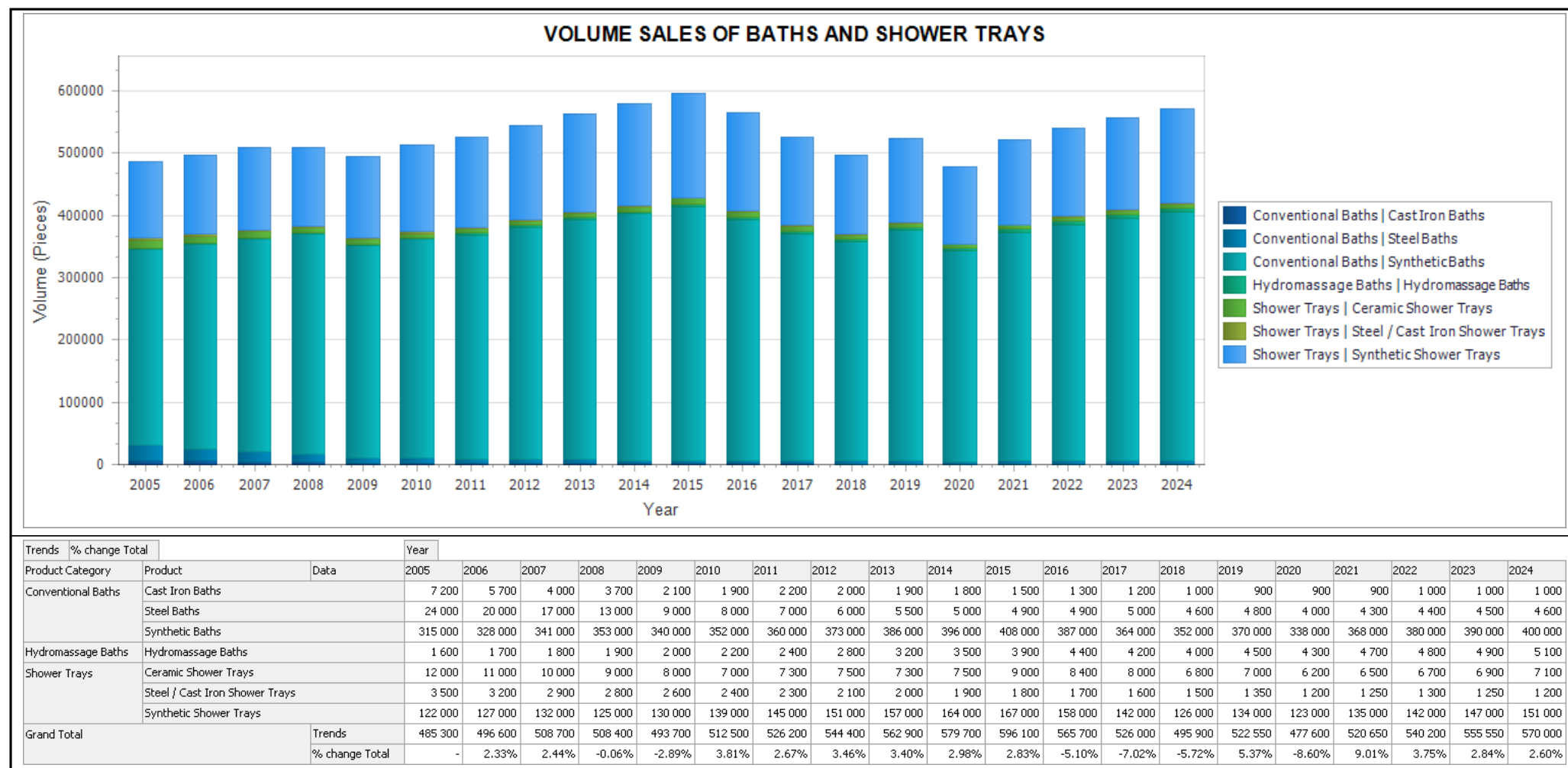
Failures to empower the youth through the Saudisation programme along with an increasing cut in welfare state might reduce the purchase power of the population, which may have an impact on the RMI segment, with a lower replacement rate for

bath and shower trays.

Even though an increasing number of new dwellings are expected to be delivered in the coming years, sales of baths and shower trays should continue to be driven by the replacement market, as most of the residential construction over the next few years will belong to the low to medium range segment (social houses) and will be equipped with standard baths and/or shower systems.

1.2 Historical Trends and Forecasts

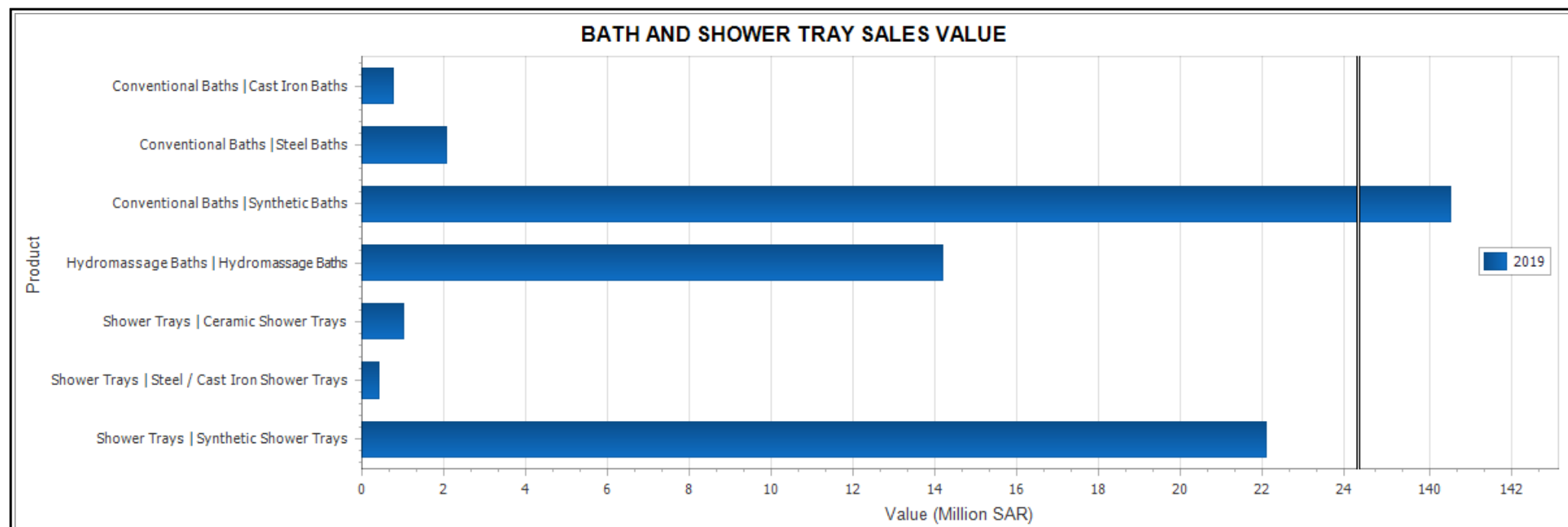
SA - SUMMARY OF TRENDS IN THE BATH AND SHOWER TRAY MARKET : HISTORICAL AND FORECASTS



Source: BRG based on industry interviews.

1.3.1 Prices and Market Values : Baths and Shower Trays

SA - ESTIMATED VALUES OF THE BATH AND SHOWER TRAY MARKET

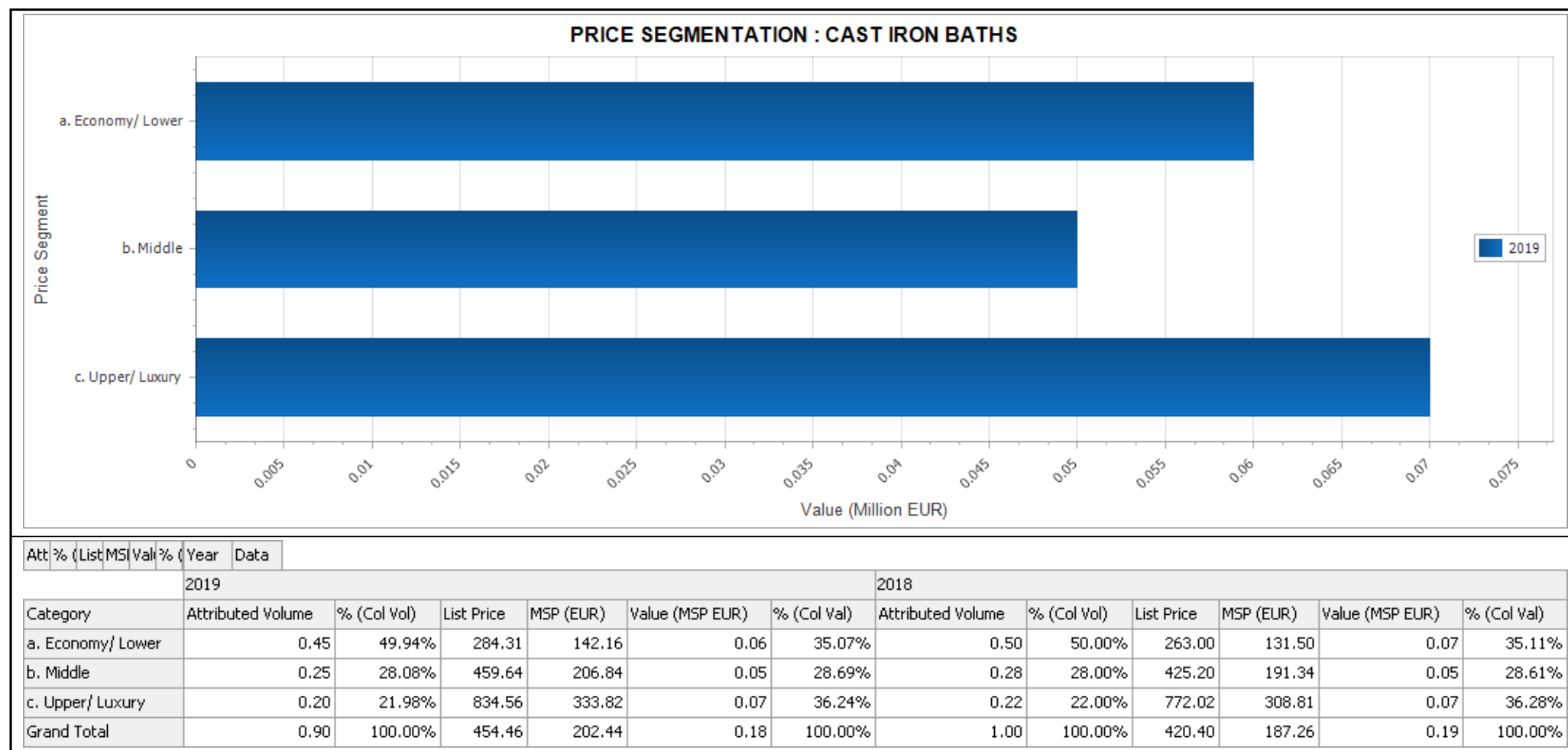


Volumes	MSP (Local)	Value (MSP)	MSP (EUR)	Value (MSP)	Year	Data						
						2019						
Product Category	Product	Volumes	MSP (Local)	Value (MSP Local)	MSP (EUR)	Value (MSP EUR)	Volumes	MSP (Local)	Value (MSP Local)	MSP (EUR)	Value (MSP EUR)	
Conventional Baths	Cast Iron Baths	900	850.21	0.77	202.43	0.18	1 000	829.47	0.83	187.26	0.19	
	Steel Baths	4 800	427.43	2.05	101.77	0.49	4 600	419.56	1.93	94.72	0.44	
	Synthetic Baths	370 000	379.72	140.50	90.41	33.45	352 000	371.10	130.63	83.78	29.49	
Hydromassage Baths	Hydromassage Baths	4 500	3,156.13	14.20	751.46	3.38	4 000	3,079.17	12.32	695.15	2.78	
Shower Trays	Ceramic Shower Trays	7 000	146.20	1.02	34.81	0.24	6 800	144.14	0.98	32.54	0.22	
	Steel / Cast Iron Shower Trays	1 350	297.32	0.40	70.79	0.10	1 500	290.75	0.44	65.64	0.10	
	Synthetic Shower Trays	134 000	164.98	22.11	39.28	5.26	126 000	161.19	20.31	36.39	4.59	
Grand Total		522 550	346.47	181.05	82.49	43.11	495 900	337.63	167.43	76.22	37.80	

Source: BRG based on industry interviews. Local Currency Shown in SAR. Values Shown in Millions (at MSP = Manufacturers' Selling Price)

1.3.2 Price Segmentation : Cast Iron Baths

SA - ESTIMATED PRICE SEGMENTATION FOR CAST IRON BATHS

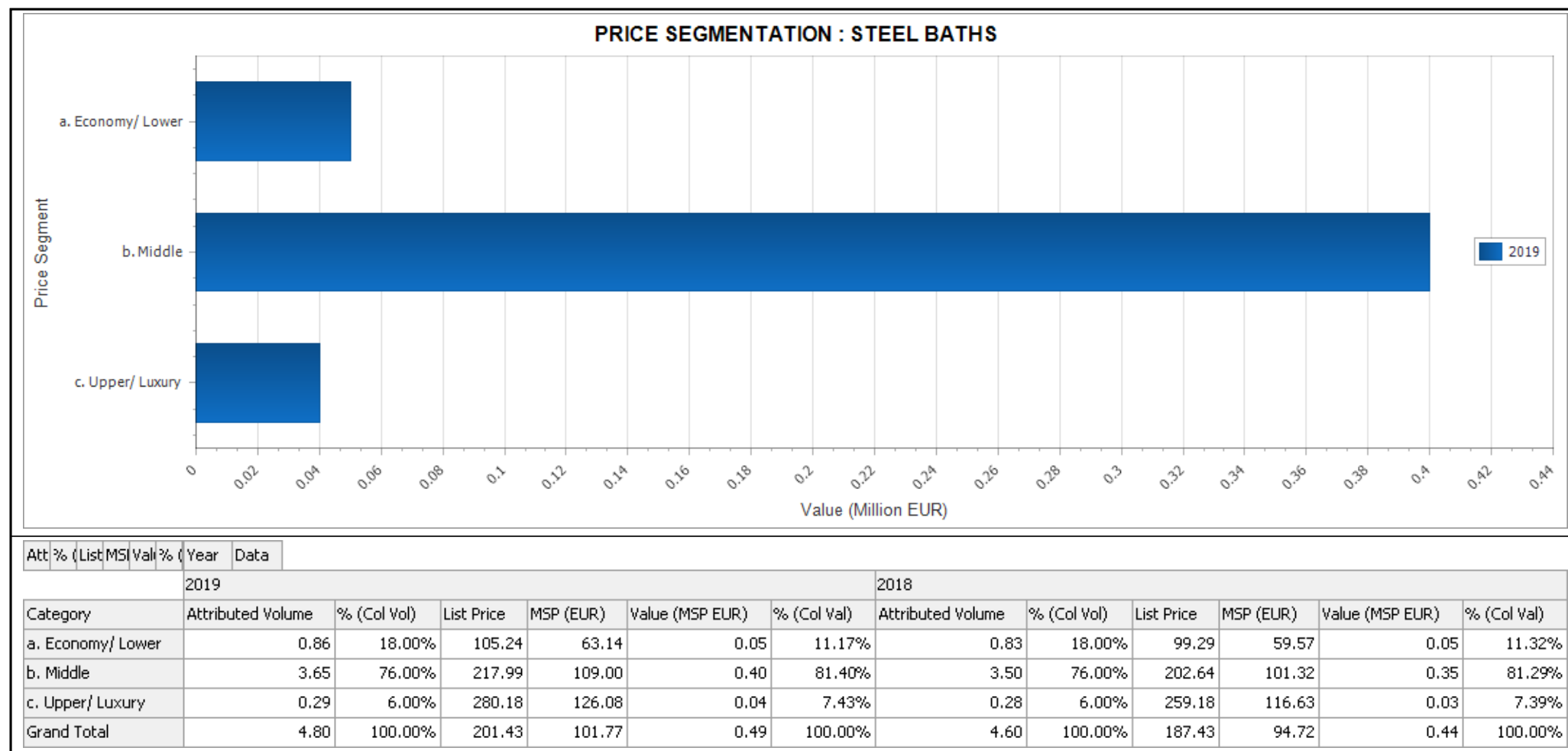


Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

Volumes Shown in Thousands and Values Shown in Millions (at MSP = Manufacturers' Selling Price). Economy/ Lower <€150, Middle €150-€250, Upper/ Luxury >€250

1.3.3 Price Segmentation : Steel Baths

SA - ESTIMATED PRICE SEGMENTATION FOR STEEL BATHS

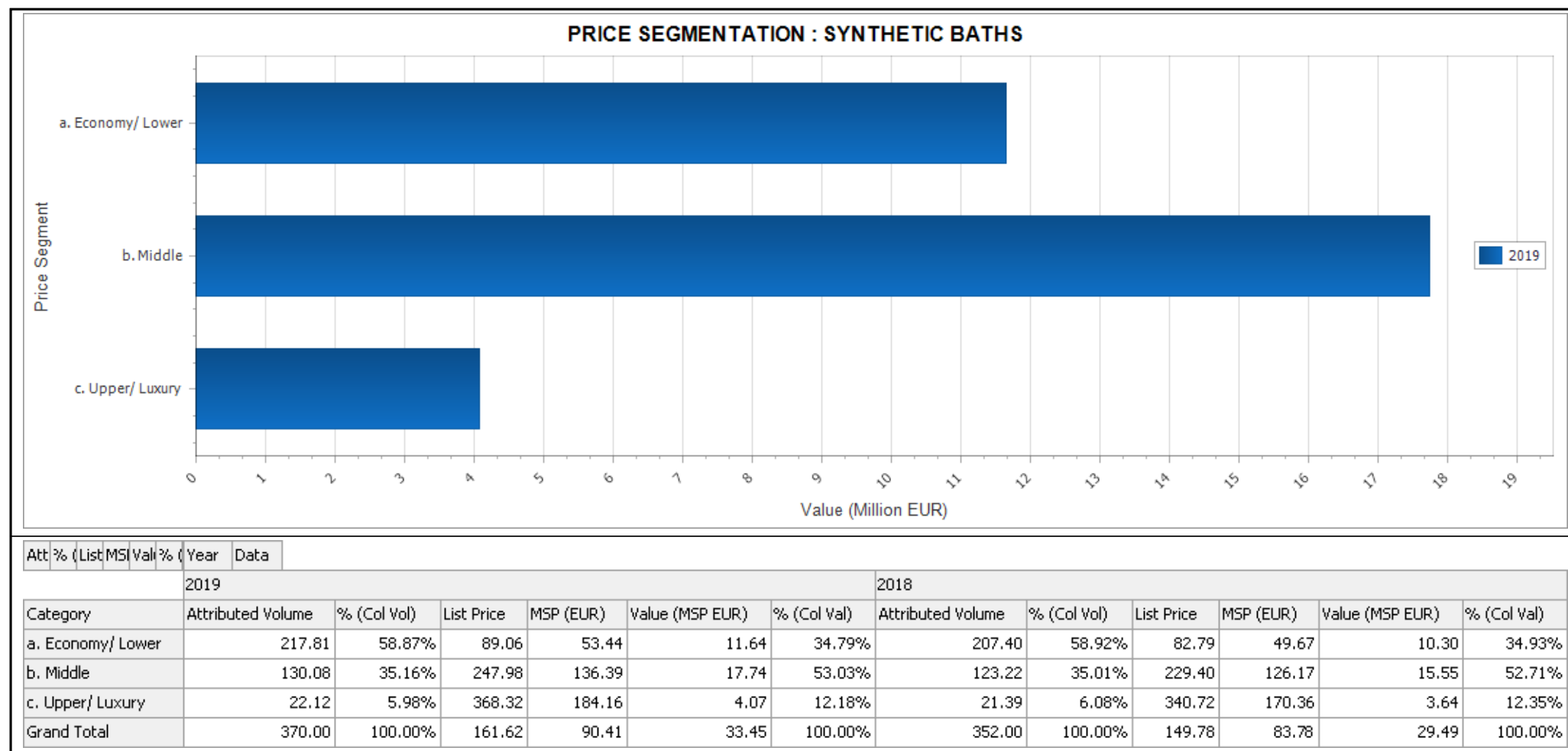


Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

Volumes Shown in Thousands and Values Shown in Millions (at MSP = Manufacturers' Selling Price). Economy/ Lower <€70, Middle €70-€110, Upper/ Luxury >€110

1.3.4 Price Segmentation : Synthetic Baths

SA - ESTIMATED PRICE SEGMENTATION FOR SYNTHETIC BATHS

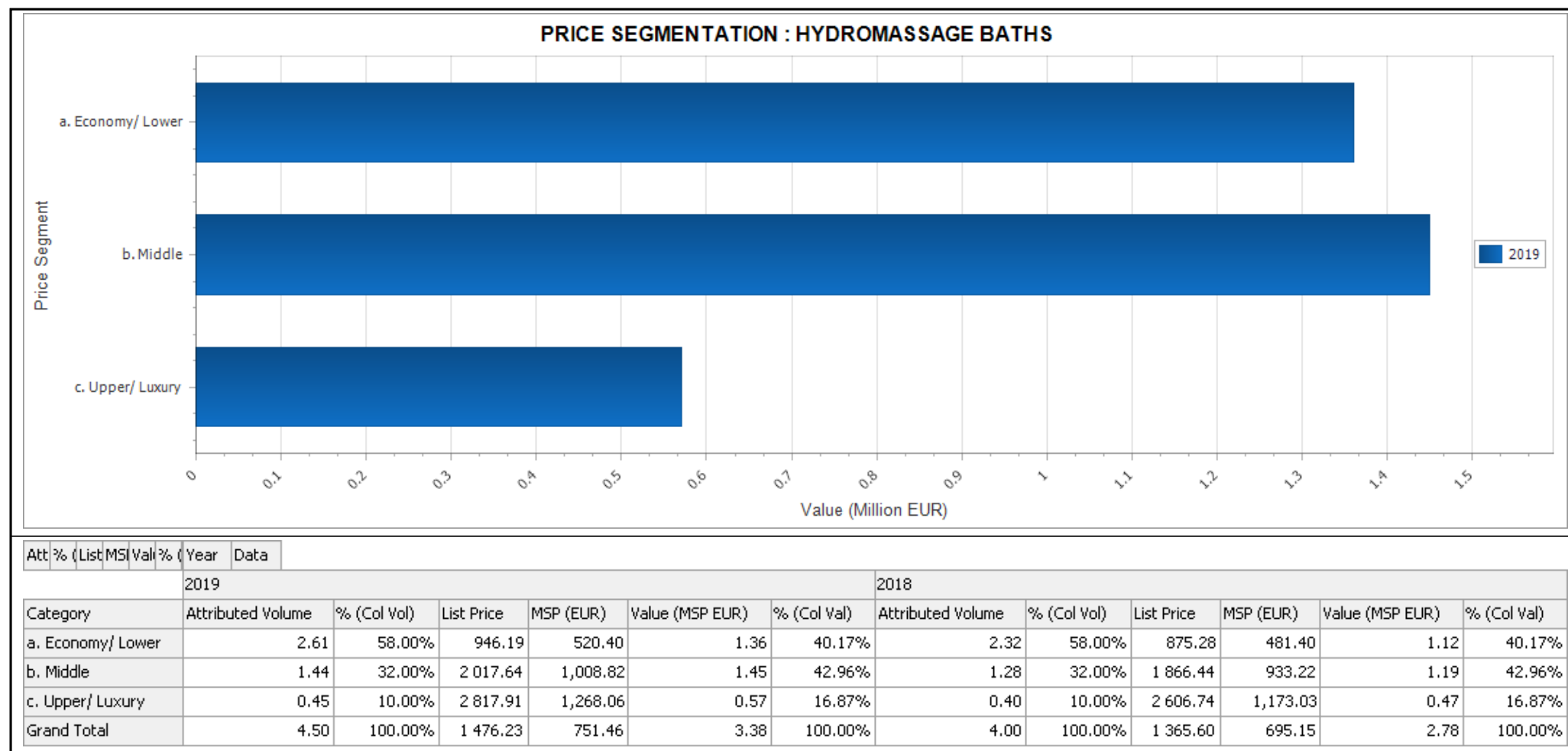


Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

Volumes Shown in Thousands and Values Shown in Millions (at MSP = Manufacturers' Selling Price). Economy/ Lower <€80, Middle €80-€150, Upper/ Luxury >€150

1.3.5 Price Segmentation : Hydromassage Baths

SA - ESTIMATED PRICE SEGMENTATION FOR HYDROMASSAGE BATHS

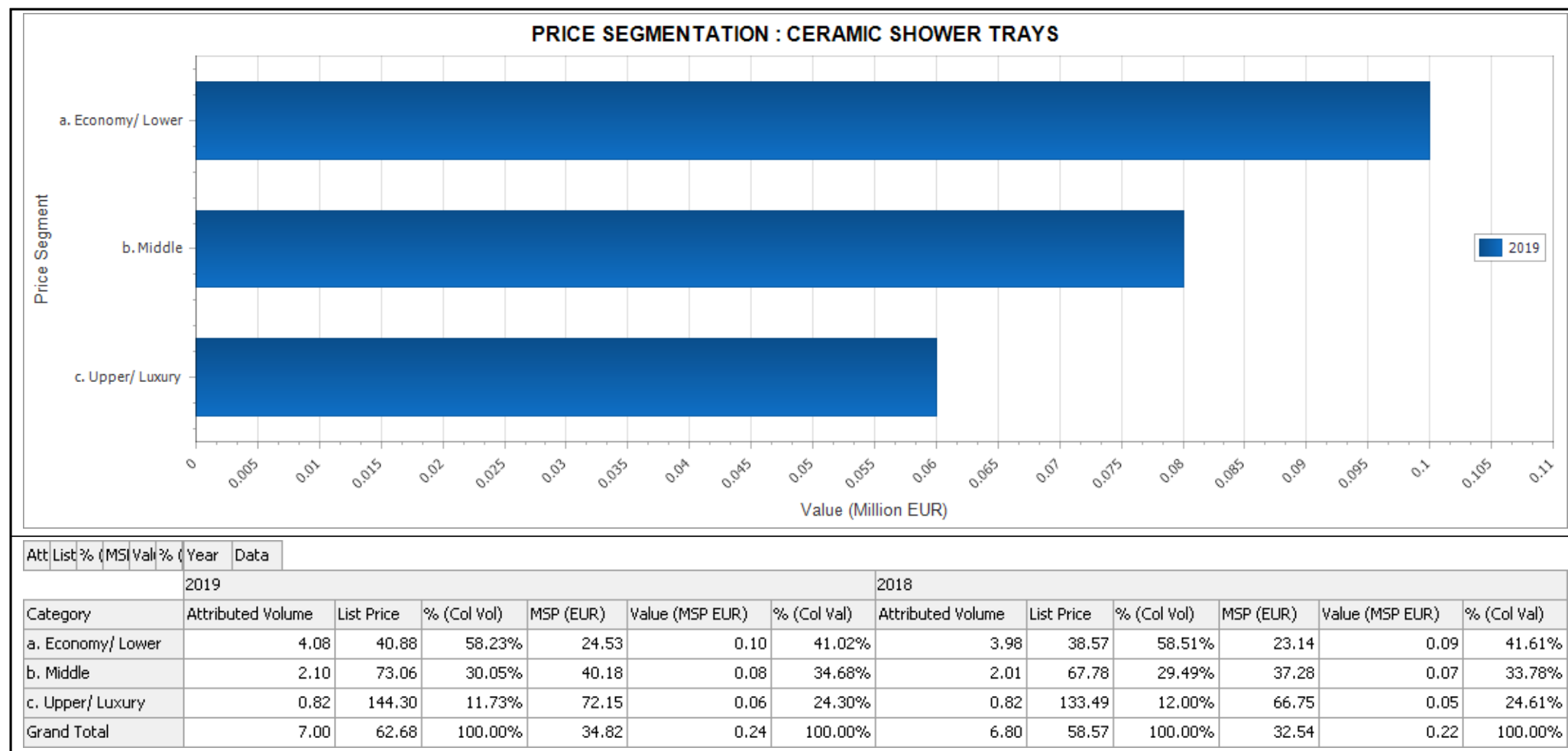


Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

Volumes Shown in Thousands and Values Shown in Millions (at MSP = Manufacturers' Selling Price). Economy/ Lower <€700, Middle €700-€1,100, Upper/ Luxury >€1,100

1.3.6 Price Segmentation : Ceramic Shower Trays

SA - ESTIMATED PRICE SEGMENTATION FOR CERAMIC SHOWER TRAYS

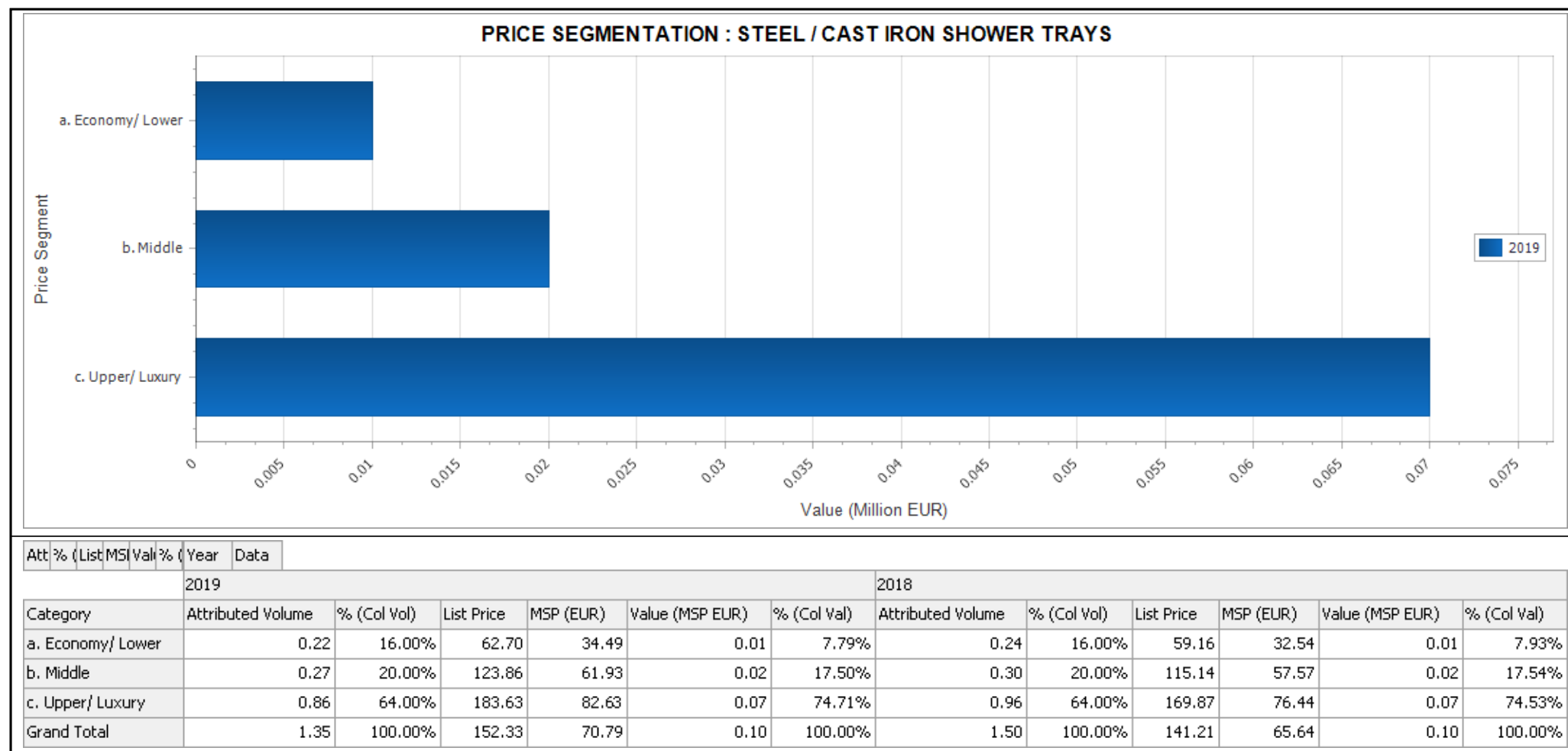


Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

Volumes Shown in Thousands and Values Shown in Millions (at MSP = Manufacturers' Selling Price). Economy/ Lower <€30, Middle €30-€60, Upper/ Luxury >€60

1.3.7 Price Segmentation : Steel/ Cast Iron Shower Trays

SA - ESTIMATED PRICE SEGMENTATION FOR STEEL / CAST IRON SHOWER TRAYS

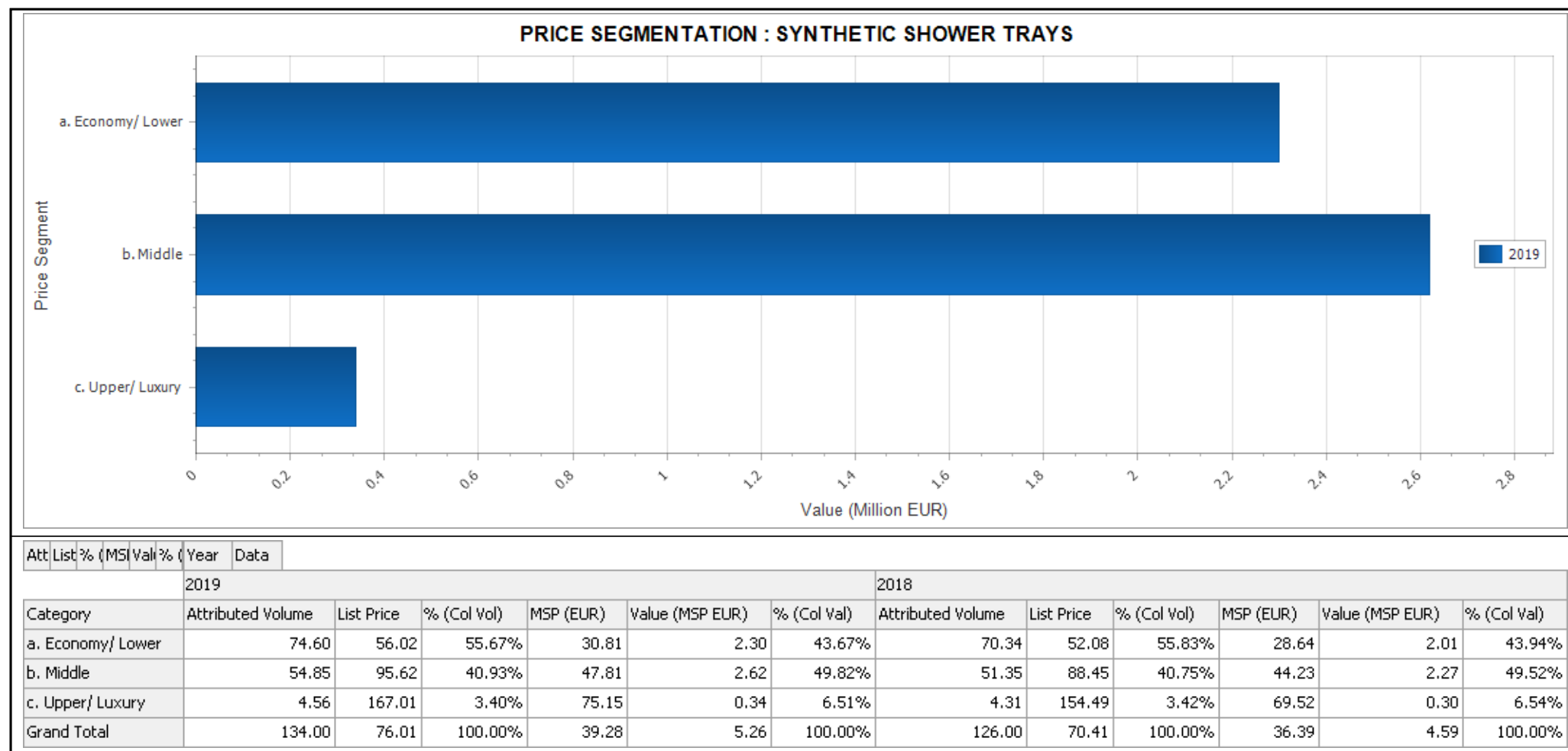


Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

Volumes Shown in Thousands and Values Shown in Millions (at MSP = Manufacturers' Selling Price). Economy/ Lower <€40, Middle €40-€70, Upper/ Luxury >€70

1.3.8 Price Segmentation : Synthetic Shower Trays

SA - ESTIMATED PRICE SEGMENTATION FOR SYNTHETIC SHOWER TRAYS

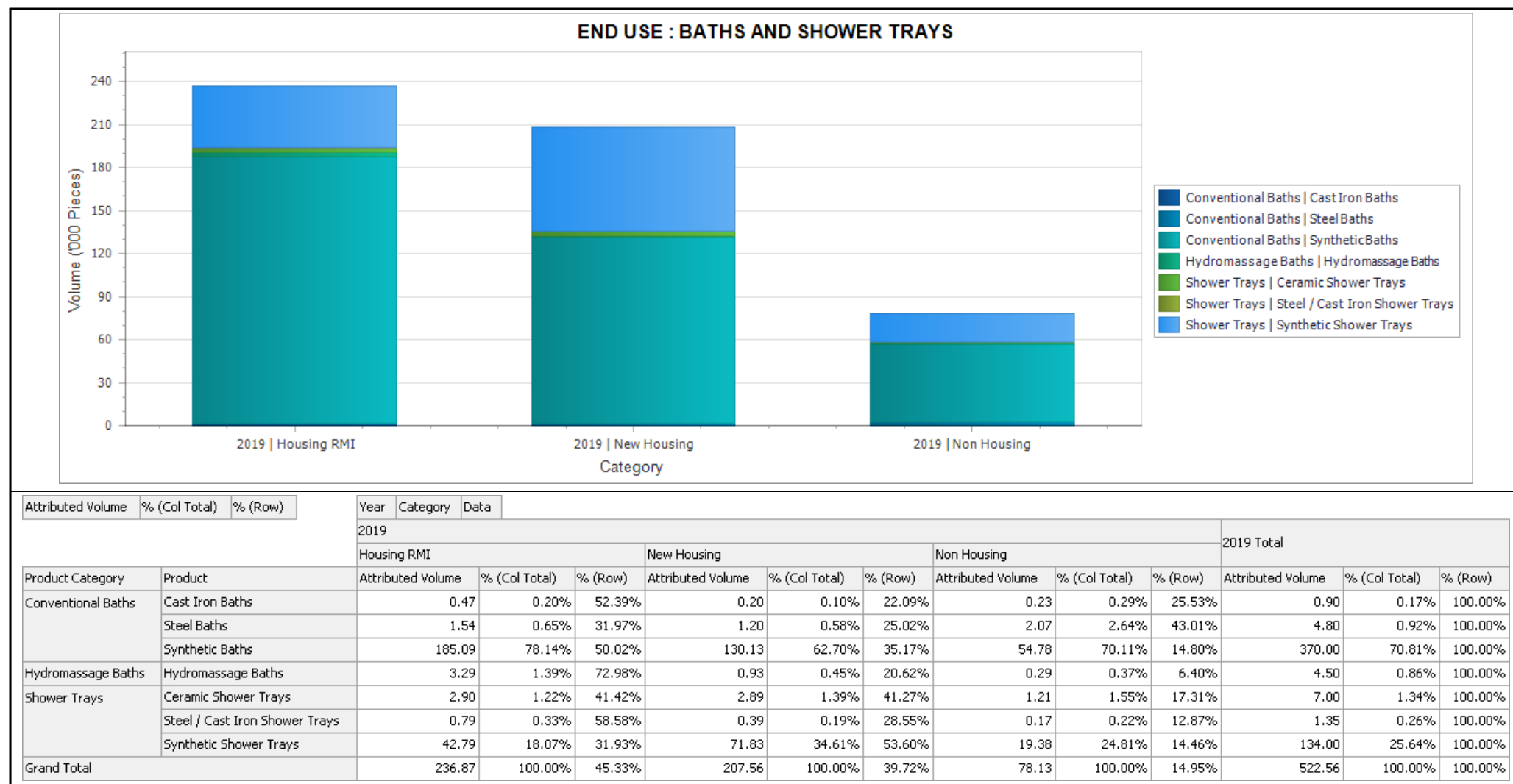


Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

Volumes Shown in Thousands and Values Shown in Millions (at MSP = Manufacturers' Selling Price). Economy/ Lower <€40, Middle €40-€60, Upper/ Luxury >€60

1.4.1 End Use : Base Year

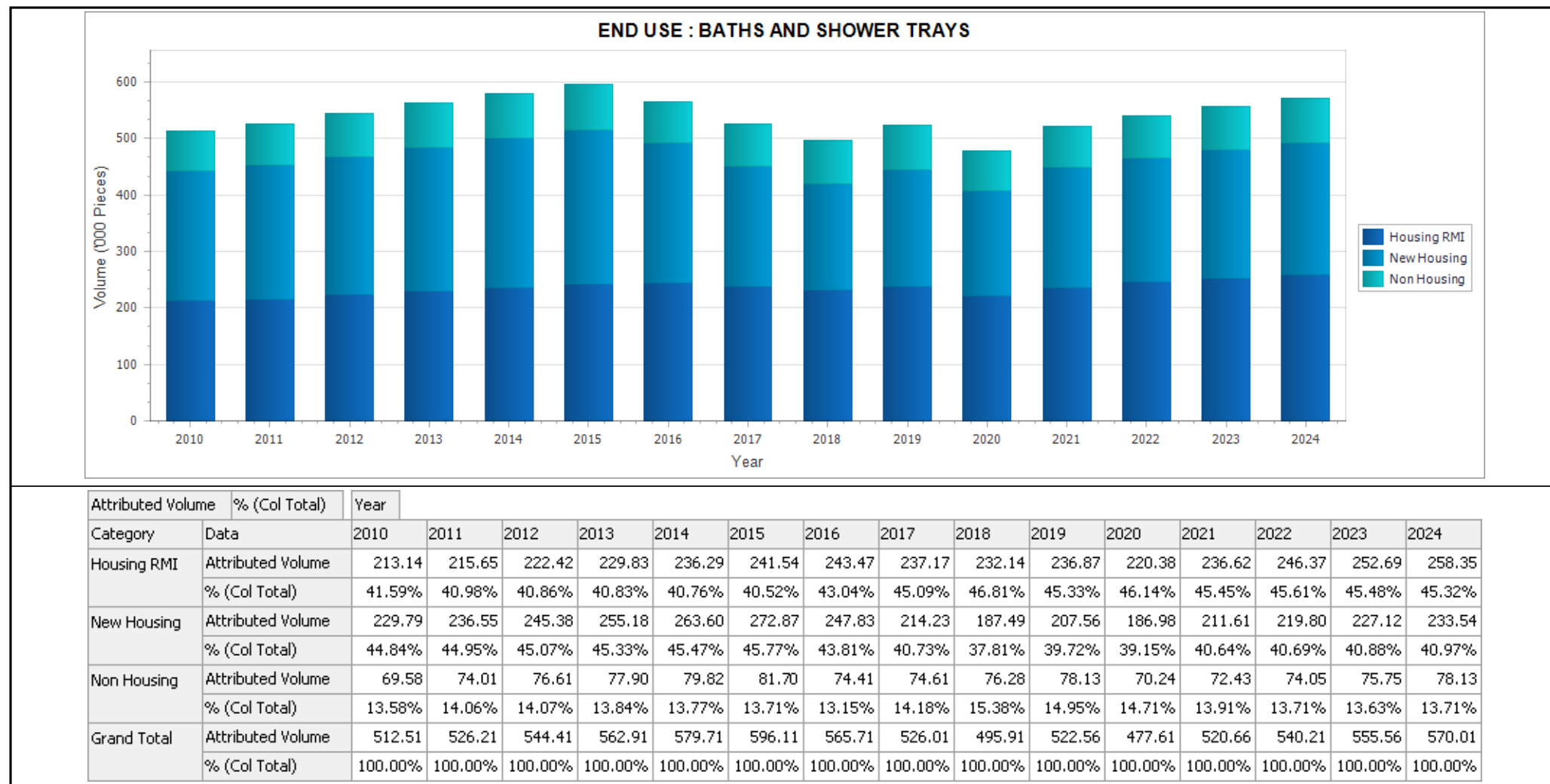
SA - SALES OF BATHS AND SHOWER TRAYS BY TYPE AND END USE SEGMENT ('000 PIECES)



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

1.4.2 End Use : Historical and Forecasts

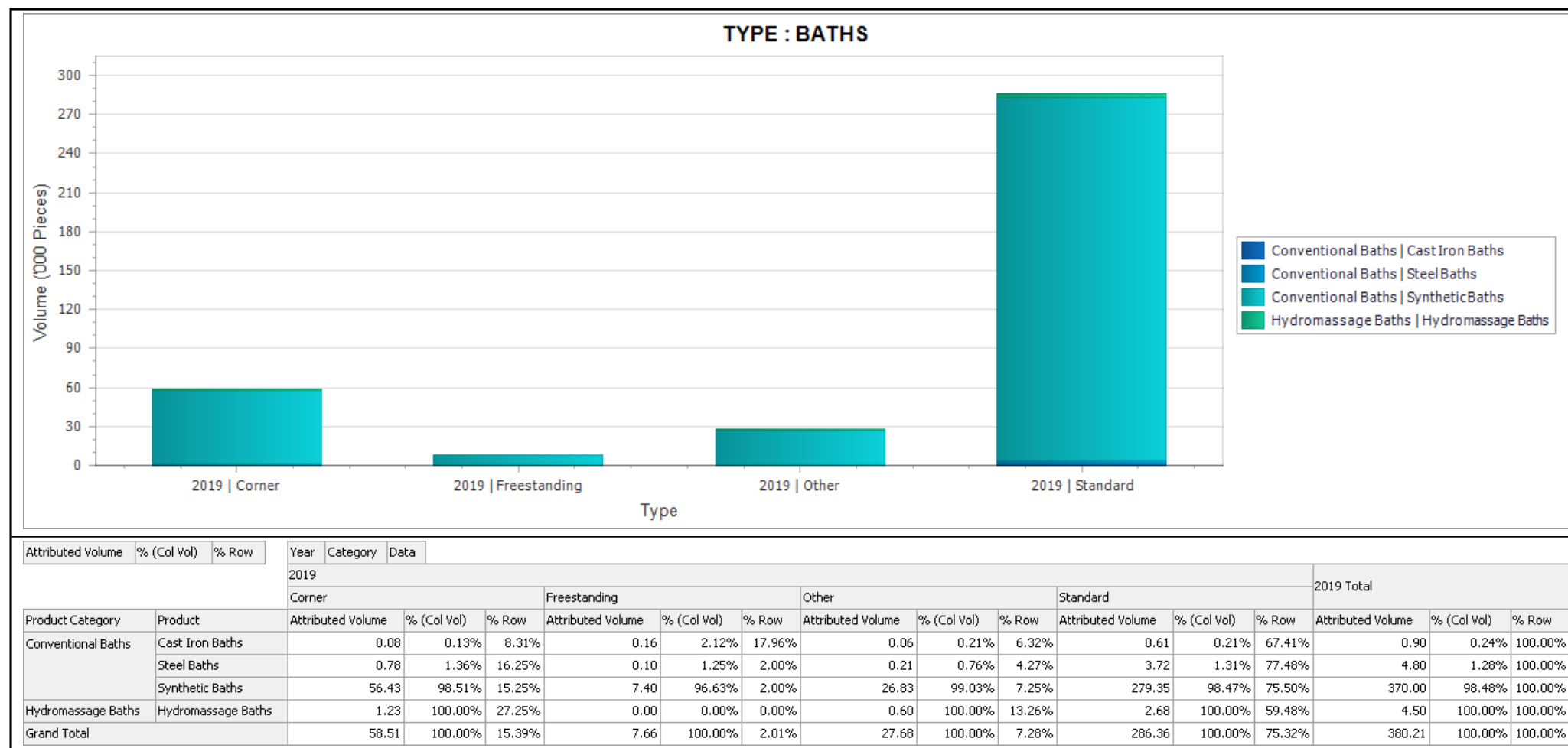
SA - SALES OF BATHS AND SHOWERS TRAYS BY END USE SEGMENT ('000 PIECES)



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

1.4.3 Sales by Type : Baths

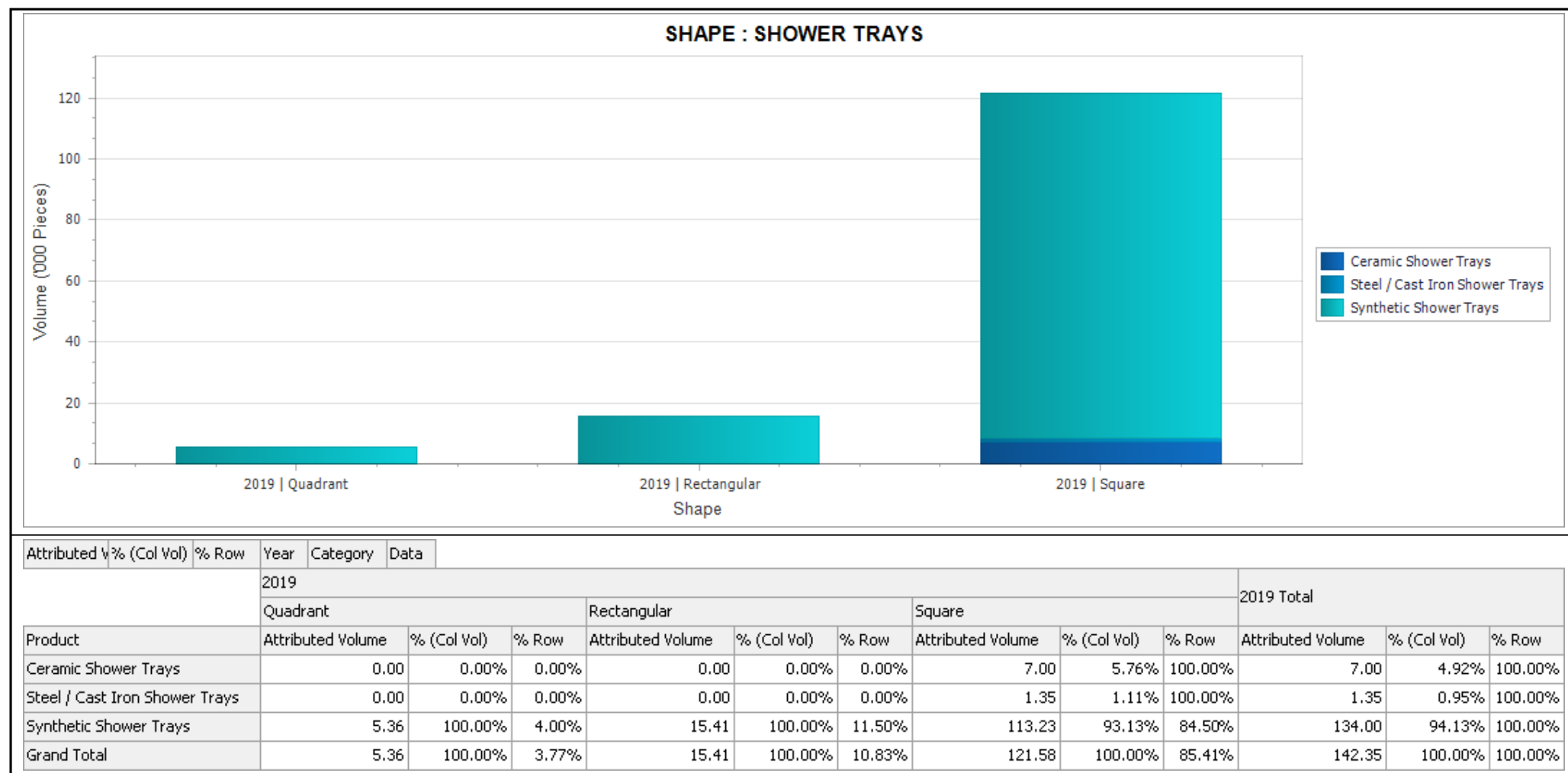
SA - BATH SALES BY TYPE ('000 PIECES)



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

1.4.4 Sales by Shape : Shower Trays

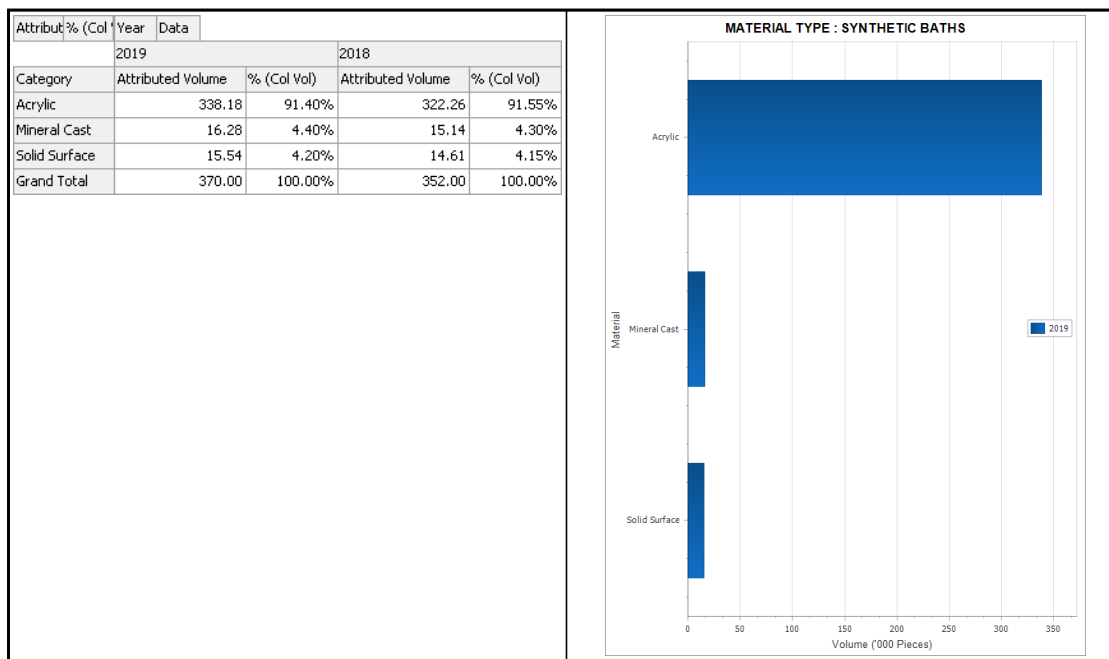
SA - SHOWER TRAY SALES BY SHAPE ('000 PIECES)



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

1.4.5 Sales by Material : Synthetic Baths

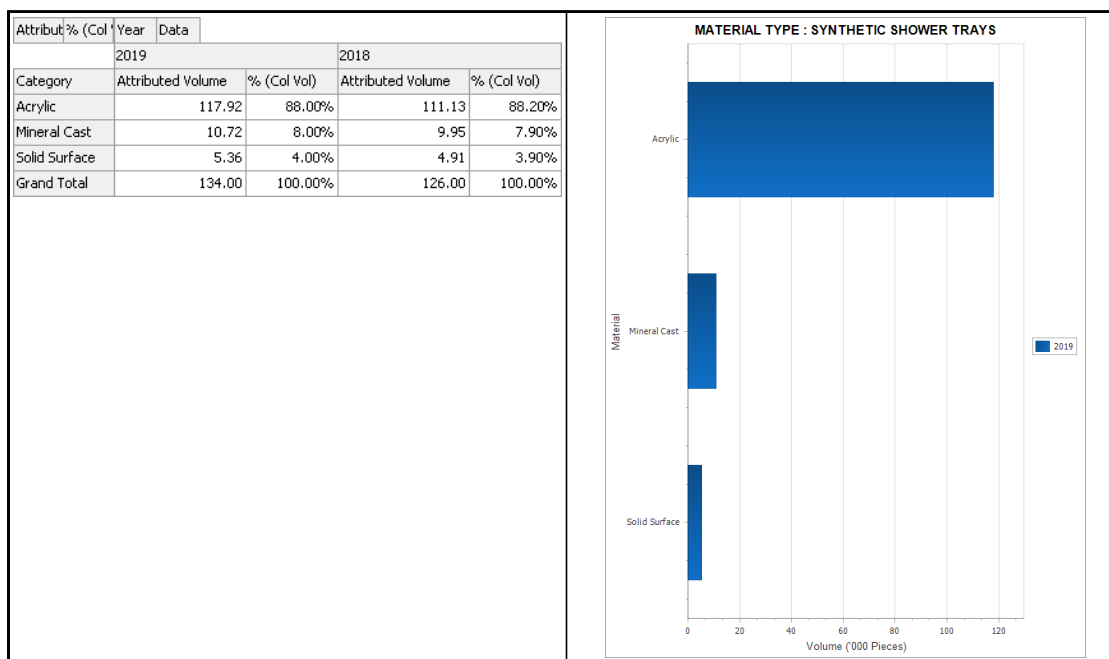
SA - SYNTHETIC BATH SALES BY MATERIAL TYPE ('000 PIECES)



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

1.4.6 Sales by Material : Synthetic Shower Trays

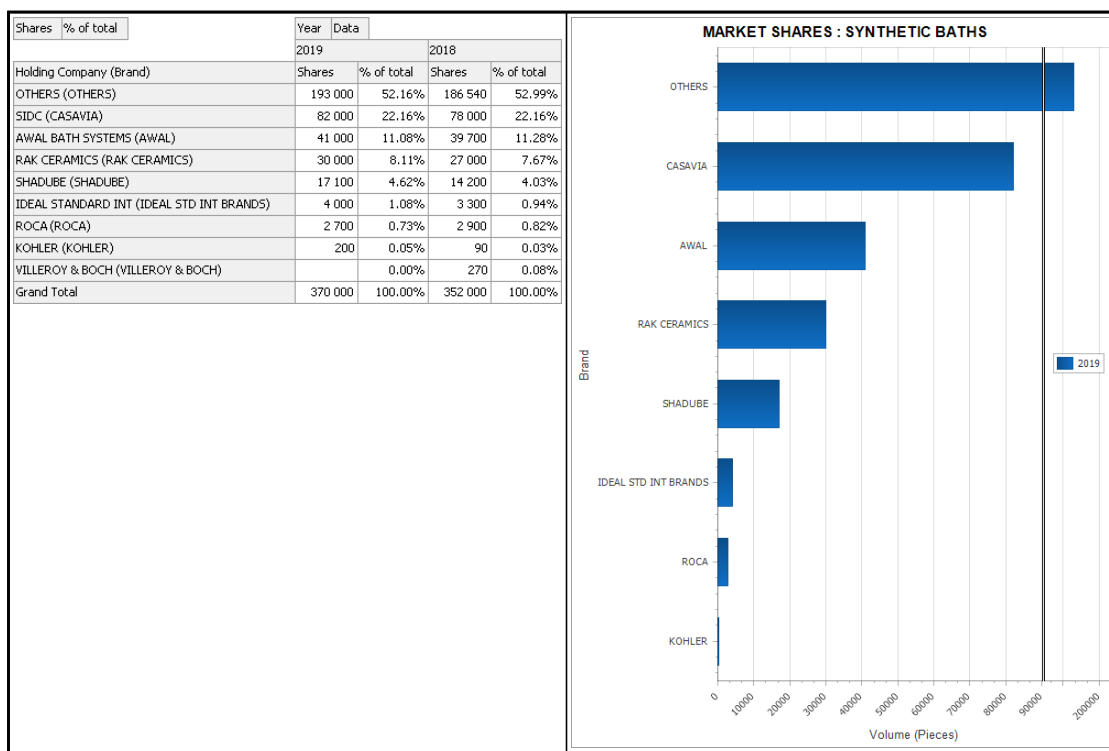
SA - SYNTHETIC SHOWER TRAY SALES BY MATERIAL TYPE ('000 PIECES)



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

1.5.1 Market Shares : Synthetic Baths

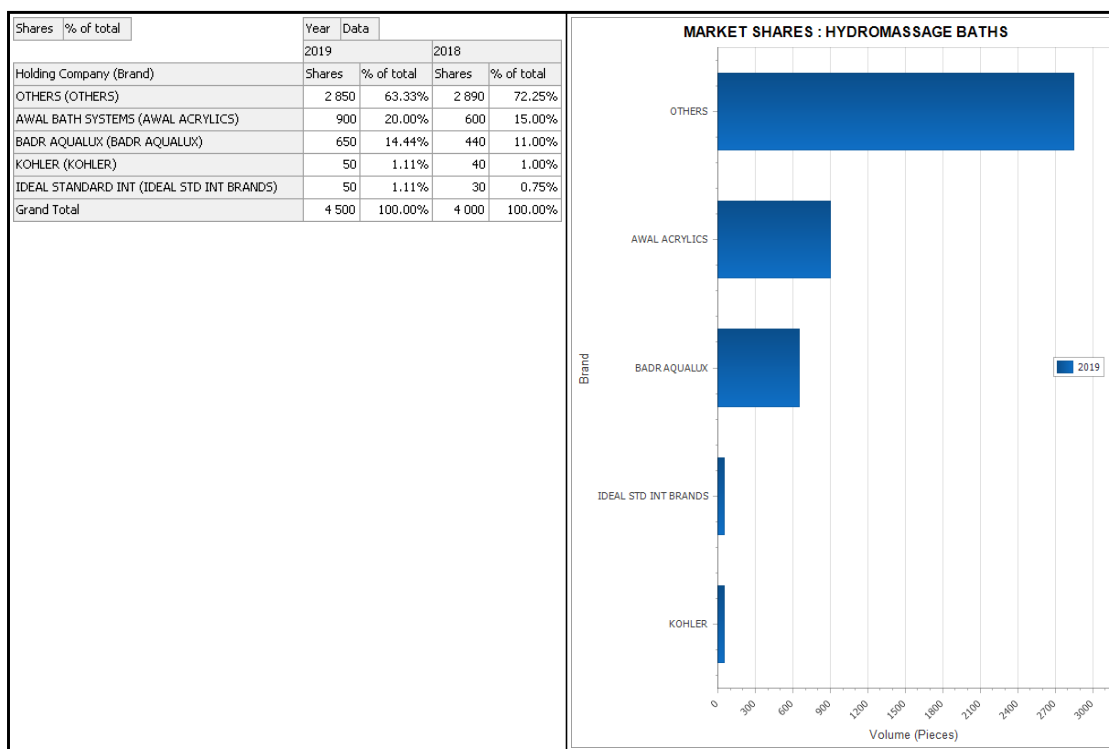
SA - ESTIMATED MARKET SHARES FOR SYNTHETIC BATHS



Source: BRG based on industry interviews.

1.5.2 Market Shares : Hydromassage Baths

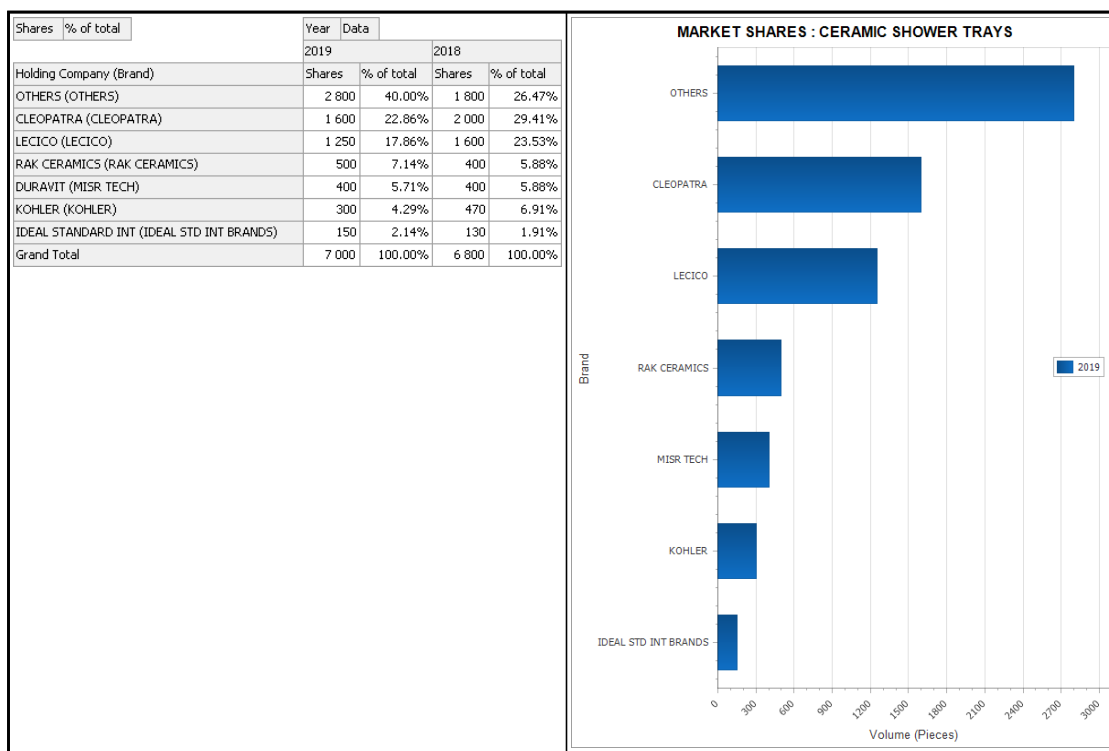
SA - ESTIMATED MARKET SHARES FOR HYDROMASSAGE BATHS



Source: BRG based on industry interviews.

1.5.3 Market Shares : Ceramic Shower Trays

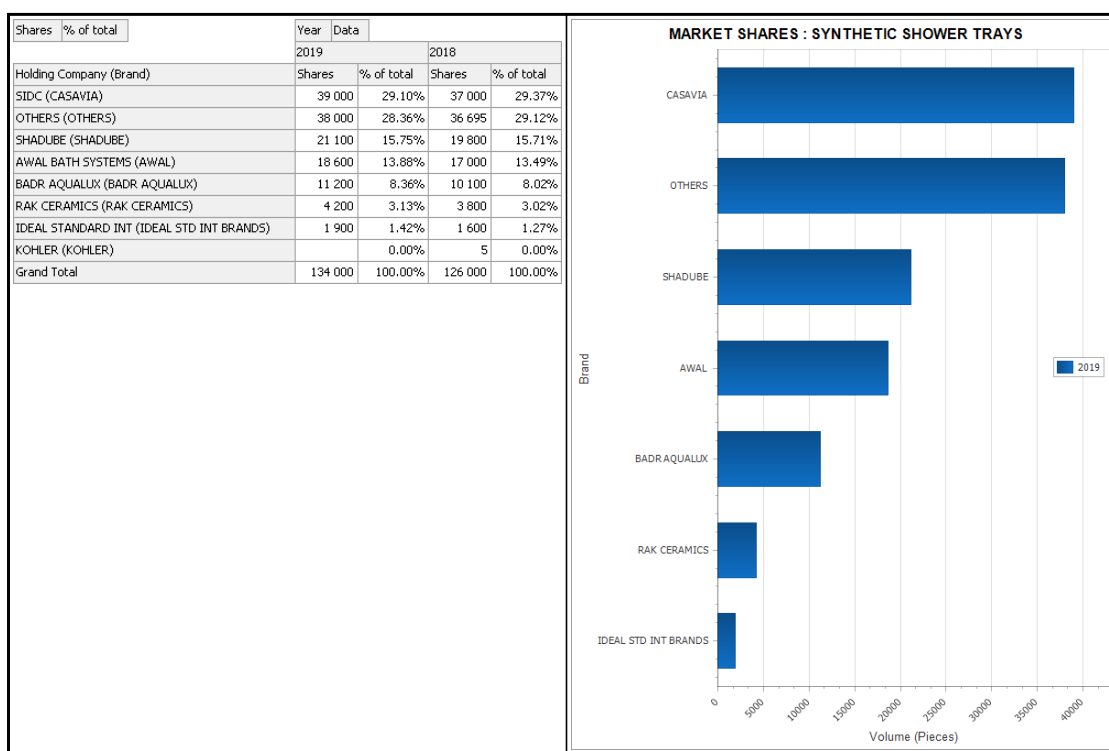
SA - ESTIMATED MARKET SHARES FOR CERAMIC SHOWER TRAYS



Source: BRG based on industry interviews

1.5.4 Market Shares : Synthetic Shower Trays

SA - ESTIMATED MARKET SHARES FOR SYNTHETIC SHOWER TRAYS



Source: BRG based on industry interviews.

1.6.1

Route to Market: Baths
SA - ESTIMATED DISTRIBUTION FOR BATHS: 2019

Manufacturer / Importer	Manufacturers / Importers
	100.0%

Wholesale Level	38.5%
	Wholesalers / Merchants
	38.5%

Retail Level	Manufacturer 0.0%	Wholesaler 0.0%	Manufacturer 0.0%	Wholesaler 0.0%	Manufacturer 47.2%	Wholesaler 8.0%
	Internet Retailers		DIY Retailers		Specialist Retailers	
	0.0%		0.0%		55.2%	

Manufacturer	Wholesaler	Internet	DIY	Specialist
3.3%	3.0%	0.0%	0.0%	15.2%
Installers				
21.5%				

End Use Level	Manufacturer 7.6%	Wholesaler 27.5%	Internet 0.0%	DIY 0.0%	Specialist 35.0%	Installer 14.9%	Manufacturer 3.5%	Wholesaler 0.0%	Internet 0.0%	DIY 0.0%	Specialist 5.0%	Installer 6.6%
	Residential						Non-Residential					
	84.9%						15.1%					
	New Build			Residential RMI			New Build			Non-Residential RMI		
	34.8%			50.1%			5.0%			10.1%		
	Project	Non-Project		Project	Non-Project		Project	Non-Project		Project	Non-Project	
	23.0%	11.8%		5.6%	44.5%		4.0%	1.0%		2.0%	8.1%	

1.6.2

Route to Market: Baths
SA - ESTIMATED DISTRIBUTION FOR BATHS: 2024

Manufacturer / Importer	Manufacturers / Importers
	100.0%

Wholesale Level	38.0%
	Wholesalers / Merchants
	38.0%

Retail Level	Manufacturer 0.0%	Wholesaler 0.0%	Manufacturer 0.0%	Wholesaler 0.0%	Manufacturer 47.5%	Wholesaler 7.5%
	Internet Retailers		DIY Retailers		Specialist Retailers	
	0.0%		0.0%		55.0%	

Manufacturer	Wholesaler	Internet	DIY	Specialist
5.0%	5.0%	0.0%	0.0%	15.0%
Installers				
25.0%				

End Use Level	Manufacturer 5.8%	Wholesaler 25.5%	Internet 0.0%	DIY 0.0%	Specialist 35.0%	Installer 19.7%	Manufacturer 3.7%	Wholesaler 0.0%	Internet 0.0%	DIY 0.0%	Specialist 5.0%	Installer 5.3%
	Residential						Non-Residential					
	86.0%						14.0%					
	New Build			Residential RMI			New Build			Non-Residential RMI		
	35.7%			50.4%			6.0%			8.0%		
	Project	Non-Project		Project	Non-Project		Project	Non-Project		Project	Non-Project	
	24.0%	11.7%		5.0%	45.4%		5.0%	1.0%		2.0%	6.0%	

Source: BRG Based on Industry Interviews. - Totals may vary due to roundings

1.6.3 Route to Market - Consolidated View : Baths

SA - ESTIMATED DISTRIBUTION FOR BATHS : 2019

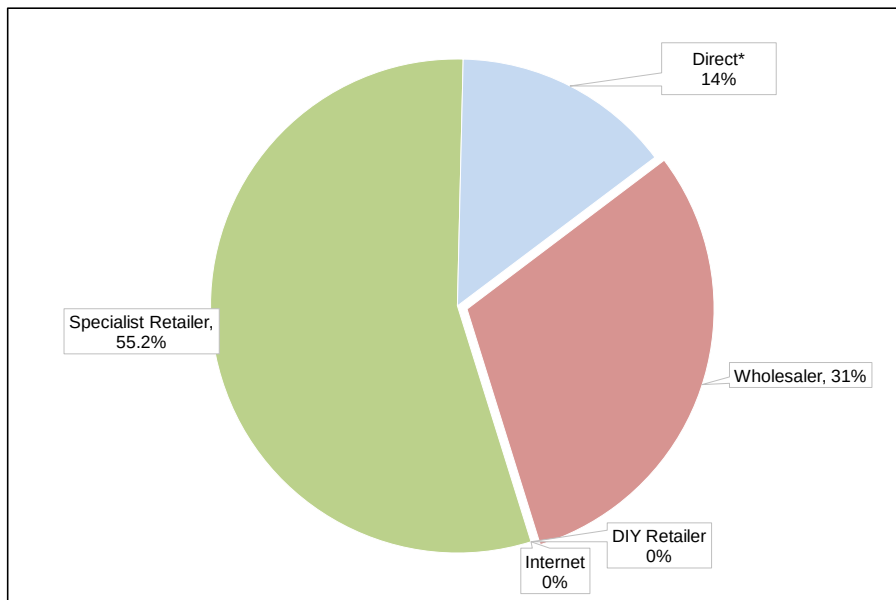
Route to Market - End Use Level					Project		Non-Project	
Wholesaler	Internet	DIY Retailer	Specialist Retailer	Direct*	Residential	Non-Residential	Residential	Non-Residential
30.5%	0.0%	0.0%	55.2%	14.4%	28.6%	6.0%	56.3%	9.1%
100%					34.6%		65.4%	

1.6.4 Route to Market - Consolidated View : Baths

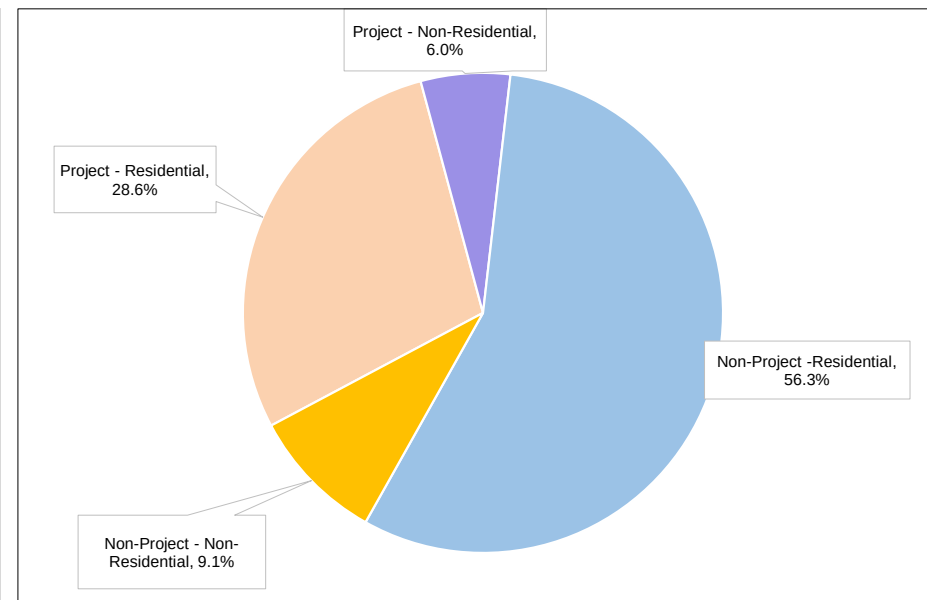
SA - ESTIMATED DISTRIBUTION FOR BATHS : 2024

Route to Market - End Use Level					Project		Non-Project	
Wholesaler	Internet	DIY Retailer	Specialist Retailer	Direct*	Residential	Non-Residential	Residential	Non-Residential
30.5%	0.0%	0.0%	55.0%	14.5%	29.0%	7.0%	57.0%	7.0%
100%					36.0%		64.0%	

SA - SALES OF BATHS BY DISTRIBUTION CHANNEL: 2019



SA - SALES OF BATHS BY POINT OF DECISION AND END-USE SECTOR: 2019



Source: BRG Based on Industry Interviews.

*Direct includes sales going directly from manufacturers to installers, contractors and private customers.

1.6.5

Route to Market: Shower Trays
SA - ESTIMATED DISTRIBUTION FOR SHOWER TRAYS: 2019

Manufacturer / Importer	Manufacturers / Importers
	100.0%

Wholesale Level	39.4%
	Wholesalers / Merchants
	39.4%

Retail Level	Manufacturer 0.0%	Wholesaler 0.0%	Manufacturer 0.0%	Wholesaler 0.0%	Manufacturer 42.9%	Wholesaler 11.0%
	Internet Retailers		DIY Retailers		Specialist Retailers	
	0.0%		0.0%		53.9%	

Manufacturer	Wholesaler	Internet	DIY	Specialist
3.4%	6.0%	0.0%	0.0%	11.9%
Installers				
21.3%				

End Use Level	Manufacturer 9.0%	Wholesaler 22.4%	Internet 0.0%	DIY 0.0%	Specialist 35.0%	Installer 19.0%	Manufacturer 5.3%	Wholesaler 0.0%	Internet 0.0%	DIY 0.0%	Specialist 7.0%	Installer 2.2%
	Residential						Non-Residential					
	85.4%						14.6%					
	New Build			Residential RMI			New Build			Non-Residential RMI		
	52.8%			32.7%			5.5%			9.1%		
	Project	Non-Project		Project	Non-Project		Project	Non-Project		Project	Non-Project	
	38.0%	14.8%		3.8%	28.9%		4.5%	1.0%		2.0%	7.1%	

1.6.6

Route to Market: Shower Trays
SA - ESTIMATED DISTRIBUTION FOR SHOWER TRAYS: 2024

Manufacturer / Importer	Manufacturers / Importers
	100.0%

Wholesale Level	39.0%
	Wholesalers / Merchants
	39.0%

Retail Level	Manufacturer 0.0%	Wholesaler 0.0%	Manufacturer 0.0%	Wholesaler 0.0%	Manufacturer 42.0%	Wholesaler 10.5%
	Internet Retailers		DIY Retailers		Specialist Retailers	
	0.0%		0.0%		52.5%	

Manufacturer	Wholesaler	Internet	DIY	Specialist
3.0%	6.5%	0.0%	0.0%	14.5%
Installers				
24.0%				

End Use Level	Manufacturer 11.0%	Wholesaler 22.0%	Internet 0.0%	DIY 0.0%	Specialist 33.0%	Installer 21.0%	Manufacturer 5.0%	Wholesaler 0.0%	Internet 0.0%	DIY 0.0%	Specialist 5.0%	Installer 3.0%
	Residential						Non-Residential					
	87.0%						13.0%					
	New Build			Residential RMI			New Build			Non-Residential RMI		
	54.7%			32.3%			5.0%			8.0%		
	Project	Non-Project		Project	Non-Project		Project	Non-Project		Project	Non-Project	
	39.7%	15.0%		3.3%	29.0%		4.3%	0.7%		1.5%	6.5%	

Source: BRG Based on Industry Interviews. - Totals may vary due to roundings

1.6.7 Route to Market - Consolidated View : Shower Trays

SA - ESTIMATED DISTRIBUTION FOR SHOWER TRAYS : 2019

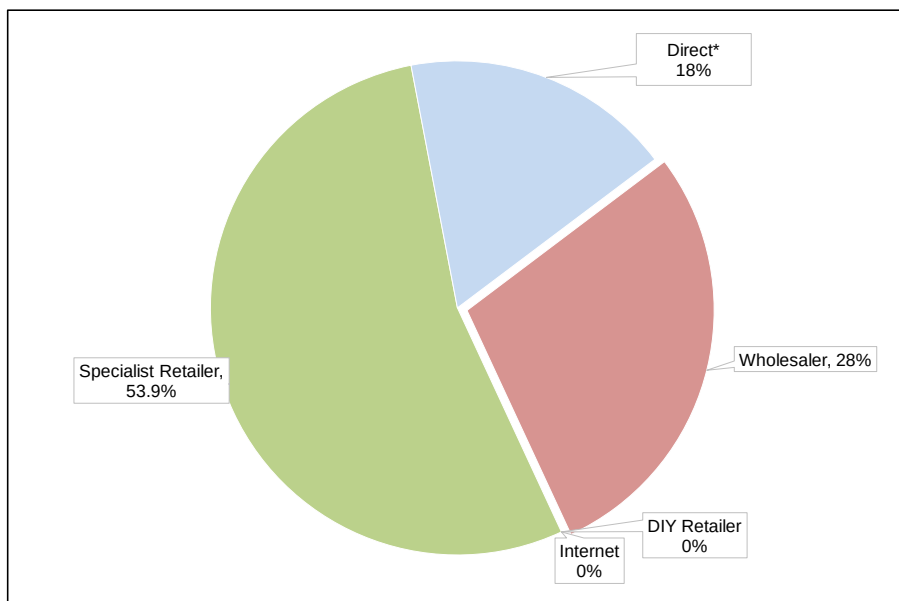
Route to Market - End Use Level					Project		Non-Project	
Wholesaler	Internet	DIY Retailer	Specialist Retailer	Direct*	Residential	Non-Residential	Residential	Non-Residential
28.4%	0.0%	0.0%	53.9%	17.7%	41.8%	6.5%	43.6%	8.1%
100%					48.3%		51.7%	

1.6.8 Route to Market - Consolidated View : Shower Trays

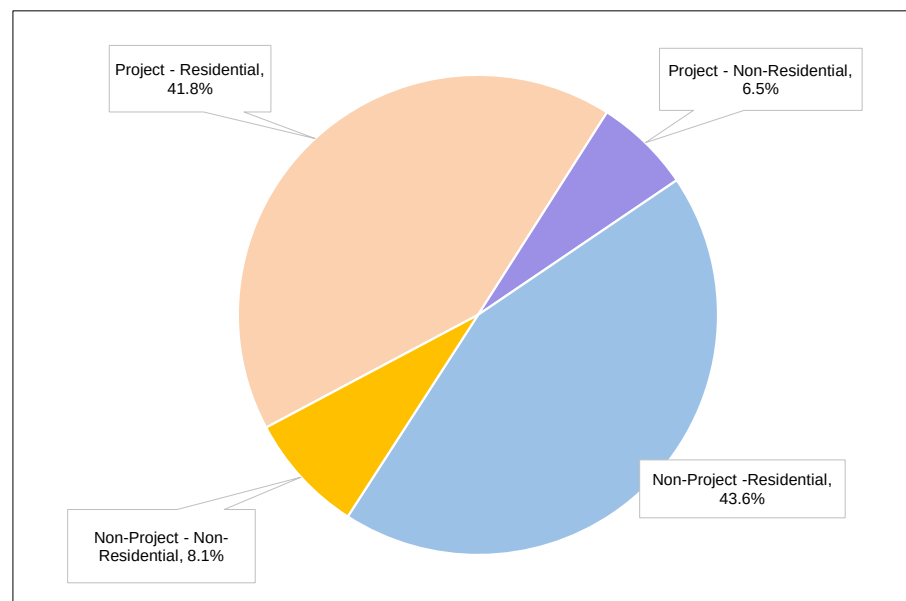
SA - ESTIMATED DISTRIBUTION FOR SHOWER TRAYS : 2024

Route to Market - End Use Level					Project		Non-Project	
Wholesaler	Internet	DIY Retailer	Specialist Retailer	Direct*	Residential	Non-Residential	Residential	Non-Residential
28.5%	0.0%	0.0%	52.5%	19.0%	43.0%	5.8%	44.0%	7.2%
100%					48.8%		51.2%	

SA - SALES OF SHOWER TRAYS BY DISTRIBUTION CHANNEL: 2019



SA - SALES OF SHOWER TRAYS BY POINT OF DECISION AND END-USE SECTOR: 2019



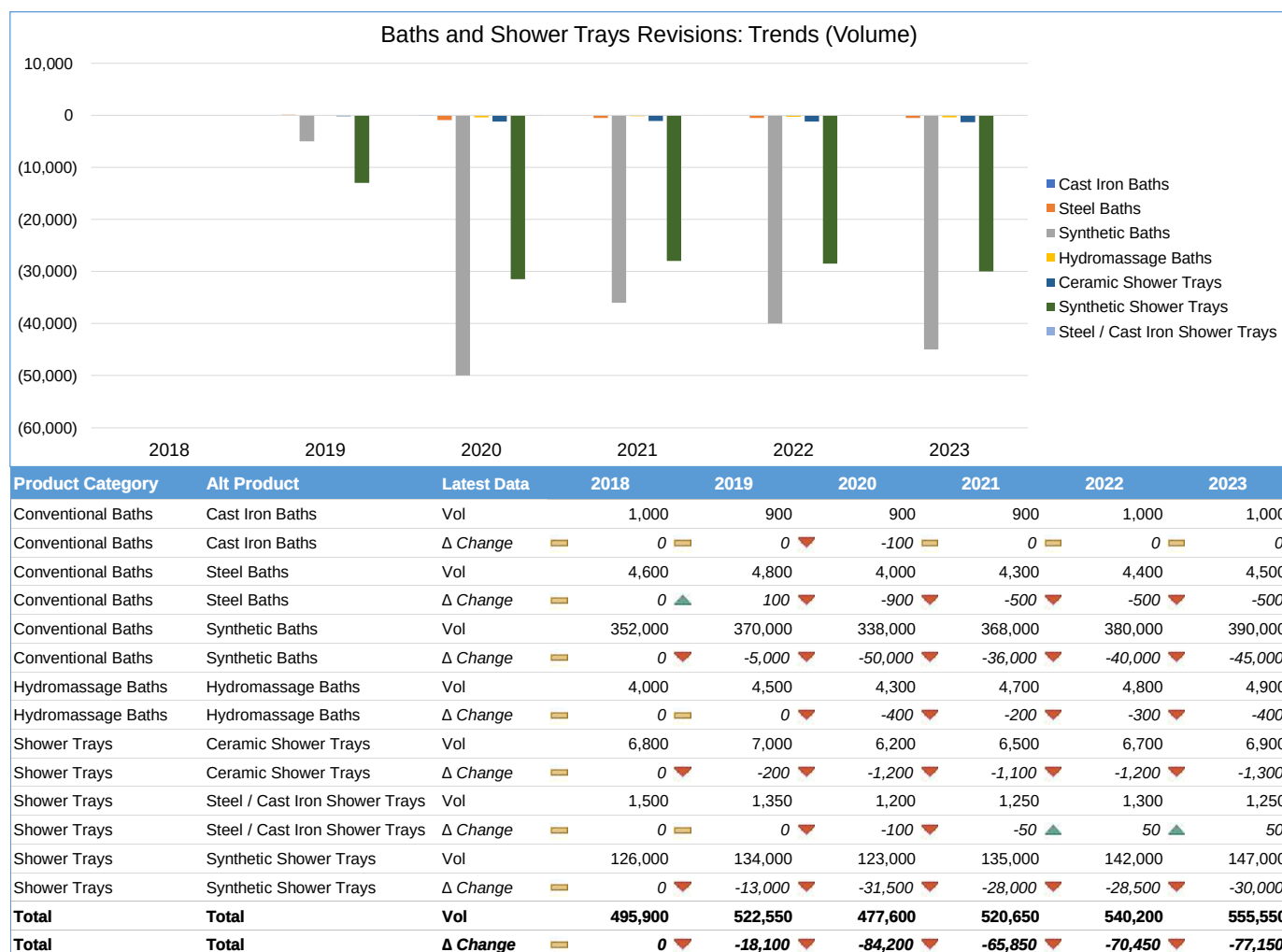
Source: BRG Based on Industry Interviews.

*Direct includes sales going directly from manufacturers to installers, contractors and private customers.

1.7 Revisions in the Saudi Baths and Shower Trays Market (April 2020)

SA - REVISIONS IN THE SAUDI BATHS AND SHOWER TRAYS MARKET

Data Comparison: April 2019



Sales of synthetic baths for the base year 2019 as well as the forecast period were revised downward. A larger number of baths were displaced in 2019, with a walk-in shower installed instead. Also, lower sales activities were registered in the retail market, affecting our sales estimates to the replacement market. For 2019, sales of steel baths were revised upward due to additional made in the health sector.

With regards to the forecast, which concerns also steel baths and hydromassage baths, it is believed that the chance of witnessing construction projects that might slowdown is high due to a higher number of factors converging. The Saudisation programme may interfere with the competition of many projects in the coming years due to shortage in blue workers. More progressive government reforms may let local investors be more doubtful. Finally, low oil prices may put the Saudi budget at risk with the return of measures of austerity, slowing down the government expenses.

The historical and forecast series for cast iron baths were revised from 2013 to 2020. This was due to some adjustments of the estimation between the importing time and the sales time. For instance, a part of the cast iron baths imported in 2014 were actually sold in 2015.

Sales of synthetic shower trays for the base year 2019 as well as the forecast period were revised downward as the penetration of walk-in showers increases. Lower sales activities were also registered in the retail market, affecting our sales estimates to the replacement market.

Sales of ceramic shower trays were revised downward for the base year of 2019 and the forecast period due to a faster and double displacement of this product by synthetic shower trays on one side, and the increasing popularity of walk-in shower systems. The ignition was partially due to a loss in price competitiveness during the years 2012 to 2018. During that period, the MSP was higher than previously thought, (which also explains the revision upward in the market value for these historical series).

SAUDI ARABIA

SANITARY WARE

THE MIDDLE EASTERN BATHROOM & KITCHEN PRODUCT MARKETS



Market Characteristics and Product Mix

In Saudi Arabia, the overall sanitary ware market has mostly been driven by high construction activities in the residential sector throughout the last decade, further helped by the presence of several major manufacturers. The government mostly leads these construction activities and local manufacturers benefit from not only energy subsidies for these projects, which helps these manufacturers to maintain relatively low production costs, but the local manufacturers are also typically favoured in the tendering process by the government.

The aetiology of these construction activities in the residential sector is due more to the population structure in the country rather than the growing population itself, with the bulk of the population made up of young adults, at the age of getting married and settling down in a new home, coupled with the trend towards a nuclear family. As a result, the market for sanitary ware experienced a tremendous development over the last decade through this demand for housing.

In the domestic sanitary ware market, there is a strong correlation between what local manufacturers are able to produce and the type of products that are in demand, mainly in the low to medium range. Sanitary ware products in Saudi Arabia tend to have a high price elasticity. This is less due to the limited purchasing power of the population than to consumer habits, as Saudi householders like to change their bathrooms regularly, sometimes every three years. Most Saudis do not choose products that have a long lifespan since most of these products will typically be changed much earlier. Although the Saudi market for sanitary ware is not yet fully mature, the replacement market is considered to be high.

In the last few decades, the increasing cost of living in Saudi Arabia and the government's failure to empower Saudi youths led to a pauperisation of the population, unable to purchase, or even rent, decent houses (which are usually paid for annually). For this reason, the government has made a significant effort to provide a generous welfare state and supply of affordable dwellings. Structural impediments, however, such as the fact that construction costs should be maintained as low as possible, and the limited availability of land in areas with basic infrastructure (such as water and electricity), among other barriers, have led to an endless shortage of housing in the country.

In terms of product breakdown, it has remained very stable over the past few years and only minor changes have occurred. Plastic cisterns are becoming increasingly popular, especially the concealed models. Historically exclusively sold to the non-housing sector, such as hotels, they are now increasingly included in many residential developments; however, plastic concealed cisterns require advanced technical skills for installation, so the total cost is still much higher than the installation of a ceramic cistern. Exposed plastic sanitary ware represents the largest part of plastic sanitary ware sales. They are mainly used for Turkish toilets. More difficult to install, it also requires a certain level of technology with regards to

the flushing systems. The toilet spray – referred to locally as the ‘shattaf’ or ‘bum gun’ - has significantly replaced the bidet.

There are several factors that account for annual demand for sanitary ware in Saudi Arabia. The country has a high average number of bathrooms per dwelling; among family members, different genders do not use the same bathroom. As a minimum, each dwelling has separate bathrooms for boys and girls, as well as a bathroom for guests only. For wealthier people, each bedroom has its own bathroom, and an additional bathroom exists for the maid or driver. Taking this into account, the quality of product installed varies depending on the user. Brand names might be installed in the bathroom used by the guest or the master bathroom or the parent’s bathroom, while Chinese imports are generally installed for the maid or the driver. For the children, it can vary depending on the age, the gender, and their needs. An apartment can contain one master and one or more additional bathrooms - depending on the number of rooms - while villas may have four to six bathrooms. The master bathroom generally has a large number of sanitary ware units installed, primarily because bathrooms are also used for ablutions prior to Islamic prayers, but also just because the extra space triggers impulse purchases by Saudi householders. Residential demand for sanitary ware is also boosted by the local habit of replacing items rather than fixing them. This is also true for buildings, as they are often demolished, rather than refurbished; when buyers acquire a new home from a previous private owner, all sanitary products are generally replaced.

Within the non-housing segment, Saudi Arabia does not really have a tourism industry, as most foreign visitors come to the country for business or religious pilgrimage. The two holy cities of Mecca and Medina, situated in the western part of the country, and the city of Jeddah, which is the entry city (from abroad), have a large number of hotels. Another, less-known driver within the non-housing segment is the mosque. Saudi Arabia includes a large number of mosques, in which a large quantity of sanitary ware products is installed (it is mandatory for Muslims to perform ablutions before praying). These products are intensively used and, therefore, have a much higher replacement rate than products installed in a dwelling.

Since January 2018, it became mandatory for manufacturers and importers to put a label on toilets (with dual and single flush), as well as produce urinals with flush systems, reducing the water consumption.

Recent Market Trends

After a difficult year in 2018, that pushed the country out of the list of the top 10 importers in the world (replaced by Australia and Nigeria), sales of sanitary ware products were back on track in 2019, thanks to the achievement of the government programme called “sakani”, aiming to provide accommodation to its citizens.

During 2019, some distributors increased their “special offer” with additional discount, partly to reduce their stock accumulated in the last couple of years due to

the economic downturn, but also to capture most of the economic recovery, especially because this recovery was limited.

The economic reforms engaged by the government to develop the non-oil sectors have given a positive boost to the economy. Indeed, with the liberalisation of the economy and measures taken against corruption with a reinforcement of the rule of laws, a more favourable economic climate surrounded the sanitary ware market in 2019.

A record number of reforms led the World Bank to rank Saudi Arabia, in its Doing Business 2020 report, in the top ten global business climate improvers.

Prices and Market Values

The MSP for ceramic sanitary ware increased again in 2019, after two years of price decline, thanks to a higher demand coming from residential and non-residential projects.

According to Rajhi Capital, the average price for sanitary ware products increased by over 7% in 2019, for SAUDI CERAMICS. Considering this company is the market leader (as a brand), the increasing price had a certain impact in the overall MSP for ceramic sanitary ware products. However, this also includes the ceramic sanitary ware products that are exported.

During that year and following a difficult financial year in 2018 for most of them, local manufacturers reduced their margin and their selling prices in 2019 in order to be more competitive against Asian manufacturers. This new price policy did help these companies, such as SAUDI CERAMICS to gain market share.

Because the economy and low-end ranges represent the bulk of the market, the increasing MSP for upper ranges was far insufficient to offset the overall price decline. Asian products remained very competitive despite the fact that the buying price from the distributor includes the shipping cost, (as they are mostly sold at FOB price). In this report, the MSP is estimated “Ex-Works” (without the freight cost), which led the price for Asian products to be even lower than those manufactured locally.

The MSP expressed in local currency (SAR) for upper and luxury range products imported from the Eurozone was largely influenced by the fluctuation in the exchange rates between the USD and EUROS (as the SAR is pegged to the USD).

New Housing

In 2019, sales of sanitary ware products to the new housing segment increased.

This was due to the return of intense construction activities within the residential sector, a result of economic reforms initiated by the Crown Prince MBS that have become clear now, after a long period of uncertainty, as these sudden reforms had

led investors to adopt a wait-and-see position.

Also, the government goal to increase the ownership rate of the Saudi population, which is part of the SAUDI VISION 2030, contributed to boost the residential construction, and consequently, the sales of sanitary ware products.

Housing RMI

Sales of sanitary ware that went to the RMI segment increased in 2019.

A higher number of dwellings that were purchased in 2019, led to the replacement of sanitary ware products. Indeed, Saudis tend to replace their bathroom products once they move to a new house bought in the existing market.

Also, according to JLL, a real estate agency, this was due to a higher number of real estate transactions; new reforms implemented in the banking systems led to a higher number of mortgages contracted by Saudis.

Non-Housing

Here again, the implementation of the SAUDI VISION 2030 plan contributed to the recovery, even timid, of non-housing segment in 2019.

Indeed, one of the key points of this programme is the diversification through the development of the non-oil sectors. Within these sectors, the main one represents the tourism sector and consequently, the emphasis was put in the construction of hotels.

In line with the new direction taken by the government, Saudi Arabia made an unprecedented announcement in September 2019. Tourist visas for visitors from 49 countries can now be obtained online or on arrival. Previously, only religious tourism and business visitors were allowed.

At the same time, the government financed the renovation of many schools throughout the country and, to a lesser extent, other public buildings, such as mosques, in which many sanitary ware products were replaced.

Supply Structure

In 2019, SAUDI CERAMICS remained the most popular brand in the ceramic sanitary ware market. Rather than radical change, the supply structure remained similar to the year before, with little changes. The company reduced drastically its overall costs, and higher sales led the company to perform very well during that year. According to AL RAJHI CAPITAL, the sales volume is believed to have increased by 20%. However, this includes all family products as well as export sales.

Within the first 9 months of 2019, RAK CERAMICS experienced a sharp increase of its sales revenue in Saudi Arabia. (over 40%).

Higher import tax was imposed to ceramic imports from India.

Imports from Asia constituted a threat for SAUDI CERAMICS, despite the fact that they are generally favoured for public bid. This threat does not only come from low-end imports that are powered to entry in the Saudi market only through their very competitive price, but also by branded products manufactured by ODMs based in Asia.

Following the shift from a planned economy to a market economy, merchants in China have been playing a crucial role in the export of sanitary ware products to Saudi Arabia. Many manufacturers prefer to focus only on the production and supplying the domestic market *Ex Works*, then merchants are served as relay and intermediaries between importers and manufacturers. Furthermore, as Saudi companies import from different manufacturers, (especially when different product ranges or brands are needed) consolidating the goods with merchants is more convenient and economical.

With low barriers to entry, a plethoric number of sanitary ware manufacturers exist in China.

The development of the sanitary ware industry in China, boosted by the shift to a liberal economy in the 1980's, is very recent. It was also too fast for Chinese manufacturers to establish their own brands, in opposition to Western (including Japanese) brands, known for over a century for the major ones. Chinese products are often subject to a high-price elasticity (corollary to low-end /not branded products) and consequently, a low brand loyalty.

The analysis of the supply structure from China only, can be split roughly into three groups as follow (from high to low-end range):

- the first group is constituted by Western brands that has manufacturing facilities in China, such as KOHLER, TOTO, and ROCA, through the ownership of the factory or through ODMs.
- The second group is constituted by manufacturers specialised in low/medium range products such as ARROW, HUIDA, BOLINA and HEGII.
- The third and largest group is represented by economy/low-end ranges products and are believed to be manufactured by smaller Chinese companies compared to the big ones mentioned above.

In very recent years, the supply structure has evolved as follow:

- Western brands manufacturing in China have started to expand their offer to the medium market and are no longer limited to supplying their product to the upper-

- market, whether for the domestic Chinese market or for export to Saudi Arabia.
- Major brands, following heavy investments, and following the rise of a strong middle/upper class in China, are no longer focusing on low-end market.

This has weakened the old dichotomy between cheap Chinese products versus high end western products. Furthermore, this new restructuration of the sanitary market and the economy of scale generated from it, had a direct impact on the product offer in Saudi Arabia.

Following data gathered among local distributors in Saudi Arabia, some concerns were raised regarding the quality of Western products manufactured in China. These concerns originated from the confusion of who is producing what, in a plethora of offers, from white labels to private labels to ODMs to OEMs and other CMs. Furthermore, the limited policy against counterfeit products led some showrooms to have two offers of the same brand, one original, and one fake, and the same weak policy and lack of traceability may lead some distributors to do this segmentation for the same product/brand (original or fake), while 100% of his product are in fact, fake. While this exists, and has some negative impact on the brands concerned, it is not too common. However, some consumers believes that only products manufactured in Western countries can be considered as Western products, and not those made in Asia by Western brands. Lastly, the increasing production costs in China has led some manufacturers, such as HUIDA, to open manufacturing plants in India, from where it is exported to Saudi Arabia. This concerns the economy/low range. These increasing production costs contributed also to the development of better quality products, giving them an advantage over Chinese products, and therefore the production cost is seen as their “most comparative advantage” when it comes to international trade. China goes towards more added-value manufacturing products with more technology in the production line.

OEM/ODM continues to represent a significant share of the sales revenues for these Chinese manufacturers, but some try to launch their own brands with more or less success.

Plastic cisterns are believed to be exported to Saudi Arabia by AMASHI and NISON, with a significant share of white and private labels.

More recently, VIGLACERA, a manufacturer of ceramic sanitary ware products based in Vietnam, has entered the Saudi market, offering products at competitive prices.

The dominant position occupied by the local manufacturers represents an important barrier to entry in the Saudi market for foreign manufacturers. With local companies enjoying a privileged position in most projects and, along with an increasing regional economic integration, it is believed that local and regional companies should see their market shares increasing.

The success of local manufacturers of ceramic sanitary ware in supplying quality products had a reverse effect on their share within the low-end segment, as their production costs increased despite government subsidies for the energy used in their factories. The quick success of SAUDI CERAMICS, FORSAN and PORSALINA is mainly due to their Italian machine supplier SACMI. Among the regional manufacturers, RAK CERAMICS is the biggest player in Saudi Arabia, but Egyptian manufacturer LECICO, AWAL ACRYLICS from Bahrain, and the Kuwaiti AQUASAN experienced a double-digit CAGR in recent years, due to the economic integration of the GCC countries and the very positive economic climate in Egypt.

European brands continue to lead the high-end segment, despite an increasing quality of products from local manufacturers. For some segments, such as the concealed plastic cisterns, GEBERIT has a particularly strong position, especially since it supplies its products with a flushing system. GROHE is its main competitor. Other brands such as TOTO also provide high-quality products, but its flushing system is believed to come from the Chinese WDI PLUMBING. The Portuguese OLI has a flushing system mounted on a cistern from IDEAL STANDARD.

FORSAN CERAMICS became, very quickly, a major new company operating in the ceramic sanitary ware market. The company invested heavily in its production plant as well as in the staff: it has a production capacity of 1.5 million pieces of sanitary ware products and poached the CEO of RAK CERAMICS to run the company. FORSAN CERAMICS focuses more on design compared to its competitors, but some of its products might not necessarily be in line with the domestic market (such as their product 'System Two' that seems to be designed for tight student flats or the Japanese environment rather than large Saudi villas).

Forecasts

Given the exceptional circumstances related to the spread of the COVID-19 virus and measures in place for its containment, forecasts for 2020 and beyond are based on the latest information available at the time of publication. BRG has attempted to factor in the latest developments – see Macroeconomic data in Table II.3, and supporting summary table at the end of the Background section. Given the fluidity of circumstances at this time, we expect that these forecasts are likely to be superseded by events, and therefore BRG will be updating them, as required, in any subsequent update of our estimates scheduled during 2020.

Sales of sanitary ware products are expected to grow at the end of the forecast period, with a positive CAGR.

However, 2020 sales may certainly be hit by the consequences of the COVID-19 pandemic, seeing as the retail market should be shut down for a significant part of the year, but also a slowdown in construction activities and a possible shortage in high-end sanitary ware products; the upper market depends on imports, most of which come from Western manufacturers including Japan, who have seen a slowdown to their production.

Through the Prince MBS, Saudi Arabia may see the beginning of a new page of its history, considering the reforms he initiates.

His SAUDI VISION 2030 plan constitutes a very ambitious programme aiming to radically transform the country. The consequences on the sanitary ware market are linked to massive construction activities, in line with key points stipulated in that plan: the aim of increasing the home ownership of Saudi people and reducing the shortage in housing, the development of the tourism sector with mega-projects including hotels. The new emphasis put on fighting against the corruption, as well as increasing the effectiveness in the constructions sector, should reduce the gap between the many projects that are announced on one side, and the reality of the construction activity and completion on the other side.

Massive housing construction projects aiming to tackle the shortage in housing should lead the ceramic sanitary ware market to a decent and continuous growth rate over the forecast period. This shortage in housing is less the result of a growing population (the size of a household in Saudi Arabia is in constant decline), than the structure of the population pyramid, with a sharp increase of young adults that constitute, by far, the main factor explaining the rising demand for housing.

At the confluence of economic diversification and trends towards a more open society, a country-size tourism development project has emerged. It should massively boost the sales of ceramic sanitary ware in the non-housing sector, as hundreds of buildings would be built in this tourist resort, nearly the size of Belgium, as it should cover 28,000 km² on 50 islands with a budget of \$500 billion. The whole area might be governed under an autonomous free zone, completely separated from the rest of the austere Saudi society and directly accessible from international flights.

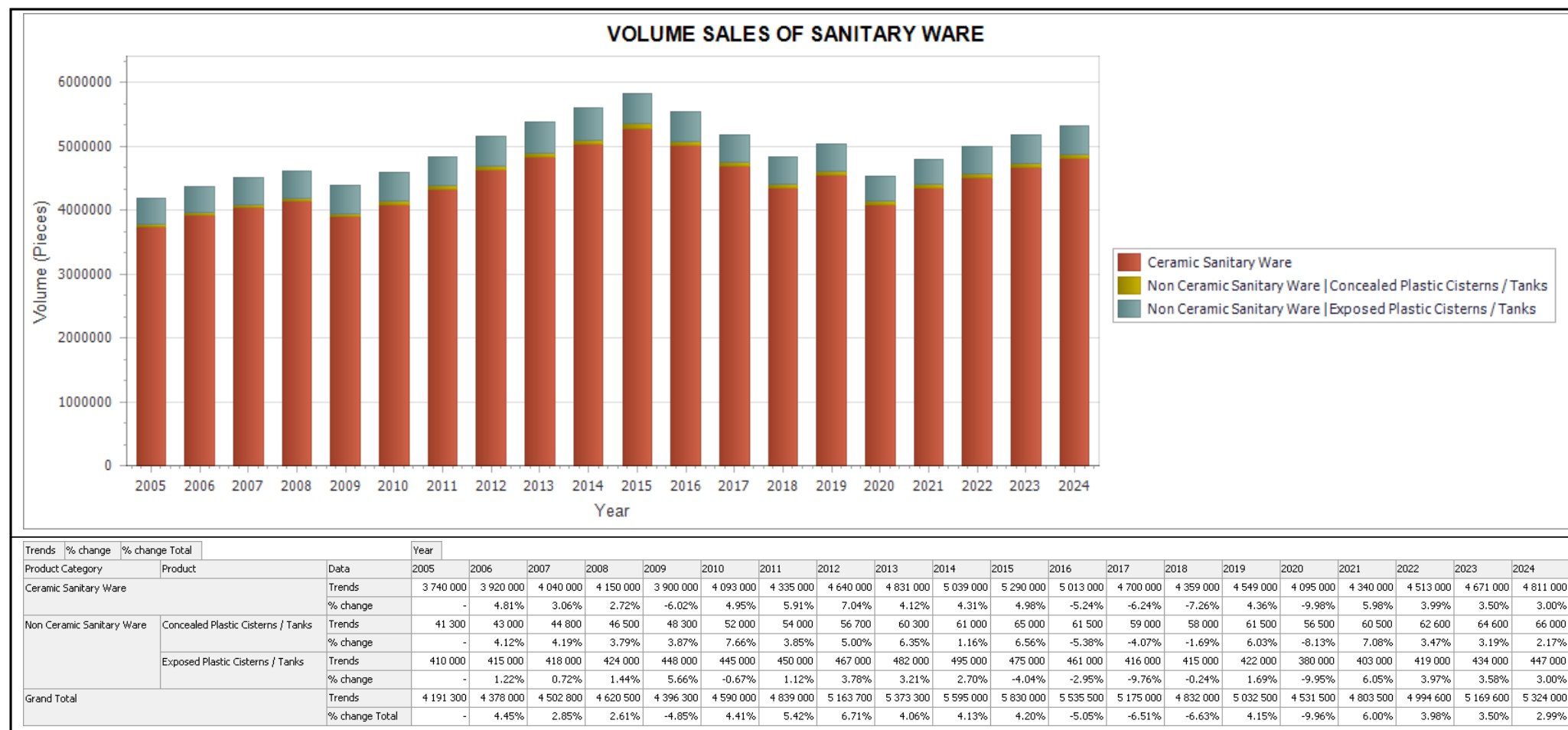
Also, the Al Qiddiya project, a multi-billion Dollar investment in entertainment and sport (aiming to organise the formula one event) should contribute to a boost in the sales of sanitary ware in the non-housing segment.

In 2021, the Abraj Kudai hotel is planned to open. Built by BEN LADEN GROUP, it is the largest hotel in the world, with 10,000 rooms and 70 restaurants. In 2022, the one-kilometre tall tower, the Jeddah Tower should be completed. These two single projects in progress should represent massive sales opportunities for high-end sanitary ware products in the coming years.

The overall construction activities should open doors to sales opportunities for sanitary ware. The completion of projects is expected to be more effective, especially with the introduction of a new construction project management process. This should impact greatly the housing and non-housing sector. BRG expect the return of the sales growth for sanitary ware products in the forecast period.

2.2.1 Historical Trends and Forecasts : Sanitary Ware

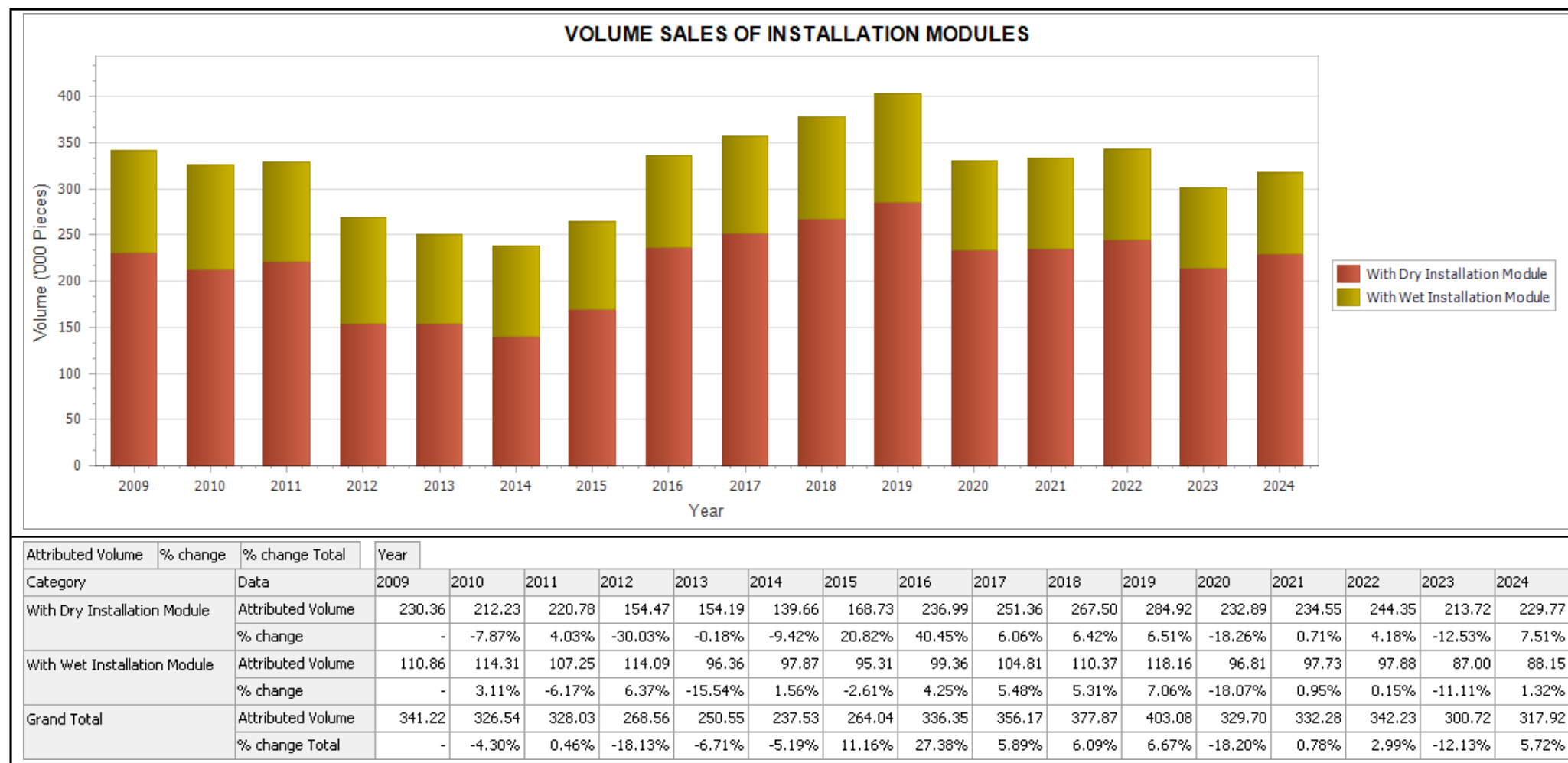
SA - SUMMARY OF TRENDS IN THE SANITARY WARE MARKET : HISTORICAL AND FORECASTS



Source: BRG based on industry interviews. NB: Ceramic Sanitary Ware Includes Ceramic Shower Trays.

2.2.2 Historical Trend and Forecasts: Installation Mod.

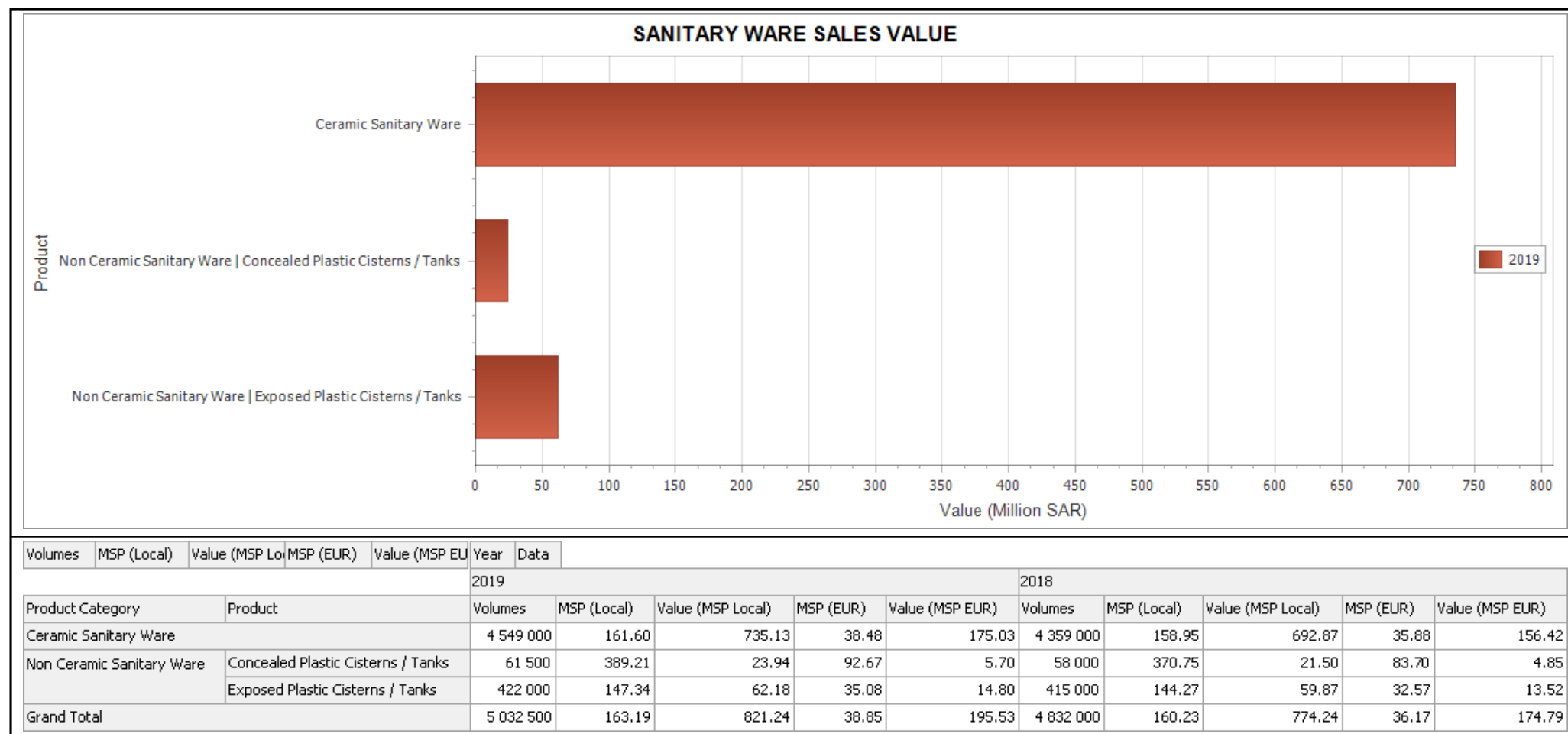
SA - SUMMARY OF TRENDS IN THE INSTALLATION MODULE MARKET : HISTORICAL AND FORECASTS ('000 PIECES)



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

2.3.1 Prices and Market Values : Sanitary Ware

SA - ESTIMATED VALUES OF THE SANITARY WARE MARKET



Source: BRG based on industry interviews. Local Currency Shown in SAR. Values Shown in Millions (at MSP = Manufacturers' Selling Price)

2.3.2 Prices and Market Values by Type : CSW

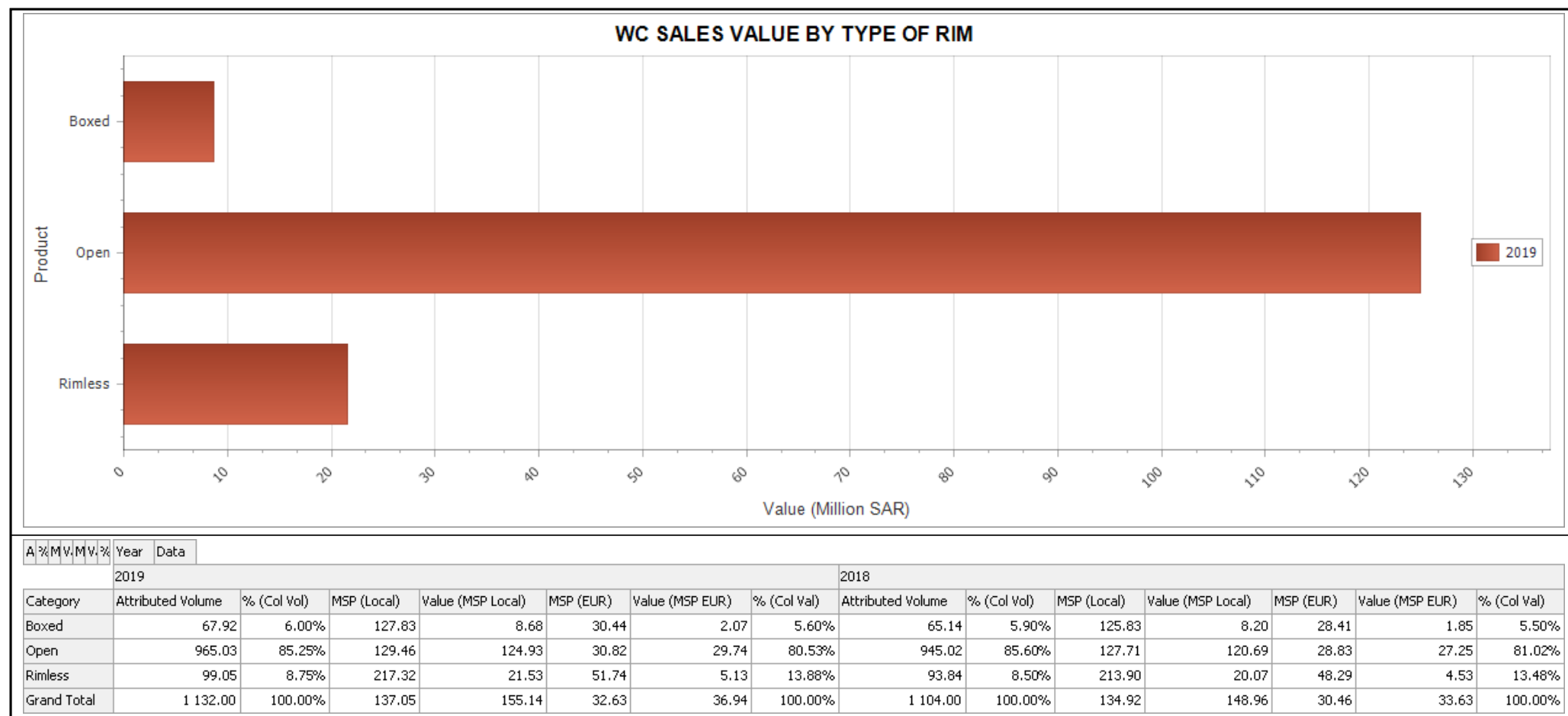
SA - ESTIMATED VALUES OF THE CERAMIC SANITARY WARE MARKET BY TYPE OF PRODUCT

Attributed	% (Col Vol)	MSP (Local)	Value (MSP)	MSP (EUR)	Value (MSP)	% (Col Vol)	Year	Data								
2019									2018							
Alt Product	Category	Attributed Volume	% (Col Vol)	MSP (Local)	Value (MSP Local)	MSP (EUR)	Value (MSP EUR)	% (Col Vol)	Attributed Volume	% (Col Vol)	MSP (Local)	Value (MSP Local)	MSP (EUR)	Value (MSP EUR)	% (Col Vol)	
Ceramic Washbasins / Bathroom Sinks	Countertop Washbasins	248.46	20.50%	263.40	65.44	62.71	15.58	32.57%	235.62	20.40%	260.01	61.26	58.70	13.83	32.50%	
	Hand Washbasins	24.24	2.00%	109.65	2.66	26.11	0.63	1.32%	23.10	2.00%	108.24	2.50	24.44	0.56	1.33%	
	Inset Washbasins	2.42	0.20%	355.99	0.86	84.76	0.21	0.43%	2.31	0.20%	351.42	0.81	79.34	0.18	0.43%	
	Pedestal Washbasins	790.22	65.20%	107.99	85.33	25.71	20.32	42.47%	755.37	65.40%	106.62	80.54	24.07	18.18	42.72%	
	Semi-Recessed Washbasins	72.72	6.00%	412.00	29.96	98.09	7.13	14.91%	68.15	5.90%	406.70	27.71	91.82	6.26	14.70%	
	Undermount Washbasins	1.21	0.10%	388.99	0.47	92.62	0.11	0.23%	1.16	0.10%	384.01	0.44	86.69	0.10	0.24%	
	Wall Hung Washbasins	72.72	6.00%	223.00	16.22	53.09	3.86	8.07%	69.30	6.00%	220.13	15.26	49.70	3.44	8.09%	
Other CSW	Bidets	88.20	4.00%	196.48	17.33	46.78	4.13	4.57%	86.10	4.10%	193.38	16.65	43.66	3.76	4.69%	
	Close-Coupled Cisterns	1 218.40	55.26%	195.94	238.74	46.65	56.84	62.99%	1 160.25	55.25%	192.87	223.78	43.54	50.52	62.97%	
	Kitchen Sinks	8.30	0.38%	268.84	2.23	64.01	0.53	0.59%	7.90	0.38%	264.13	2.09	59.63	0.47	0.59%	
	Others	35.28	1.60%	136.99	4.83	32.62	1.15	1.28%	31.50	1.50%	134.83	4.25	30.44	0.96	1.20%	
	Pedestals & Half Pedestals	837.90	38.00%	134.99	113.11	32.14	26.93	29.84%	798.00	38.00%	132.83	106.00	29.99	23.93	29.83%	
	Shower Trays	7.00	0.32%	146.19	1.02	34.81	0.24	0.27%	6.80	0.32%	144.12	0.98	32.54	0.22	0.28%	
	Urinals	9.92	0.45%	175.96	1.75	41.89	0.42	0.46%	9.45	0.45%	173.20	1.64	39.10	0.37	0.46%	
WCs / Toilets	Close-Coupled WC Bowls	859.19	75.90%	128.77	110.63	30.66	26.34	71.31%	839.04	76.00%	126.86	106.44	28.64	24.03	71.46%	
	Floor Standing WC Bowls	173.20	15.30%	154.28	26.72	36.73	6.36	17.22%	168.91	15.30%	151.85	25.65	34.28	5.79	17.22%	
	Squat Pans	45.28	4.00%	138.50	6.27	32.98	1.49	4.04%	44.16	4.00%	136.59	6.03	30.84	1.36	4.05%	
	Wall Hung WC Bowls	54.34	4.80%	211.95	11.52	50.47	2.74	7.42%	51.89	4.70%	208.62	10.82	47.10	2.44	7.27%	
Grand Total		4 549.00	100.00%	161.60	735.10	38.48	175.02	100.00%	4 359.00	100.00%	158.95	692.85	35.88	156.42	100.00%	

Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding. Local Prices Shown in SAR. Volumes Shown in Thousands and Values Shown in Millions (at MSP = Manufacturers' Selling Price).

2.3.3 Prices and Market Values by Type of Rim : WCs

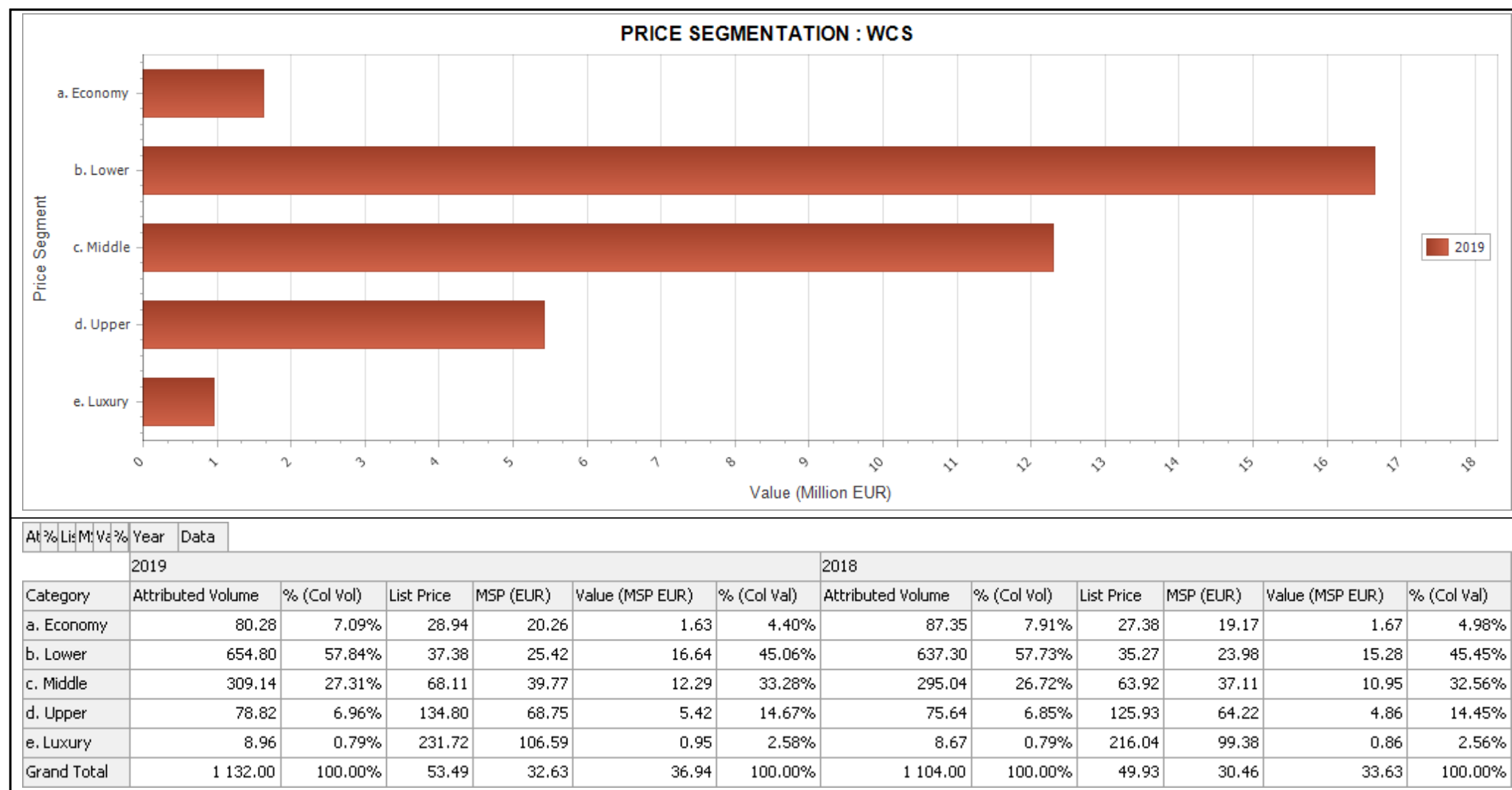
SA - ESTIMATED VALUES OF THE WC MARKET BY TYPE OF RIM



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding. Local Prices Shown in SAR. Volumes Shown in Thousands and Values Shown in Millions (at MSP = Manufacturers' Selling Price).

2.3.4 Price Segmentation : WCs

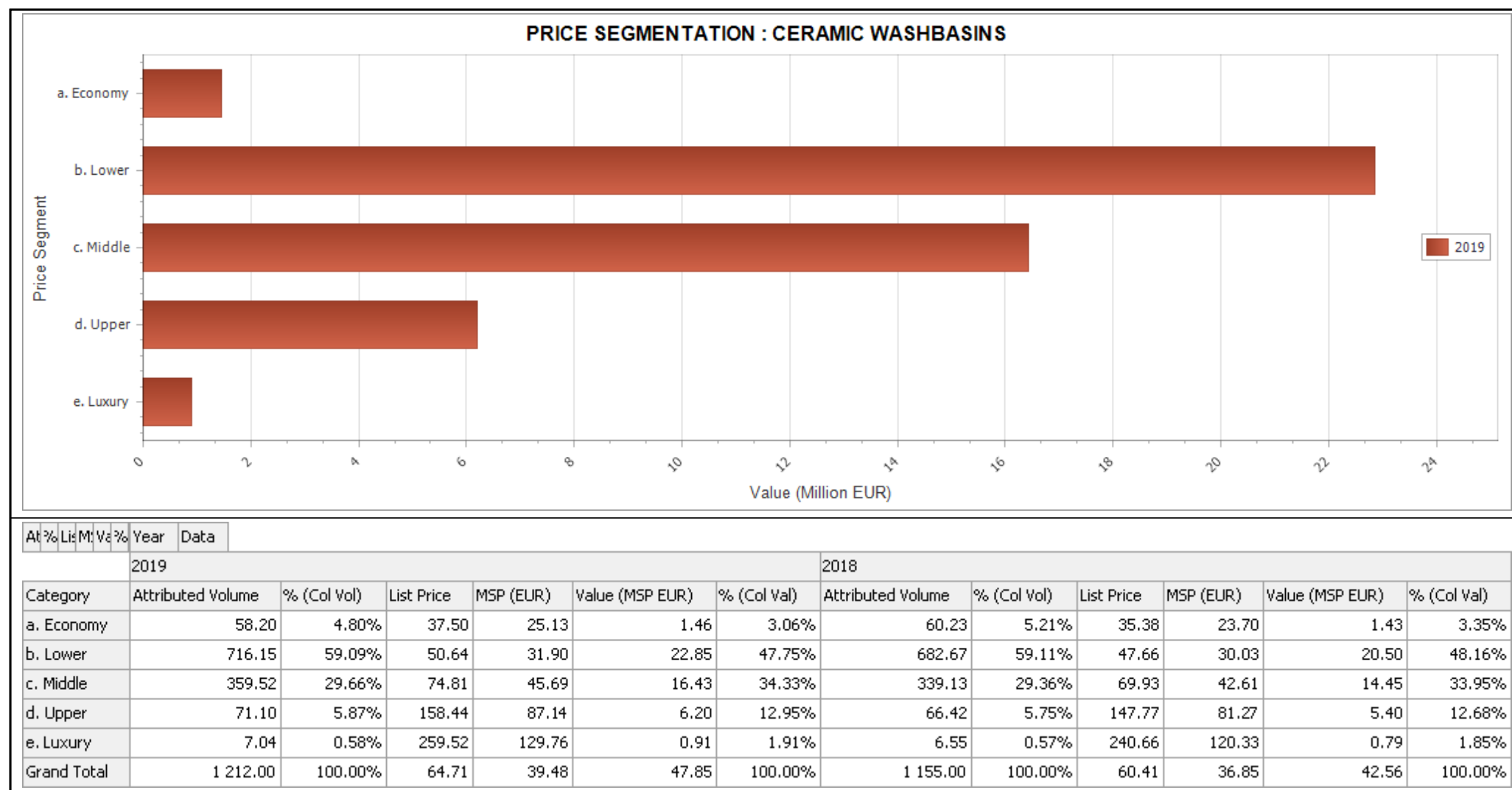
SA - ESTIMATED PRICE SEGMENTATION FOR WC



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding. Includes all WC Types. Volumes Shown in Thousands and Values Shown in Millions. Economy <€22, Lower €22-€35, Middle €35-€60, Upper €60-€80, Luxury >€80

2.3.5 Price Segmentation : Ceramic Washbasins

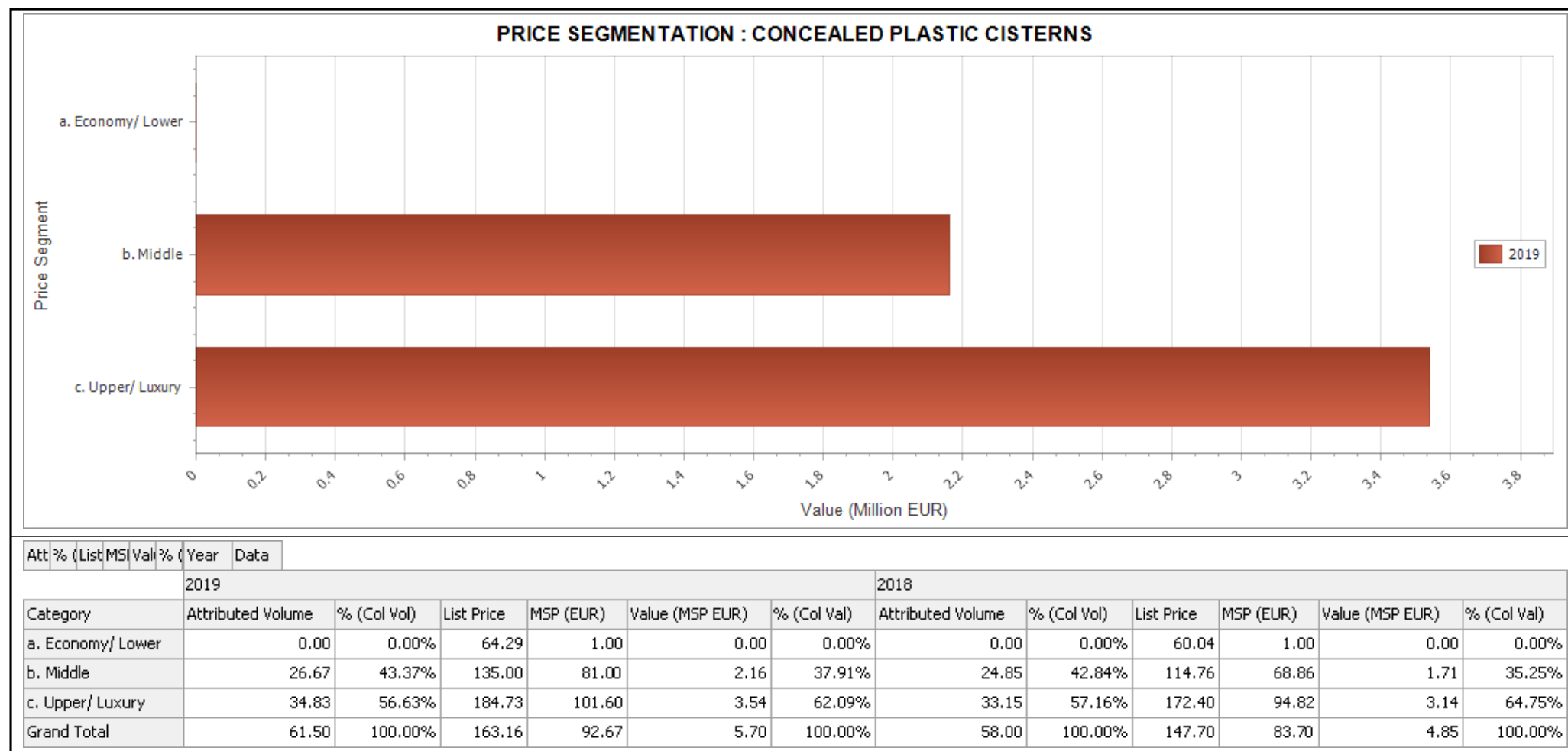
SA - ESTIMATED PRICE SEGMENTATION FOR CERAMIC WASHBASINS



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding. Includes all Washbasin Types. Volumes Shown in Thousands and Values Shown in Millions. Economy <€30, Lower €30-€40, Middle €40-€50, Upper €50-€100, Luxury >€100

2.3.6 Price Segmentation : Concealed Plastic Cisterns

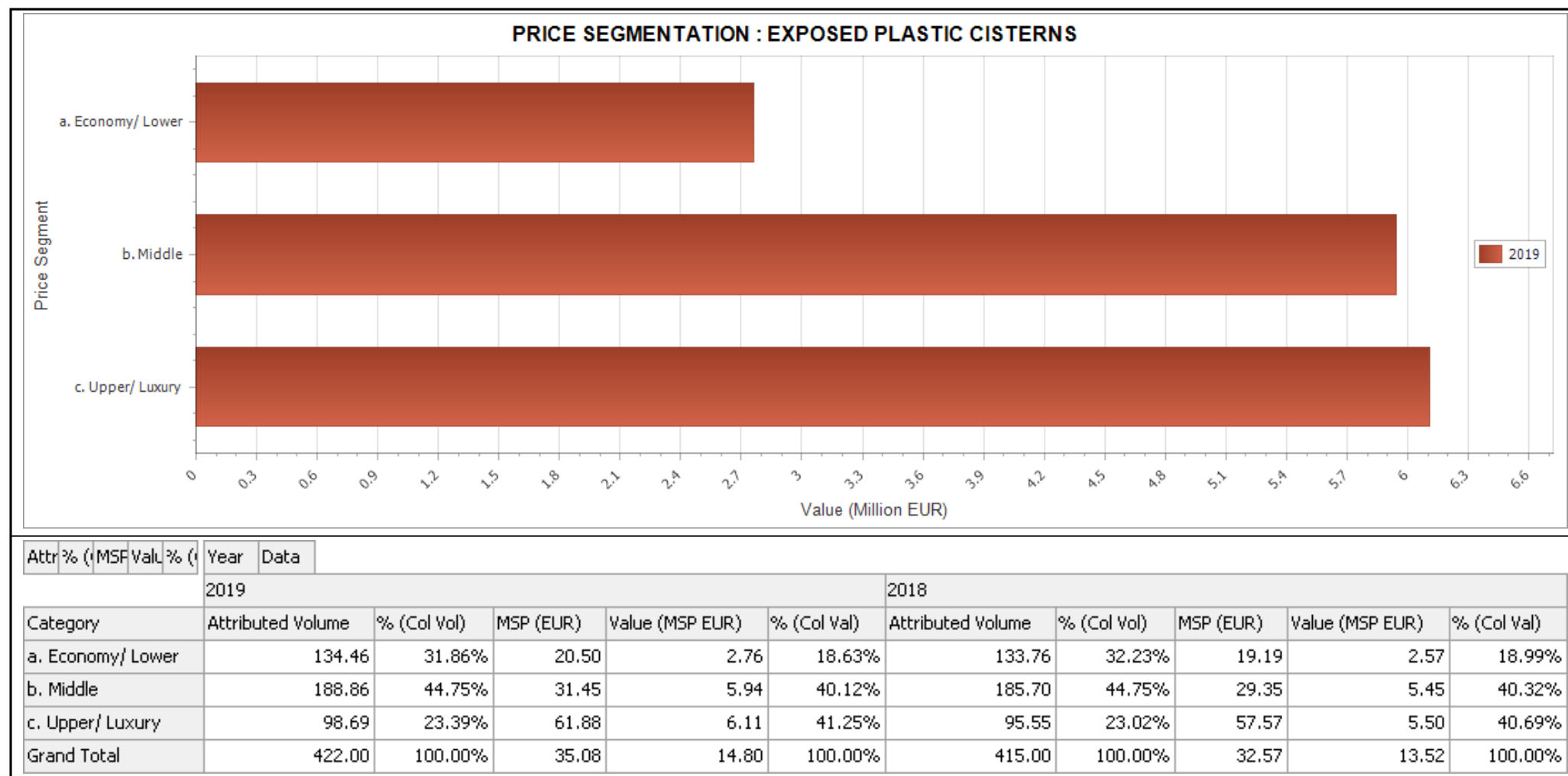
SA - ESTIMATED PRICE SEGMENTATION FOR CONCEALED PLASTIC CISTERNS



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding. Includes all WC Types. Volumes Shown in Thousands and Values Shown in Millions. Economy/ Lower <€40, Middle €40-€90, Upper/ Luxury >€90

2.3.7 Price Segmentation : Exposed Plastic Cisterns

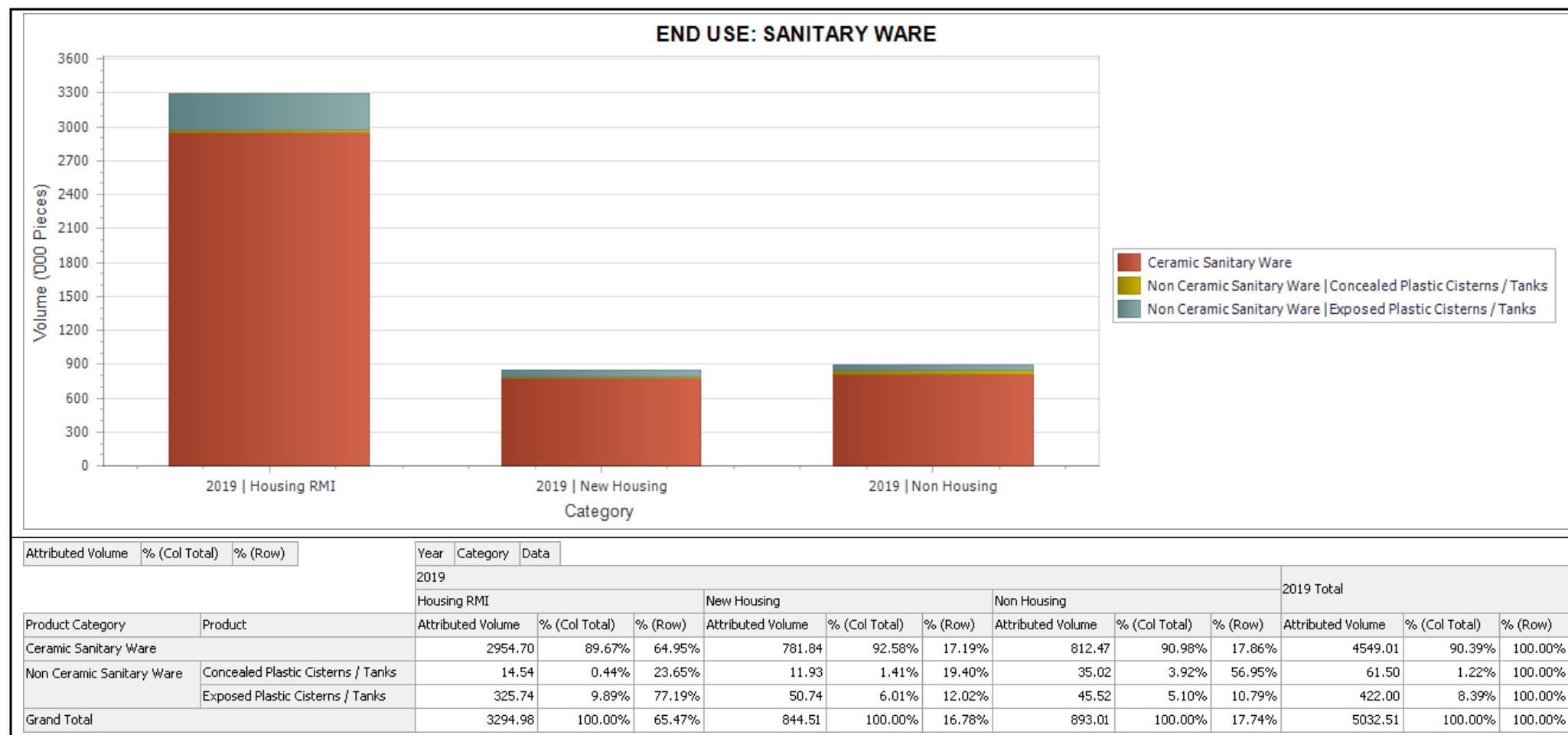
SA - ESTIMATED PRICE SEGMENTATION FOR EXPOSED PLASTIC CISTERNS



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding. Includes all WC Types. Volumes Shown in Thousands and Values Shown in Millions. Economy/ Lower <€25, Middle €25-€50, Upper/ Luxury >€50

2.4.1 End Use : Base Year

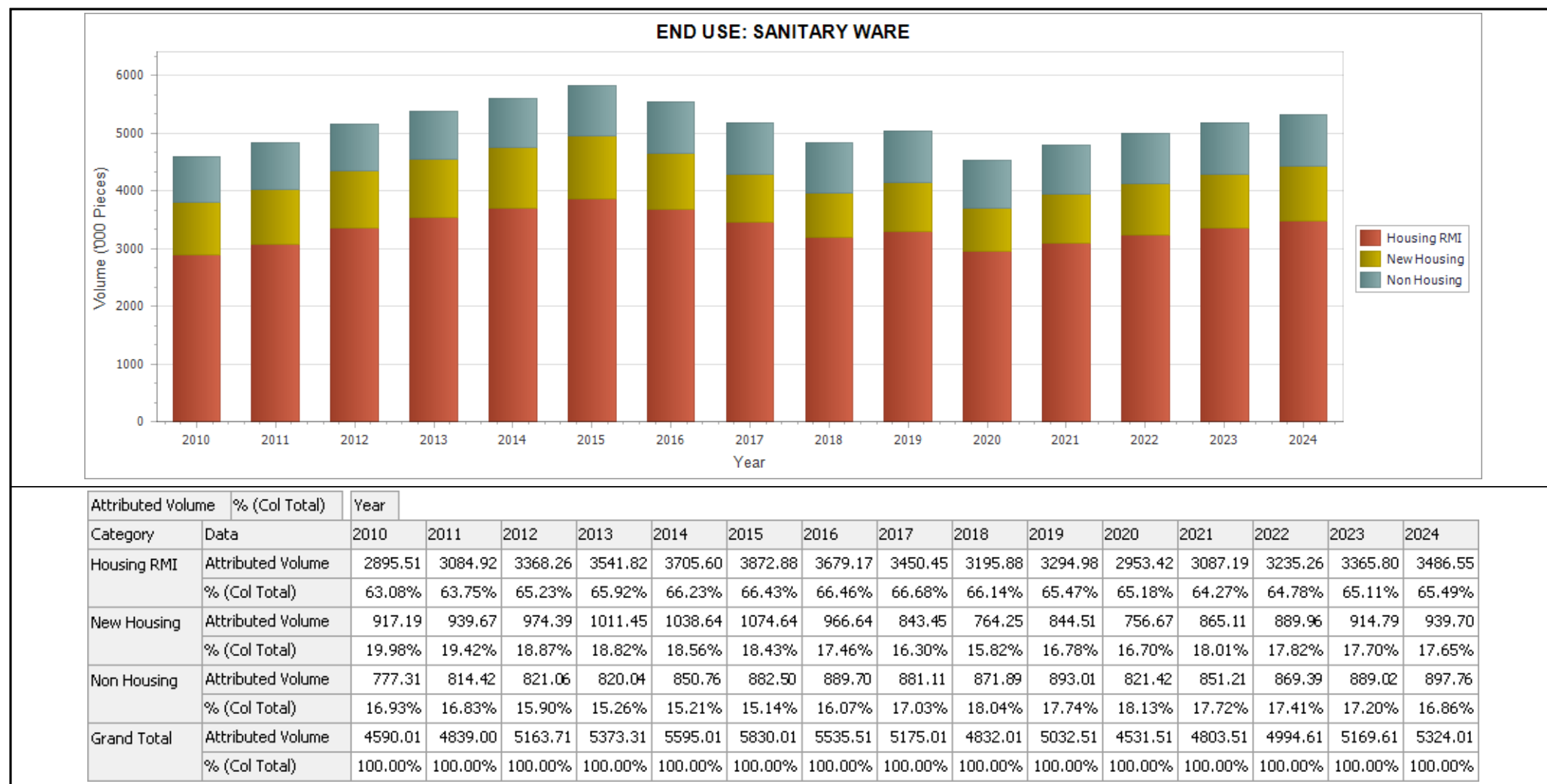
SA - SALES OF SANITARY WARE BY TYPE AND END USE SEGMENT ('000 PIECES)



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

2.4.2 End Use : Historical and Forecasts

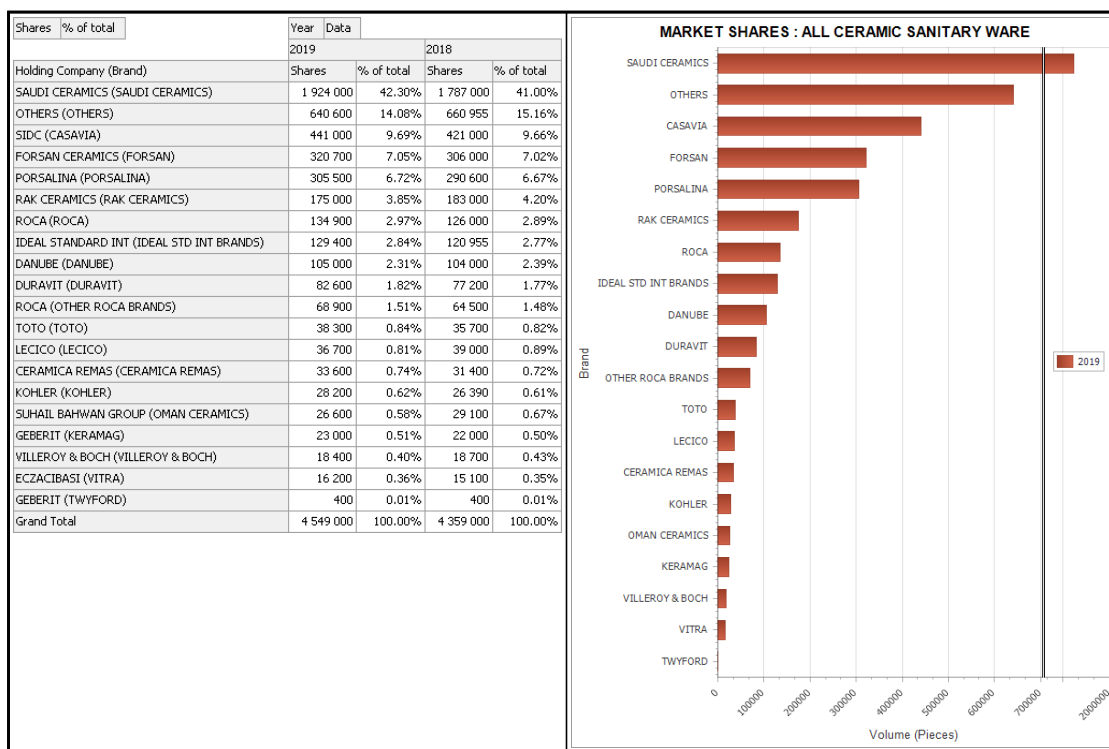
SA - SALES OF SANITARY WARE BY END USE SEGMENT ('000 PIECES)



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

2.5.1 Market Shares : All Ceramic Sanitary Ware

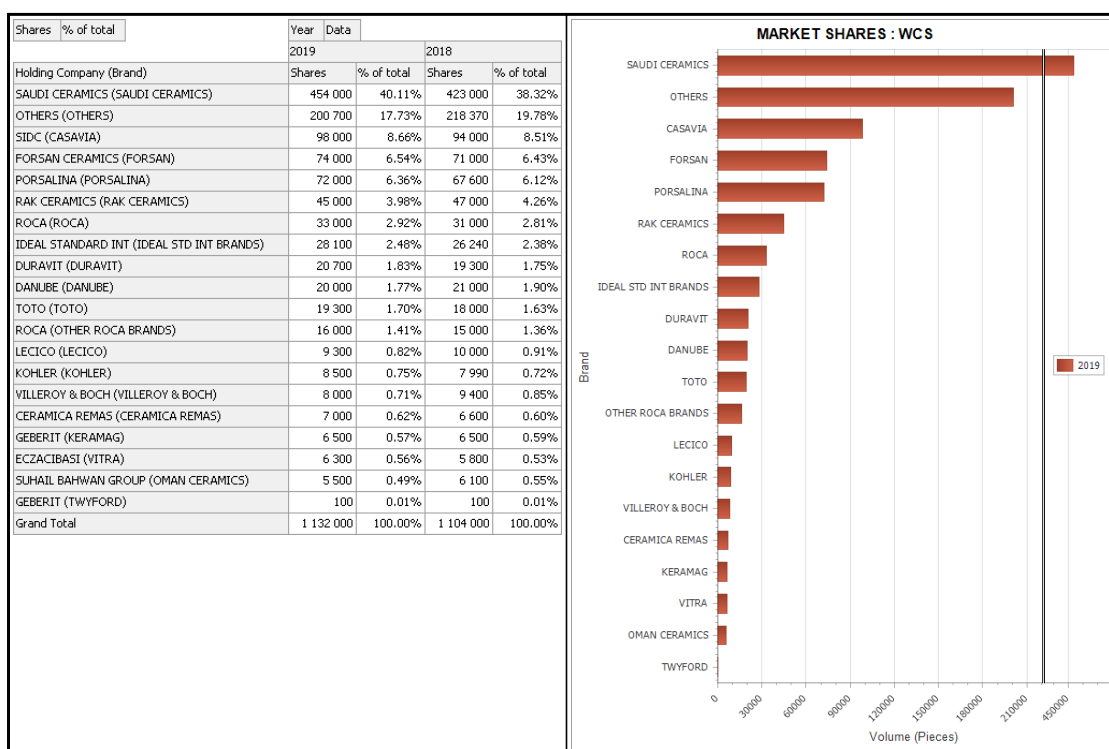
SA - ESTIMATED MARKET SHARES FOR ALL CERAMIC SANITARY WARE



Source: BRG based on industry interviews

2.5.2 Market Shares : WCs

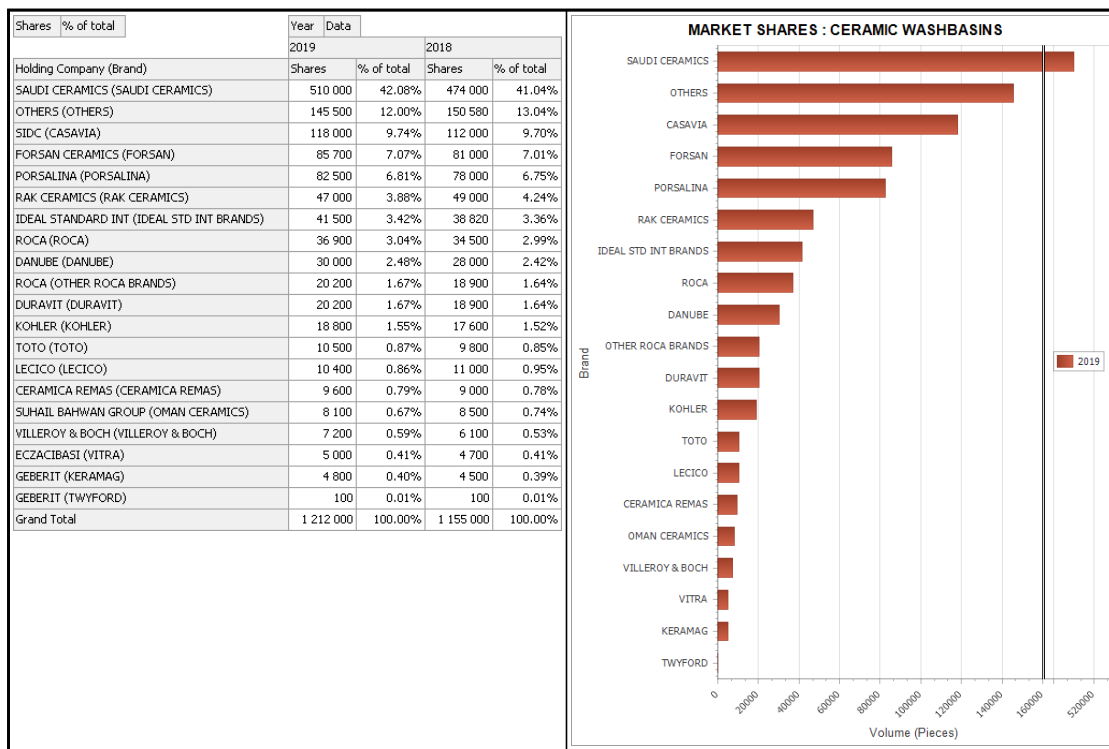
SA - ESTIMATED MARKET SHARES FOR WCS



Source: BRG based on industry interviews.

2.5.3 Market Shares : Ceramic Washbasins

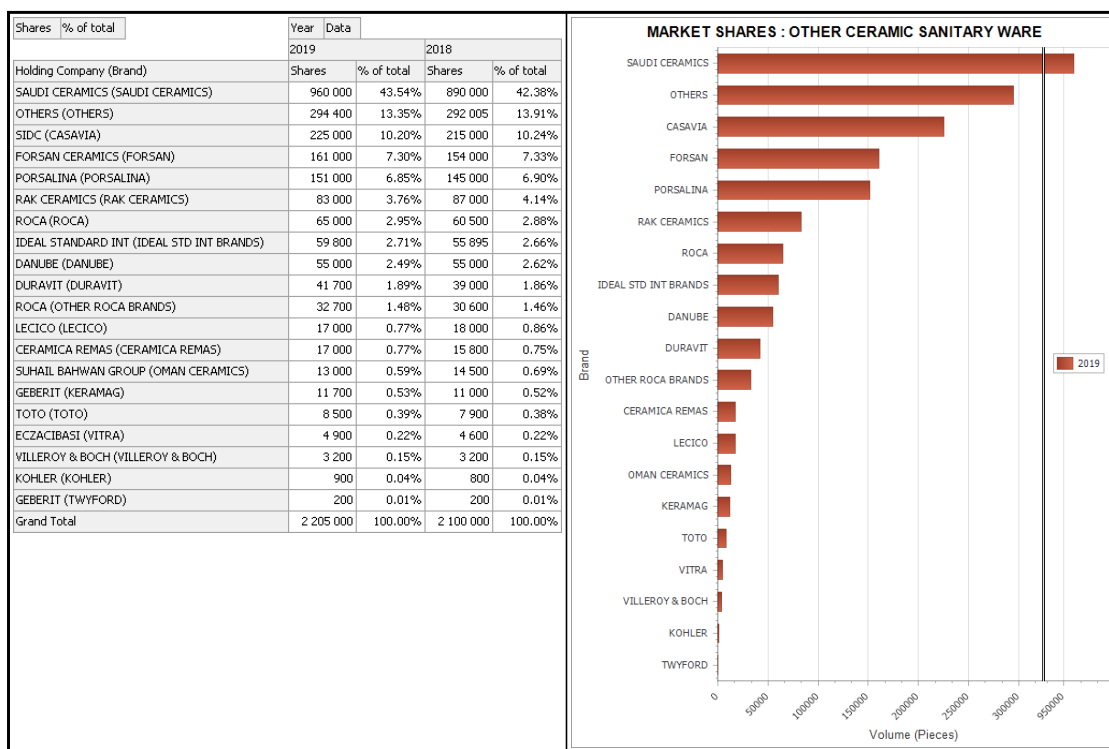
SA - ESTIMATED MARKET SHARES FOR CERAMIC WASHBASINS



Source: BRG based on industry interviews

2.5.4 Market Shares : Other Ceramic Sanitary Ware

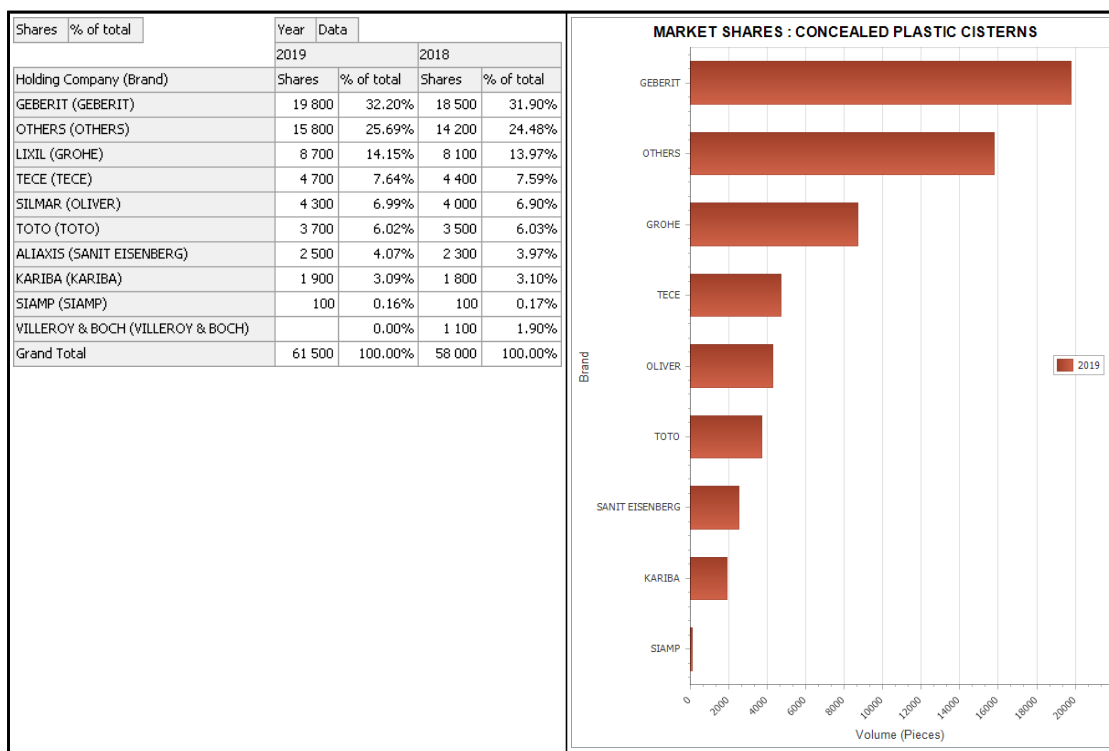
SA - ESTIMATED MARKET SHARES FOR OTHER CERAMIC SANITARY WARE



Source: BRG based on industry interviews

2.5.5 Market Shares : Concealed Plastic Cisterns

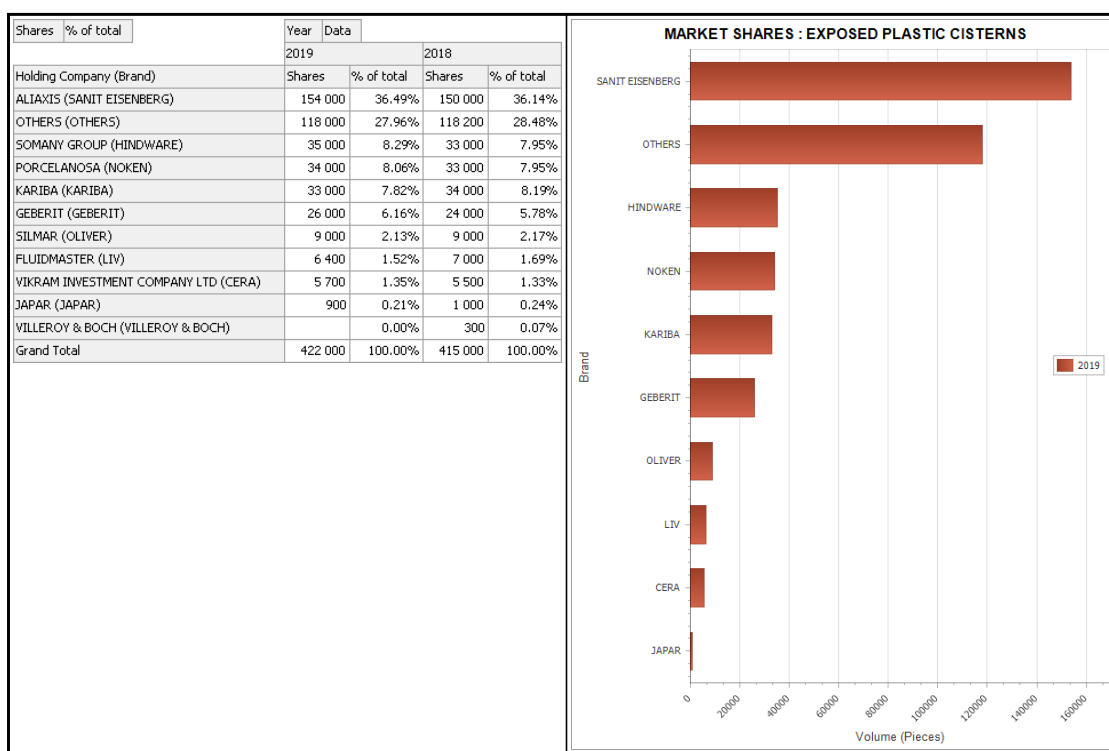
SA - ESTIMATED MARKET SHARES FOR CONCEALED PLASTIC CISTERNS



Source: BRG based on industry interviews

2.5.6 Market Shares : Exposed Plastic Cisterns

SA - ESTIMATED MARKET SHARES FOR EXPOSED PLASTIC CISTERNS



Source: BRG based on industry interviews.

2.6.1

Route to Market: Ceramic Sanitary Ware
SA - ESTIMATED DISTRIBUTION FOR CERAMIC SANITARY WARE: 2019

Manufacturer / Importer

Manufacturers / Importers
100.0%

Wholesale Level

28.6%
Wholesalers / Merchants
28.6%

Retail Level

Manufacturer	Wholesaler
0.0%	0.0%
Internet Retailers	
0.0%	

Manufacturer	Wholesaler
0.0%	0.0%
DIY Retailers	
0.0%	

Manufacturer	Wholesaler
51.3%	15.0%
Specialist Retailers	
66.3%	

Manufacturer	Wholesaler	Internet	DIY	Specialist
2.0%	8.0%	0.0%	0.0%	32.8%
Installers				
42.8%				

End Use Level

Manufacturer	Wholesaler	Internet	DIY	Specialist	Installer
10.7%	4.6%	0.0%	0.0%	30.0%	36.9%
Residential					
82.1%					
New Build			Residential RMI		
17.2%			65.0%		
Project	Non-Project	Project	Non-Project		
9.1%	8.1%	5.0%	60.0%		

Manufacturer	Wholesaler	Internet	DIY	Specialist	Installer
7.4%	1.0%	0.0%	0.0%	3.5%	6.0%
Non-Residential					
17.9%					
New Build			Non-Residential RMI		
11.0%			6.9%		
Project	Non-Project	Project	Non-Project		
10.0%	1.0%	1.9%	5.0%		

2.6.2

Route to Market: Ceramic Sanitary Ware
SA - ESTIMATED DISTRIBUTION FOR CERAMIC SANITARY WARE: 2024

Manufacturer / Importer

Manufacturers / Importers
100.0%

Wholesale Level

29.0%
Wholesalers / Merchants
29.0%

Retail Level

Manufacturer	Wholesaler
0.0%	0.0%
Internet Retailers	
0.0%	

Manufacturer	Wholesaler
0.0%	0.0%
DIY Retailers	
0.0%	

Manufacturer	Wholesaler
51.0%	15.0%
Specialist Retailers	
66.0%	

Manufacturer	Wholesaler	Internet	DIY	Specialist
2.0%	8.0%	0.0%	0.0%	32.5%
Installers				
42.5%				

End Use Level

Manufacturer	Wholesaler	Internet	DIY	Specialist	Installer
11.0%	5.0%	0.0%	0.0%	30.0%	37.1%
Residential					
83.1%					
New Build			Residential RMI		
18.0%			65.0%		
Project	Non-Project	Project	Non-Project		
9.7%	8.3%	5.0%	60.0%		

Manufacturer	Wholesaler	Internet	DIY	Specialist	Installer
7.0%	1.0%	0.0%	0.0%	3.5%	5.4%
Non-Residential					
16.9%					
New Build			Non-Residential RMI		
12.0%			4.9%		
Project	Non-Project	Project	Non-Project		
11.0%	1.0%	1.6%	3.3%		

Source: BRG Based on Industry Interviews. - Totals may vary due to roundings

2.6.3 Route to Market - Consolidated View : Ceramic Sanitary Ware

SA - ESTIMATED DISTRIBUTION FOR CERAMIC SANITARY WARE : 2019

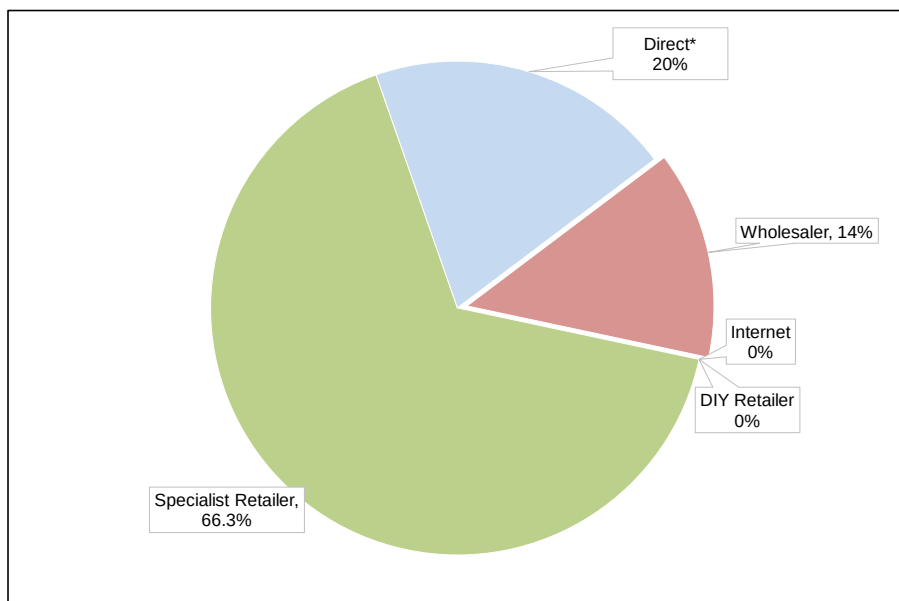
Route to Market - End Use Level					Project		Non-Project	
Wholesaler	Internet	DIY Retailer	Specialist Retailer	Direct*	Residential	Non-Residential	Residential	Non-Residential
13.6%	0.0%	0.0%	66.3%	20.1%	14.1%	11.9%	68.0%	6.0%
100%					26.0%		74.0%	

2.6.4 Route to Market - Consolidated View : Ceramic Sanitary Ware

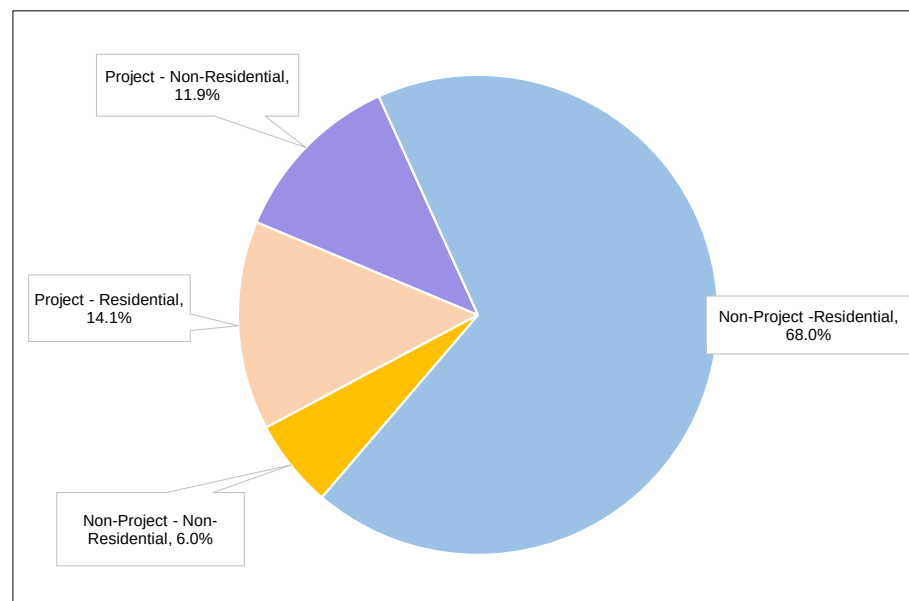
SA - ESTIMATED DISTRIBUTION FOR CERAMIC SANITARY WARE : 2024

Route to Market - End Use Level					Project		Non-Project	
Wholesaler	Internet	DIY Retailer	Specialist Retailer	Direct*	Residential	Non-Residential	Residential	Non-Residential
14.0%	0.0%	0.0%	66.0%	20.0%	14.7%	12.6%	68.4%	4.3%
100%					27.3%		72.7%	

SA - SALES OF CERAMIC SANITARY WARE BY DISTRIBUTION CHANNEL: 2019



SA - SALES OF CERAMIC SANITARY WARE BY POINT OF DECISION AND END-USE SECTOR: 2019



Source: BRG Based on Industry Interviews.

*Direct includes sales going directly from manufacturers to installers, contractors and private customers.

2.6.5

Route to Market: Plastic Cisterns
SA - ESTIMATED DISTRIBUTION FOR PLASTIC CISTERNS: 2019

Manufacturer / Importer	Manufacturers / Importers
	100.0%

Wholesale Level	66.7%
	Wholesalers / Merchants
	66.7%

Retail Level	Manufacturer 0.0%	Wholesaler 3.0%	Manufacturer 0.0%	Wholesaler 0.0%	Manufacturer 21.4%	Wholesaler 45.0%
	Internet Retailers		DIY Retailers		Specialist Retailers	
	3.0%		0.0%		66.4%	

Manufacturer	Wholesaler	Internet	DIY	Specialist
0.0%	15.0%	1.0%	0.0%	11.4%
Installers				
27.4%				

End Use Level	Manufacturer 7.4%	Wholesaler 3.7%	Internet 2.0%	DIY 0.0%	Specialist 50.0%	Installer 20.3%	Manufacturer 4.5%	Wholesaler 0.0%	Internet 0.0%	DIY 0.0%	Specialist 5.0%	Installer 7.1%
	Residential						Non-Residential					
	83.3%						16.7%					
	New Build			Residential RMI			New Build			Non-Residential RMI		
	13.0%			70.4%			11.0%			5.7%		
	Project		Non-Project	Project		Non-Project	Project		Non-Project	Project		Non-Project
	10.2%		2.8%	8.9%		61.5%	10.0%		1.0%	0.5%		5.2%

2.6.6

Route to Market: Plastic Cisterns
SA - ESTIMATED DISTRIBUTION FOR PLASTIC CISTERNS: 2024

Manufacturer / Importer	Manufacturers / Importers
	100.0%

Wholesale Level	67.5%
	Wholesalers / Merchants
	67.5%

Retail Level	Manufacturer 0.0%	Wholesaler 2.0%	Manufacturer 0.0%	Wholesaler 0.0%	Manufacturer 22.0%	Wholesaler 44.0%
	Internet Retailers		DIY Retailers		Specialist Retailers	
	2.0%		0.0%		66.0%	

Manufacturer	Wholesaler	Internet	DIY	Specialist
0.0%	14.0%	2.0%	0.0%	10.0%
Installers				
26.0%				

End Use Level	Manufacturer 5.5%	Wholesaler 7.5%	Internet 0.0%	DIY 0.0%	Specialist 50.0%	Installer 20.9%	Manufacturer 5.0%	Wholesaler 0.0%	Internet 0.0%	DIY 0.0%	Specialist 6.0%	Installer 5.1%
	Residential						Non-Residential					
	83.9%						16.1%					
	New Build			Residential RMI			New Build			Non-Residential RMI		
	13.9%			70.0%			12.0%			4.1%		
	Project		Non-Project	Project		Non-Project	Project		Non-Project	Project		Non-Project
	11.0%		2.9%	8.5%		61.5%	11.0%		1.0%	0.4%		3.7%

Source: BRG Based on Industry Interviews. N.B. Include both Exposed and Concealed Plastic Cisterns - Totals may vary due to roundings

2.6.7 Route to Market - Consolidated View : Plastic Cisterns

SA - ESTIMATED DISTRIBUTION FOR PLASTIC CISTERNS : 2019

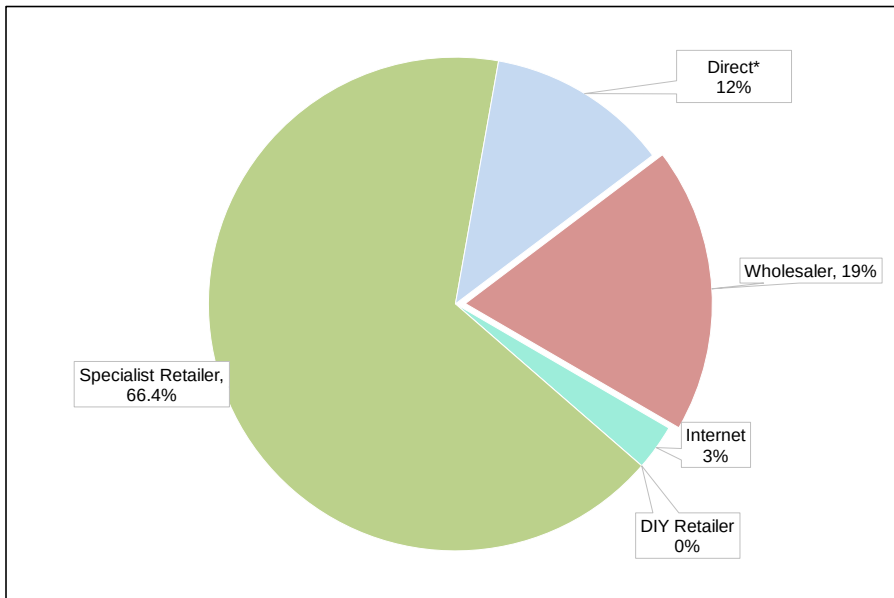
Route to Market - End Use Level					Project		Non-Project	
Wholesaler	Internet	DIY Retailer	Specialist Retailer	Direct*	Residential	Non-Residential	Residential	Non-Residential
18.7%	3.0%	0.0%	66.4%	11.9%	19.1%	10.5%	64.2%	6.2%
100%					29.6%		70.4%	

2.6.8 Route to Market - Consolidated View : Plastic Cisterns

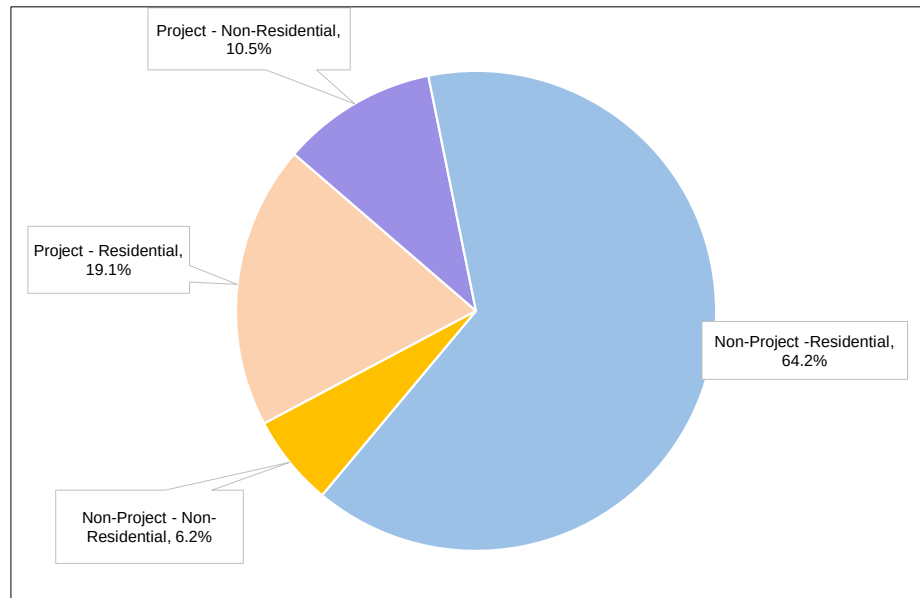
SA - ESTIMATED DISTRIBUTION FOR PLASTIC CISTERNS : 2024

Route to Market - End Use Level					Project		Non-Project	
Wholesaler	Internet	DIY Retailer	Specialist Retailer	Direct*	Residential	Non-Residential	Residential	Non-Residential
21.5%	2.0%	0.0%	66.0%	10.5%	19.5%	11.4%	64.4%	4.7%
100%					30.9%		69.1%	

SA - SALES OF PLASTIC CISTERNS BY DISTRIBUTION CHANNEL: 2019



SA - SALES OF PLASTIC CISTERNS BY POINT OF DECISION AND END-USE SECTOR: 2019



Source: BRG Based on Industry Interviews.

*Direct includes sales going directly from manufacturers to installers, contractors and private customers.

2.7 Revisions in the Saudi Sanitary Ware Market (April 2020)

SA - REVISIONS IN THE SAUDI SANITARY WARE MARKET

Data Comparison: April 2019



The historical and forecast series for ceramic sanitary ware were revised downward. This revision was due to a new estimation regarding the imports of unbranded products, much lower than previously thought. Moreover, the revision for the forecast series is also linked to an expected drop in the government revenue, of which the SAUDI VISION 2030 and its multi construction projects depends on. Lower government budget for construction may lead to lower sales of sanitary ware products. For this reason, the forecast series for plastic cisterns, exposed and concealed, were also revised downward.

Sales of concealed plastic cisterns were revised upward for 2017 and 2018. This revision was made following additional research made regarding the new technical segmentation concerning the type of WCs installed in Saudi Arabia. Our conclusion revealed a higher penetration of concealed plastic cisterns in the country through sales of free standing WCs.

The market values for sanitary ware were revised. Beside the revised trends mentioned above and its impact on the market value, the MSP for WCs and washbasins were revised downwards. This revision was, here again, the result of deeper research made for our new technical segmentation that highlights new findings for the sanitary ware market in Saudi Arabia.

The introduction of new segmentations in our report has led us to discover more details regarding the constitution of a market, which has a certain influence in the overall picture. Here, the segmentation of washbasins and WCs into different type in term of volume and price led to price revisions.

A price revision was also made for exposed and concealed plastic cisterns (upward and downward, respectively). This was due to a revision made in the price segmentation, with a new split among different price ranges.

SAUDI ARABIA

FAUCETS

THE MIDDLE EASTERN BATHROOM & KITCHEN PRODUCT MARKETS



Market Characteristics and Product Mix

Despite the absence of significant local manufacturers of faucets, Saudi Arabia is considered a huge market for these products. At the same time, the near absence of regulations (such as legislation to standardise products) gives Chinese manufacturers the ability to flood the market with poor-quality, low-cost products. As faucets in Saudi Arabia have high price elasticity, local consumers focus first on price, then design, causing sales of quality products to fall behind. Furthermore, Saudi householders tend to change their bathroom furniture, including the fittings, more often than householders in Europe do. This explains why the price of these products in Saudi Arabia is so important, despite the strong purchasing power of its inhabitants (similar to Western Europe). Despite the market not being mature, the share of the replacement market is relatively high in the Kingdom.

The intense construction activity that has been occurring over the last few decades has created a significant share of faucets sales to the new housing segment. Most manufacturers focus on this market through monitoring bids, especially those ignited by the government, as these projects tend to require huge quantities of taps and mixers whilst earnings are secured.

Indeed, the welfare state in Saudi Arabia is one of the most important in the world and the main legitimising factor allowing the House of Saud to stay in power. With a huge shortage of housing and a population pyramid where young people are overrepresented, the needs for housing seem to be endless despite huge efforts by the government to satisfy the population through new construction.

Faucets installed in the non-housing sector are mostly limited to hotels built in and around the two holy cities of the kingdom, Mecca, and Medina, but also in government buildings, primarily in health and education centres.

Shower panels are mostly found in the non-housing segment – for instance, in spas and wellness centres. Shower panels are designed to replace a classic shower system. Rain showers represent a serious threat as a product of substitution for the new market of shower panels, which may be more dedicated to the non-housing segment, within spas and other wellness centres.

Apart from religious purposes, there is no real tourism in Saudi Arabia. The non-housing segment would be very limited without counting the large number of mosques in the country. Indeed, all of these contain large ablution rooms with many taps and mixers installed, as ablutions are compulsory prior to prayer.

The bidet, once an important piece of sanitary ware in a Saudi family, has been largely replaced by the toilet spray, locally called the 'shattaf', or 'bum gun' in its colloquial version. In 2014, PANASONIC launched a portable toilet spray for the Saudi market, hoping to become an essential accessory for travellers as well as for people who are reluctant to use a normal toilet spray in a public toilet. However,

this plastic device is perceived more as a gadget rather than an alternative product to the existing ones.

In terms of product mix, the one-head mixer holds a hegemonic position in Saudi Arabia and its share continues to increase in all segments. Instead of a shift towards other types of mixers (e.g., two-head mixers and thermostatic mixers), it is more the type of one-head mixer that is changing. Rather than the technology moving towards water saving or quality, the trend is towards a more modern design.

A huge shift has occurred on the shelves of many distributors. While in the past, Chinese products were the cheapest and the most basic, distributors nowadays offer Chinese products with very modern designs - while keeping the price low - when Western brands can now compete with the Chinese price, but they offer a very basic and non-trendy product. It is only in the high-end range that Western brands continue to be the leaders.

Another characteristic, more related to the particular 'density' of faucets per house in Saudi Arabia, concerns the fact that bathrooms are not shared, even between brothers and sisters: at a minimum, each dwelling has a separate bathroom for boys and girls, as well as a bathroom used only by the guests.

For wealthier people, each bedroom has its own bathroom and an additional bathroom exists for the maid or driver. Taking this into account, the quality of product installed varies depending on the users. An apartment can contain one master and one or more additional bathrooms - depending on the number of rooms - while villas may have four to six bathrooms. The master bathroom generally has a large number of faucets.

With regards to the type of installation of faucets, a slow trend towards concealed systems exists, which is mostly driven by the non-housing segment. In mosques, the installation of taps and mixers is mainly concealed due to their intensive use by many people, several times in a day.

Recent Market Trends

Sales of faucets in Saudi Arabia increased in 2019, mostly driven by new constructions within the housing and non-housing segments as well as through the retail market for replacement purposes.

Faucets installed in washbasins captured over half of the total faucets sold in the country in that year, followed by kitchen mixers then almost equally by bath and shower mixers. Sales of bidet mixers were the smallest, but 100% were made of one-head models.

The quality of faucets installed, how often they are used and where they are installed constitute the main variables.

When compared with European countries, the market for faucets in Saudi Arabia is more important, in proportion to the park of applications (stock of washbasins, showers/baths, bidets, kitchens). This is due to a higher replacement rate in the Kingdom.

With regards to the type of faucets, the one-head mixer was, by far, the main type of faucets installed in Saudi dwellings, in 2019, strengthening its hegemonic position by a continuous replacement of pillar and two-head mixers. However, the fastest growth rate in share was attributed to thermostatic mixers, replacing both one-head and two-head mixers.

Sales of shower panels grew also in 2019 but are less popular than thermostatic mixers. Shower panels suffer from the increasing popularity of rain showers, trendier when it comes to upgrade a shower system with a new design. This can equip a large and thin shower tray or a walk-in shower.

The government budget for 2019 increased by 7%, in line with the ambitious VISION 2030 programme that includes massive housing projects, economic development and the empowerment of Saudi people. This contributed to the increasing sale of faucets registered in H2 of 2019, in new builds, for both segments (new housing and non-housing).

The new budget put a strong emphasis on diversifying the economy through the development of the tourism industry, one of the main and more promising non-oil sectors.

The share of two-head mixers sold in Saudi Arabia continued to decline in 2019, due to the double effect of the increasing popularity of thermostatic mixers installed in a bath or shower system, and the overwhelming presence of the one-head mixers in all applications. The trends for thermostatic rain showers now appear visible, constituting an additional barrier to entry for shower panels. Sales of electronic faucets increased due to the positive hotel construction performance. This type of faucets is exclusively installed in non-housing applications. With the rise of thermostatic faucet, the share of concealed installation has increased in Saudi Arabia, driven by households remodelling/upgrading their bathrooms. The development of walk-in showers, which are highly compatible with shower panels and rain showers, signalled the current fashion for a modern shower.

Prices and Market Values

For the second year, BRG continues to display its price and value estimates for faucets at an application level (mixers for baths, bidets, washbasins, showers and kitchens), as opposed to the previous segmentation, used up to the reports that were published in 2018 (based on 2017 figures), which was primarily based on the category level (pillar, one-head, two-head, thermostatic, and electronic mixers) rather than application level.

In 2019, the market value for faucets in Saudi Arabia was less the result of a higher MSP registered during that year, than a higher market volume.

Still, the strong demand for faucets, following the intensification of construction activities led the price to increase after a drop which was registered in 2018.

Beyond the stronger demand, considered as the main factor influencing the fluctuation of the MSP, the inflation from the exporting countries constitutes the second factor that impacted the price, in a country where 100% of the market is supplied by foreign countries.

The increasing share of Chinese imports and their low prices contributed to containing the price increase. This increasing share goes beyond the economy and low-end ranges.

It is now not surprising to see some prices of faucets made in China rising higher than European brands, yet still favoured by consumers.

Some distributors offer a manufacturing warranty of five years, putting a threat on Western manufacturers in terms of competition.

New Housing

In 2019, the efforts made by the Ministry of Housing, through the “Sakani” programme, to provide new houses to the population, has led the national rate of home ownership to increase by 14% during that year.

The construction sector caught up with several years of constant decline due to the combination of low oil prices, economic crisis, measures of austerity, the purge against corruption and other non-domestic factors (crisis with Iran, war in Yemen).

By the end of 2019, the capital’s residency supply stood at 1.29 million units, and an additional 111,000 units are expected by 2023.

Following radical and unexpected reforms initiated by the Prince MBS, the economic climate improved in 2019.

Housing RMI

In 2019, property prices declined. This contributed to the increasing sales activity registered in the real estate sector, and as in Saudi Arabia, a household purchasing an existing dwelling go generally for the refurbishment of all bathrooms, sales of faucets to the replacement market increased in Saudi Arabia, during that year.

According to the CBRE report, the volume of transactions increased by 53% in the Saudi capital meanwhile residential mortgages for individuals in the kingdom increased by over 250% in terms of number of contracts signed between January

2019 and November 2019.

In October 2019, the Ministry of Housing got involved in providing financing to support residential renovations for dwellings aged over 15 years. While this does not necessarily mean that faucets were replaced, it is highly probable that it did have an impact on faucets, since bathrooms are generally in the top list of housing renovations in Saudi dwellings.

Non-Housing

In 2019, sales of faucets to the non-housing segment in Saudi Arabia increased, thanks to the increasing number of new hotels that have been completed during that year.

Indeed, hotel occupancy increased significantly in 2019, and along with the ease of getting a tourism visa contributed to the demand for the construction of new hotels.

Also, an increasing number of new offices, which contain bathrooms and little basic kitchens, boosted the sales of washbasin and kitchen mixers within the non-housing segment.

Reforms engaged to boost the economic freedom led the non-housing construction sector to regain some vitality.

Supply Structure

With the absence of local manufacturers, the faucet market in Saudi is very competitive and mostly represented by unbranded imported products. Despite a strong middle-class in Saudi Arabia, the faucet market is largely driven by manufacturers supplying economy and low range products, imported mostly from China.

We could think that the increasing quality of faucets manufactured by Chinese companies that are increasingly visible in Saudi retailers, is due to their goal in growing their sales by reaching segments of the market other than the economy. In fact, it is due to the increase in Chinese demand for foreign brands. This new demand is the reflection of a continuous increase in wealth in the last two decades as well as a clear decline of ethnocentrism pushing people to purchase only local products, and the purchase and the use of foreign brands constitute a symbol of wealth and success. This growing upper market in China pushed Chinese manufacturers to tackle foreign brands by offering also high-end products. It is only from that point, and through economy of scale generated by large production, that Chinese manufacturers were able to offer faucets that belong to the medium end at a competitive price in Saudi Arabia. The concept of this is not always understood by Western manufacturers, who often underestimate Chinese products.

However, despite the increasing quality of Chinese products, they suffer from a lack of credibility, due to their failure in building their own brand/reputation, which is

understandable to a certain extent considering the fact that the most reputed brands in Europe have decades of existence, if not more than a century.

The lower transport costs and increasing development in logistics and at a lesser extent, the availability of staff with international experience, contribute also to the atomisation of the supply side: it creates opportunities for small manufacturers that are now able to supply foreign countries, and many of them supply Saudi Arabia particularly, due to the strong demand along with little regulation.

The absence of local faucet manufacturers is due to the absence of *comparative advantage* (as per Ricardo's economic theory): the cost of the work force in the total manufacturing cost price is much lower compared to the ceramic sanitary ware industry, of which Saudi Arabia has a comparative advantage. This is why Saudi has several ceramic sanitary ware manufacturers and no faucet manufacturer.

Low quality products with attractive design, in line with consumer preferences continue to flood the Saudi faucet market in 2019. Few manufacturers put a real effort to build a brand, such as BOLD faucets and KLUDI-RAK (the association with the German name constitutes on its own, the will to establish a reputation).

Accessing the faucet market in Saudi Arabia depends highly on the distribution strategy. Chinese manufacturers focus mostly on the *push* strategy: they concentrate effort in marketing, focussing on wholesalers and retailers in order to make their products visible for consumers.

GROHE'S effort focuses on offering advanced eco-friendly products, in line constantly with innovation, as well as covering all price segmentation. This brand continued to supply the market with more affordable products than those supplied in Europe, backed-up with a strong name/reputation. This explains why this brand is the market leader in all types of application, as well as in front-line in the non-housing segment, offering customised solutions for mosques, for instance.

FRANKE and TEKA hold a decent position in faucets installed in kitchen, but their higher prices led them far below GROHE. For other applications, IDEAL STANDARD appears a distant second to GROHE.

Unbranded products continued to be, for application, the main supplier of faucets in Saudi Arabia. The biggest drop in market shares among Western brands is HANS GROHE.

IDEAL STANDARD products are imported from Bulgaria.

CHICAGO FAUCETS is believed to sell small quantities of faucets in Saudi Arabia.

Within the flushing valves market, DELANY and SLOAN are present in the country, mostly in the non-housing segment.

With regards to shower panels, they are mostly supplied from Asian imports. IDEAL STANDARD, GROHE, HANSGROHE and TEUCO are among the main Western brands.

Forecasts

Given the exceptional circumstances related to the spread of the COVID-19 virus and measures in place for its containment, forecasts for 2020 and beyond are based on the latest information available at the time of publication. BRG has attempted to factor in the latest developments – see Macroeconomic data in Table II.3, and supporting summary table at the end of the Background section. Given the fluidity of circumstances at this time, we expect that these forecasts are likely to be superseded by events, and therefore BRG will be updating them, as required, in any subsequent update of our estimates scheduled during 2020.

Sales of faucets are expected to grow at the end of the forecast period, with a positive CAGR. However, 2020 may certainly be hit by the consequence of the COVID-19 pandemic on the retail market will be shut down temporarily for a significant part of the year, but also a slowdown in construction activities and shortage in faucets as the market depends on imports; countries that manufactured faucets have slowed down their production.

The construction of the metro of Riyadh in 2020 should lead to further real estate development in proximity to key transport hubs and consequently, create sales opportunities for faucets.

The G20 Summit is to be held in Riyadh in 2020, and more sporting and entertainment events are expected to take place in the Kingdom, attracting more visitors. This should be preceded by the construction of new hotels adding sales of faucets to the non-housing segment.

Since the beginning of 2020, retail shops are permitted to remain open 24 hours a day, seven days a week. This should enhance sales of faucets (depending on restrictions imposed by the COVID-19 pandemic)

In Q4 of 2019, the sudden spurt in tourists, following the government's decision in September 2019, to provide tourist e-visas (for 49 countries) for the first time in its history, should continue to increase at a fast pace and more hotels should be built throughout the country. As a result, sales of faucets to the non-housing segment are set to increase in the short term.

Over the next few months, the construction of the futuristic city NEOM should start. This giga-project worth \$500 billion is a whole city covering 26,500 km² and situated on three countries: Saudi Arabia, Egypt, and Jordan, near Tabuk. The first residential area that will be built and is expected to be completed by 2020, should generate a tremendous volume of faucet sales. The city will also have many luxury resort complexes to attract visitors.

In the coming years, dozens of thousands of hotel-rooms should be added in the hotel park (the Abraj Kudai hotel alone, set to open within two years, will have 10,000 rooms along with 70 restaurants). HILTON has plans to quadruple the number of hotels in the country. This development is in line with the new policy regarding the obtainment of a tourist visa.

The construction sector within the residential and non-residential sectors is expected to become more active during the forecast period while RMI segment should continue to increase steadily, thanks to Saudi consumers' tendency to replace faucets at a higher rate than the European countries.

According to the most recent census, 52% of Saudis are between 10 and 30 years old, and 78% are below 30 years old. The structure of the population explains largely the demand in housing. Official figures with regards to the demand for housing and the social housing programme are thought to be made for Saudi Nationals only. Foreign people represent a third of the population. The demand coming from the foreign population is somehow absorbed by the Saudi demand as they are not allowed to purchase a property and each foreign household needs a sponsor (Saudi) that would take in charge their demand for housing.

Projects to build new cities such as the KAEC, is currently underway. This is one city out of five other new cities that are all called 'Economic Cities' (along with NEOM, mentioned above). Despite an increasing share of the non-oil sector in the GDP, the whole economy is still massively dependent on oil prices which put a threat on the completion of these projects, and consequently, the forecasting trends for the sales of faucets in Saudi Arabia.

Nevertheless, on-going projects should reach completion on time as the country has huge financial reserves. As a result, high sales volumes of faucets are expected for the forecasting period.

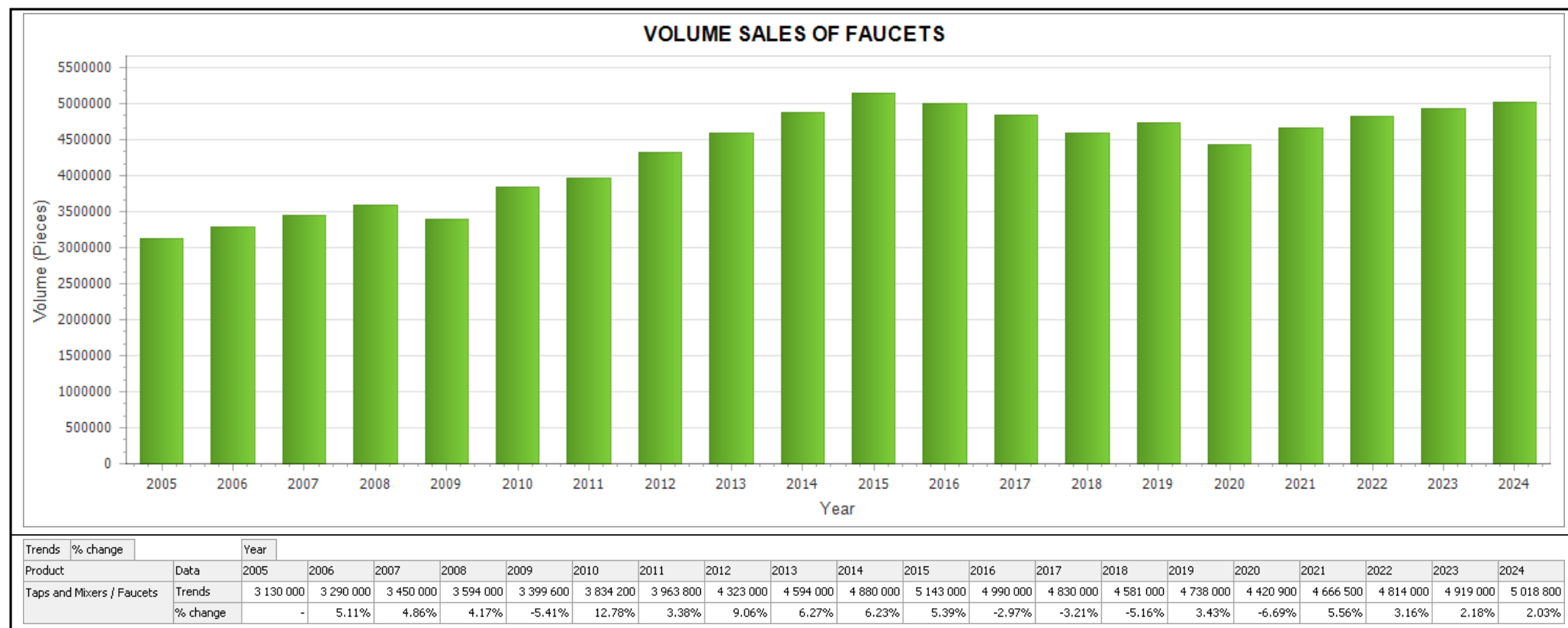
External factors at the regional level might affect the sales of sanitary ware products through a shortage in building materials (delivery issues, unsecure sea routes). Also, the decline in the price of oil might lead the government to revise its budget dedicated to project housing, as it would not compromise its budget dedicated to defence nor the backbone of its economy where oil and gas infrastructure are costly. Among the economic measures taken by the government, the cut in energy subsidies might have an impact on the production costs for local manufacturers of ceramic faucets, since it represents a significant share from a cost-accounting perspective. This may reduce their competitiveness and lead to a restructure of the supply side.

High levels of new housing construction will be a key priority for the Saudi government over the forecast period, and additionally a strong contributor to faucet sales. New homes are not only required to ease the country's severe housing shortage, but additionally to ease social tension, as the King of Saudi Arabia maintains his legitimacy only through social spending (more generally, using

paternalism as a way to appease his subjects). This tension would have been viewed as regular social discontent if the Arab Spring uprising had not occurred beforehand. Beyond the social needs of housing, it is crucial for the government to keep its population content and to reduce the risk of being affected by the Arab Spring. Sales of faucets should continue to increase, but only if the government is able to cope with social protests through government spending by providing social housing for the population.

3.2 Historical Trends and Forecasts : Faucets

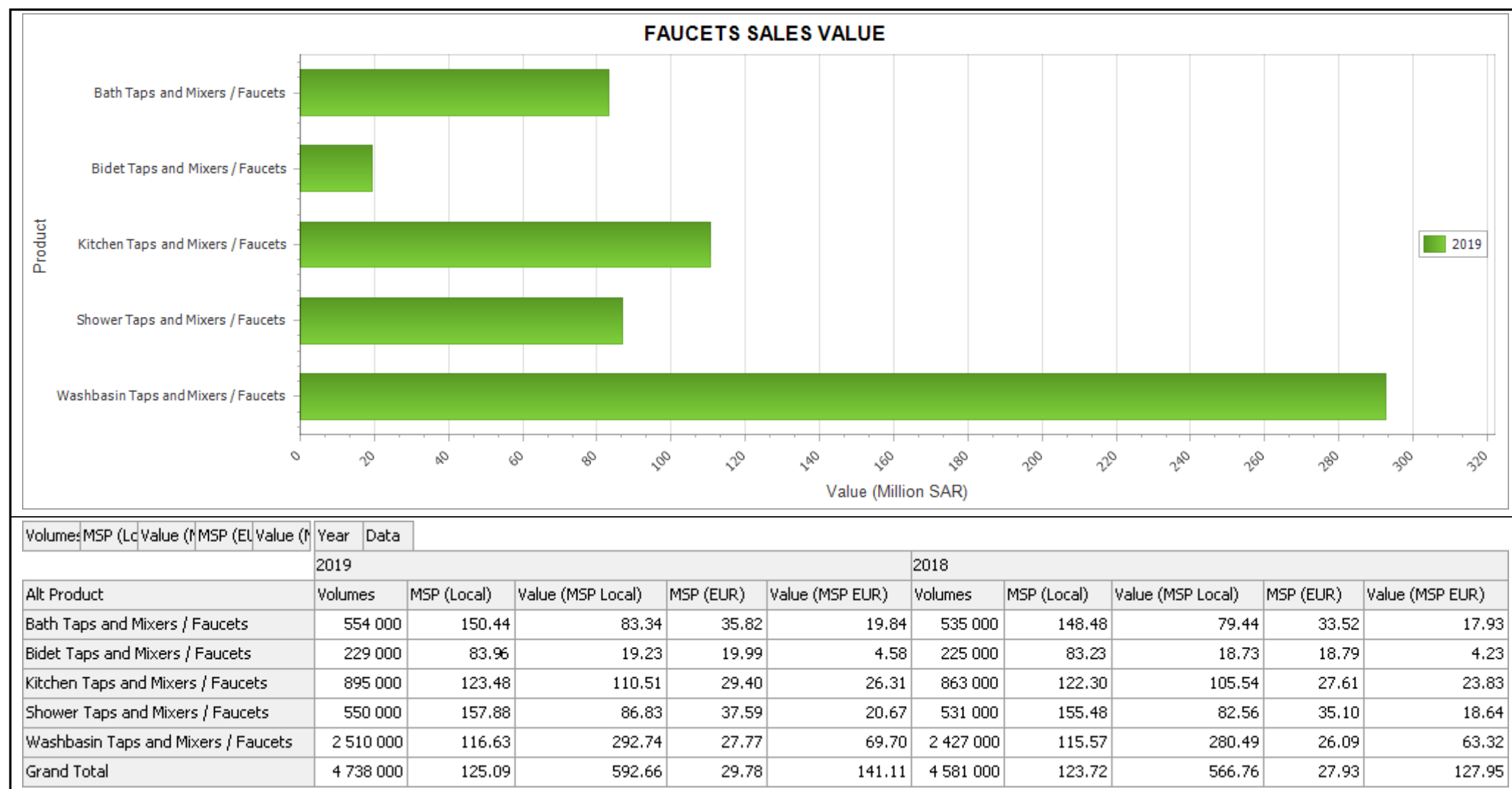
SA - SUMMARY OF TRENDS IN THE FAUCETS MARKET : HISTORICAL AND FORECASTS



Source: BRG based on industry interviews. N.B. Includes Both Kitchen and Sanitary Taps & Mixers

3.3.1 Prices and Market Values : Faucets

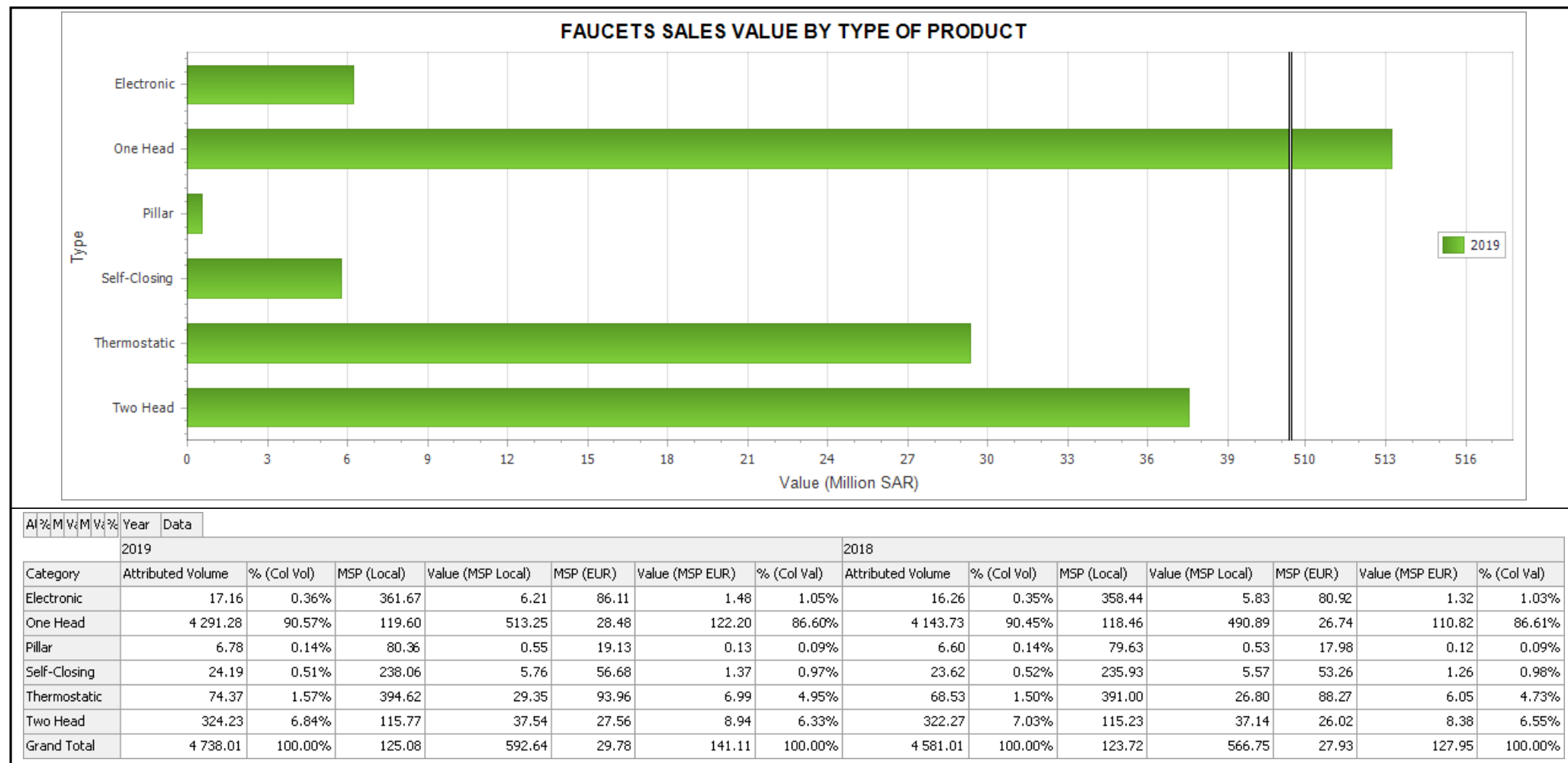
SA - ESTIMATED VALUES OF THE FAUCETS



Source: BRG based on industry interviews. Local Prices Shown in SAR. Values Shown in Millions (at MSP = Manufacturers' Selling Price).

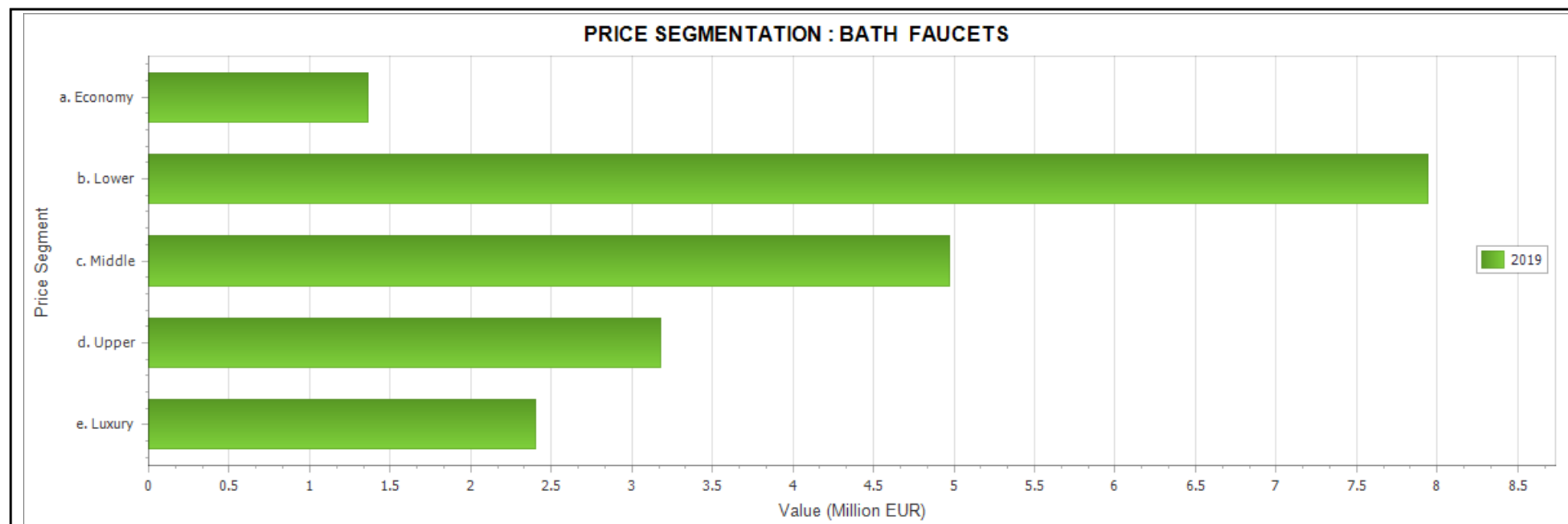
3.3.2 Prices and Market Values by Type : Faucets

SA - ESTIMATED VALUES OF THE FAUCETS MARKET BY TYPE OF PRODUCT



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding. Local Prices Shown in SAR. Volumes Shown in Thousands and Values Shown in Millions (at MSP = Manufacturers' Selling Price).

SA - ESTIMATED PRICE SEGMENTATION FOR BATH FAUCETS

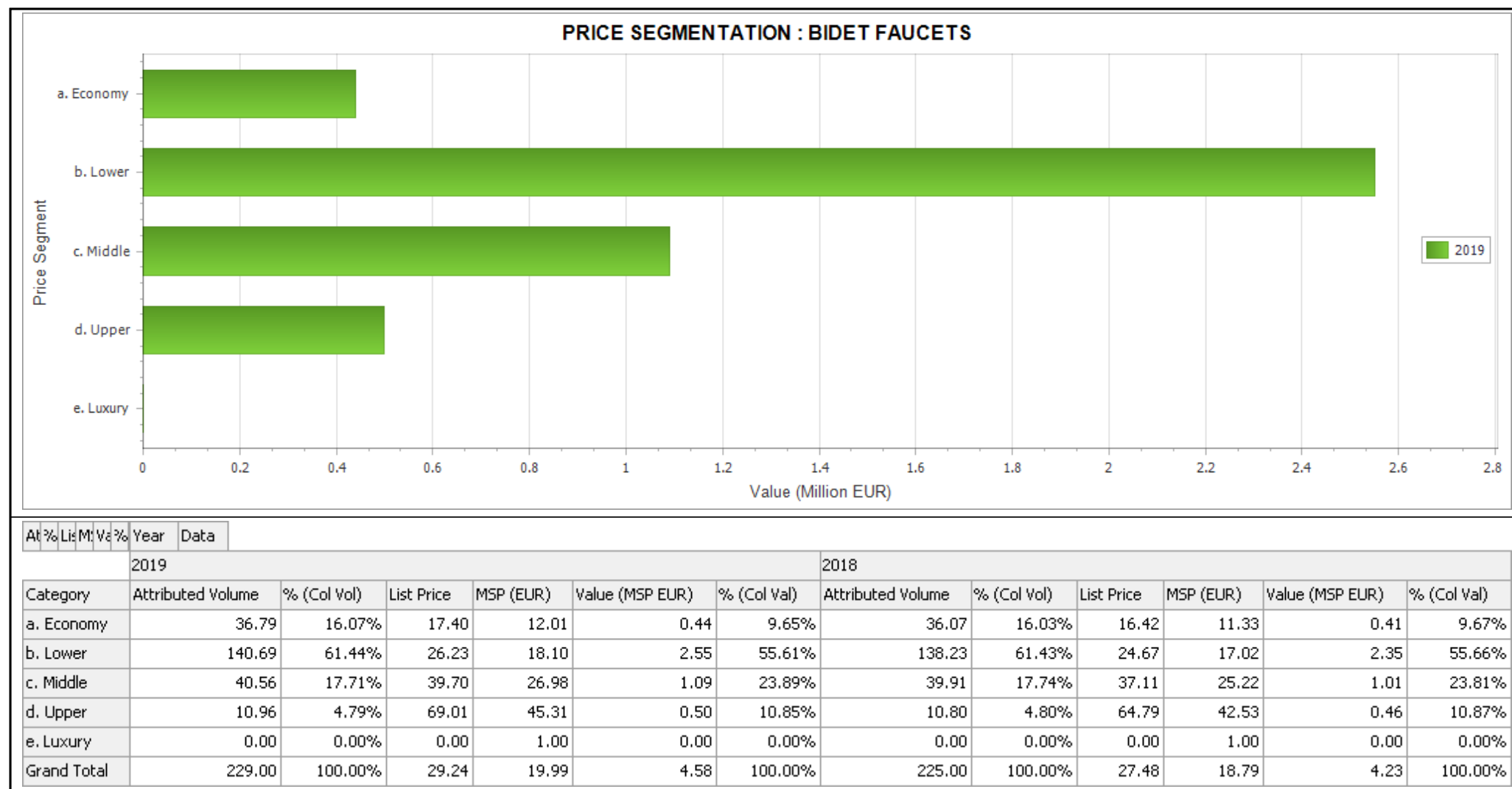


At %	Li %	M %	V %	Year	Data							
2019						2018						
Category	Attributed Volume	% (Col Vol)	List Price	MSP (EUR)	Value (MSP EUR)	% (Col Val)	Attributed Volume	% (Col Vol)	List Price	MSP (EUR)	Value (MSP EUR)	% (Col Val)
a. Economy	76.18	13.75%	25.84	17.83	1.36	6.85%	78.51	14.67%	25.26	17.43	1.37	7.66%
b. Lower	296.42	53.50%	38.80	26.77	7.94	40.00%	293.38	54.84%	37.93	26.17	7.68	43.00%
c. Middle	111.78	20.18%	65.07	44.44	4.97	25.03%	101.04	18.89%	59.31	40.33	4.08	22.82%
d. Upper	48.95	8.84%	98.85	65.04	3.18	16.05%	45.05	8.42%	95.64	62.93	2.84	15.88%
e. Luxury	20.67	3.73%	181.17	115.93	2.40	12.08%	17.02	3.18%	174.40	111.60	1.90	10.64%
Grand Total	554.00	100.00%	52.94	35.81	19.84	100.00%	535.00	100.00%	49.31	33.38	17.86	100.00%

Source: BRG based on industry interviews. Total may show slight variance compared to market data due to rounding. Volumes Shown in Thousands and Values Shown in Millions (at MSP = Manufacturers' Selling Price). Economy <€20, Lower €20-€30, Middle €30-€50, Upper €50-€80 and Luxury >€80

3.3.4 Price Segmentation : Bidet Faucets

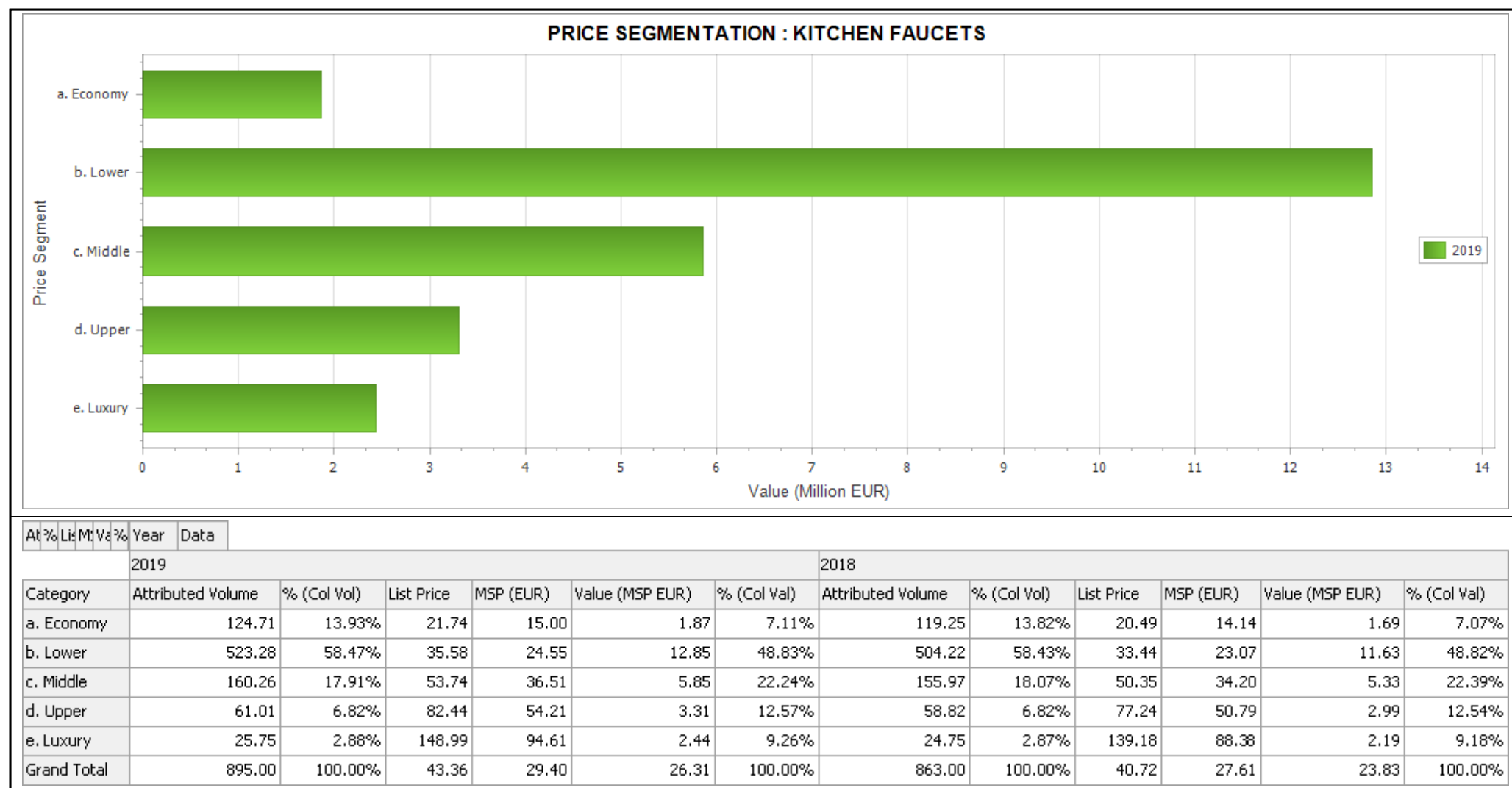
SA - ESTIMATED PRICE SEGMENTATION FOR BIDET FAUCETS



Source: BRG based on industry interviews. Total may show slight variance compared to market data due to rounding. Volumes Shown in Thousands and Values Shown in Millions (at MSP = Manufacturers' Selling Price). Economy <€15, Lower €15-€25, Middle €25-€40, Upper €40-€80 and Luxury >€80

3.3.5 Price Segmentation : Kitchen Faucets

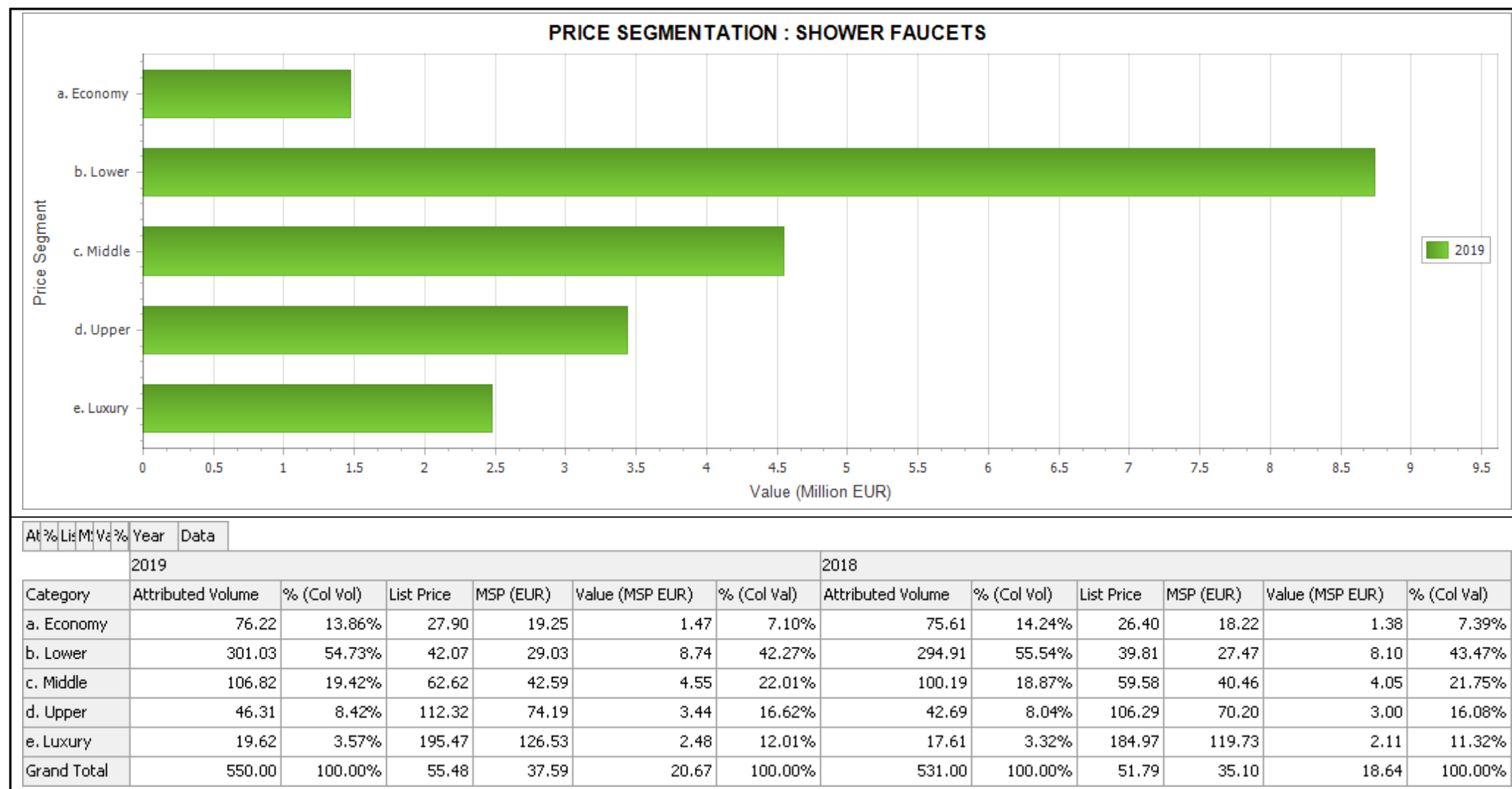
SA - ESTIMATED PRICE SEGMENTATION FOR KITCHEN FAUCETS



Source: BRG based on industry interviews. Total may show slight variance compared to market data due to rounding. Volumes Shown in Thousands and Values Shown in Millions (at MSP = Manufacturers' Selling Price). Economy <€20, Lower €20-€30, Middle €30-€40, Upper €40-€80 and Luxury >€80

3.3.6 Price Segmentation : Shower Faucets

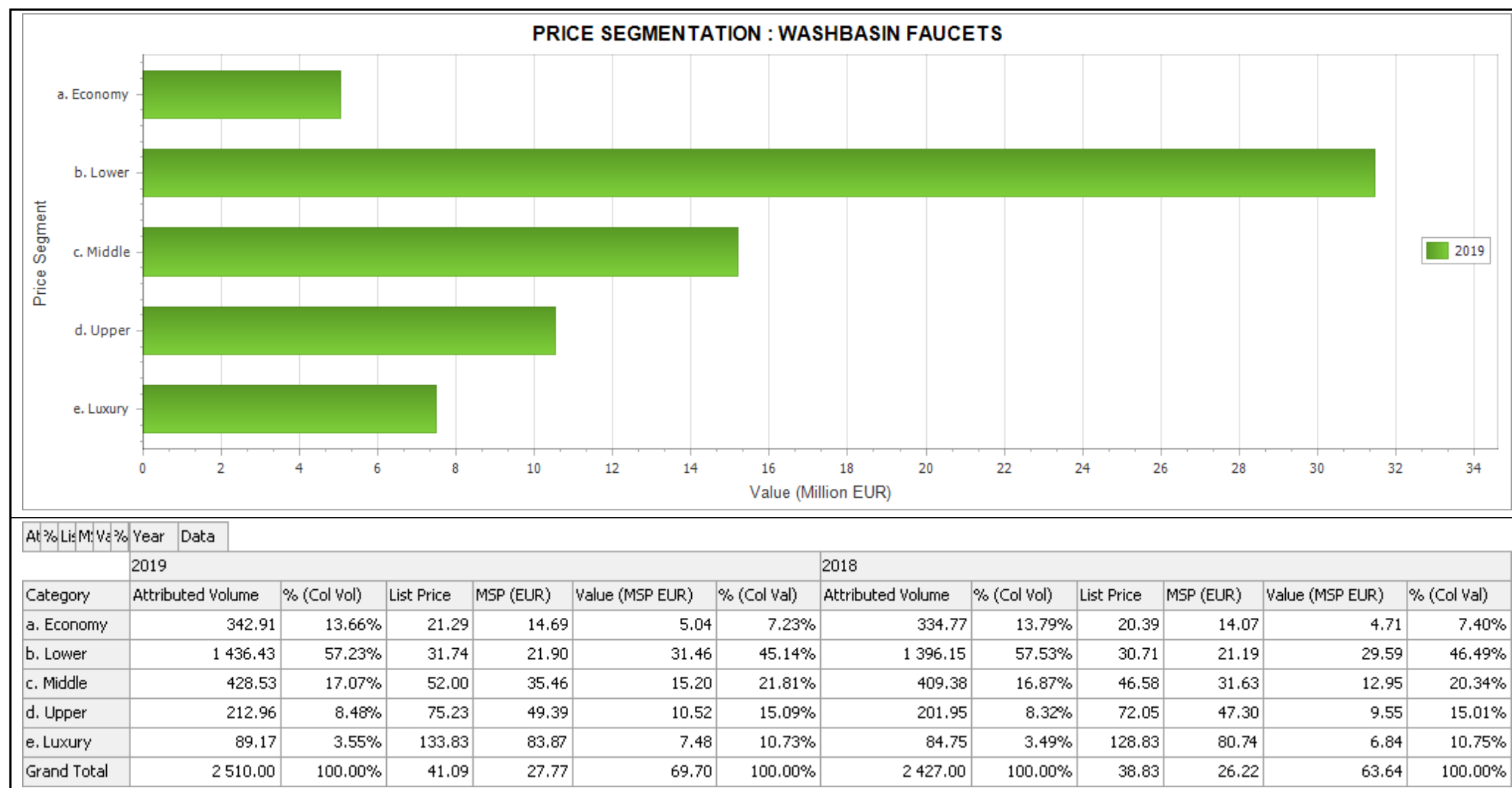
SA - ESTIMATED PRICE SEGMENTATION FOR SHOWER FAUCETS



Source: BRG based on industry interviews. Total may show slight variance compared to market data due to rounding. Volumes Shown in Thousands and Values Shown in Millions (at MSP = Manufacturers' Selling Price). Economy <€25, Lower €25-€35, Middle €35-€60, Upper €60-€100 and Luxury >€100

3.3.6 Price Segmentation : Washbasin Faucets

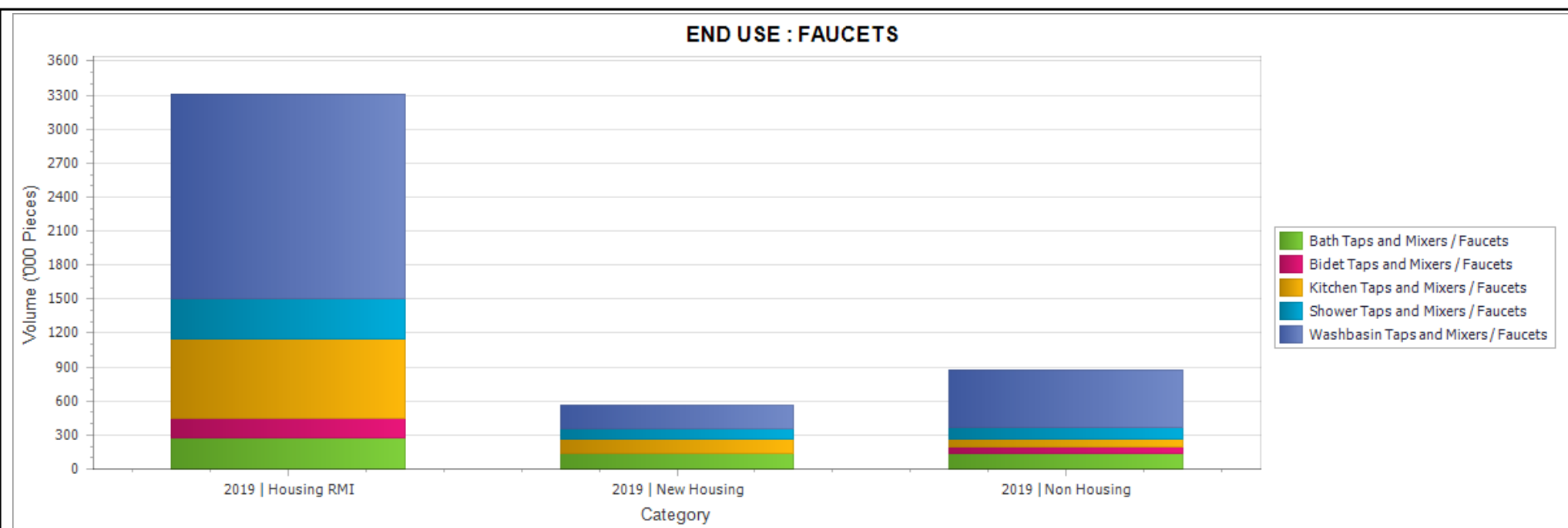
SA - ESTIMATED PRICE SEGMENTATION FOR WASHBASIN FAUCETS



Source: BRG based on industry interviews. Total may show slight variance compared to market data due to rounding. Volumes Shown in Thousands and Values Shown in Millions (at MSP = Manufacturers' Selling Price). Economy <€20, Lower €20-€30, Middle €30-€45, Upper €45-€80 and Luxury >€80

3.4.1 End Use : Base Year

SA - SALES OF FAUCETS BY TYPE AND END USE SEGMENT ('000 PIECES)

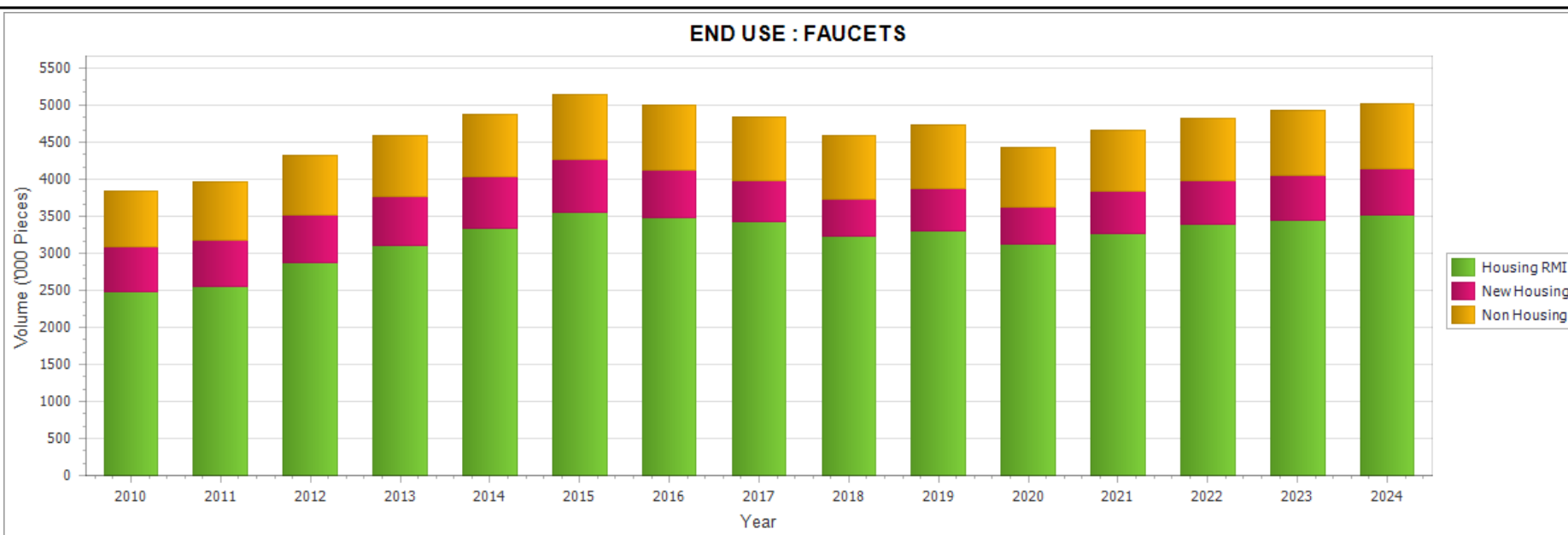


Attributed Volume	% (Col)	% (Row)	Year	Category	Data									
			2019									2019 Total		
			Housing RMI			New Housing			Non Housing					
Alt Product	Attributed Volume	% (Col)	% (Row)	Attributed Volume	% (Col)	% (Row)	Attributed Volume	% (Col)	% (Row)	Attributed Volume	% (Col)	% (Row)		
Bath Taps and Mixers / Faucets	278.14	8.41%	50.21%	132.46	23.61%	23.91%	143.40	16.52%	25.88%	554.00	11.69%	100.00%		
Bidet Taps and Mixers / Faucets	170.60	5.16%	74.50%	11.03	1.97%	4.82%	47.37	5.46%	20.69%	229.00	4.83%	100.00%		
Kitchen Taps and Mixers / Faucets	704.47	21.29%	78.71%	117.00	20.85%	13.07%	73.53	8.47%	8.22%	895.00	18.89%	100.00%		
Shower Taps and Mixers / Faucets	354.83	10.72%	64.51%	96.28	17.16%	17.51%	98.89	11.40%	17.98%	550.00	11.61%	100.00%		
Washbasin Taps and Mixers / Faucets	1801.10	54.43%	71.76%	204.27	36.41%	8.14%	504.63	58.15%	20.10%	2510.00	52.98%	100.00%		
Grand Total	3309.14	100.00%	69.84%	561.05	100.00%	11.84%	867.82	100.00%	18.32%	4738.01	100.00%	100.00%		

Source: BRG based on industry interviews. Totals may show slight variance due to rounding. N.B. Includes Kitchen and Sanitary Taps & Mixers

3.4.2 End Use : Historical and Forecasts

SA - SALES OF FAUCETS BY END USE SEGMENT ('000 PIECES)

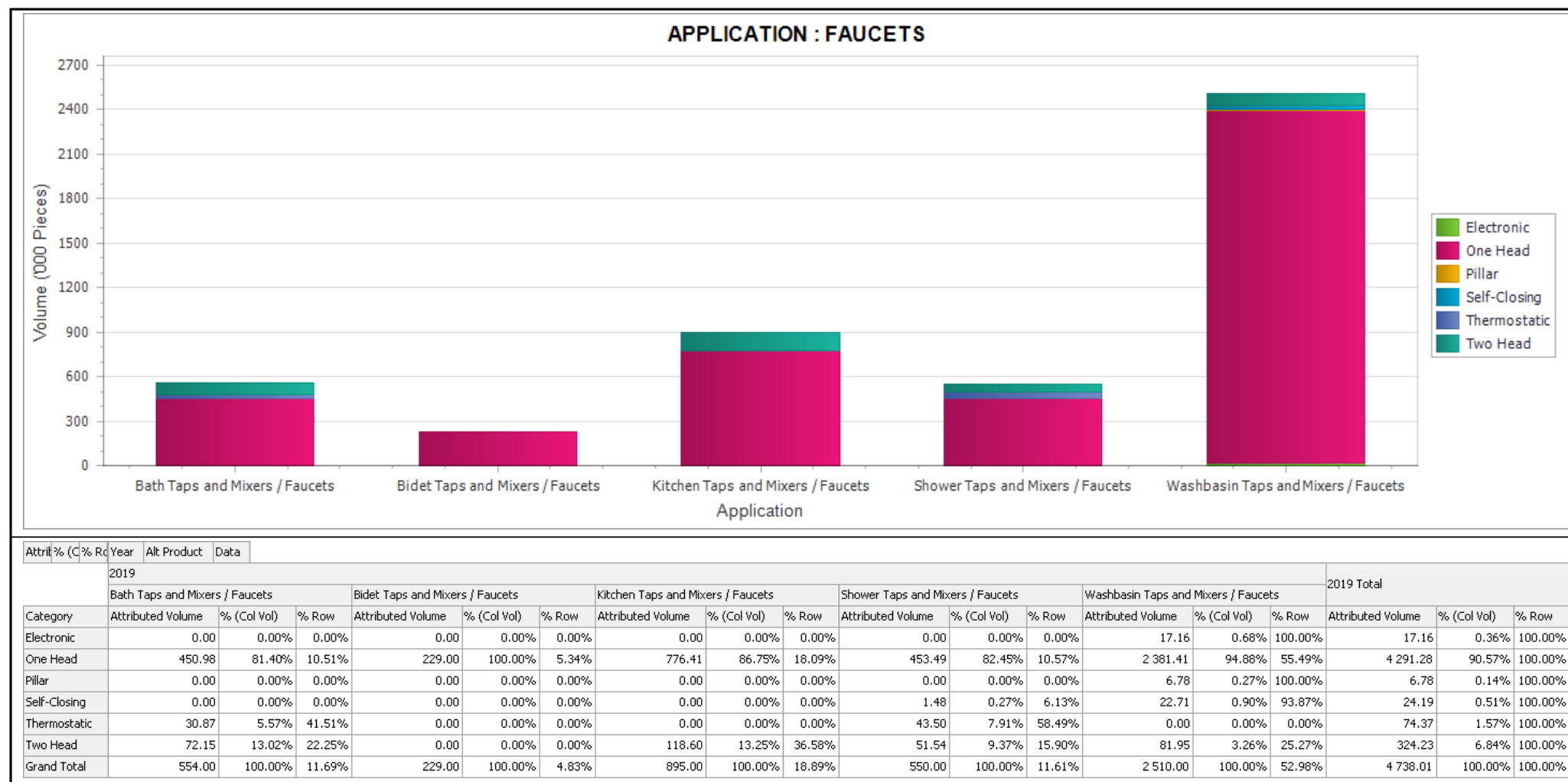


Attributed Volume		% (Col)	Year														
Category	Data		2010	2011	2012	2013	2014	2015	2016	2017	2018	2019	2020	2021	2022	2023	2024
Housing RMI	Attributed Volume		2485.99	2549.70	2867.56	3104.73	3342.58	3548.12	3486.28	3424.02	3228.56	3309.14	3121.00	3270.04	3383.01	3450.99	3519.61
	% (Col)		64.84%	64.32%	66.33%	67.58%	68.50%	68.99%	69.87%	70.89%	70.48%	69.84%	70.60%	70.07%	70.27%	70.16%	70.13%
New Housing	Attributed Volume		602.18	618.12	641.46	666.50	686.26	710.52	639.19	557.27	506.72	561.05	502.99	572.88	589.34	606.08	623.08
	% (Col)		15.71%	15.59%	14.84%	14.51%	14.06%	13.82%	12.81%	11.54%	11.06%	11.84%	11.38%	12.28%	12.24%	12.32%	12.41%
Non Housing	Attributed Volume		746.04	795.98	813.99	822.77	851.17	884.36	864.54	848.73	845.73	867.82	796.92	823.59	841.66	861.95	876.12
	% (Col)		19.46%	20.08%	18.83%	17.91%	17.44%	17.20%	17.33%	17.57%	18.46%	18.32%	18.03%	17.65%	17.48%	17.52%	17.46%
Grand Total	Attributed Volume		3834.20	3963.80	4323.00	4594.00	4880.00	5143.00	4990.01	4830.01	4581.01	4738.01	4420.91	4666.51	4814.01	4919.01	5018.81
	% (Col)		100.00%	100.00%	100.00%	100.00%	100.00%	100.00%	100.00%	100.00%	100.00%	100.00%	100.00%	100.00%	100.00%	100.00%	100.00%

Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding. N.B. Includes Both Kitchen and Sanitary Taps & Mixers

3.4.3 Sales by Type and Application : Faucets

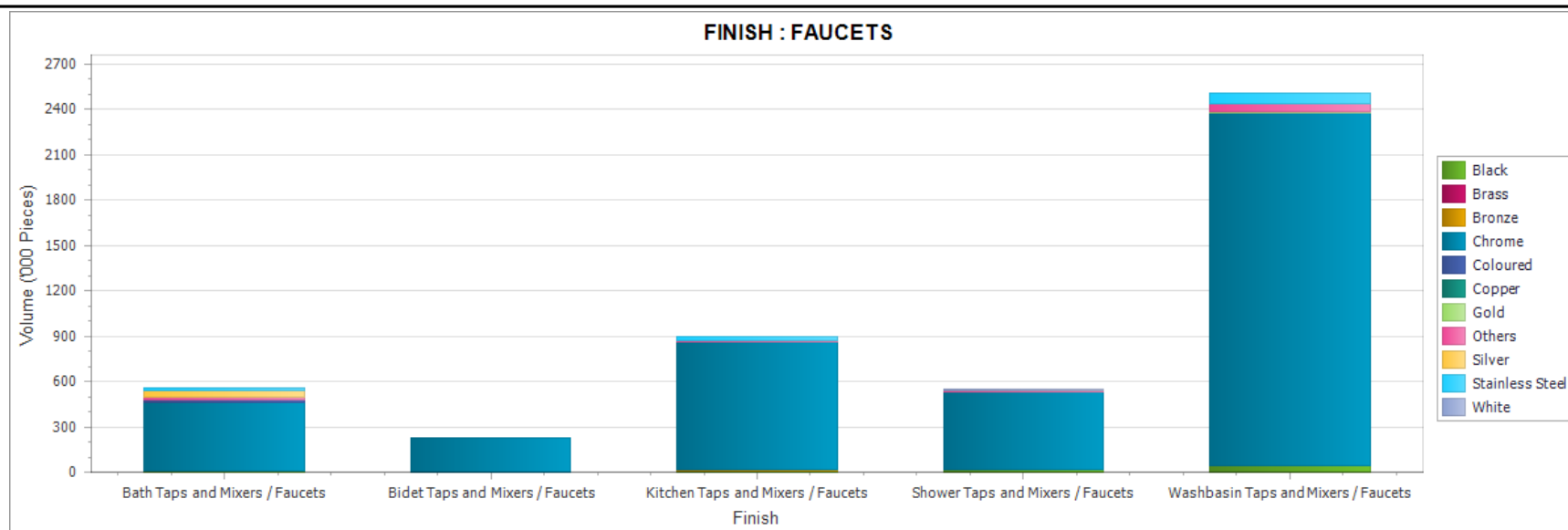
SA - FAUCETS SALES BY TYPE AND APPLICATION ('000 PIECES)



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

3.4.4 Sales by Type of Finish : Faucets

SA - FAUCETS SALES BY FINISH AND APPLICATION ('000 PIECES)

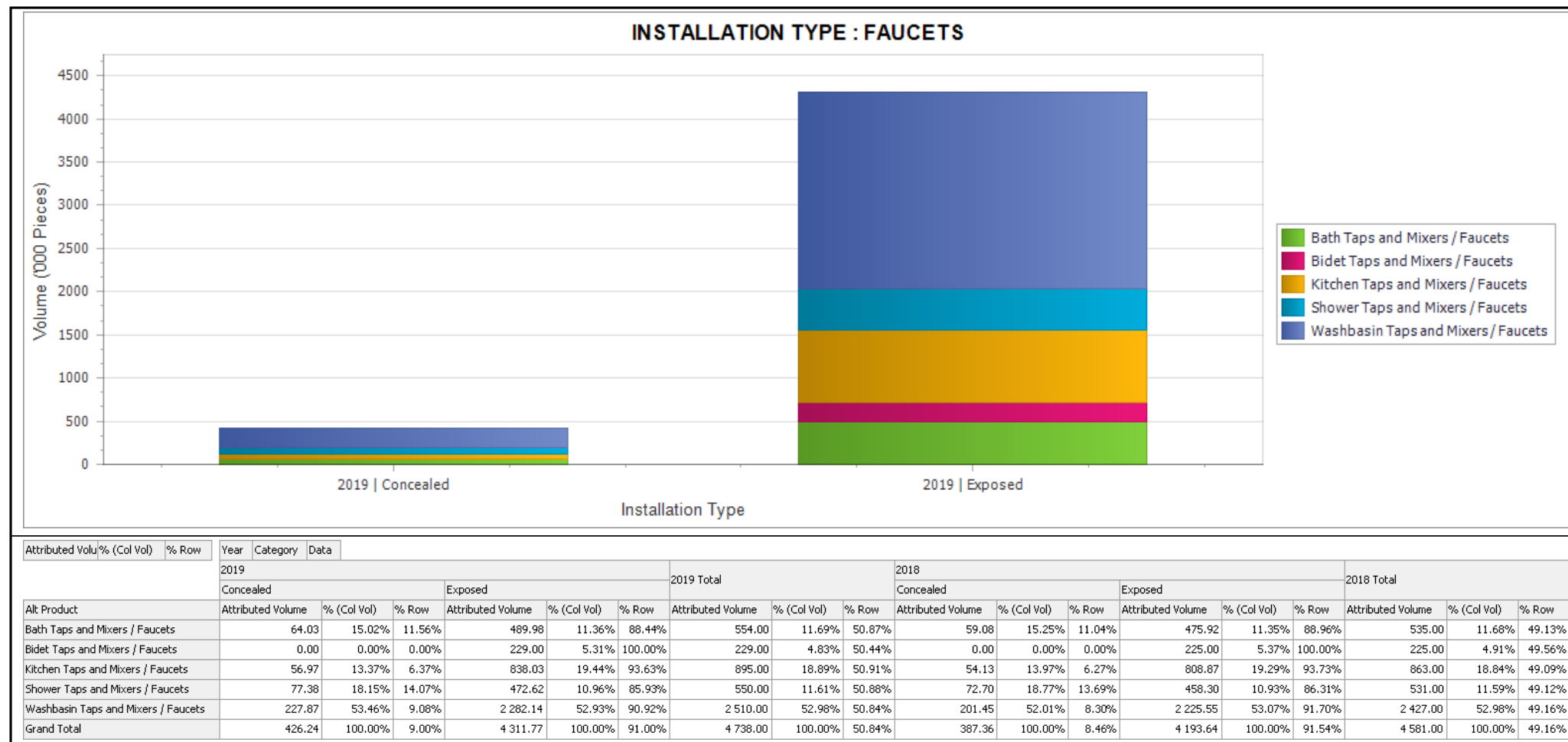


Attribute	% (Col Vol)	Year	Alt Product	Data										
					2019							2019 Total		
					Bath Taps and Mixers / Faucets		Bidet Taps and Mixers / Faucets		Kitchen Taps and Mixers / Faucets		Shower Taps and Mixers / Faucets			Washbasin Taps and Mixers / Faucets
Category	Attributed Volume	% (Col Vol)	Attributed Volume	% (Col Vol)	Attributed Volume	% (Col Vol)	Attributed Volume	% (Col Vol)	Attributed Volume	% (Col Vol)	Attributed Volume	% (Col Vol)		
Black	6.65	1.20%	0.00	0.00%	9.85	1.10%	16.50	3.00%	40.16	1.60%	73.15	1.54%		
Brass	0.00	0.00%	0.00	0.00%	0.90	0.10%	0.00	0.00%	0.00	0.00%	0.90	0.02%		
Bronze	0.55	0.10%	0.00	0.00%	5.37	0.60%	0.00	0.00%	0.00	0.00%	5.92	0.13%		
Chrome	455.39	82.20%	229.00	100.00%	842.20	94.10%	514.25	93.50%	2 334.30	93.00%	4 375.14	92.34%		
Coloured	16.62	3.00%	0.00	0.00%	0.00	0.00%	0.00	0.00%	0.00	0.00%	16.62	0.35%		
Copper	0.00	0.00%	0.00	0.00%	0.90	0.10%	0.00	0.00%	0.00	0.00%	0.90	0.02%		
Gold	2.77	0.50%	0.00	0.00%	0.00	0.00%	0.00	0.00%	10.04	0.40%	12.81	0.27%		
Others	16.62	3.00%	0.00	0.00%	8.95	1.00%	8.25	1.50%	50.20	2.00%	84.02	1.77%		
Silver	38.78	7.00%	0.00	0.00%	0.00	0.00%	0.00	0.00%	0.00	0.00%	38.78	0.82%		
Stainless Steel	16.62	3.00%	0.00	0.00%	26.85	3.00%	0.00	0.00%	75.30	3.00%	118.77	2.51%		
White	0.00	0.00%	0.00	0.00%	0.00	0.00%	11.00	2.00%	0.00	0.00%	11.00	0.23%		
Grand Total	554.00	100.00%	229.00	100.00%	895.00	100.00%	550.00	100.00%	2 510.00	100.00%	4 738.00	100.00%		

Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

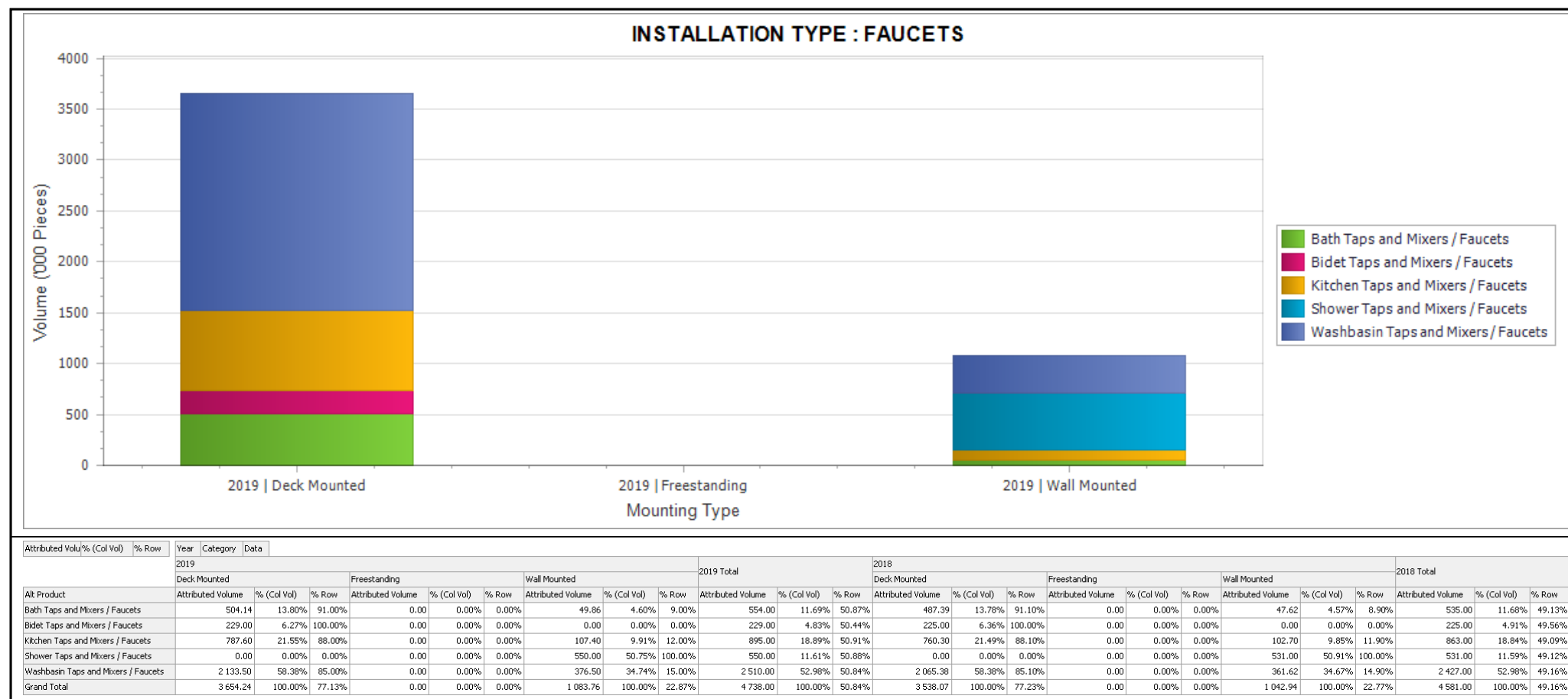
3.4.5 Sales by Type of Installation : Faucets

SA - FAUCETS SALES BY INSTALLATION TYPE ('000 PIECES)



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

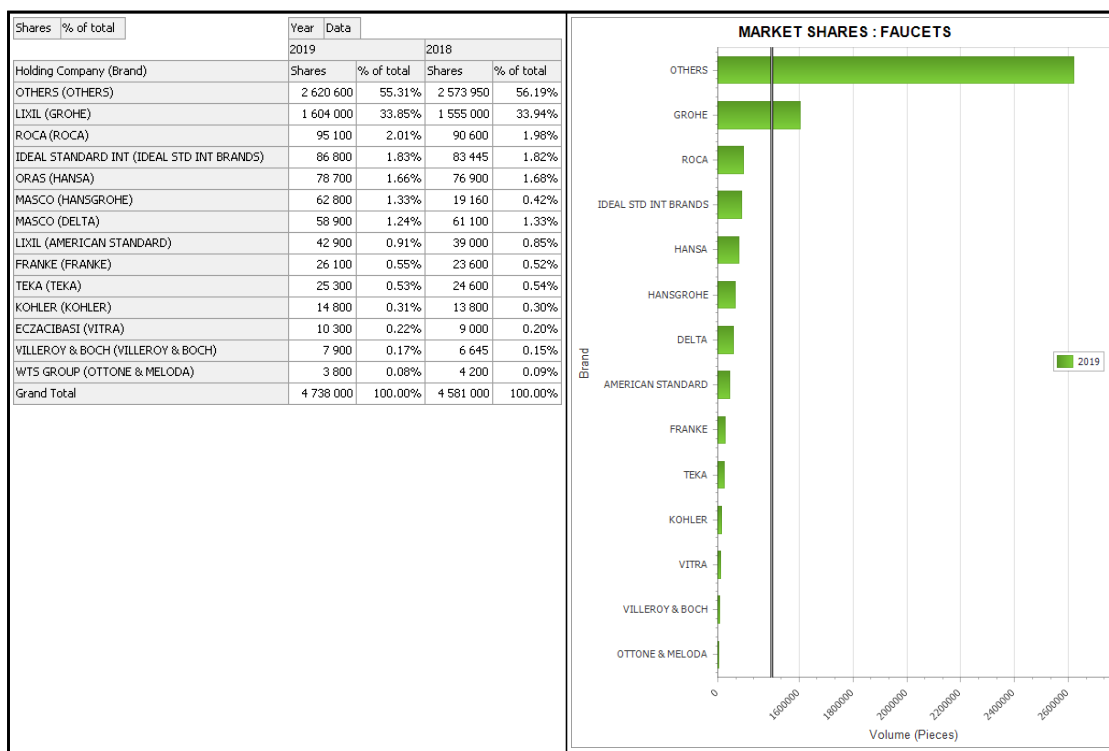
SA - FAUCETS SALES BY INSTALLATION TYPE ('000 PIECES)



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

3.5 Market Shares : Faucets

SA - ESTIMATED MARKET SHARES FOR FAUCETS



Source: BRG based on industry interviews. N.B. Includes Both Kitchen and Sanitary Taps & Mixers.

3.6.1

Route to Market: Sanitary Taps & Mixers / Faucets
SA - ESTIMATED DISTRIBUTION FOR SANITARY TAPS & MIXERS / FAUCETS: 2019

Manufacturer / Importer

Manufacturers / Importers
100.0%

Wholesale Level

70.2%
Wholesalers / Merchants
70.2%

Retail Level

Manufacturer	Wholesaler
1.2%	1.0%
Internet Retailers	
2.2%	

Manufacturer	Wholesaler
0.0%	0.0%
DIY Retailers	
0.0%	

Manufacturer	Wholesaler
17.2%	41.0%
Specialist Retailers	
58.2%	

Manufacturer	Wholesaler	Internet	DIY	Specialist
0.0%	18.0%	0.5%	0.0%	14.2%
Installers				
32.7%				

End Use Level

Manufacturer	Wholesaler	Internet	DIY	Specialist	Installer
8.0%	10.2%	1.5%	0.0%	40.0%	19.7%
Residential					
79.3%					
New Build			Residential RMI		
11.6%			67.8%		
Project	Non-Project	Project	Non-Project	Project	Non-Project
7.0%	4.6%	4.8%	63.0%		

Manufacturer	Wholesaler	Internet	DIY	Specialist	Installer
3.4%	0.0%	0.2%	0.0%	4.0%	13.0%
Non-Residential					
20.7%					
New Build			Non-Residential RMI		
5.0%			15.7%		
Project	Non-Project	Project	Non-Project	Project	Non-Project
4.0%	1.0%	1.7%	14.0%		

3.6.2

Route to Market: Sanitary Taps & Mixers / Faucets
SA - ESTIMATED DISTRIBUTION FOR SANITARY TAPS & MIXERS / FAUCETS: 2024

Manufacturer / Importer

Manufacturers / Importers
100.0%

Wholesale Level

71.0%
Wholesalers / Merchants
71.0%

Retail Level

Manufacturer	Wholesaler
2.0%	2.0%
Internet Retailers	
4.0%	

Manufacturer	Wholesaler
0.0%	0.0%
DIY Retailers	
0.0%	

Manufacturer	Wholesaler
19.0%	40.0%
Specialist Retailers	
59.0%	

Manufacturer	Wholesaler	Internet	DIY	Specialist
0.0%	18.0%	0.7%	0.0%	18.0%
Installers				
36.7%				

End Use Level

Manufacturer	Wholesaler	Internet	DIY	Specialist	Installer
4.4%	11.0%	2.8%	0.0%	37.0%	25.1%
Residential					
80.3%					
New Build			Residential RMI		
12.1%			68.1%		
Project	Non-Project	Project	Non-Project	Project	Non-Project
8.0%	4.1%	5.1%	63.0%		

Manufacturer	Wholesaler	Internet	DIY	Specialist	Installer
3.6%	0.0%	0.5%	0.0%	4.0%	11.6%
Non-Residential					
19.7%					
New Build			Non-Residential RMI		
5.0%			14.7%		
Project	Non-Project	Project	Non-Project	Project	Non-Project
4.0%	1.0%	1.5%	13.2%		

Source: BRG Based on Industry Interviews. - Totals may vary due to roundings

3.6.3 Route to Market - Consolidated View : Sanitary Taps and Mixers / Faucets

SA - ESTIMATED DISTRIBUTION FOR SANITARY TAPS AND MIXERS / FAUCETS : 2019

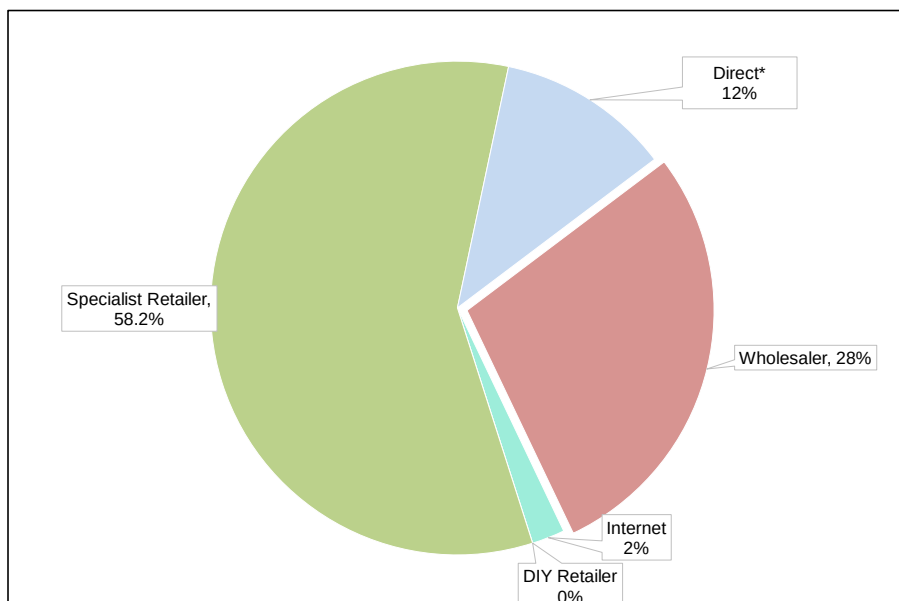
Route to Market - End Use Level					Project		Non-Project	
Wholesaler	Internet	DIY Retailer	Specialist Retailer	Direct*	Residential	Non-Residential	Residential	Non-Residential
28.2%	2.2%	0.0%	58.2%	11.4%	11.8%	5.7%	67.5%	15.0%
100%					17.5%		82.5%	

3.6.4 Route to Market - Consolidated View : Sanitary Taps and Mixers / Faucets

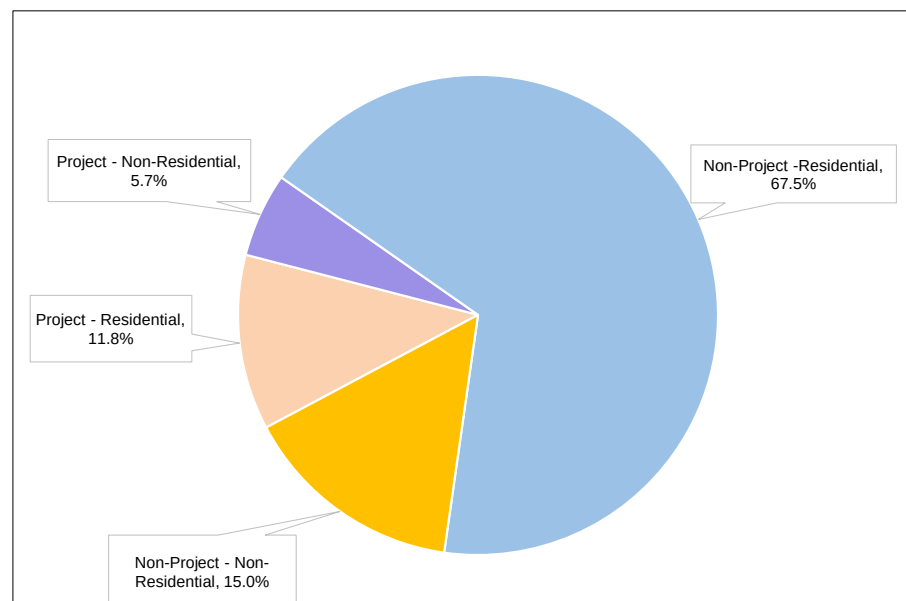
SA - ESTIMATED DISTRIBUTION FOR SANITARY TAPS AND MIXERS / FAUCETS : 2024

Route to Market - End Use Level					Project		Non-Project	
Wholesaler	Internet	DIY Retailer	Specialist Retailer	Direct*	Residential	Non-Residential	Residential	Non-Residential
29.0%	4.0%	0.0%	59.0%	8.0%	13.1%	5.5%	67.2%	14.2%
100%					18.6%		81.4%	

SA - SALES OF SANITARY TAPS AND MIXERS / FAUCETS BY DISTRIBUTION CHANNEL: 2019



SA - SALES OF SANITARY TAPS AND MIXERS / FAUCETS BY POINT OF DECISION AND END-USE SECTOR: 2019



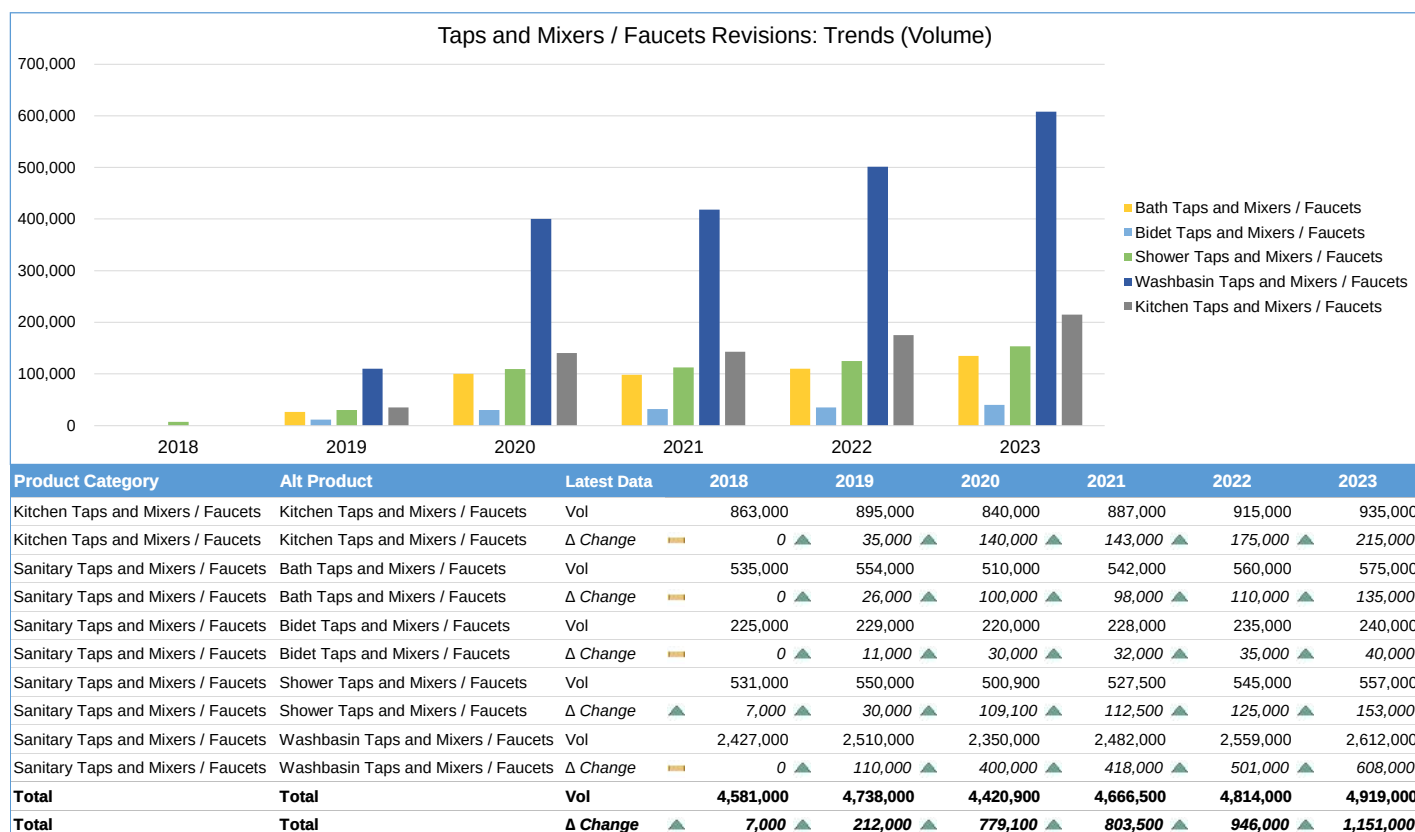
Source: BRG Based on Industry Interviews.

*Direct includes sales going directly from manufacturers to installers, contractors and private customers.

3.7 Revisions in the Saudi Taps and Mixers / Faucets Market (April 2020)

SA - REVISIONS IN THE SAUDI TAPS AND MIXERS / FAUCETS MARKET

Data Comparison: April 2019

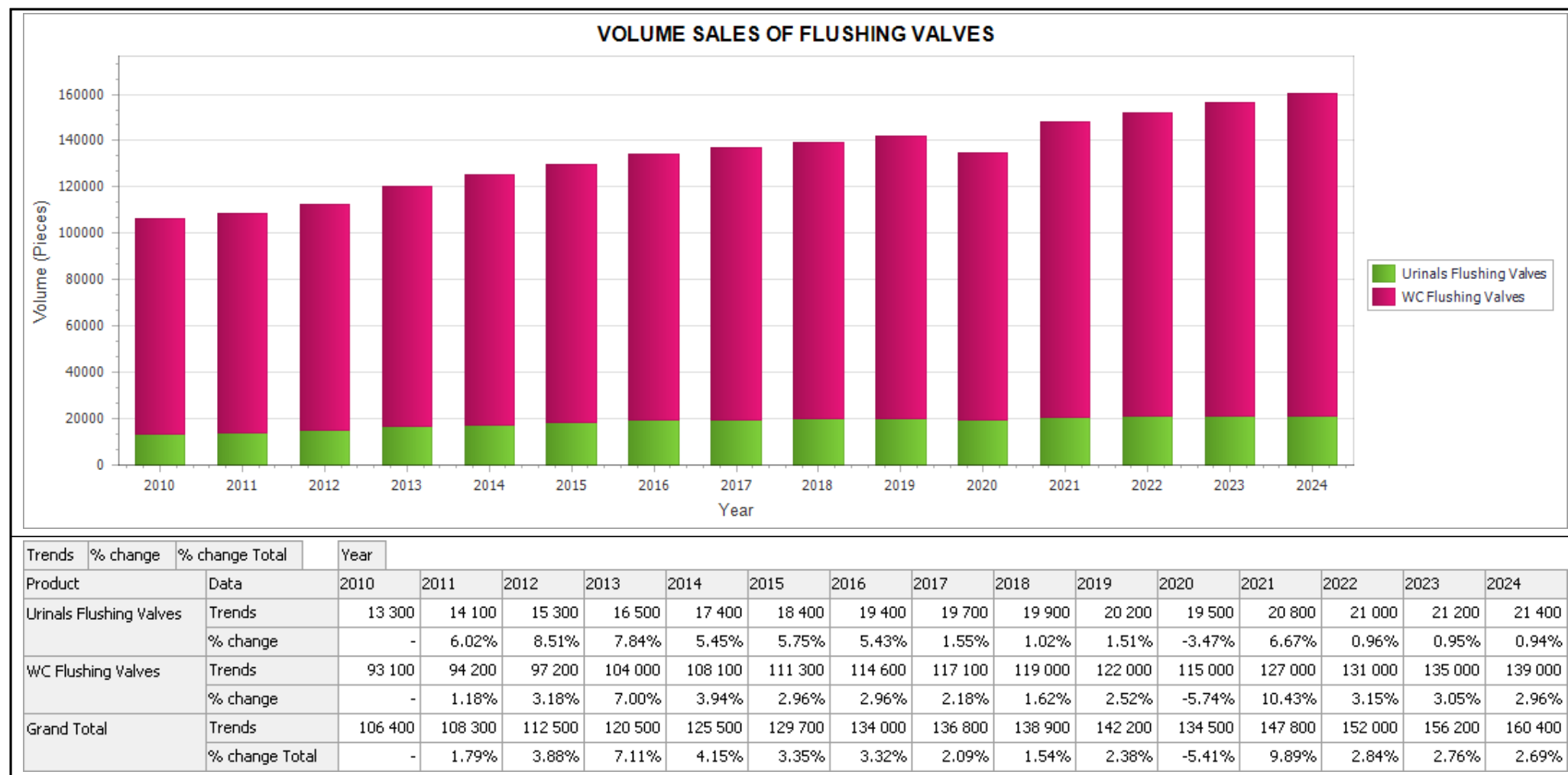


The historical series 2007-2019 for faucets were revised downward (except for 2010, which was revised upward), this was due to a longer lifespan for faucets installed in the non-housing segment, compared to what was previously thought. For 2010, the market experienced a stronger rebound than previously thought (following the declining market in 2009), with massive imports from China.

The stronger revision made for the forecasting period was due to uncertainty with regards to the government budget that would be allocated to the construction sector, considering recent development in oil prices.

3.8.1 Historical Trends and Forecasts : Flushing Valves

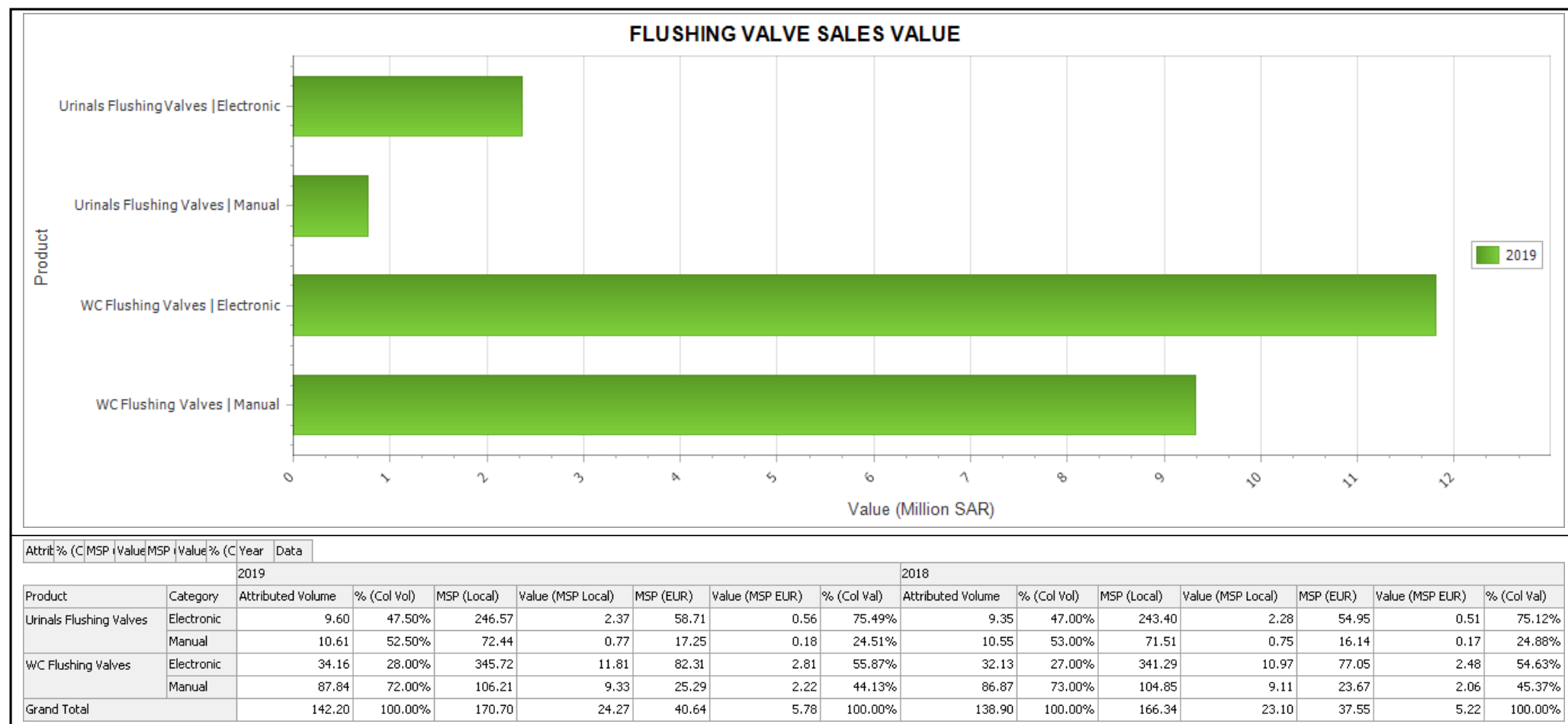
SA - SUMMARY OF TRENDS IN THE FLUSHING VALVE MARKET : HISTORICAL AND FORECASTS



Source: BRG based on industry interviews.

3.8.2 Prices and Market Values : Flushing Valves

SA - ESTIMATED VALUES OF THE FLUSHING VALVE MARKET

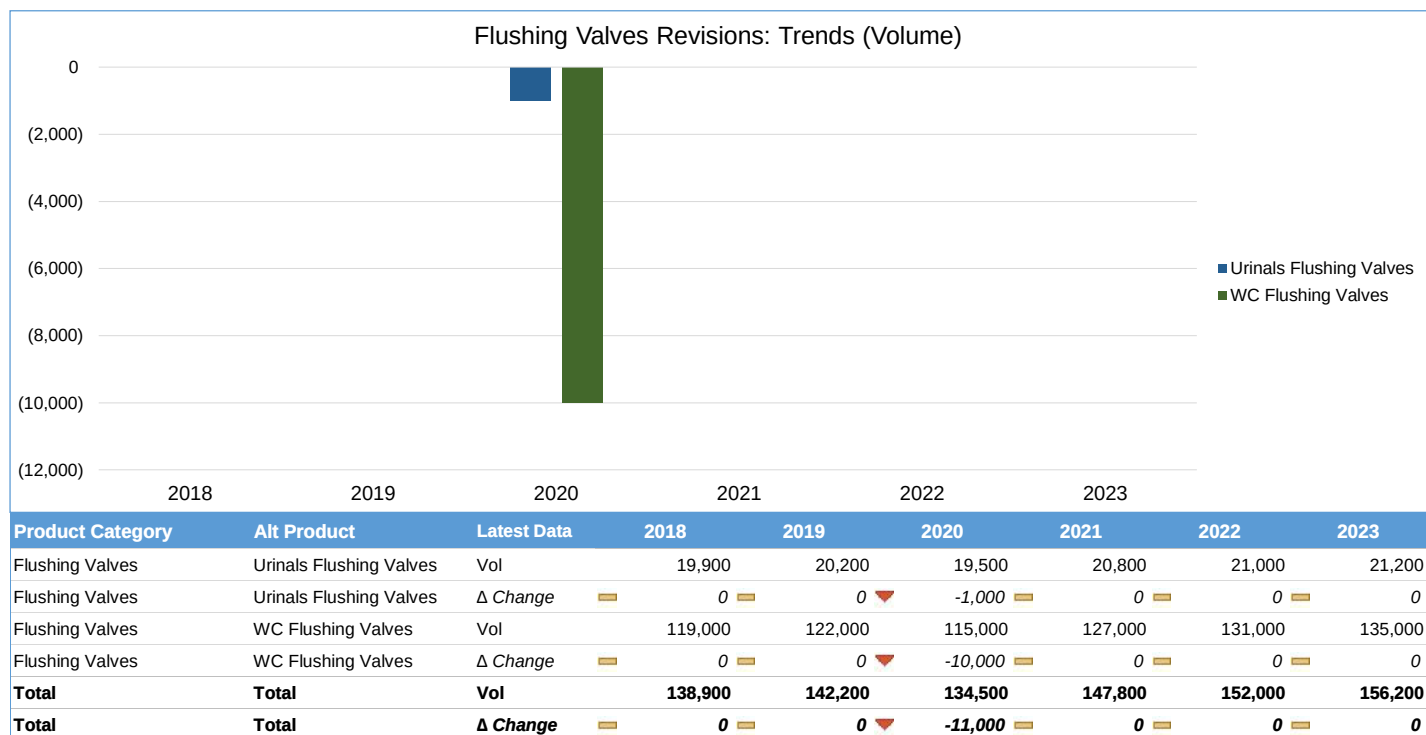


Source: BRG based on industry interviews. Total may show slight variance compared to market data due to rounding. Local Prices Shown in SAR.

3.9 Revisions in the Saudi Flushing Valves Market (April 2020)

SA - REVISIONS IN THE SAUDI FLUSHING VALVES MARKET

Data Comparison: April 2019



No revisions were made to the volume sales of flushing valves historically or during base year.

SAUDI ARABIA

SHOWER WALL

THE MIDDLE EASTERN BATHROOM & KITCHEN PRODUCT MARKETS



Market Characteristics and Product Mix

The shower wall market in Saudi Arabia is relatively small compared to the size of the country. When looking at the product split, the market size for bath screens represents only a small proportion of the overall market, despite the fact that the baths market is larger than the shower trays market. This is due to the singularity of the country and its cultural specificity when it comes to bathrooms. Shower enclosures are much more common because most of the shower trays sold in the country go to the new housing sector and are generally equipped with shower enclosures. While most of the baths installed in Saudi Arabia also go to new housing, they are rarely sold with a bath screen.

Indeed, the installation of bathroom products dedicated to protecting water from being splashed around is not very common in Saudi Arabia. In both residential and non-residential bathrooms, a drain is installed on the floor. Entering into a Saudi bathroom is rarely done with shoes on (a pair of sandals is often used). The bathroom floor in Saudi Arabia is, indeed, often wet due to the ablutions (the ritual washing for religious purposes) and one of the continuing tasks for a maid is to mop the bathroom floor several times a day.

Most of the time, a curtain is used instead of a bath screen. Even in the non-housing segment, bath screens are not that common either. Bath screens are mainly used in luxury dwellings and their sales are limited. Curtains are often used and are generally more efficient than a bath screen, especially when it comes to washing the feet for the ritual ablutions.

Conventional shower cubicles are mostly used in temporary dwellings, those dedicated to foreign blue-collar workers, where their housing needs are taken on by the company and based near their place of work. These different reasons lead each segment of the shower wall market to follow its own trend.

Out of the three segments of the Saudi shower wall market, the residential construction activity is the most relevant for sales of shower enclosures, while the two others depend on other factors. For example, big projects dedicated to roads and other infrastructure far away from cities should be more relevant to explaining the sales trend for shower cubicles.

Recent Market Trends

In 2019, the shower wall market expanded in Saudi Arabia.

The improvement of the economic environment, following the combination of radical economic reforms initiated by the Prince MBS and higher oil prices, led the construction sector to get back on track. By the end of the year, the country witnessed a higher number of dwelling completions, after a few years of decline.

Prices and Market Values

In 2019, the MSP for shower walls increased faster than the year before, thanks to the stronger demand registered during that year.

However, this stronger price increase remained moderate despite the pressure on demand. This was due to the combination of a limited inflation registered during that year, as well as cheaper product installed, as most of the new houses are part of the social housing programme that aims to provide affordable dwellings to the population.

Contractors try to soften the increasing construction costs (generated by a new law towards immigrants, which represent over 90% of workers in the construction field) by cutting costs of building materials.

Because most shower walls are imported and billed in USD, the fluctuation in the exchange rate played a key role, in 2019, to define the MSP expressed in Euros.

New Housing

In 2019, sales of shower walls increased in Saudi Arabia. A higher number of new dwellings were completed in the country.

In 2019, AL AKARIA announced the establishment of a joint venture with TRIPLE FIVE to develop the world largest mixed-use entertainment and shopping complex at AL AKARIA'S WIDYAN COMPLEX in Riyadh.

Tighter government rules have delayed some projects, along with shortages in work forces (following the Saudisation programme).

Housing RMI

In 2019, a higher number of transactions within the real estate led to additional refurbishment within the residential sector, of which bathrooms were replaced.

This boosted the sales of shower walls sold in Saudi Arabia. Indeed, Saudis tend to refurbish the bathroom with new products when they purchase a new dwelling from the existing park.

During that year, most shower walls sold to the RMI segment were made of glass, particularly shower cubicles.

Non-Housing

In 2019 non-residential sales of shower walls in Saudi Arabia increased. These additional sales were mostly generated by the increasing number of new hotels that opened during that year while others went under refurbishment.

This led to additional sales of shower walls, particularly shower enclosures as many hotels preferred to offer a shower system rather than a bath to equip the rooms.

Trendy shower systems include longer and wider shower trays, or just a walk-in shower with a glass door.

Sales of bath screens were positive too, but the growth was limited for three reasons: the preference for shower systems as mentioned above, the non-systematic installation of a bath screen and the low replacement of bath screens.

While new hotels open every year in Saudi Arabia, 2019 constituted the beginning of a new era, since the government's effort to diversify its economy, through the SAUDI VISION 2030, includes the development of the tourism sector, for the first time in the history (excluding religious tourism).

Strong signals were sent to the world such as the government decision, in March 2019, to provide e-visa or visa on arrival for citizens from 49 countries.

Sales of shower cubicles increased during that year but similar to baths, the market suffered from the popularity of walk-in showers, which gives a trendier look to a bathroom, especially when it concerns high-end hotels not equipped with a bath.

Supply Structure

The supply of shower walls in Saudi Arabia remained relatively opaque in 2019. This is due to the fact that shower tray manufacturers and, to a lesser extent, bath manufacturers, deal generally with shower wall suppliers prior to supplying their product to developers - generally government projects.

Among Western brands, IDEAL STANDARD counts among the major brands selling bath screens and shower enclosures made of fibre glass. The upper end is mostly represented by JACUZZI, DUSCHOLUX, KALDEWEI and SPIRELLA. ROMAN SHOWERS, a UK manufacturer, is also present in the kingdom and had some projects in the cities of Jeddah (Al Wadji Towers Hotel, Dr. Ala Hospital, and Taj Ismail Villa) and Dhahran (King Abdullah University).

The absence of brand recognition for this type of market is strong compared to other bathroom products. This is highlighted through the range of bathroom products offered by SAUDI CERAMICS (obviously, outside the products they manufacture, i.e., ceramic sanitary ware): almost all the products they sell are branded apart from shower enclosures, which are supplied by ODMs.

Within the country, SAUDI CERAMICS counts among the main companies offering a wide range of shower walls, but it does not manufacture them itself. Unlike other bathroom products that are branded, SAUDI CERAMICS distributes unbranded shower enclosures and bath screens.

Low brand awareness constitutes one of the main drivers for Chinese manufacturers to increase their influence in the supply structure.

Regional glass manufacturers play a modest role in the bathroom sector, but they are mostly focused on other sectors not related to bathrooms, and BRG was not able to identify the part dedicated to shower walls.

Forecasts

Given the exceptional circumstances related to the spread of the COVID-19 virus and measures in place for its containment, forecasts for 2020 and beyond are based on the latest information available at the time of publication. BRG has attempted to factor in the latest developments – see Macroeconomic data in Table II.3, and supporting summary table at the end of the Background section. Given the fluidity of circumstances at this time, we expect that these forecasts are likely to be superseded by events, and therefore BRG will be updating them, as required, in any subsequent update of our estimates scheduled during 2020.

The shower wall market for 2020 is expected to drop, due to the government measures taken to tackle the pandemic of the COVID-19, rather than its casualties. Indeed, curfews and low construction activities drastically reduced sales opportunities in new construction and replacement for at least a couple of months in the year. However, the CAGR, by the end of the forecast period, should remain positive.

A potential direct impact of this on the shower wall market could be an increasing number of housing completions every year. This is less linked to ambitious housing development projects (that always existed in Saudi Arabia) than the setting of Project Management Office (PMO), aiming to reduce delays in project completion.

Another impact is down to massive investment in the tourism sector. For the first time, the country plans to attract tourists for non-religious tourism. The Red Sea project consists in the construction of many hotels and resorts on the West Coast. This project should cover 34,000 km² (larger than Belgium) and from a socio-politics aspect, it should be relatively independent from the rest of the country to allow gender mixing and Western way of life in general, similar to Dubai. Independent transport facilities including direct flights should be part of the project. Considering its size, it should constitute massive sales opportunities for kitchen faucets. Finally, the empowerment of women (more jobs open to them, right to drive) should increase household consumption. Consequently, the RMI segment should be more dynamic.

New cities under construction, such as KAEC (King Abdullah Economic City), under construction on the Red sea coast, constitute a long-term sales opportunity for shower walls in the housing sector. When fully completed, this city should be as large as Washington with 173 km² and include 260,000 apartments and 56,000 villas. Another city project called NEOM should be built in the extreme North-West

of the country and linked to Egypt and Jordan. This new city aims to be futuristic and sustainable.

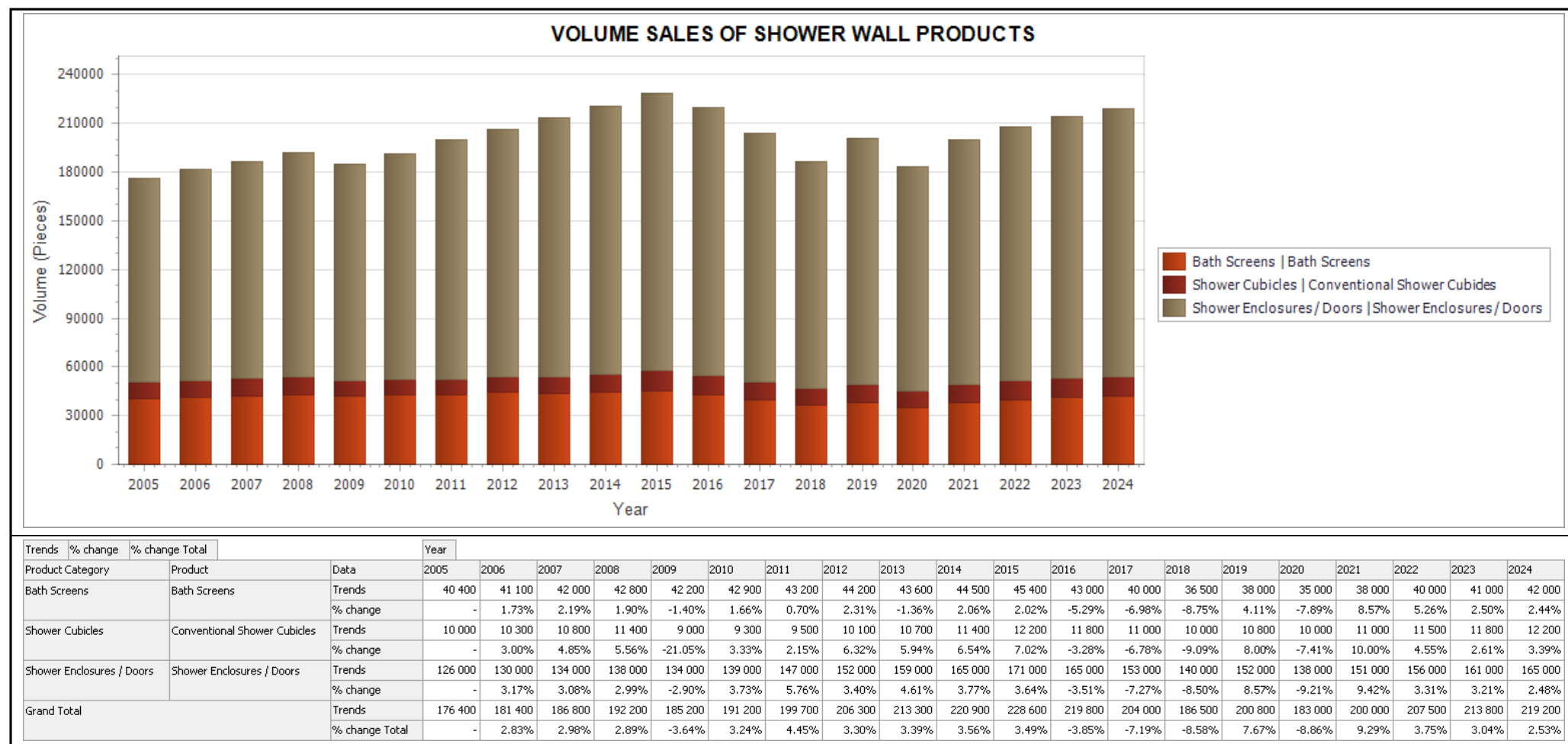
Fast changes, particularly in the social sphere, often generate social violence. This well-known pattern could happen in Saudi Arabia, which may create political instability and threats for the country to conduct its reforms. As a consequence, construction projects would be heavily affected and, thus sales of kitchen faucets to the new housing and non-housing segment could decline.

The modernisation of the country includes the reduction of the welfare state and the empowerment of the population, along with fiscal reform. This may lead the population to reconsider the legitimacy of the royal family at the head of the country while creating pressure for more democracy.

Beyond these important drivers, political tensions with Iran and the forgotten war in Yemen constitute the main negative drivers outside the kingdom, that may disturb the many construction projects planned for the next few years.

4.2 Historical Trends and Forecasts : Shower Wall

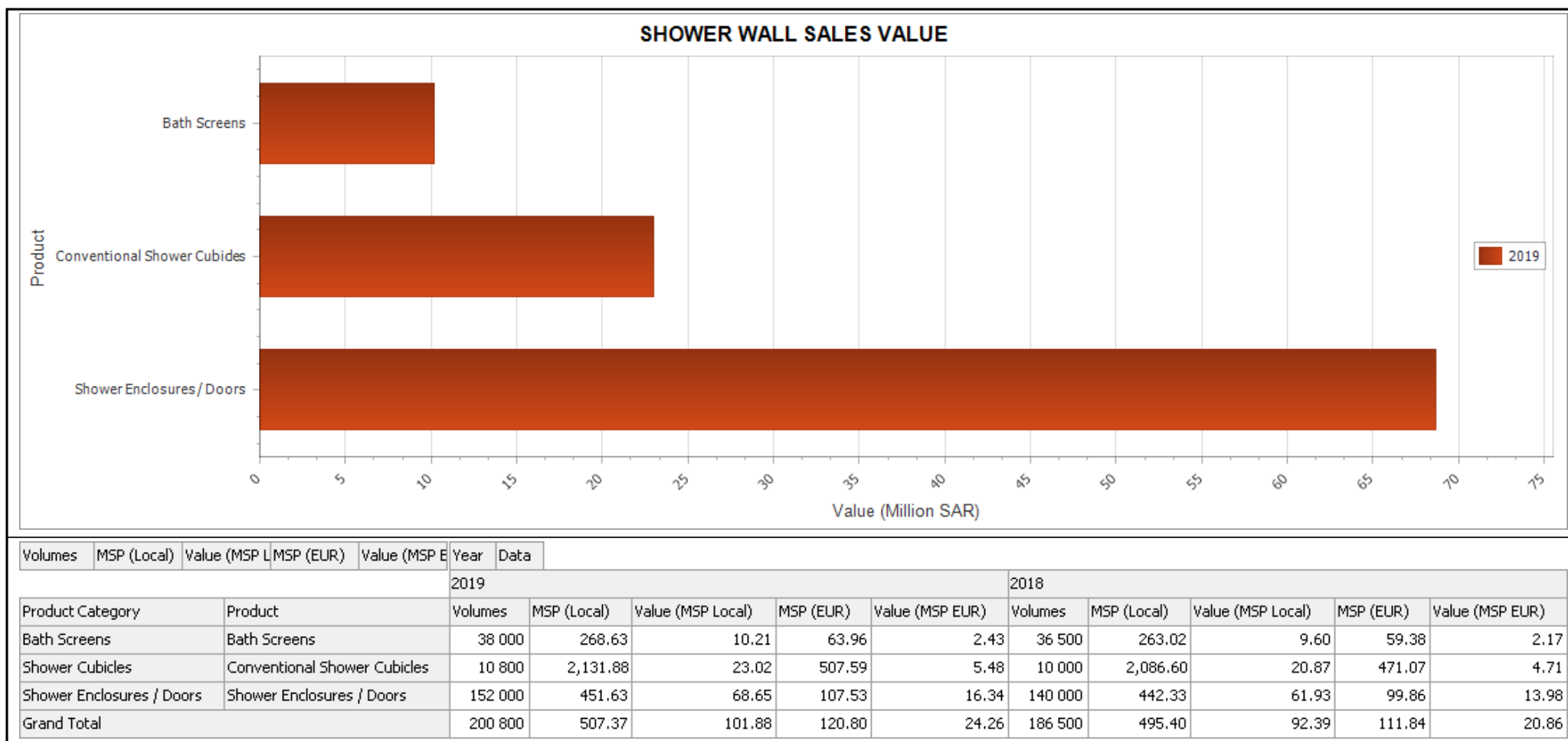
SA - SUMMARY OF TRENDS IN THE SHOWER WALL MARKET : HISTORICAL AND FORECASTS



Source: BRG based on industry interviews.

4.3.1 Prices and Market Values : Shower Wall

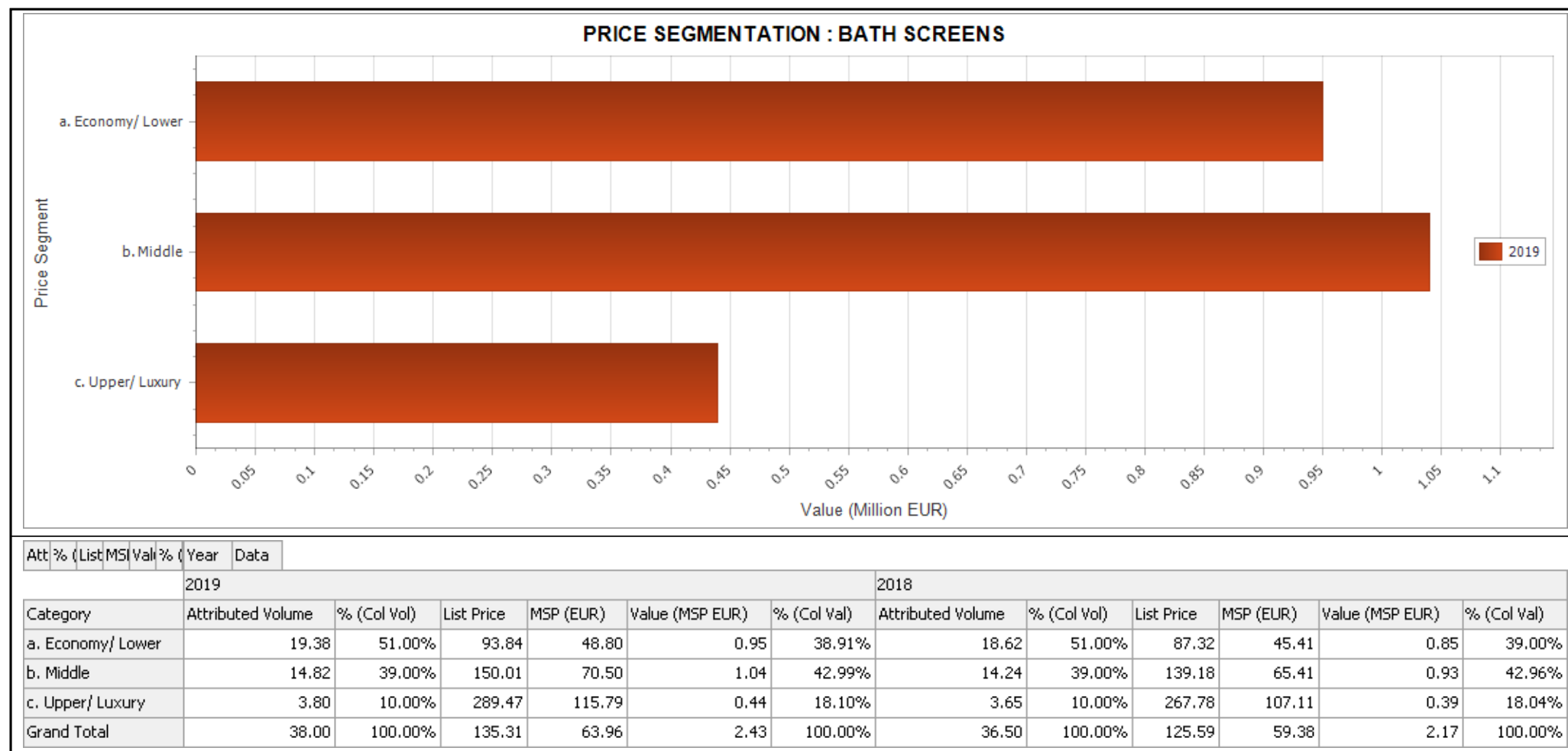
SA - ESTIMATED VALUES OF THE SHOWER WALL MARKET



Source: BRG based on industry interviews. Local Prices Shown in SAR. Values Shown in Millions (at MSP = Manufacturers' Selling Price)

4.3.2 Price Segmentation : Bath Screens

SA - ESTIMATED PRICE SEGMENTATION FOR BATH SCREENS

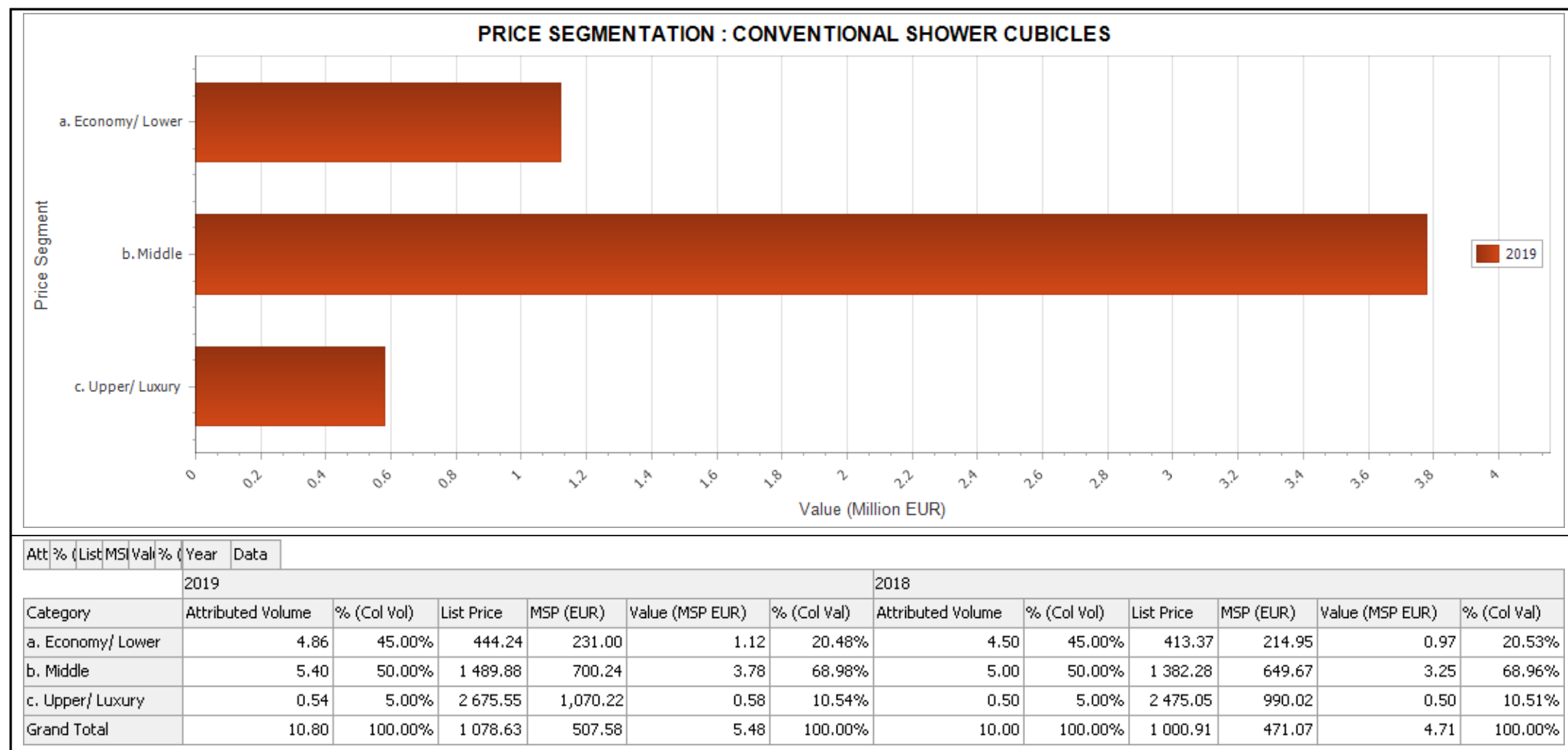


Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

Volumes Shown in Thousands and Values Shown in Millions (at MSP = Manufacturers' Selling Price). Economy/ Lower <€60, Middle €60-€100, Upper/ Luxury >€100

4.3.3 Price Segmentation : Conventional Shower Cubicles

SA - ESTIMATED PRICE SEGMENTATION FOR CONVENTIONAL SHOWER CUBICLES

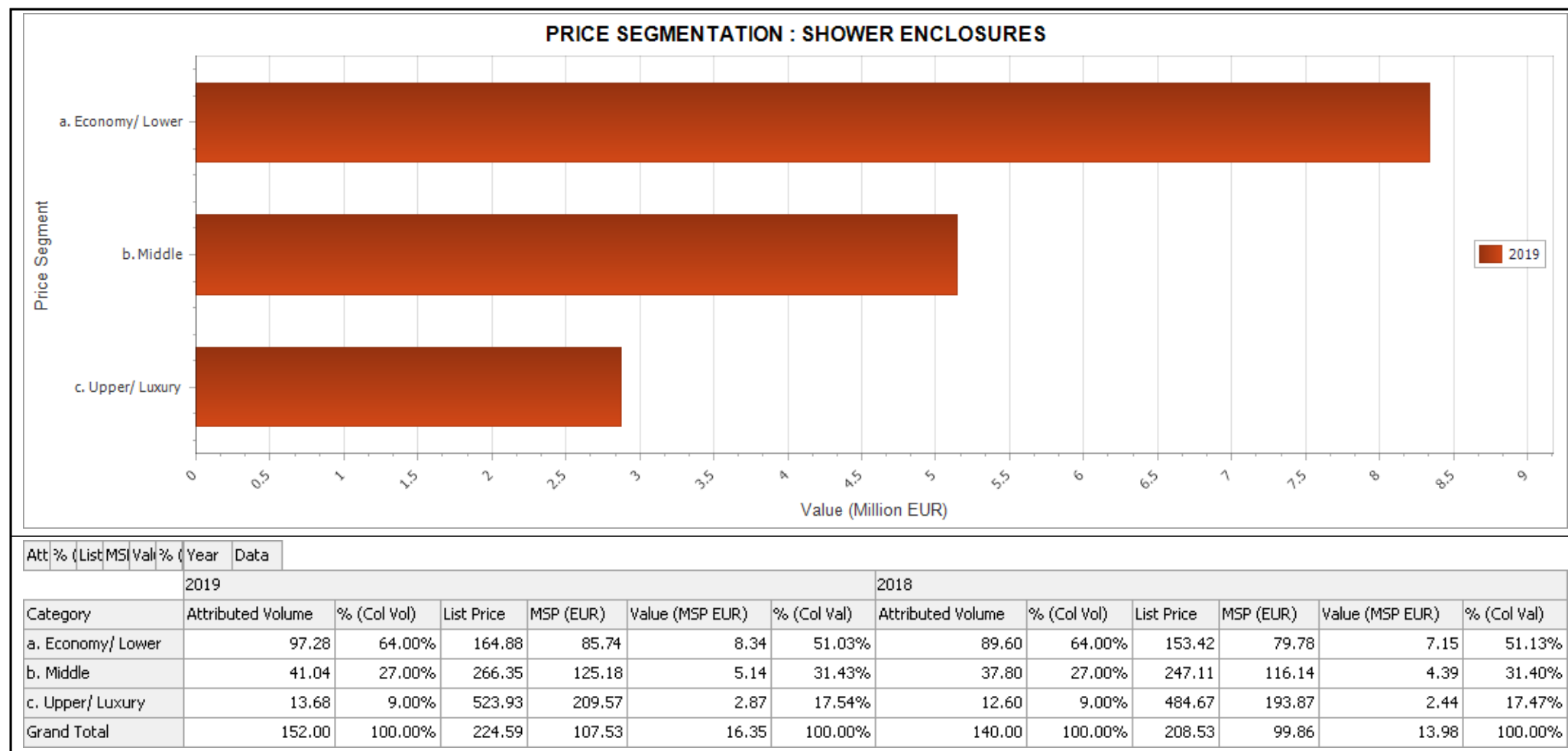


Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

Volumes Shown in Thousands and Values Shown in Millions (at MSP = Manufacturers' Selling Price). Economy/ Lower <€500, Middle €500-€800, Upper/ Luxury >€800

4.3.4 Price Segmentation : Shower Enclosures

SA - ESTIMATED PRICE SEGMENTATION FOR SHOWER ENCLOSURES

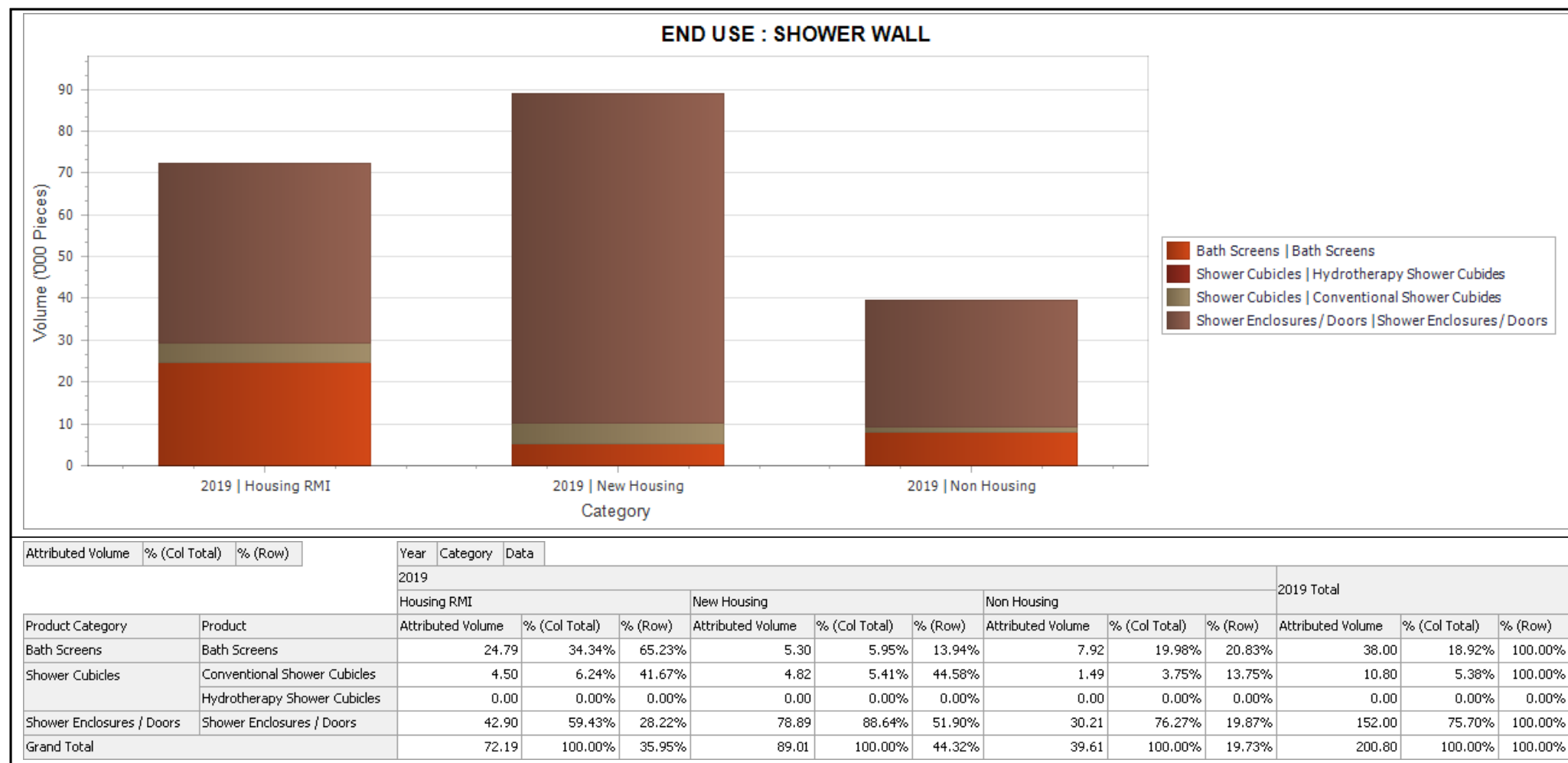


Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

Volumes Shown in Thousands and Values Shown in Millions (at MSP = Manufacturers' Selling Price). Economy/ Lower <€100, Middle €100-€180, Upper/ Luxury >€180

4.4.1 End Use : Base Year

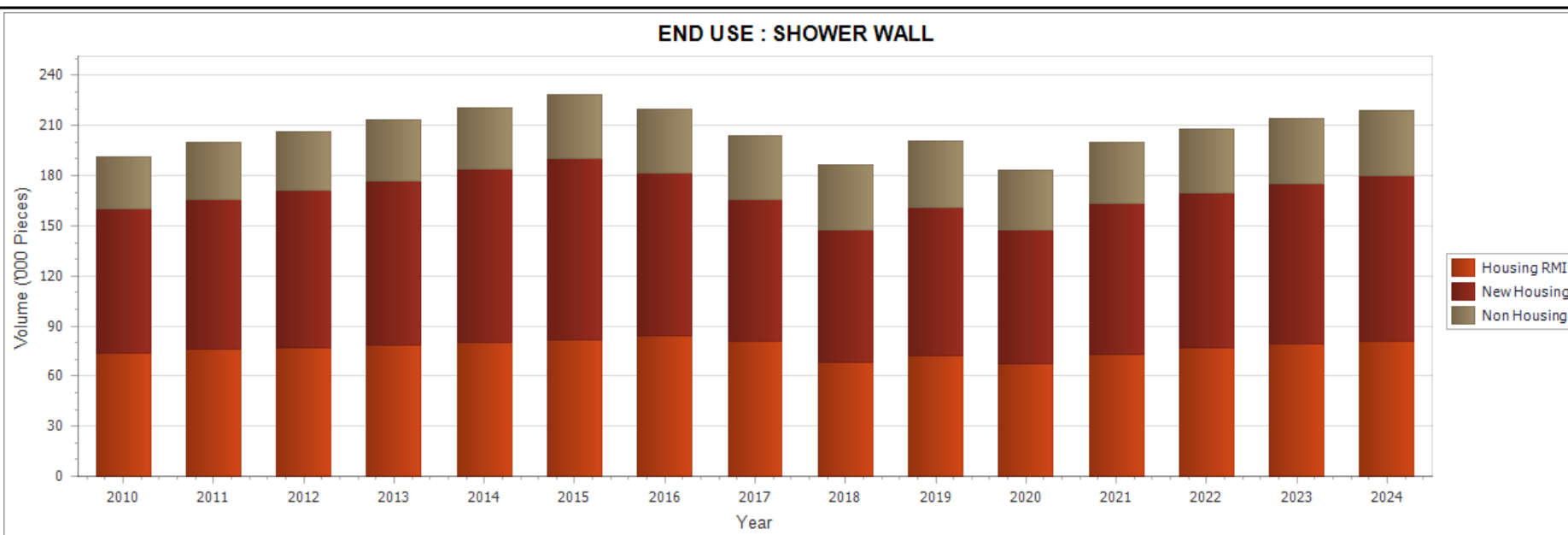
SA - SALES OF SHOWER WALL BY TYPE AND END USE SEGMENT ('000 PIECES)



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

4.4.2 End Use : Historical and Forecasts

SA - SALES OF SHOWER WALL PRODUCTS BY END USE SEGMENT ('000 PIECES)

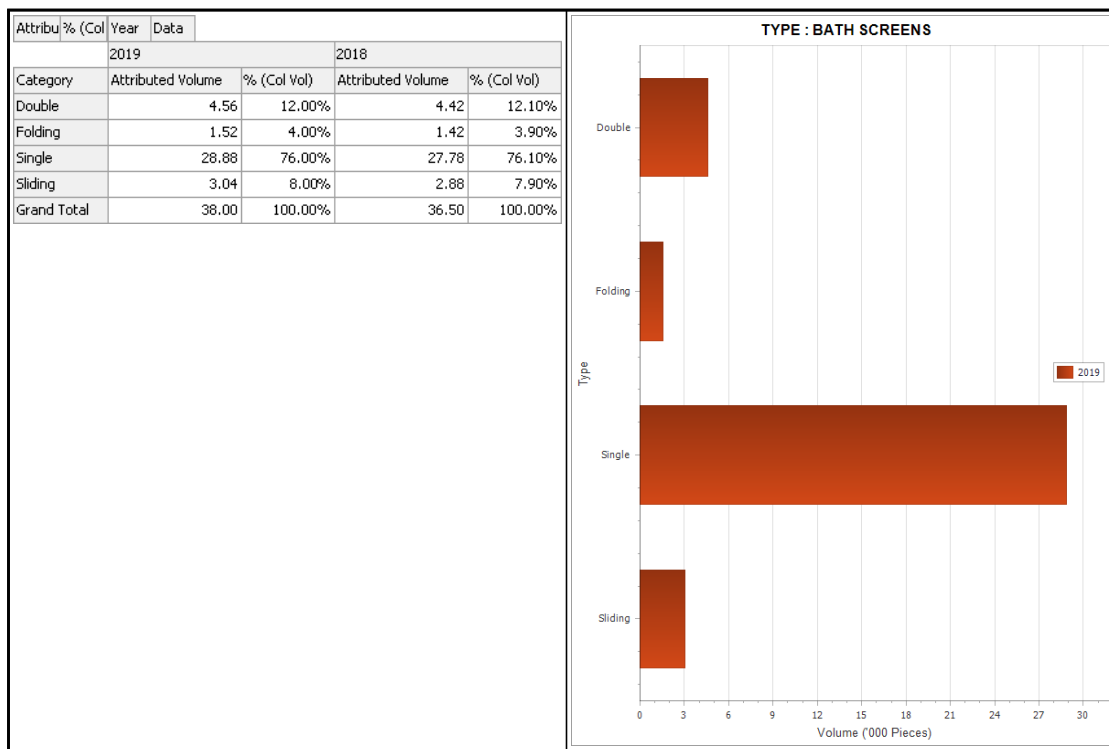


Attributed Volume		% (Col Total)		Year													
Category	Data	2010	2011	2012	2013	2014	2015	2016	2017	2018	2019	2020	2021	2022	2023	2024	
Housing RMI	Attributed Volume	74.01	76.05	76.88	78.41	80.22	82.08	83.96	80.89	68.60	72.19	67.09	72.99	76.70	79.14	80.64	
	% (Col Total)	38.71%	38.08%	37.27%	36.76%	36.32%	35.91%	38.20%	39.65%	36.78%	35.95%	36.66%	36.49%	36.97%	37.02%	36.79%	
New Housing	Attributed Volume	86.34	90.06	94.21	98.84	103.43	107.93	97.81	85.29	79.24	89.01	80.30	90.29	93.24	96.22	99.09	
	% (Col Total)	45.15%	45.10%	45.66%	46.34%	46.82%	47.21%	44.50%	41.81%	42.48%	44.32%	43.88%	45.14%	44.93%	45.00%	45.21%	
Non Housing	Attributed Volume	30.86	33.59	35.22	36.06	37.25	38.59	38.04	37.83	38.67	39.61	35.61	36.72	37.56	38.45	39.47	
	% (Col Total)	16.14%	16.82%	17.07%	16.90%	16.86%	16.88%	17.31%	18.54%	20.73%	19.73%	19.46%	18.36%	18.10%	17.98%	18.01%	
Grand Total	Attributed Volume	191.20	199.70	206.30	213.31	220.90	228.60	219.80	204.01	186.50	200.80	183.01	200.01	207.50	213.80	219.21	
	% (Col Total)	100.00%	100.00%	100.00%	100.00%	100.00%	100.00%	100.00%	100.00%	100.00%	100.00%	100.00%	100.00%	100.00%	100.00%	100.00%	

Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

4.4.3 Sales by Type : Bath Screens

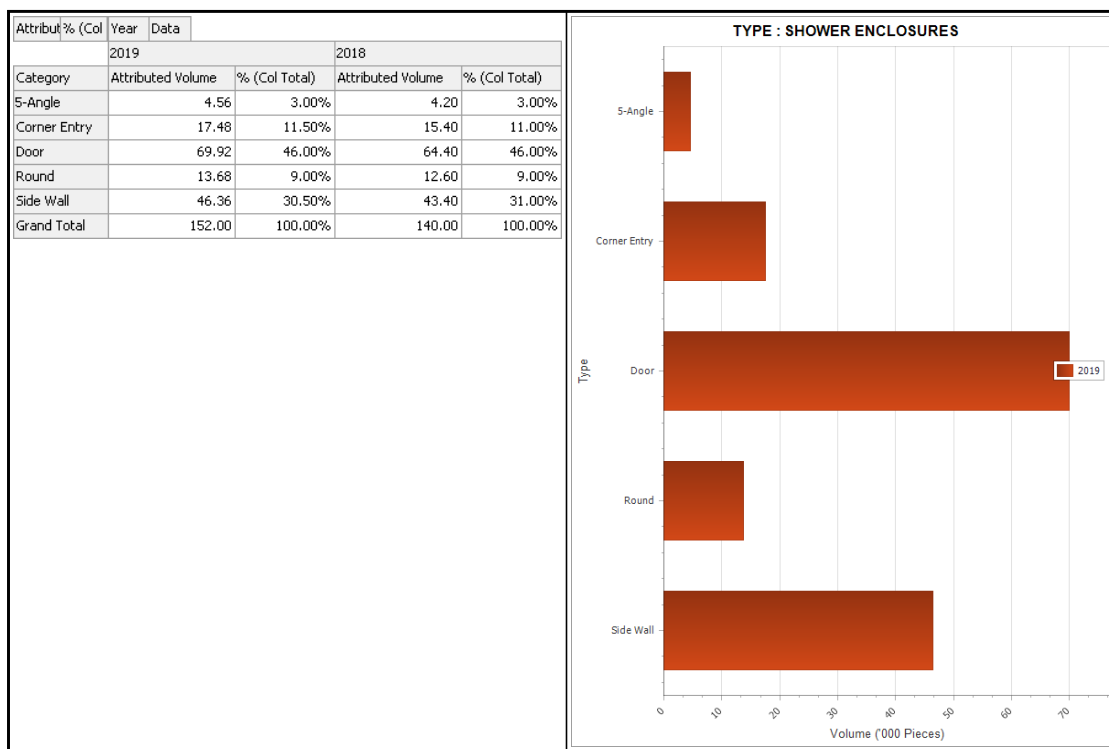
SA - BATH SCREEN SALES BY TYPE ('000 PIECES)



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

4.4.4 Sales by Type : Shower Enclosures

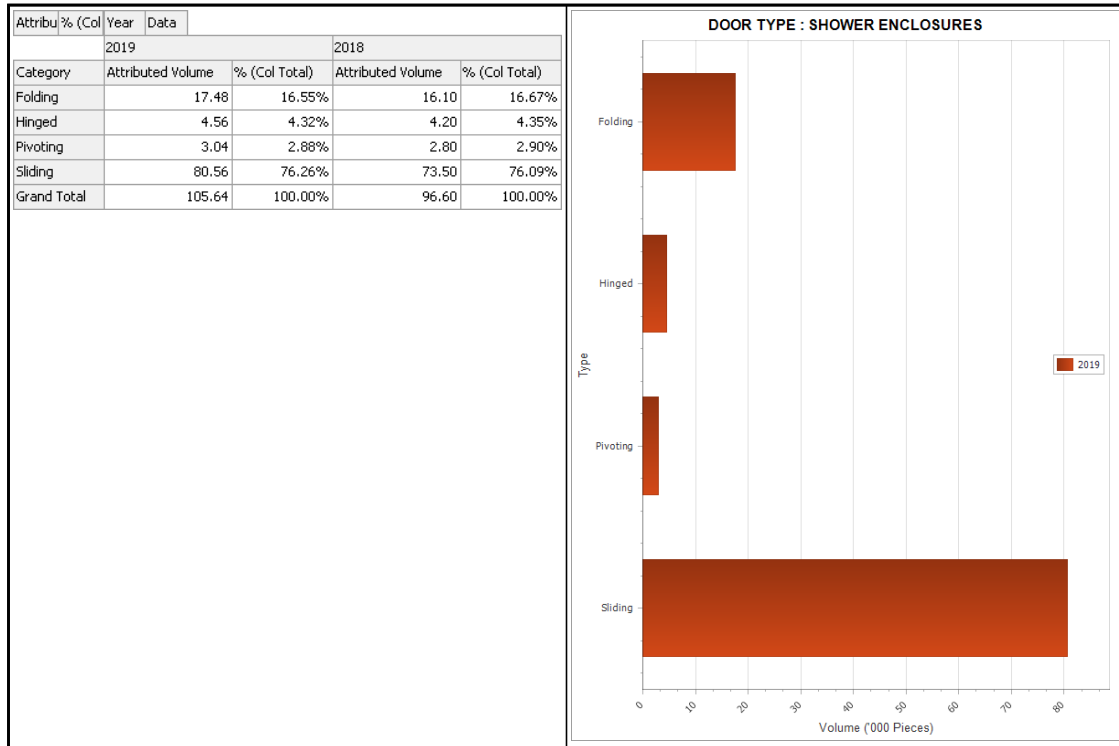
SA - SHOWER ENCLOSURE SALES BY TYPE ('000 PIECES)



Source: BRG based on industry interviews

4.4.5 Sales by Type of Door : Shower Enclosures

SA - SHOWER ENCLOSURE SALES BY DOOR TYPE ('000 PIECES)



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

4.5.1 Route to Market: Shower Wall
SA - ESTIMATED DISTRIBUTION FOR SHOWER WALL: 2019

Manufacturer / Importer	Manufacturers / Importers
	100.0%

Wholesale Level	35.0%
	Wholesalers / Merchants
	35.0%

Retail Level	Manufacturer	Wholesaler	Manufacturer	Wholesaler	Manufacturer	Wholesaler
	0.0%	0.0%	0.0%	0.0%	38.0%	19.0%
	Internet Retailers		DIY Retailers		Specialist Retailers	
	0.0%		0.0%		57.0%	

Manufacturer	Wholesaler	Internet	DIY	Specialist
0.0%	12.0%	0.0%	0.0%	24.0%
Installers				
36.0%				

End Use Level	Manufacturer	Wholesaler	Internet	DIY	Specialist	Installer
	23.0%	4.0%	0.0%	0.0%	28.0%	25.3%
	Residential					
	80.3%					
New Build			Residential RMI			
44.3%			35.9%			
Project	Non-Project		Project	Non-Project		
33.0%	11.3%		2.0%	33.9%		

Manufacturer	Wholesaler	Internet	DIY	Specialist	Installer
4.0%	0.0%	0.0%	0.0%	5.0%	10.7%
Non-Residential					
19.7%					
New Build			Non-Residential RMI		
5.5%			14.2%		
Project	Non-Project		Project	Non-Project	
4.5%	1.0%		3.0%	11.2%	

4.5.2 Route to Market: Shower Wall
SA - ESTIMATED DISTRIBUTION FOR SHOWER WALL: 2024

Manufacturer / Importer	Manufacturers / Importers
	100.0%

Wholesale Level	34.5%
	Wholesalers / Merchants
	34.5%

Retail Level	Manufacturer	Wholesaler	Manufacturer	Wholesaler	Manufacturer	Wholesaler
	0.0%	0.0%	0.0%	0.0%	38.5%	18.5%
	Internet Retailers		DIY Retailers		Specialist Retailers	
	0.0%		0.0%		57.0%	

Manufacturer	Wholesaler	Internet	DIY	Specialist
0.0%	12.0%	0.0%	0.0%	24.0%
Installers				
36.0%				

End Use Level	Manufacturer	Wholesaler	Internet	DIY	Specialist	Installer
	23.0%	4.0%	0.0%	0.0%	28.0%	27.0%
	Residential					
	82.0%					
New Build			Residential RMI			
45.2%			36.8%			
Project	Non-Project		Project	Non-Project		
33.5%	11.7%		2.0%	34.8%		

Manufacturer	Wholesaler	Internet	DIY	Specialist	Installer
4.0%	0.0%	0.0%	0.0%	5.0%	9.0%
Non-Residential					
18.0%					
New Build			Non-Residential RMI		
6.5%			11.5%		
Project	Non-Project		Project	Non-Project	
5.5%	1.0%		3.0%	8.5%	

Source: BRG Based on Industry Interviews. - Totals may vary due to roundings

4.5.3 Route to Market - Consolidated View : Shower Wall

SA - ESTIMATED DISTRIBUTION FOR SHOWER WALL : 2019

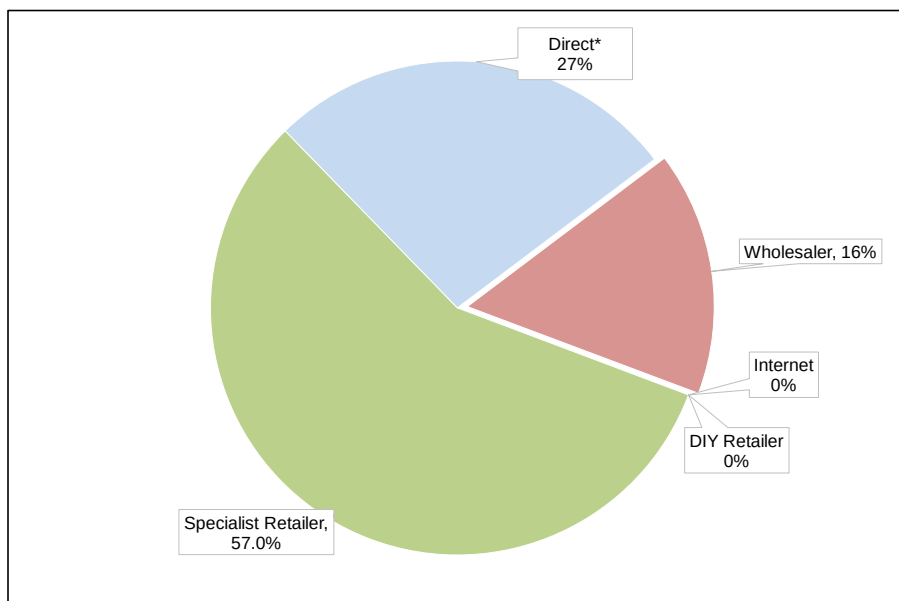
Route to Market - End Use Level					Project		Non-Project	
Wholesaler	Internet	DIY Retailer	Specialist Retailer	Direct*	Residential	Non-Residential	Residential	Non-Residential
16.0%	0.0%	0.0%	57.0%	27.0%	35.0%	7.5%	45.3%	12.2%
100%					42.5%		57.5%	

4.5.4 Route to Market - Consolidated View : Shower Wall

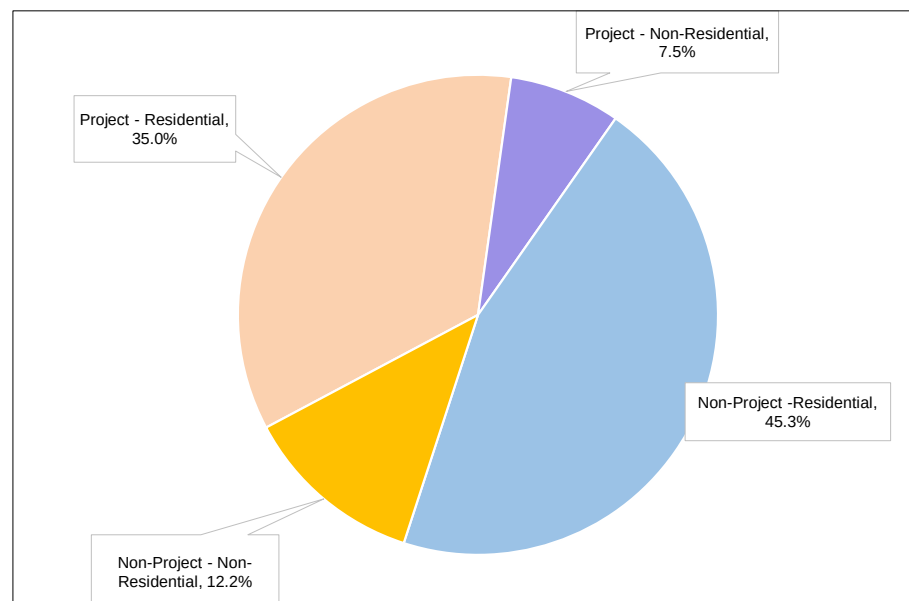
SA - ESTIMATED DISTRIBUTION FOR SHOWER WALL : 2024

Route to Market - End Use Level					Project		Non-Project	
Wholesaler	Internet	DIY Retailer	Specialist Retailer	Direct*	Residential	Non-Residential	Residential	Non-Residential
16.0%	0.0%	0.0%	57.0%	27.0%	35.5%	8.5%	46.5%	9.5%
100%					44.0%		56.0%	

SA - SALES OF SHOWER WALL BY DISTRIBUTION CHANNEL: 2019



SA - SALES OF SHOWER WALL BY POINT OF DECISION AND END-USE SECTOR: 2019



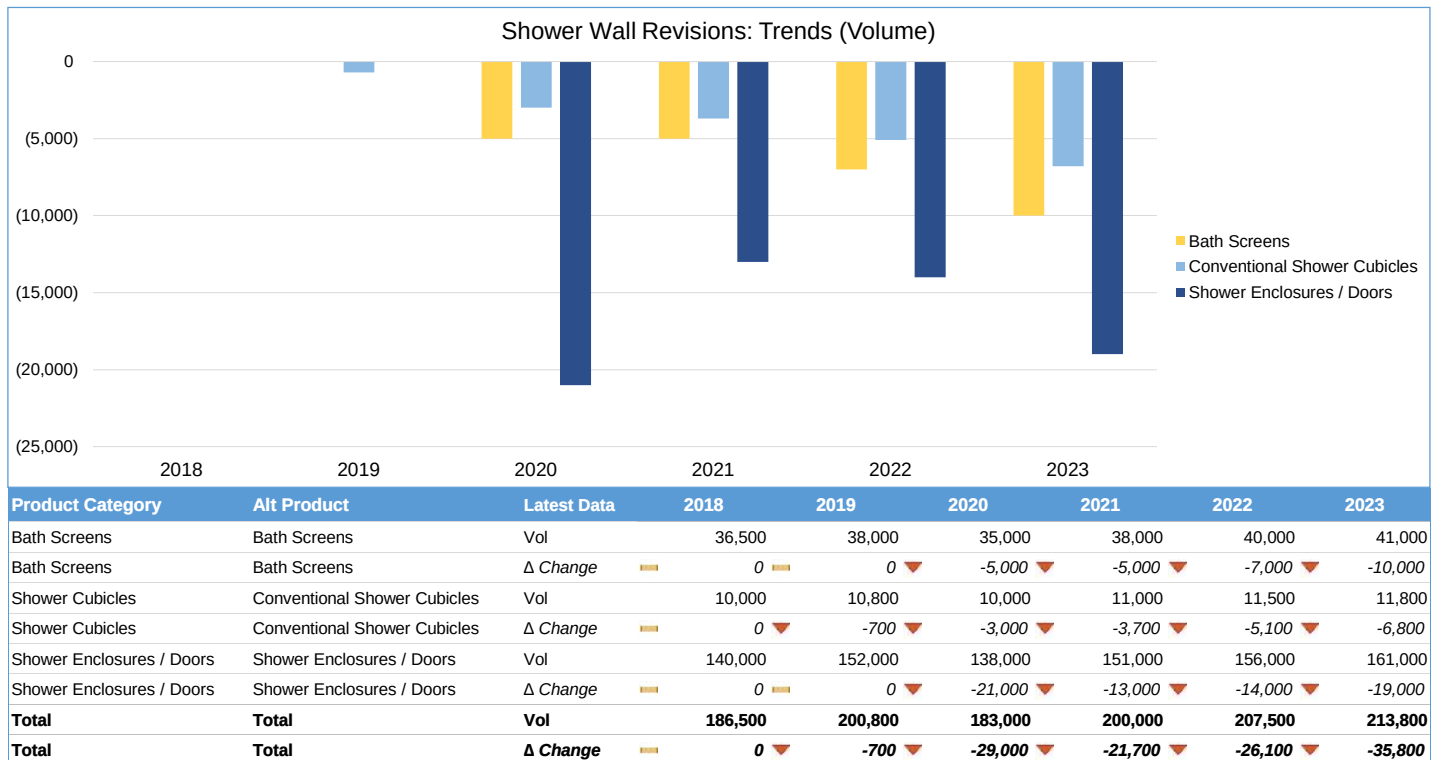
Source: BRG Based on Industry Interviews.

*Direct includes sales going directly from manufacturers to installers, contractors and private customers.

4.6 Revisions in the Saudi Shower Wall Market (April 2020)

SA - REVISIONS IN THE SAUDI SHOWER WALL MARKET

Data Comparison: April 2019



The forecast series for all type of shower walls as well as the base year for Conventional Shower Cubicles were revised downward. This revision was due to the combination of two factors that are interconnected but independent on their own: the growth rate of the popularity for walk-in showers, (which are not always equipped with shower enclosures) and the displacement of baths.

SAUDI ARABIA

SHOWER ACCESSORIES

THE MIDDLE EASTERN BATHROOM & KITCHEN PRODUCT MARKETS



Market Characteristics and Product Mix

Over the last few decades, the housing park in Saudi Arabia experienced a rapid expansion, in turn resulting in strong demand for all types of shower accessories, particularly for shower heads. Fast population growth generated tremendous demand for housing, with solid financial resources enabling the Saudi government to put in place large scale housing development programmes, in turn thanks to its generous welfare system. When looking closely at the aetiology of these construction activities, it was less due to the population growth than the population structure, heavily represented by young adults, at the age of getting married and settling down in a new home. Also, the family structure tends to lean towards a nuclear family. Consequently, the demand for housing increased faster than the population.

In Saudi Arabia, there is a high average number of bathrooms per dwelling, resulting in even higher demand for shower accessories; among family members, different genders do not use the same bathroom. As a minimum, each dwelling has separate bathrooms for men and women, as well as a bathroom for guests only. For wealthier people, each bedroom has its own bathroom, and an additional bathroom for the maid, or driver. Taking this into account, the number of shower accessories in a single dwelling is high. In addition to that, the quality of product installed is low to medium, depending on the bathroom and its end-user, leading to a high replacement rate per annum.

An apartment can contain one master bathroom and one or more additional bathrooms, depending on the number of rooms, while villas may have four to six bathrooms, on average. Residential demand for shower accessories is also boosted by the local habit of replacing items rather than fixing them. This is also true for buildings, as they are often demolished, rather than refurbished. When buyers acquire a new home from a previous private owner, shower accessories along with other bathroom products are generally replaced.

Due to the above, shower accessories in Saudi Arabia have a high price elasticity. Saudis do not choose products that have a long lifespan since most of these products will typically be replaced much earlier. While the market is still far from saturated, due to on-going housing development on a large scale, the replacement market is high in the country.

The increasing cost of living in Saudi Arabia, combined with the government's failure to empower Saudi youths, has led to a pauperisation of the population, unable to purchase, or even rent, decent houses (rent in Saudi Arabia are paid for the whole year), many Saudis are on a waiting list to get jobs and houses. At the same time, the government perceived the 'Arab Spring' (a revolutionary wave of protests from the civil society in many Arab countries) as a political threat since it can reach the Kingdom. For these reasons, the government has made a significant effort in the last few years to provide affordable dwellings. Structural

impediments, however, such as the fact that construction costs should be maintained as low as possible, and the limited availability of land in areas with basic infrastructure (such as water and electricity), among other barriers, have led to an endless shortage of housing in the country. Overall, the market for shower accessories have been in continuous growth but it did not develop to its full potential.

Almost considered as an FMCG product, the shower accessories market is influenced by the large product ranges offered in the *souk*, the traditional Arab market. Shower accessories covered in this report do not include the toilet spray – referred to locally as '*shattaf*'. In terms of product breakdown, the flexible hose is the largest segment, followed by shower heads and shower supports. The latter is rarely replaced as shower supports have the longest lifespan among the three types of shower accessories. The most common type for flexible hoses, shower heads and shower support are metal flexible hoses with an adjustable shower head mounted on an under 90cm bar.

The rise of suppliers from Asia and more recently, but to a lesser extent, from Turkey constitute the biggest change in the supply structure in recent years. The ongoing presence of Western manufacturers is largely represented by those who have manufacturing plants in developing countries, allowing them to be competitive.

Saudi Arabia does not really have a tourism industry apart from business (mostly in the capital city of Riyadh) or religious reasons. The two holy cities of Mecca and Medina, situated in the western part of the country, and the city of Jeddah, which is the entry city (from abroad), have many hotels where most shower accessories installed in the non-housing segment took place.

Recent Market trends

The shower accessories market in Saudi Arabia expanded in 2019. It is a relatively large market, as there are more bathrooms per dwellings in Saudi Arabia compared to European countries, and dwellings are more frequently refurbished.

This expansion was driven by the return to higher construction activities, which explain a stronger sales growth for shower support and shower pipes, compared to the other products.

Indeed, the country experienced the highest housing completion in the last few years, thanks to measures of austerity and a series of reforms set by the government, and mostly by the young Prince Ben Salman.

Also, a healthy replacement segment contributed to the good performance of this market.

During that year, most shower accessories sold in the country were made of flexible hoses, this was due to the fact that this product is more often replaced and

for this reason, mostly represented in the replacement market. Also, the brand recognition is the lowest among all types of shower accessories (covered by BRG).

Flexible hoses, shower heads and shower supports constitute, respectively, the three main products in terms of market size.

In 2019, sales of shower pipes experienced the fastest growth among all types of shower accessories.

Prices and Market values

In 2019, all types of shower accessories experienced a price increase, thanks to the return of demand generated by higher construction output during that year.

When expressed in Euros, these prices increased more due to the fluctuation in the exchange rate between the US Dollar and Euro. This is because the overwhelming volume sold in Saudi Arabia are imported from Asia, which are billed in Dollar USD, and the Saudi Riyal is pegged to the Dollar.

New Housing

Sales of shower accessories increased in 2019, thanks to the “sakani” programme aiming to provide housing to the population.

This includes completed dwellings from large projects but also based on individuals that built their house on a plot of land distributed by the government along with benefit and other loans to finance the construction.

The government is highly focused on increasing the ownership rate of the population, one of the lowest in the region.

Housing RMI

In 2019, sales of shower accessories increased in Saudi Arabia. Higher activity in the real estate sector was registered. That means more dwellings were sold, which generally lead to refurbishment.

Also, many dwellings remained vacant following the departure of two million foreigners (following the “Saudisation” programme that aims to replace foreigners by Saudis wherever possible). Some of these dwellings were refurbished for sales or rent, which boosted sales of shower accessories, while others remained empty, which, on the other side, reduces the potential of the replacement market).

For flexible hoses and shower supports, the ‘aided recall’ is totally absent in the replacement market, which means low quality products imported from Asia are widely installed in dwellings, which contribute to a high replacement rate and, consequently, to a large replacement market compared to the size of the country.

Flexible hoses have the shortest lifespan, which explains why it is the largest market among the shower accessories covered in this report.

Non- Housing

In 2019, sales of shower accessories in Saudi Arabia to the non-housing segment was boosted by additional hotel completions during that year.

Sales to this segment continued to rise over the last few years, following a strong interest from international hotel chains that open many hotels in the country, generating a significant volume of shower accessories installed in hotel rooms.

Supply Structure

The supply structure remained unchanged in 2019. It continues to be largely structured by massive imports from China and other Asian countries. However, the delocalisation has led Western brands to manufacture in Asia, or through partnerships with local manufacturers to produce shower accessories under their brand name, so imports from China do not necessarily concern unbranded products, even though they do represent the bulk of the imports.

Among the Western brands, GROHE and IDEAL STANDARD are the leaders, maintaining their sales from year-to-year, thanks to their low prices compared to other brands that are generally not covering low price ranges. The reason why these two manufacturers are strong is because their production plants are based in Egypt and Asia, respectively. Low production costs give them the opportunity to compete with Asian manufacturers while supplying better quality products.

In contrast to Europe, GROHE products are very cheap in Saudi Arabia. However, it has a counter-effect on some Saudi households: some consider their product as Asian rather than German.

Some companies based in Italy or Spain import shower accessories from Asia to be re-packaged locally with no or little assembling. This creates an added value, depending on how much worth is placed on the “country of origin”.

Large Saudi manufacturers of ceramic sanitary ware products can have an influence on the supply structure for shower accessories, since they are well implemented in the Kingdom. Shower accessories made by GROHE and BOLD are distributed by SAUDI CERAMICS. For shower accessories, BOLD is the only brand available at SAUDI CERAMICS.

Forecasts

Given the exceptional circumstances related to the spread of the COVID-19 virus and measures in place for its containment, forecasts for 2020 and beyond are based on the latest information available at the time of publication. BRG has

attempted to factor in the latest developments – see Macroeconomic data in Table II.3, and supporting summary table at the end of the Background section. Given the fluidity of circumstances at this time, we expect that these forecasts are likely to be superseded by events, and therefore BRG will be updating them, as required, in any subsequent update of our estimates scheduled during 2020.

The overall CAGR is set to increase over the forecast period. However, 2020 may be affected by measures taken by the government to tackle the pandemic of the COVID-19, such as the curfews affecting movement and retail activities, and construction activities that slowed down.

The medium-term forecast for shower accessories market in Saudi Arabia is positive, as massive projects are in the pipeline, in both residential and non-residential constructions, in line with the SAUDI VISION 2030. New cities are set to be built, as well as heavy investments in the tourism sector, unseen so far in the kingdom as for the first time, it does not concern religious purposes (pilgrimage to the two holy cities). A not less than 34,000 km² should be dedicated to the development of resorts and hotels along the beach of the sea. This Red Sea project aims to attract tourists from all over the world, similarly to Dubai. This means that this area, larger than Belgium, should be administrated autonomously, with more individual freedom to match with Western standard.

Profound socio-economic changes are currently happening in Saudi Arabia, thanks to the Crown Prince MBS and radical reforms put in place. While ambitious construction projects have been always announced in the Kingdom, their completion rate has always been low due to multiple failures in project management. Since the PMOs (Project Management Office) was introduced, construction projects are conducted more effectively. It is expected that, in the coming years, the gap between the announcement of projects and the realisation of projects should decrease.

These measures should increase dramatically the completion of new construction in the residential and non-residential segment. Consequently, sales of kitchen sinks should increase tremendously in the new housing and non-housing segment, in the coming years.

The empowerment of the population should lead to a higher purchase power of Saudis, and along with the increasing rate of home ownership, the housing maintenance – as it is about maintaining their own home - should boost the RMI market for shower accessories in the coming years.

The numbers of Saudis that do not own their homes continued to be high, mostly due to low levels of mortgage penetration (the traditional mortgage with interest is forbidden under Islamic law), but the government has expanded existing financial alternative solutions, meaning a larger number of Saudis will be able to access an approved mortgage contract.

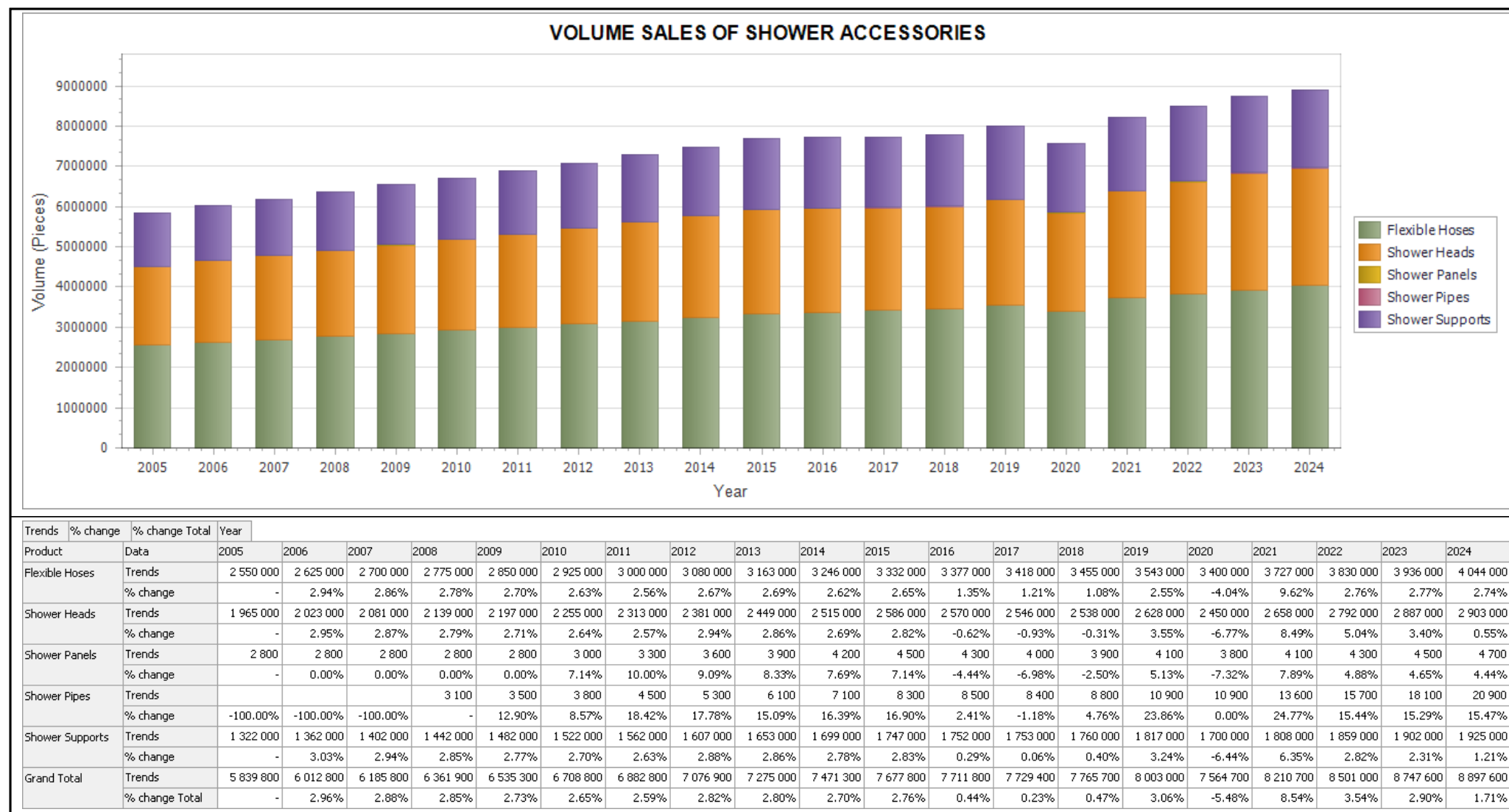
The shortage of housing remains huge and should remain one of the top priorities of the Saudi government in the long term. This is particularly pertinent, as satisfying the population's needs in terms of housing is also a political tool to avoid any social uprisings, in a region where instability is likely to flow from one country to another. Also, even though the household size is declining due to the demographic transition, the demand for housing is increasing due to the population pyramid, largely represented by young adults preparing to settle down.

The government focus on its NATIONAL VISION PROGRAMME 2030 seems to be more efficient than ever. Huge investments in building new cities are being made. The completion of the new city KAEC should continue to capture a tremendous amount of sales of shower accessories during the forecast period as so far, only 40% of the city has been built. Other project cities like the futuristic NEOM should also capture, in the long term, a significant number of kitchen sink sales.

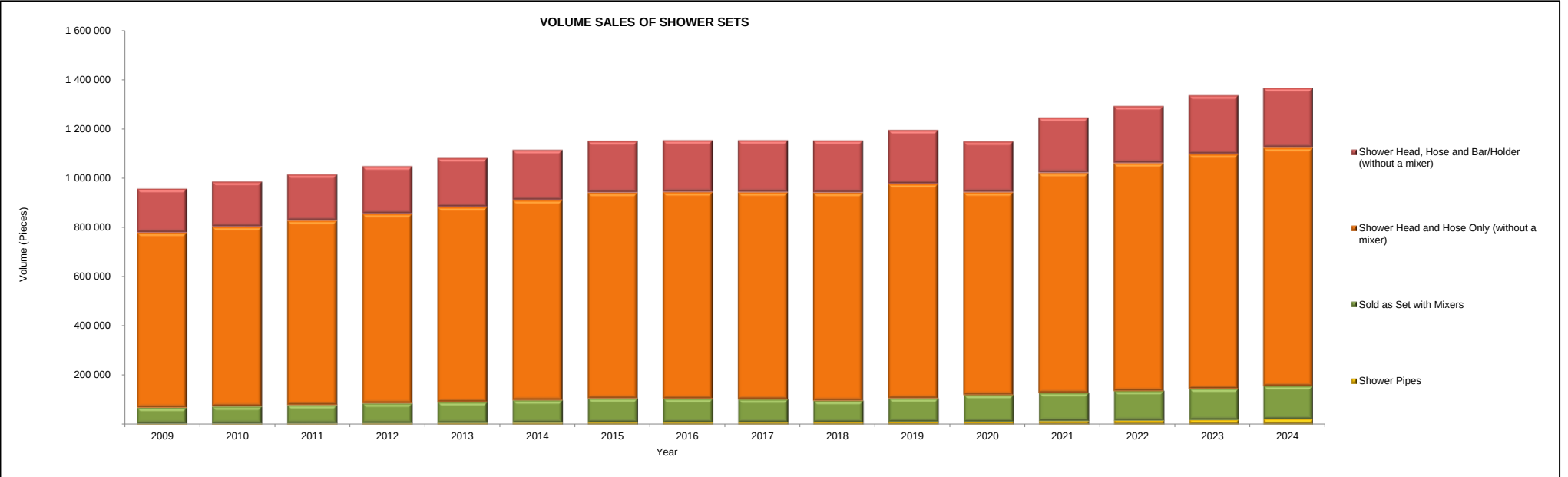
Regarding sensitivities to this very positive, if not idyllic, perspective, there is the ability of the government to convince the more conservative people in society to accept these changes. It is known that fast socio-economic changes lead to great resistance with division and violence within the country. Also, failures to empower the youth through the 'Saudisation' programme might also keep a large part of the population confined to poverty, for which even a social dwelling may become unaffordable, especially as it is possible that a decline in the welfare state could occur in the coming years. Finally, the cut of subsidies, the fiscal reforms and the progressive reduction of the welfare state may lead the population to ask more political rights, rejecting the autocracy of the Saudi family, which in turn, may lead to major political instability. As a result, sales of kitchen sinks, strongly linked to the construction trends, the purchase power of the population and a positive economic environment, may seriously be affected, should this scenario take place in the kingdom.

5.2.1 Historical Trends & Forecasts : Shower Accessories

SA - SUMMARY OF TRENDS IN THE SHOWER ACCESSORIES MARKET : HISTORICAL AND FORECASTS



Source: BRG based on industry interviews.

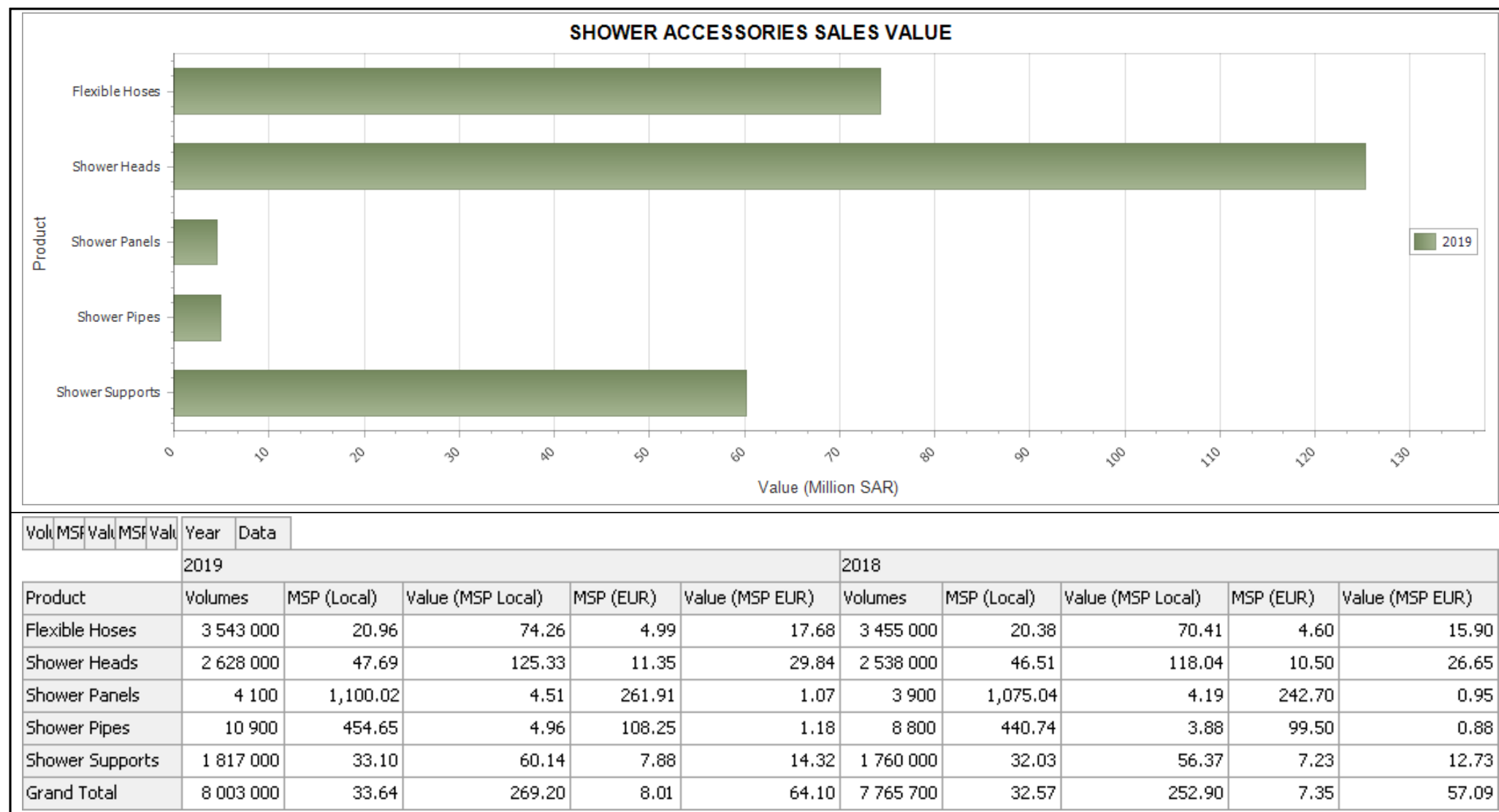


Product Type	Product	2009	2010	2011	2012	2013	2014	2015	2016	2017	2018	2019	2020	2021	2022	2023	2024
Shower Sets	Shower Head, Hose and Bar/Holder (without a mixer)	177 750	182 500	187 250	192 500	198 000	203 250	209 000	209 750	210 250	211 250	217 750	205 750	223 500	231 250	238 000	242 000
	% Change	-	2.67%	2.60%	2.80%	2.86%	2.65%	2.83%	0.36%	0.24%	0.48%	3.08%	-5.51%	8.63%	3.47%	2.92%	1.68%
	Shower Head and Hose Only (without a mixer)	711 000	730 000	749 000	770 000	792 000	813 000	836 000	839 000	841 000	845 000	871 000	823 000	894 000	925 000	952 000	968 000
	% Change	-	2.67%	2.60%	2.80%	2.86%	2.65%	2.83%	0.36%	0.24%	0.48%	3.08%	-5.51%	8.63%	3.47%	2.92%	1.68%
	Sold as Set with Mixers	65 000	69 500	74 500	80 500	85 000	91 000	97 000	96 000	93 500	87 500	95 000	109 000	114 000	120 000	127 000	134 500
	% Change	-	6.92%	7.19%	8.05%	5.59%	7.06%	6.59%	-1.03%	-2.60%	-6.42%	8.57%	14.74%	4.59%	5.26%	5.83%	5.91%
	Shower Pipes	3 500	3 800	4 500	5 300	6 100	7 100	8 300	8 500	8 400	8 800	10 900	10 900	13 600	15 700	18 100	20 900
	% Change	-	8.57%	18.42%	17.78%	15.09%	16.39%	16.90%	2.41%	-1.18%	4.76%	23.86%	0.00%	24.77%	15.44%	15.29%	15.47%
Grand Total		957 250	985 800	1 015 250	1 048 300	1 081 100	1 114 350	1 150 300	1 153 250	1 153 150	1 152 550	1 194 650	1 148 650	1 245 100	1 291 950	1 335 100	1 365 400
% Change Total		-	2.98%	2.99%	3.26%	3.13%	3.08%	3.23%	0.26%	-0.01%	-0.05%	3.65%	-3.85%	8.40%	3.76%	3.34%	2.27%

Source: BRG based on Industry Interviews

5.3.1 Prices and Market Values : Shower Accessories

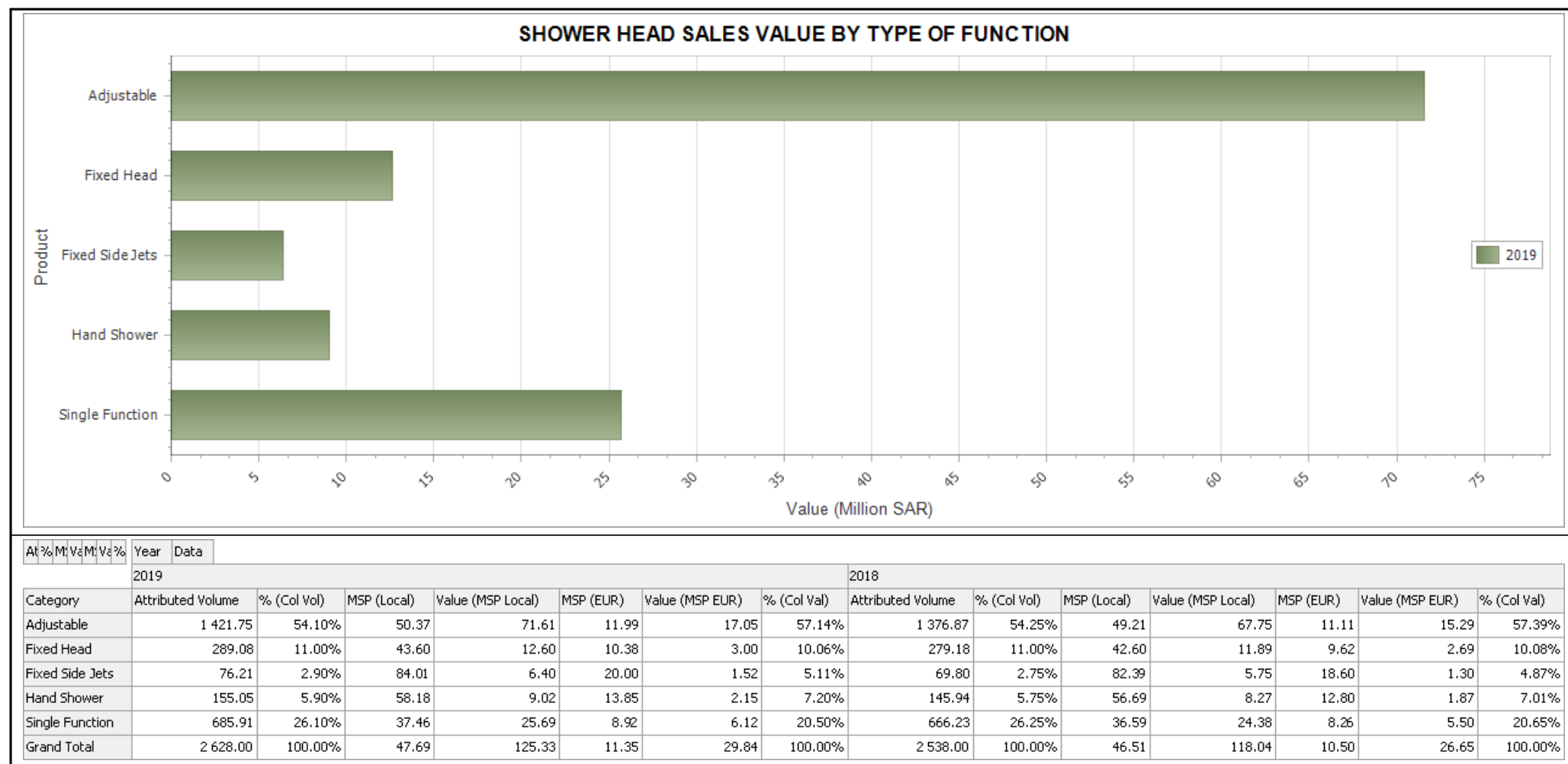
SA - ESTIMATED VALUES OF THE SHOWER ACCESSORIES MARKET



Source: BRG based on industry interviews. Local Values Shown in SAR. Values Shown in Millions (at MSP = Manufacturers' Selling Price)

5.3.2 Prices and Market Values by Type : Shower Heads

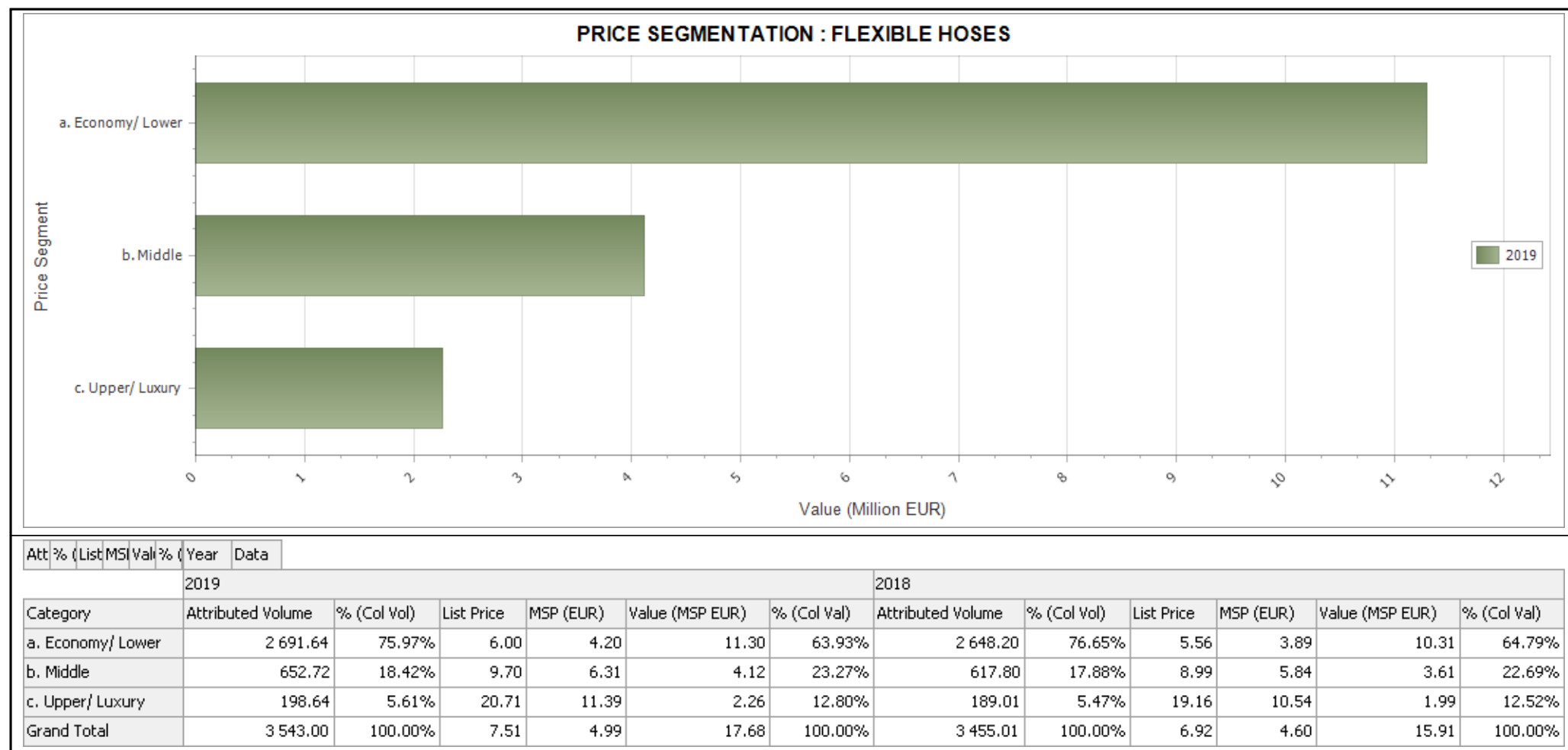
SA - ESTIMATED VALUES OF THE SHOWER HEAD MARKET BY TYPE OF FUNCTION



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding. Local Prices Shown in SAR. Values Shown in Millions (at MSP = Manufacturers' Selling Price)

5.3.3 Price Segmentation : Flexible Hoses

SA - ESTIMATED PRICE SEGMENTATION FOR FLEXIBLE HOSES

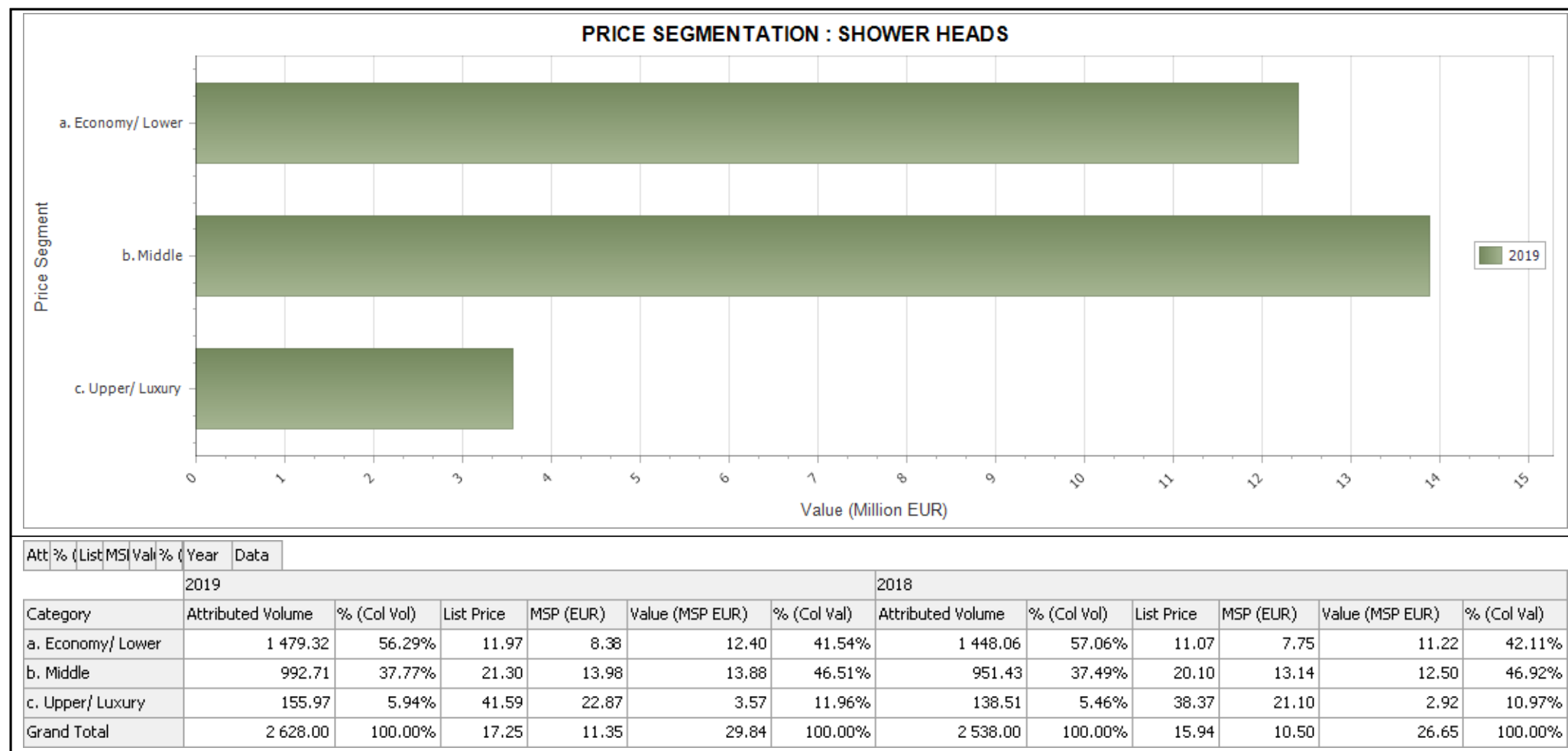


Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

Volumes Shown in Thousands and Values Shown in Millions (at MSP = Manufacturers' Selling Price). Economy/ Lower <€5, Middle €5-€10, Upper/ Luxury >€10

5.3.4 Price Segmentation : Shower Heads

SA - ESTIMATED PRICE SEGMENTATION FOR SHOWER HEADS

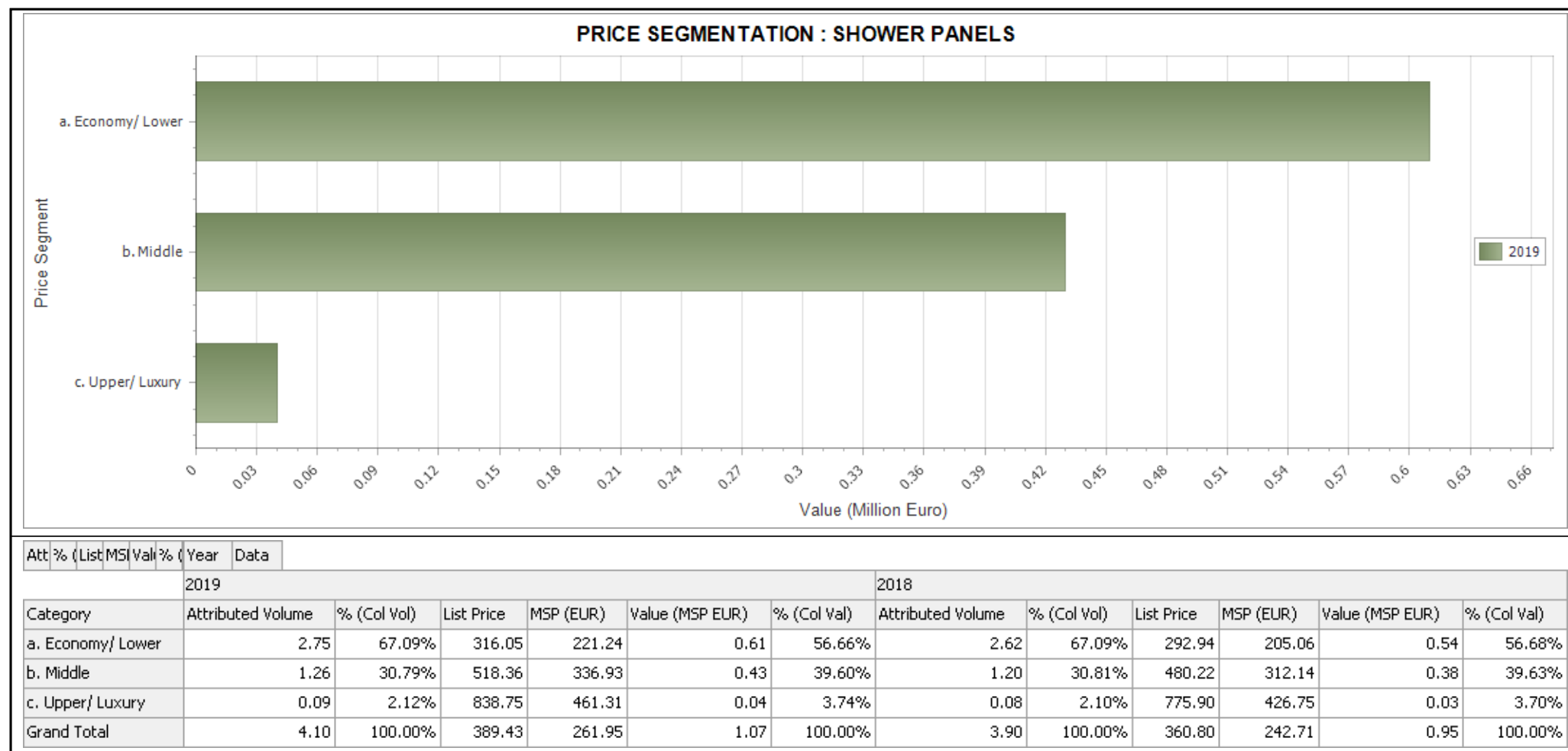


Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

Volumes Shown in Thousands and Values Shown in Millions (at MSP = Manufacturers' Selling Price). Economy/ Lower <€10, Middle €10-€20, Upper/ Luxury >€20

5.3.5 Price Segmentation : Shower Panels

SA - ESTIMATED PRICE SEGMENTATION FOR SHOWER PANELS

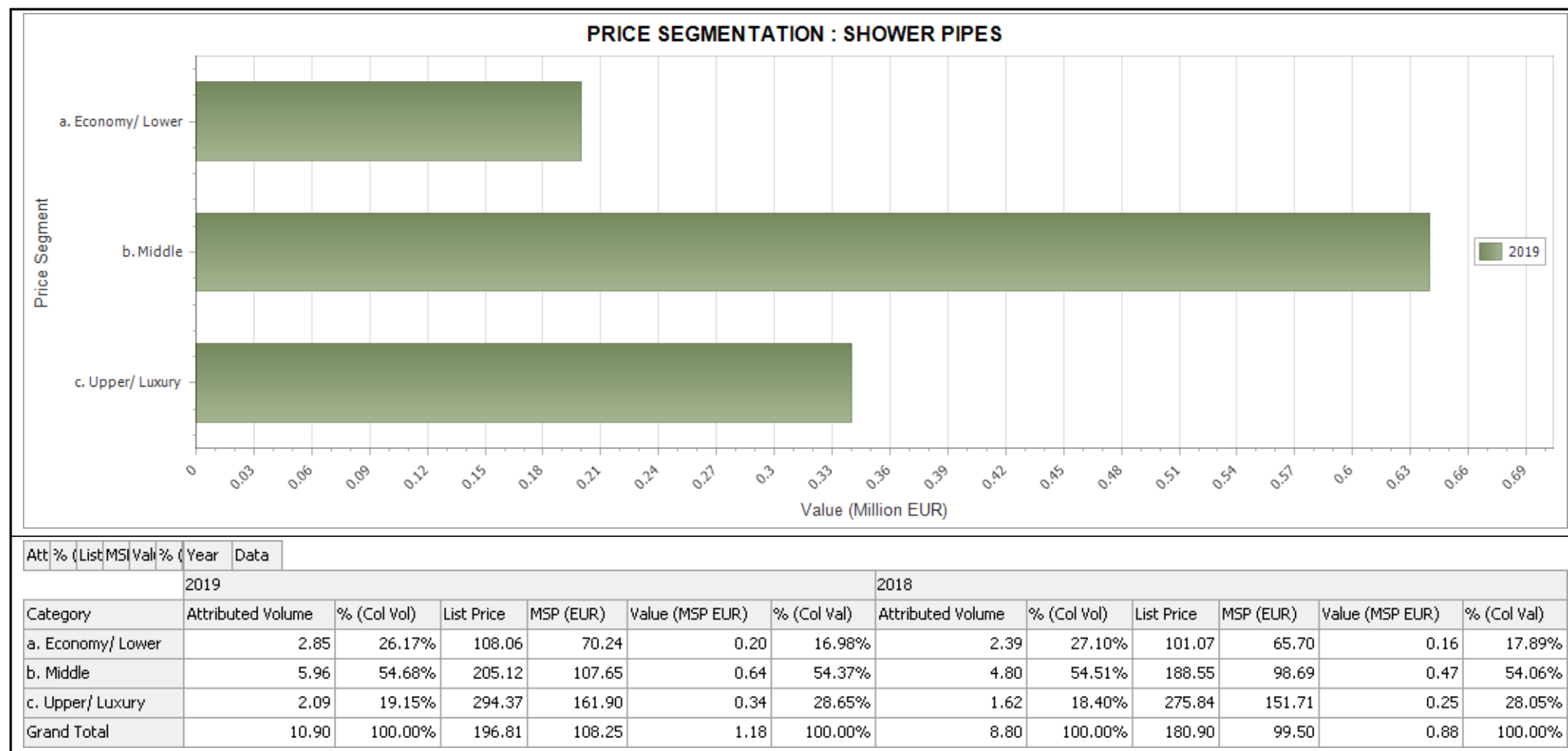


Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

Volumes Shown in Thousands and Values Shown in Millions (at MSP = Manufacturers' Selling Price). Economy/ Lower <€250, Middle €250-400, Upper/ Luxury >€450

5.3.6 Price Segmentation : Shower Pipes

SA - ESTIMATED PRICE SEGMENTATION FOR SHOWER PIPES

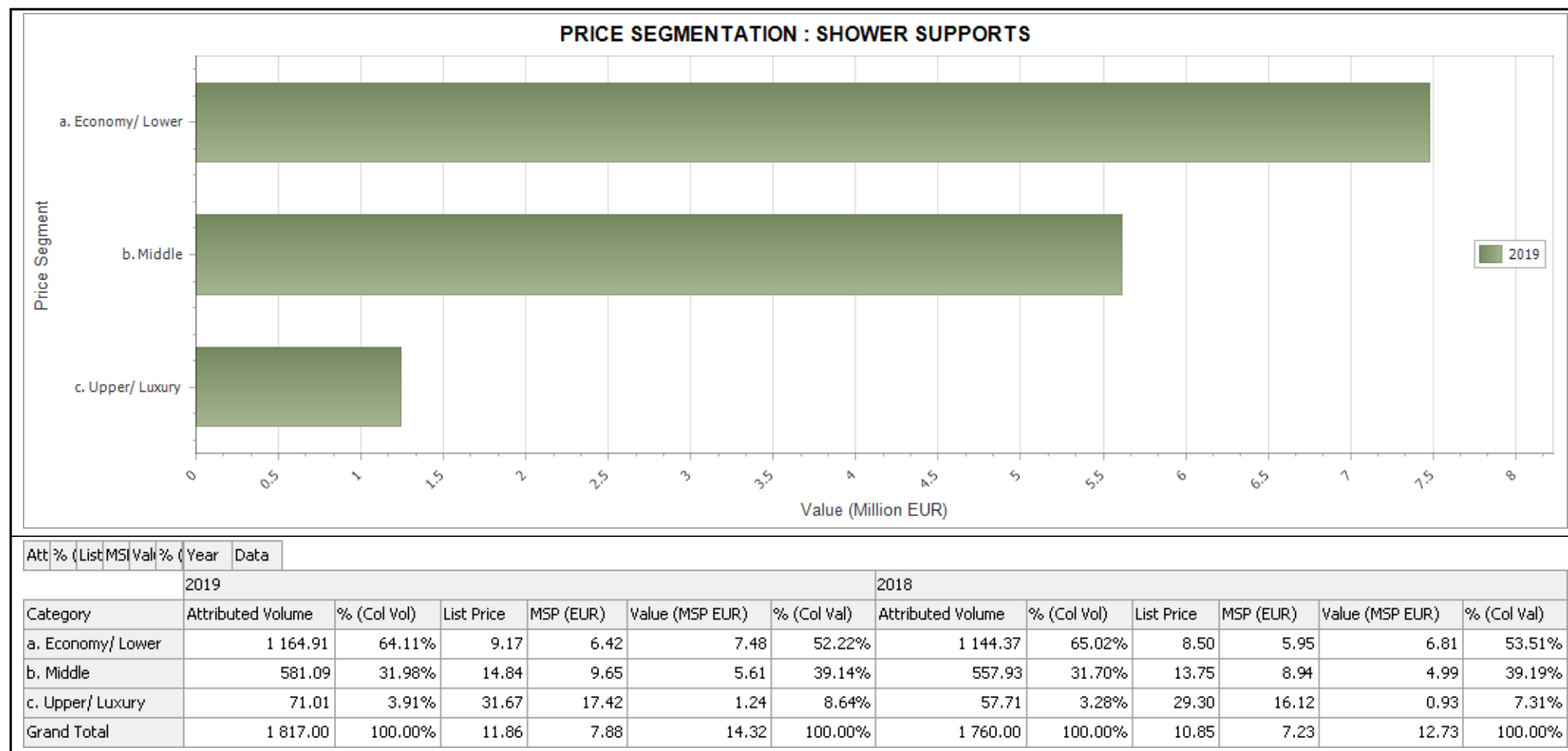


Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

Volumes Shown in Thousands and Values Shown in Millions (at MSP = Manufacturers' Selling Price). Economy/ Lower <€80, Middle €80-€120, Upper/ Luxury >€120

5.3.7 Price Segmentation : Shower Supports

SA - ESTIMATED PRICE SEGMENTATION FOR SHOWER SUPPORTS

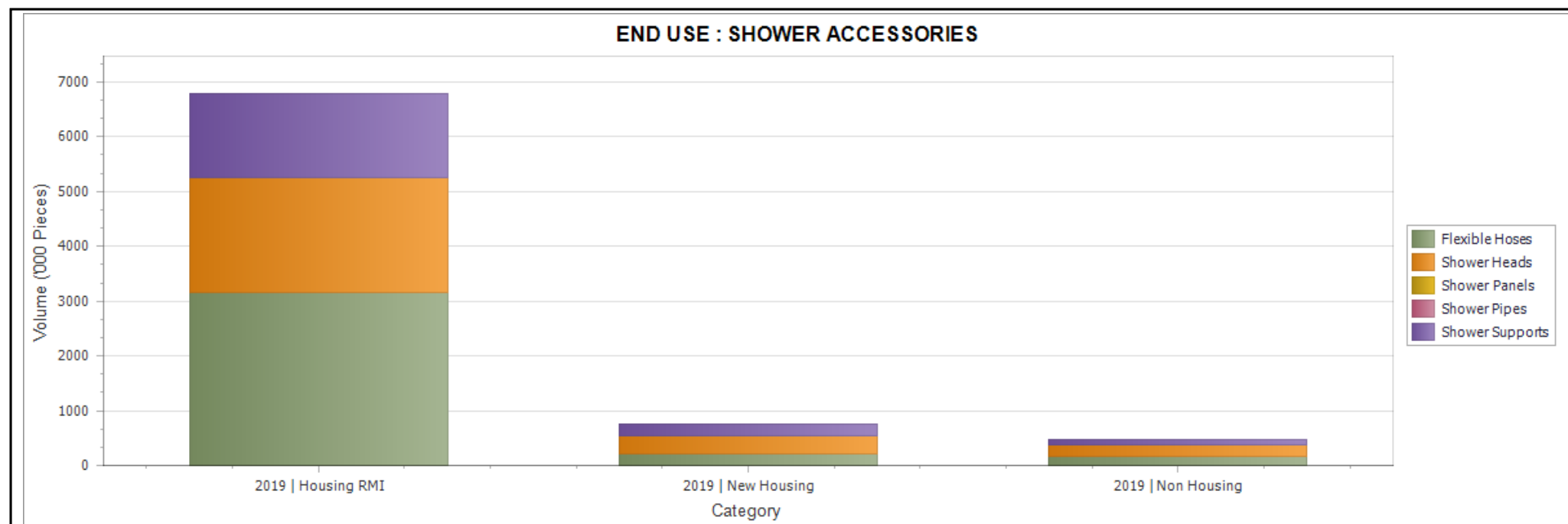


Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

Volumes Shown in Thousands and Values Shown in Millions (at MSP = Manufacturers' Selling Price). Economy/ Lower <€8, Middle €8-€15, Upper/ Luxury >€15

5.4.1 End Use : Base Year

SA - SALES OF SHOWER ACCESSORIES BY TYPE AND END USE SEGMENT ('000 PIECES)

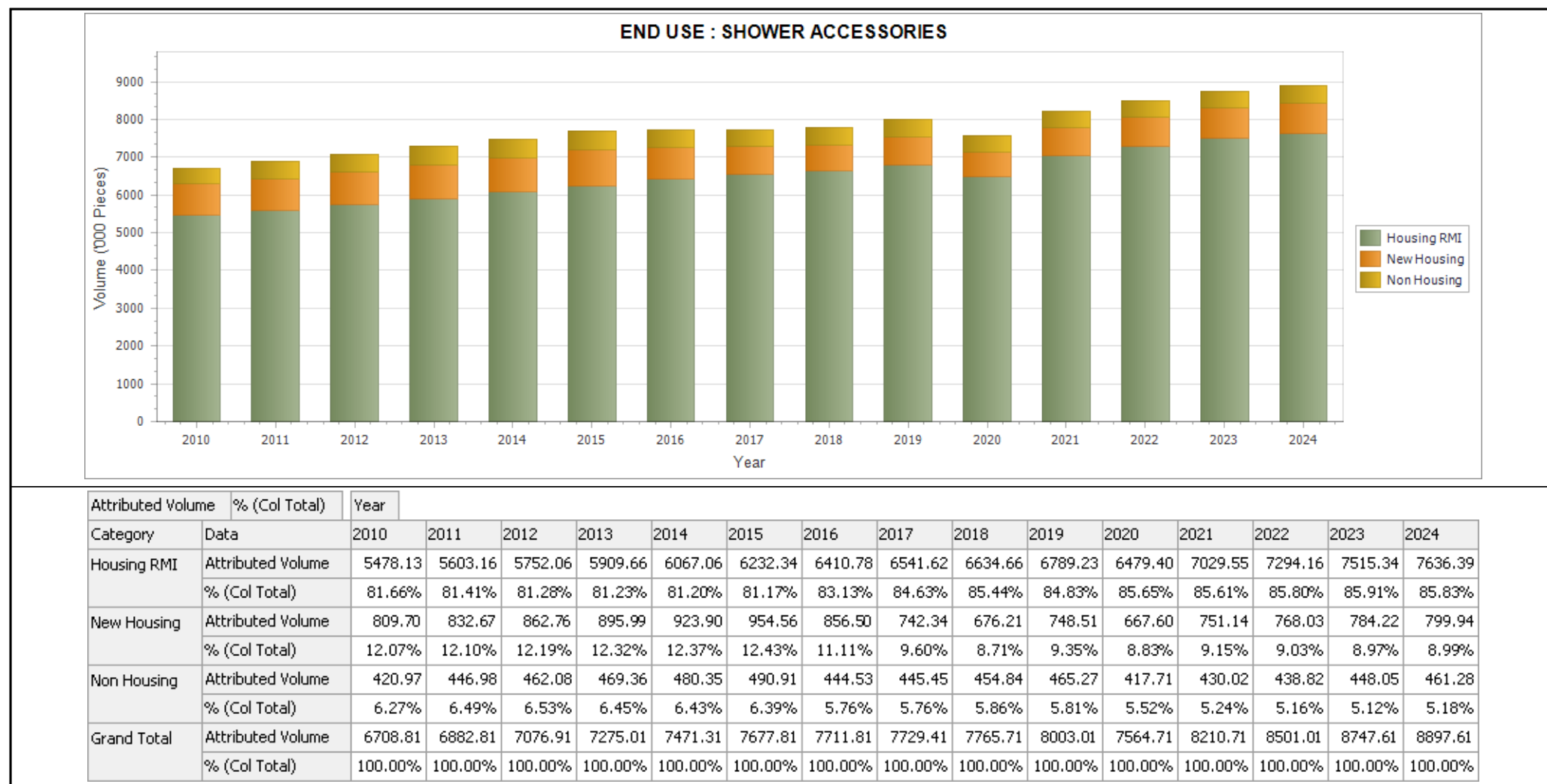


Attribu	% (Co	% (Ro	Year	Category	Data							
2019										2019 Total		
Housing RMI				New Housing			Non Housing					
Product	Attributed Volume	% (Col Total)	% (Row)	Attributed Volume	% (Col Total)	% (Row)	Attributed Volume	% (Col Total)	% (Row)	Attributed Volume	% (Col Total)	% (Row)
Flexible Hoses	3161.02	46.56%	89.22%	222.48	29.72%	6.28%	159.50	34.28%	4.50%	3543.00	44.27%	100.00%
Shower Heads	2091.27	30.80%	79.58%	314.89	42.07%	11.98%	221.85	47.68%	8.44%	2628.00	32.84%	100.00%
Shower Panels	2.65	0.04%	64.57%	1.16	0.15%	28.19%	0.30	0.06%	7.24%	4.10	0.05%	100.00%
Shower Pipes	0.45	0.01%	4.15%	9.57	1.28%	87.80%	0.88	0.19%	8.05%	10.90	0.14%	100.00%
Shower Supports	1533.84	22.59%	84.42%	200.42	26.78%	11.03%	82.74	17.78%	4.55%	1817.00	22.70%	100.00%
Grand Total	6789.23	100.00%	84.83%	748.51	100.00%	9.35%	465.27	100.00%	5.81%	8003.01	100.00%	100.00%

Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

5.4.2 End Use : Historical and Forecasts

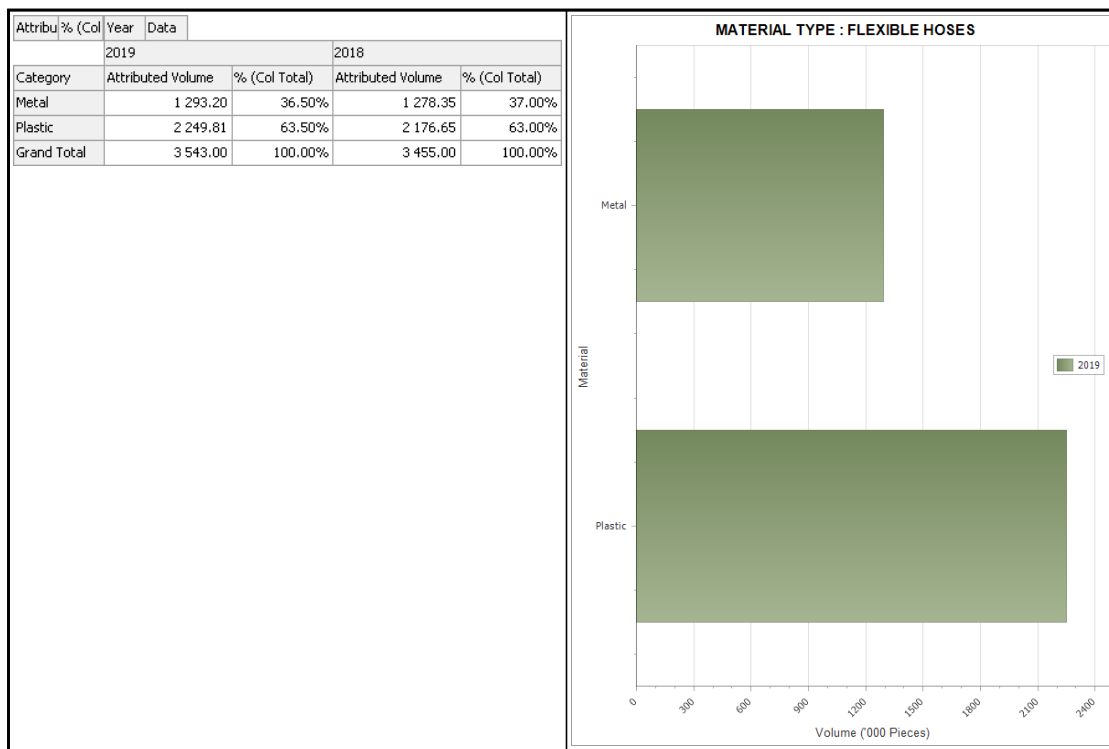
SA - SALES OF SHOWER ACCESSORIES BY END USE SEGMENT ('000 PIECES)



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

5.4.3 Sales By Type of Material : Flexible Hoses

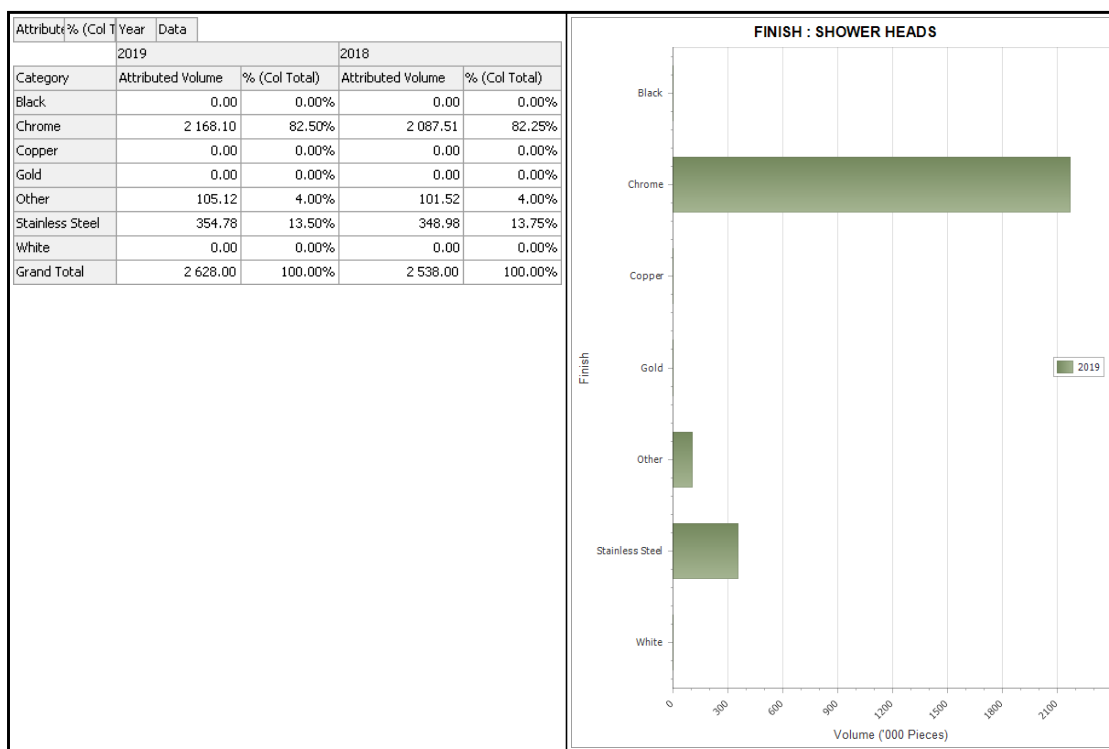
SA - FLEXIBLE HOSE SALES BY MATERIAL TYPE ('000 PIECES)



Source: BRG based on industry interviews

5.4.4 Sales by Type of Finish : Shower Heads

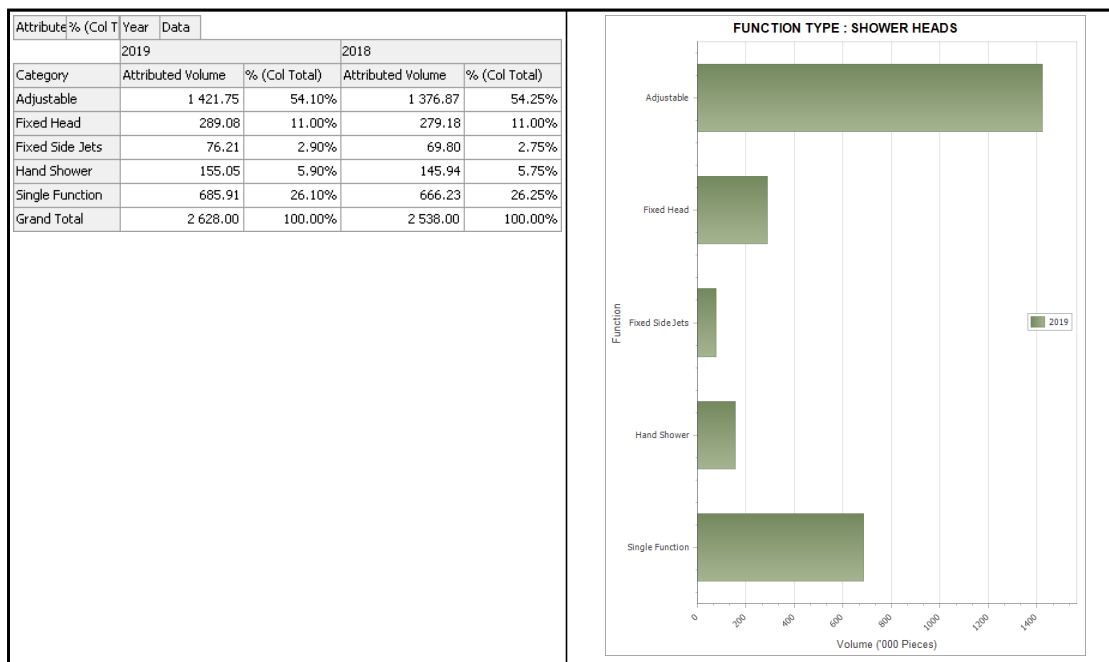
SA - SHOWER HEAD SALES BY FINISH TYPE ('000 PIECES)



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

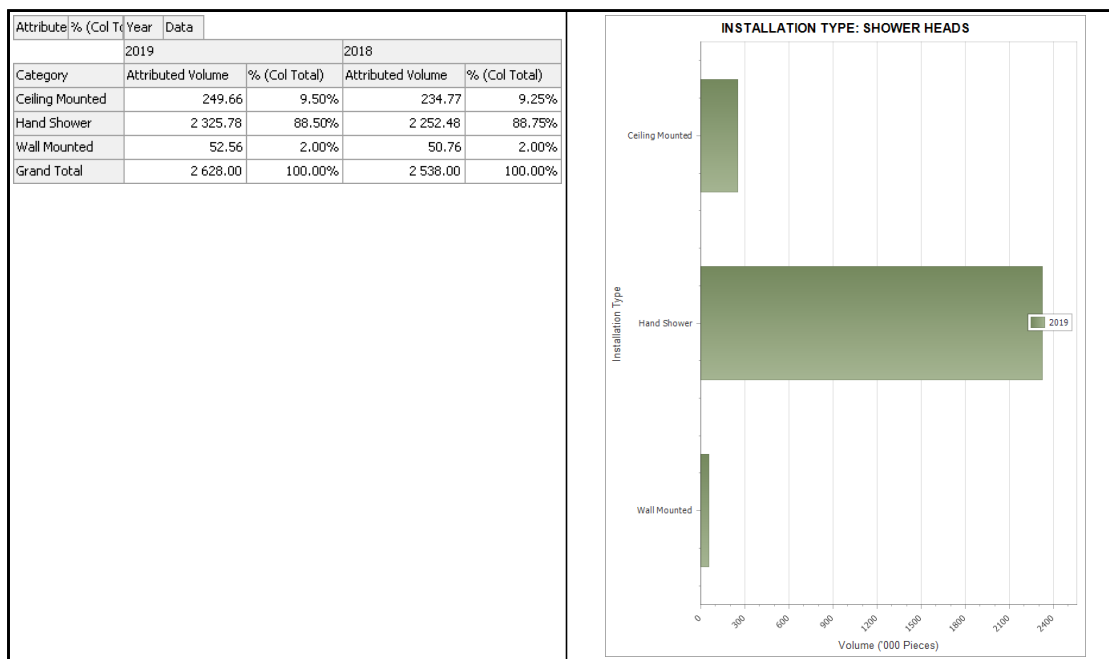
5.4.5 Sales By Type of Function : Shower Heads

SA - SHOWER HEAD SALES BY FUNCTION TYPE ('000 PIECES)



5.4.6 Sales by Type of Installation : Shower Heads

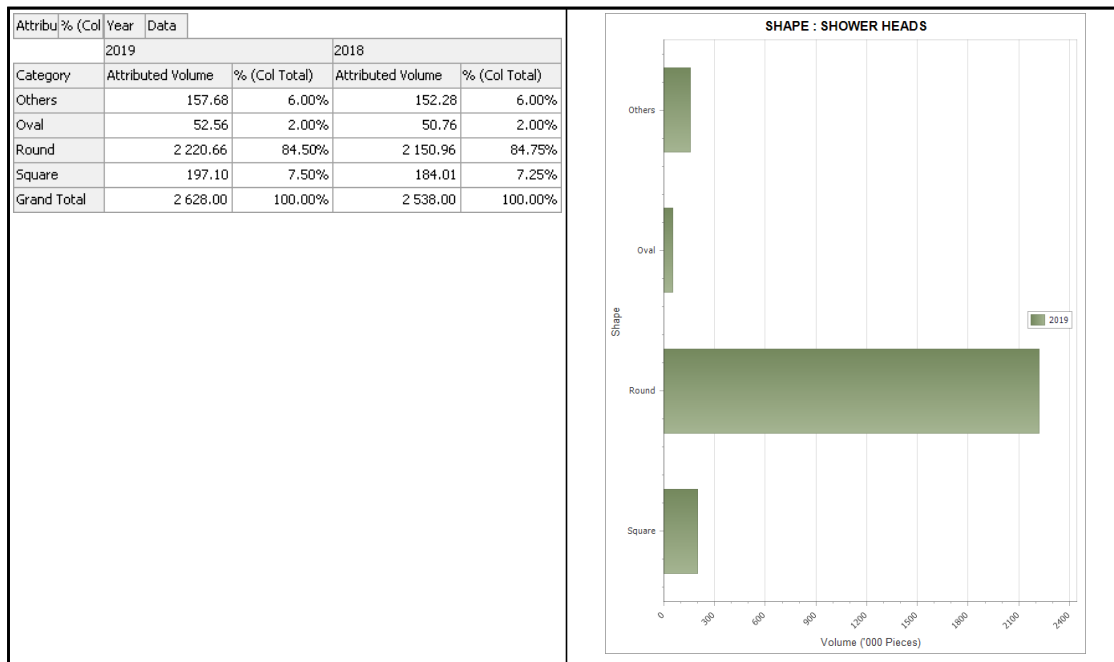
SA - SHOWER HEAD SALES BY INSTALLATION TYPE ('000 PIECES)



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

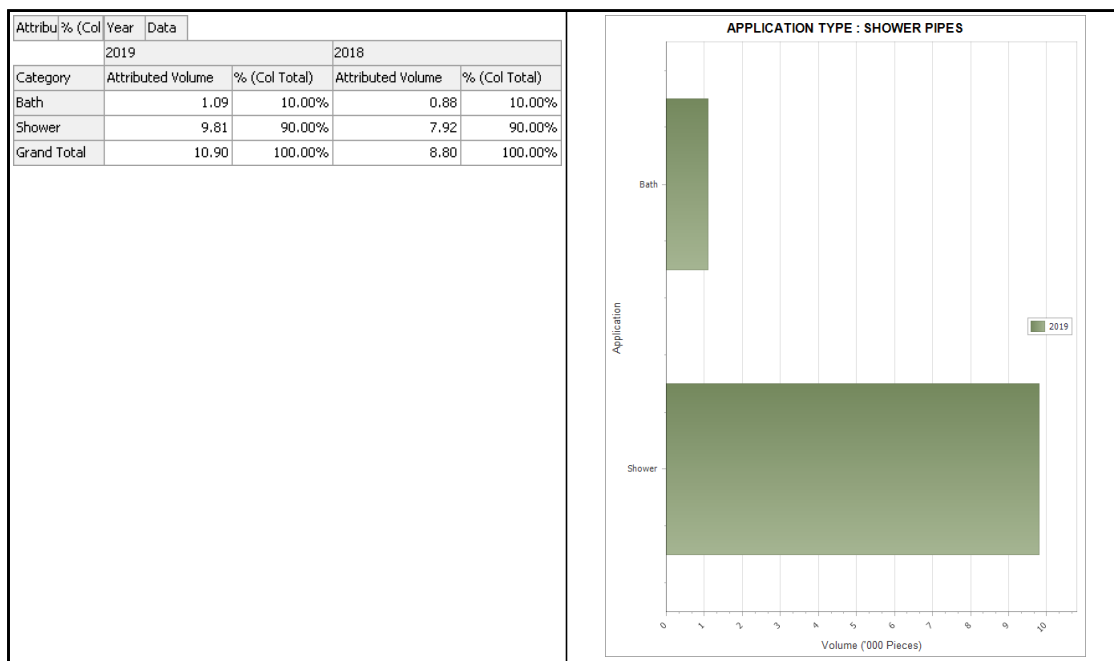
5.4.7 Sales By Type of Shape : Shower Heads

SA - SHOWER HEAD SALES BY SHAPE ('000 PIECES)



5.4.8 Sales by Type of Application : Shower Pipes

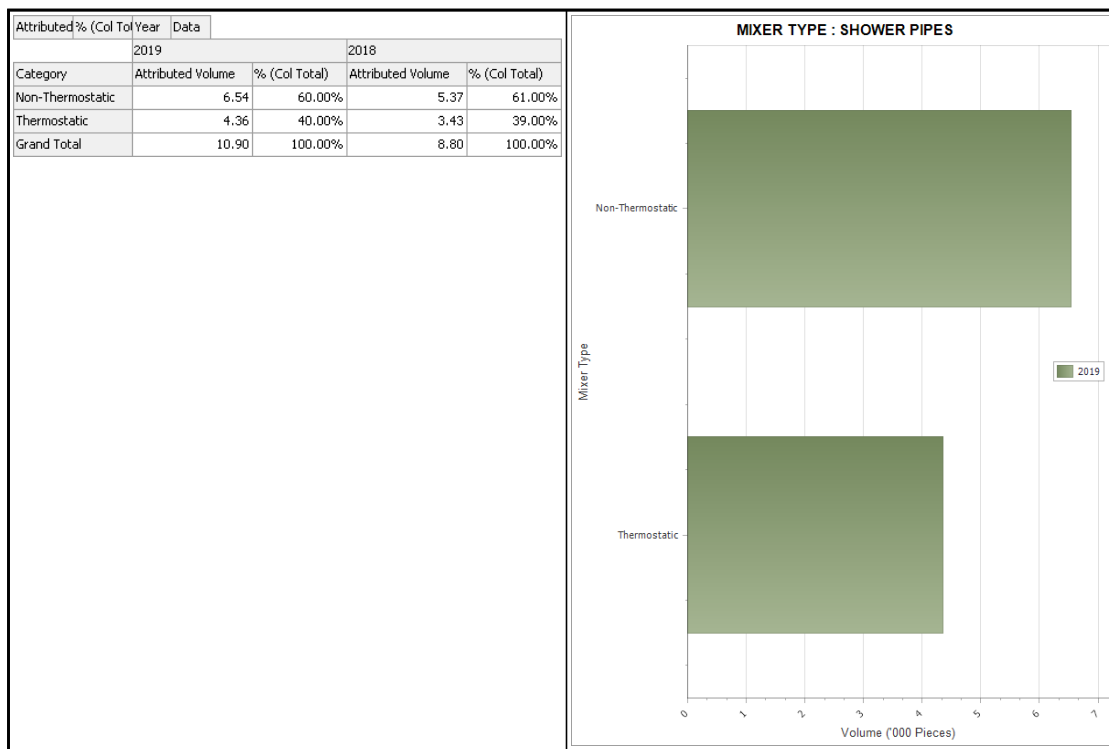
SA - SHOWER PIPE SALES BY APPLICATION TYPE ('000 PIECES)



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

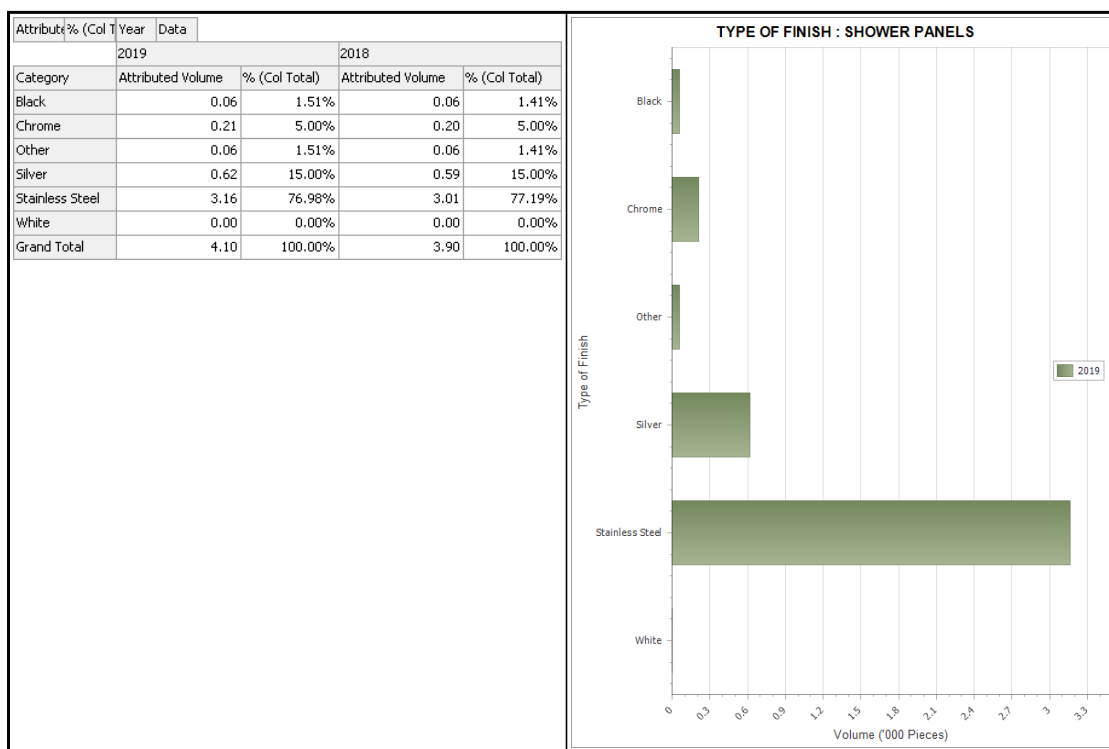
5.4.9 Sales by Type of Mixer : Shower Pipes

SA - SHOWER PIPE SALES BY MIXER TYPE ('000 PIECES)



5.4.10 Sales by Type of Finish: Shower Panels

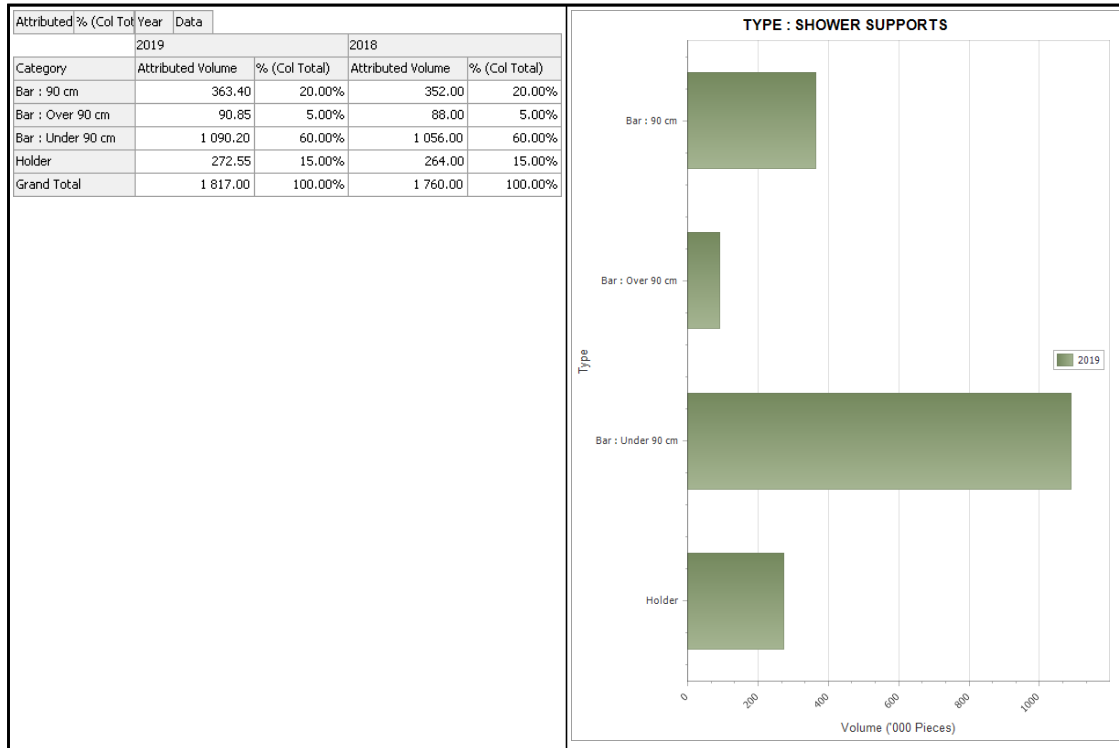
SA - SHOWER PANELS BY TYPE OF FINISH ('000 PIECES)



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

5.4.11 Sales By Type : Shower Supports

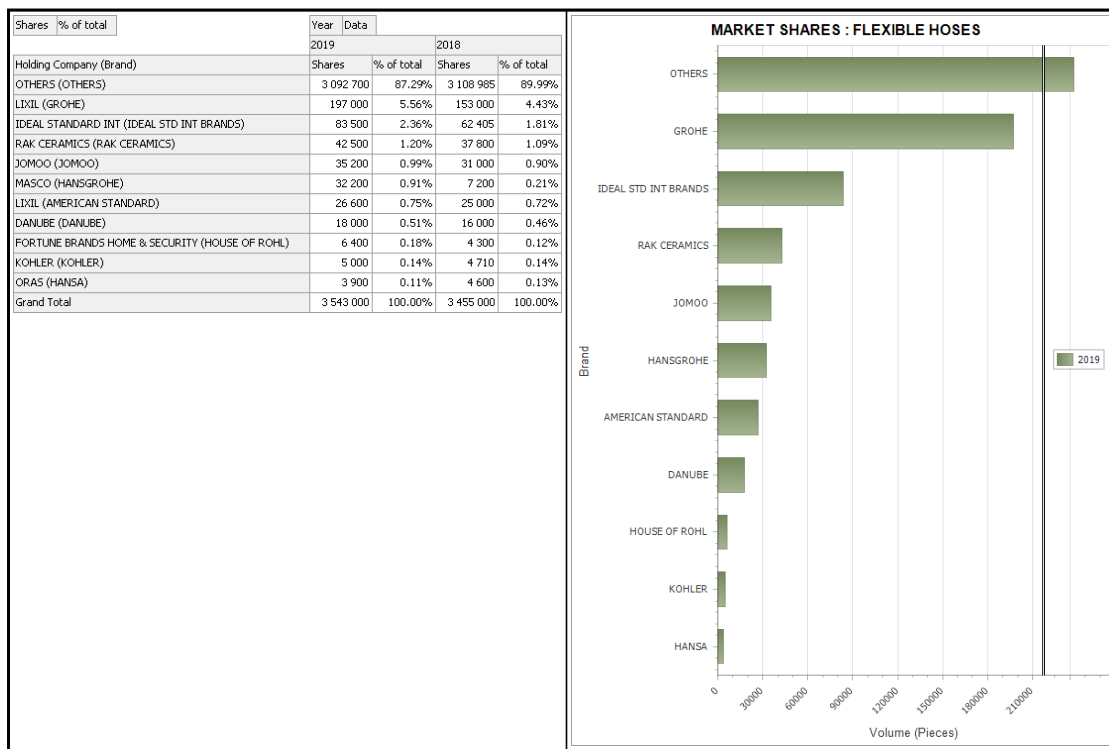
SA - SHOWER SUPPORT SALES BY TYPE ('000 PIECES)



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

5.5.1 Market Shares : Flexible Hoses

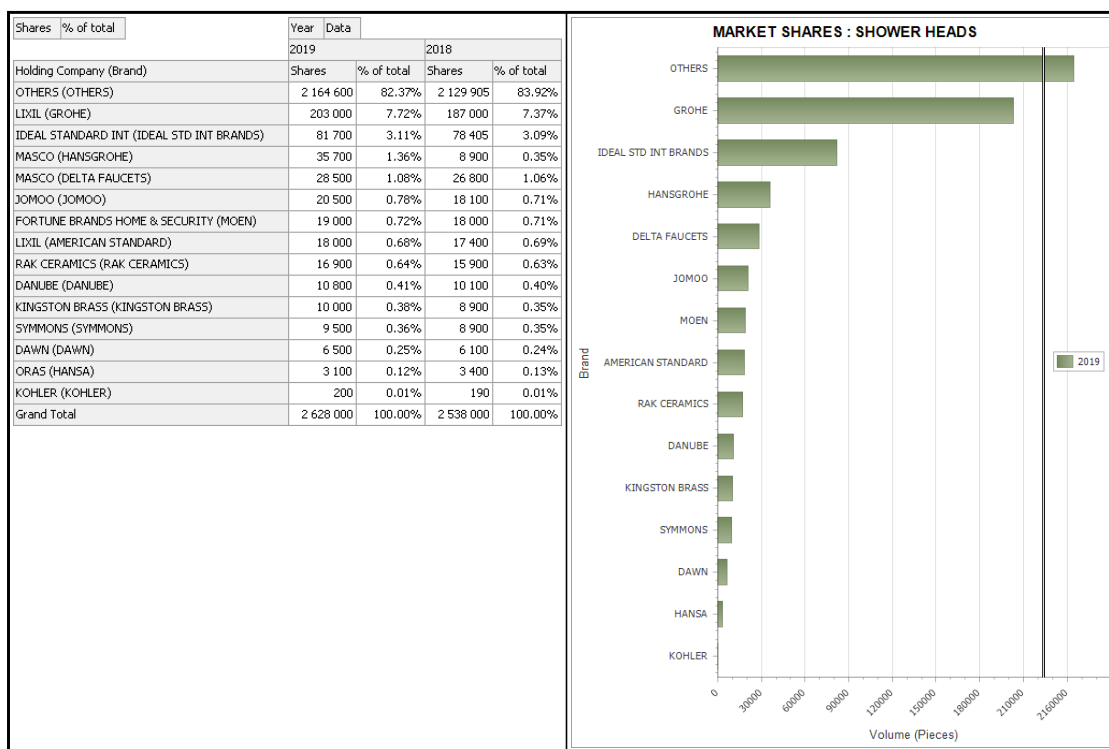
SA - ESTIMATED MARKET SHARES FOR FLEXIBLE HOSES



Source: BRG based on industry interviews.

5.5.2 Market Shares : Shower Heads

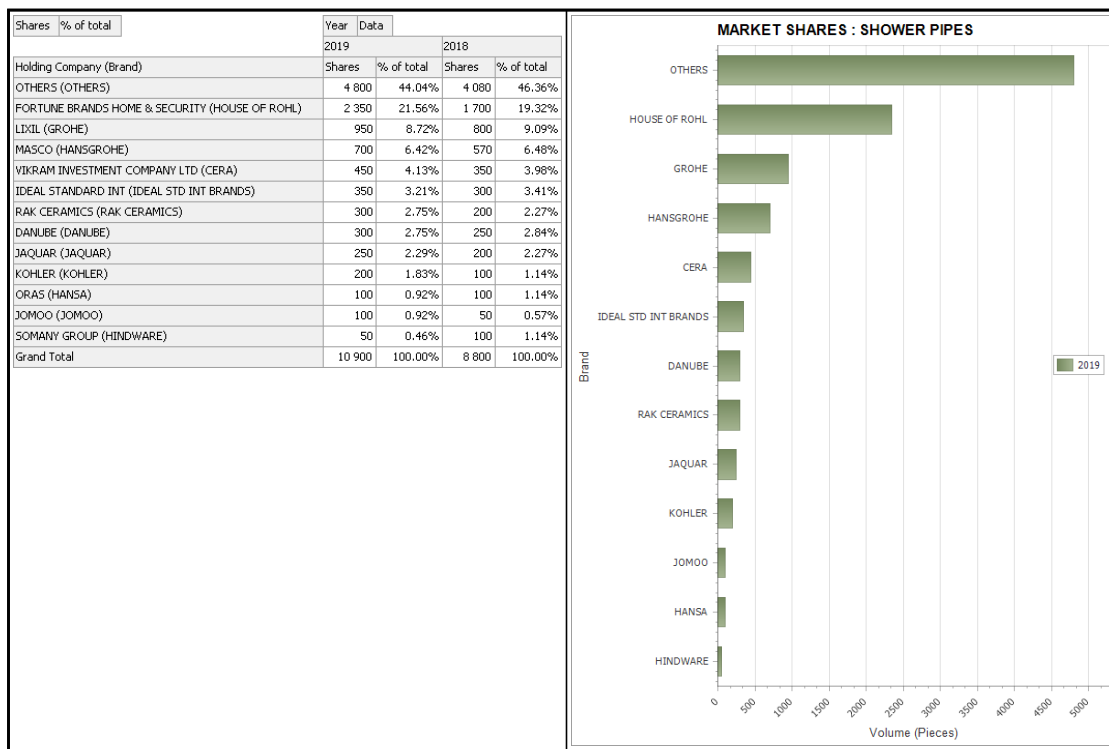
SA - ESTIMATED MARKET SHARES FOR SHOWER HEADS



Source: BRG based on industry interviews.

5.5.3 Market Shares : Shower Pipes

SA - ESTIMATED MARKET SHARES FOR SHOWER PIPES



Source: BRG based on industry interviews.

5.6.1

Route to Market: Shower Accessories
SA - ESTIMATED DISTRIBUTION FOR SHOWER ACCESSORIES: 2019

Manufacturer / Importer

Manufacturers / Importers
100.0%

Wholesale Level

79.6%
Wholesalers / Merchants
79.6%

Retail Level

Manufacturer	Wholesaler
0.0%	3.0%
Internet Retailers	
3.0%	

Manufacturer	Wholesaler
0.0%	0.0%
DIY Retailers	
0.0%	

Manufacturer	Wholesaler
17.0%	43.0%
Specialist Retailers	
60.0%	

Manufacturer	Wholesaler	Internet	DIY	Specialist
0.0%	21.0%	2.0%	0.0%	7.5%
Installers				
30.5%				

End Use Level

Manufacturer	Wholesaler	Internet	DIY	Specialist	Installer
3.2%	12.6%	1.0%	0.0%	50.0%	27.3%
Residential					
94.2%					
New Build			Residential RMI		
9.4%			84.8%		
Project	Non-Project	Project	Non-Project		
9.0%	0.4%	3.0%	81.8%		

Manufacturer	Wholesaler	Internet	DIY	Specialist	Installer
0.1%	0.0%	0.0%	0.0%	2.5%	3.2%
Non-Residential					
5.8%					
New Build			Non-Residential RMI		
4.0%			1.8%		
Project	Non-Project	Project	Non-Project		
3.5%	0.5%	0.3%	1.5%		

5.6.2

Route to Market: Shower Accessories
SA - ESTIMATED DISTRIBUTION FOR SHOWER ACCESSORIES: 2024

Manufacturer / Importer

Manufacturers / Importers
100.0%

Wholesale Level

79.0%
Wholesalers / Merchants
79.0%

Retail Level

Manufacturer	Wholesaler
0.0%	4.0%
Internet Retailers	
4.0%	

Manufacturer	Wholesaler
0.0%	0.0%
DIY Retailers	
0.0%	

Manufacturer	Wholesaler
17.5%	43.5%
Specialist Retailers	
61.0%	

Manufacturer	Wholesaler	Internet	DIY	Specialist
0.0%	21.0%	2.5%	0.0%	8.0%
Installers				
31.5%				

End Use Level

Manufacturer	Wholesaler	Internet	DIY	Specialist	Installer
3.4%	10.5%	1.5%	0.0%	50.0%	29.4%
Residential					
94.8%					
New Build			Residential RMI		
9.0%			85.8%		
Project	Non-Project	Project	Non-Project		
8.5%	0.5%	3.5%	82.3%		

Manufacturer	Wholesaler	Internet	DIY	Specialist	Installer
0.1%	0.0%	0.0%	0.0%	3.0%	2.1%
Non-Residential					
5.2%					
New Build			Non-Residential RMI		
4.0%			1.2%		
Project	Non-Project	Project	Non-Project		
3.5%	0.5%	0.2%	1.0%		

Source: BRG Based on Industry Interviews. - Totals may vary due to roundings

5.6.3 Route to Market - Consolidated View : Shower Accessories

SA - ESTIMATED DISTRIBUTION FOR SHOWER ACCESSORIES : 2019

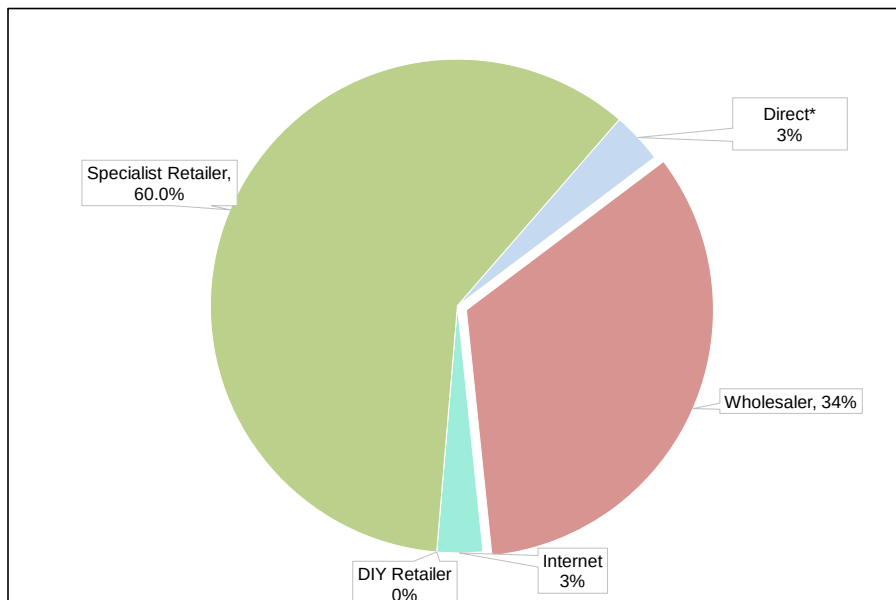
Route to Market - End Use Level					Project		Non-Project	
Wholesaler	Internet	DIY Retailer	Specialist Retailer	Direct*	Residential	Non-Residential	Residential	Non-Residential
33.6%	3.0%	0.0%	60.0%	3.3%	12.0%	3.8%	82.2%	2.0%
100%					15.8%		84.2%	

5.6.4 Route to Market - Consolidated View : Shower Accessories

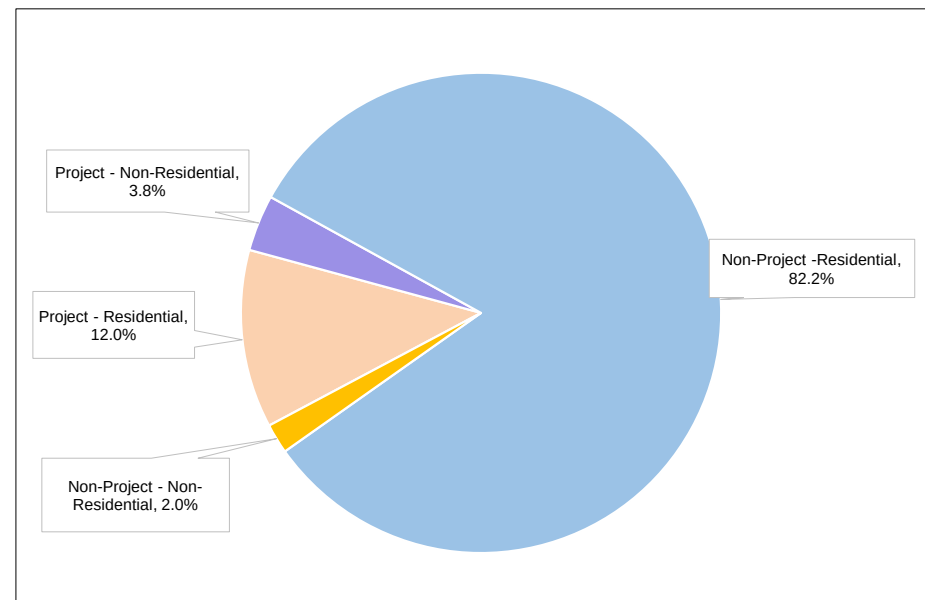
SA - ESTIMATED DISTRIBUTION FOR SHOWER ACCESSORIES : 2024

Route to Market - End Use Level					Project		Non-Project	
Wholesaler	Internet	DIY Retailer	Specialist Retailer	Direct*	Residential	Non-Residential	Residential	Non-Residential
31.5%	4.0%	0.0%	61.0%	3.5%	12.0%	3.7%	82.8%	1.5%
100%					15.7%		84.3%	

SA - SALES OF SHOWER ACCESSORIES BY DISTRIBUTION CHANNEL: 2019



SA - SALES OF SHOWER ACCESSORIES BY POINT OF DECISION AND END-USE SECTOR: 2019



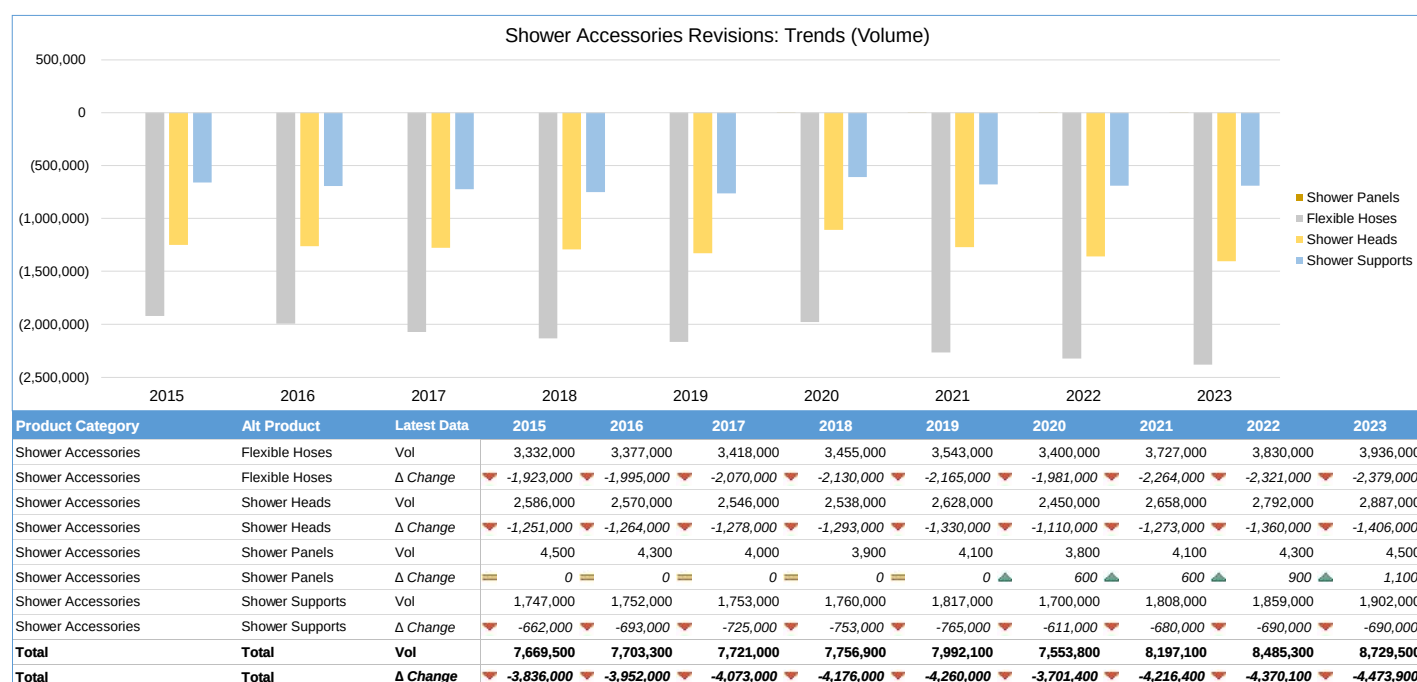
Source: BRG Based on Industry Interviews.

*Direct includes sales going directly from manufacturers to installers, contractors and private customers.

5.7 Revisions in the Saudi Shower Accessories Market (April 2020)

SA - REVISIONS IN THE SAUDI SHOWER ACCESSORIES MARKET

Data Comparison: April 2019



The historical and forecasting series for shower accessories were revised upwards. This was due to a replacement rate higher than previously thought. Indeed, the lifespan of these products is shorter compared to Europe, due to the importance of low-end products imported from Asia. Also, bathrooms are often refurbished in Saudi Arabia. The factors leading to this refurbishment include the purchase of an existing house, as a non-negligible factor to estimate the number of refurbished dwellings in Saudi Arabia. The quantification of these refurbishments through the association of different vectors such as activities in the real estate sector, constitutes, at a lesser extent, the second element that explain this revision.

The MSP for shower heads were revised downwards, following a new price segmentation, with higher share of low-end products. This led the overall MSP to be lowered.

SAUDI ARABIA

KITCHEN SINKS

THE MIDDLE EASTERN BATHROOM & KITCHEN PRODUCT MARKETS



Market Characteristics and Product Mix

Ever since the oil trade in Saudi Arabia became prominent at the end of 1970s, three main factors have structured the kitchen sink market. The fast population growth and the economic development created both the demand for housing and the resources to respond to this demand. Socio-cultural changes generated by the fast urbanisation, better education and an elevation of the quality life standards (including health) led the Saudi family structure to be mostly represented by a nuclear family model, leading to a higher number of housing units per inhabitants, and consequently, a higher number of kitchen sinks. Given the fact that these factors are cumulative, the kitchen sink market experienced double-digit growth rates for a few decades, to become in the 21st century, one of the largest kitchen sink markets in the Middle East.

Due to the advantages given by the oil and gas industry, Saudi Arabia did not diversify its economy (away from oil and gas), putting to one side the manufacturing of durable goods such as kitchen sinks. As a result, the country has been importing kitchen sinks massively. As a rentier state, the workforce used in the oil and gas industry is very limited (and largely consisting of foreign workers), leading to a generous welfare system in which the wealth is redistributed to the Saudi population. Among this redistribution: housing units.

For this reason, most of the housing construction programmes were initiated by the government. Massive projects resulted in strong demand for kitchen sinks. In recent years, the shortage in housing, in turn due to the pyramid of age where young adults became the largest part of the population, combined with the volatility social protests (such as the Arab Springs that affected Tunisia, Syria, and Egypt, to name few) has led the government to provide more homes to its population, giving an additional boost to the kitchen sink market.

While the unrivalled political and economic ties between Saudi Arabia and the United States has led manufacturers from this latter country to be the major players in the 1970s and 1980s, imports from the rising South East Asian countries (mainly China and Korea) had gradually replaced Western imports, to hold a hegemonic position in the kitchen sink market in the 20th century. However, the emergence of local manufacturers in the 90's, along with a 'Saudization' of the economy, has led local manufacturers to become significant suppliers.

Most Saudi houses are equipped with one kitchen, generally with one inset kitchen sink. Within non-housing, countertop kitchen sinks are more frequent. With regards to products sold in the country, kitchen sinks made of stainless steel represent the overwhelming market, followed by those made of synthetic. These are mostly made of artificial marble and are often part of the kitchen countertops. The market for ceramic kitchen sinks is very limited. These products stain easily, particularly with the large amount of tea that Saudis drink. Saudis prefer stainless-steel kitchen sinks over those made of ceramic, with the latter staining relatively easily if

household members drink lots of tea. Within synthetic kitchen sinks, fake marble is common.

Following the drop of the oil prices in recent years, the government took measures of austerity to reduce public spending. Many projects were cancelled or postponed, and the economic and financial environments were the most propitious for the kitchen sink market to continue to growth at a high rate. However, housing projects continued to develop with the launch of several new cities such as King Abdallah Economic Cities, generating a tremendous demand for kitchen sinks.

Consumers purchasing a kitchen sink are less subject to design and appearance as guests do not enter the kitchen.

Recent Market Trends

Sales of kitchen sinks increased in 2019, thanks to a better economic climate that impacted both the construction industry and the retail industry.

The vast majority of sinks sold during that year were made of stainless steel, generally with a single bowl. However, there is a trend for two bowls.

The installation type for most kitchen sinks in Saudi Arabia was the inset.

Prices and Market Values

The price for kitchen sinks picked up slightly in 2019, following a deflation affecting the country. This rebound in price, although tiny, was due to a stronger demand generated by the construction sector, as well as an overall improvement of the economic climate.

Ceramic kitchen sinks are the most expensive type of sink: the demand for this type of product is too low to generate economies of scale from manufacturers and most of the ones sold in Saudi Arabia were imported, rather than made by local ceramic manufacturers.

The price competition appeared to be fiercer among local, Asian, and Western manufacturers due to the almost unique presence of stainless-steel sink in the market. The product differentiation is more difficult than ever: Western brands suffered from the popularity of Asian brands (particularly from South Korea). This situation pushed Western brands to focus on the non-housing segment or the high-end residential sector, offering a lifetime warranty for their high-end products. At the same time, these brands offer affordable products to the medium segment. Since the quality of Asian brands is constantly increasing, the added value for the Western brands seems to be cornered to the reputation of the country of origin. As a result, the price-elasticity is high in this segment.

New Housing

In 2019, the number of residential completions has increased for the first time after several years of decline. As a result, sales of kitchen sinks increased in the new housing segment.

Following measures of austerity taken by the government, mostly aiming to reduce the government deficit by cutting expenses, a series of reforms has improved the economic climate which led the construction activities to get back on track.

KAEC (King Abdullah Economic City) reached 40% of completion by September 2019. It includes many significant non-housing projects such as hospitals, restaurants, universities, schools, etc along with thousands of residential units.

During that year, the vast majority of kitchen sinks sold in Saudi Arabia were made of stainless steel, thanks to the popularity of this type of kitchen sink worldwide, enabling manufacturers to generate economies of scales. Lighter than any other type of kitchen sink, the import costs allow good competitive prices.

Housing RMI

A higher number of real estate transactions took place in 2019. This led to additional kitchen sink replacements in Saudi Arabia.

Indeed, many Saudis tend to refurbish the house straight after they purchase it. This includes the refurbishment of the kitchen, which include generally the kitchen sink.

During that year, some sales of synthetic kitchen sinks took place when the whole kitchen was refurbished.

Some houses are equipped with kitchen tops made of tiles and generally, like-to-like sinks are favoured, unless the whole kitchen is refurbished and a larger sink is preferred, generally made of stainless steel.

Some Saudis prefer also synthetic kitchen sinks when it comes to refurbishment, as they can be highly customised and fashionable, particularly when the whole countertop is made of a single piece. Worktop manufacturers supply these along with other kitchen furniture.

Non-Housing

In 2019, sales of kitchen sinks to the non-housing segment increased, thanks to the construction of new hotels, as well as new coffee shops and restaurants, following new government measures to boost the local economy.

This was particularly focused in tourist places such as Medina and Mecca where millions of visitors visit every year with many coffee houses and restaurants capturing a significant share of kitchen sinks sold to the Hedjaz region.

Offices in Riyadh captured basic kitchen sinks too.

Supply Structure

An increasing number of Asian manufacturers offer higher quality products, often with long warranties, reducing the value-proposition from Western manufacturers.

NATIONAL FACTORY FOR SINK BOWLS is a Saudi manufacturer and market leader for stainless steel kitchen sink. A couple of other local major manufacturers play a minor role in the total market for stainless steel.

HINOX (MUTLAK SALEH ALHADYANE FACTORY) is a Saudi manufacturer based in Jeddah and specialises in stainless steel kitchen sinks. Another Saudi manufacturer is AL HAR (RAJHI FACTORY FOR SINKS & ACRYLIC PRODUCTS). Both companies were created in the 1990's.

HANS, TEKA and FRANKE count among the main foreign players in the stainless-steel segment. TEKA is distributed by AL SENDIAN HOME.

The share of Asian manufacturers continued to increase in 2019, led by Chinese and Korean manufacturers. FRANKE outsources their kitchen sinks from a Chinese manufacturer that produce large quantities for top European brands.

Among Chinese manufacturers, HIGOLD is available throughout the country.

Chinese and Korean manufacturers are the main exporters for kitchen sinks to the Kingdom. Korean manufacturers enjoy a much better reputation.

IKEA has a few ceramic kitchen sinks models as well as synthetic models made of quartz composite.

MODERN STREET TRADE EAST, HOSINOX and EKUEP supply stainless steel kitchen sinks to the non-housing segment. The latter produces kitchen sinks on demand and the overall quantity sold are limited.

When looking at the imports for kitchen sinks, those made of ceramic are 100% imported, mostly from Europe, and supply the high-end residential sector. The market is so small that even major manufacturers of ceramic sanitary ware products in Saudi Arabia do not offer this type of product. Stainless steel kitchen sinks are mostly imported from Asia, and these imports are largely made of good quality Korean manufacturers, and Chinese manufacturers for the unbranded products.

While imports of Asian manufacturers are the most competitive products, local manufacturers are generally favoured for government projects, less based on economic reasons than a form of clientelism mixed and protectionism.

Asian manufacturers continued to extend their range of products to the medium segment, no longer focusing solely on the economy segment. With strong links with local distributors, they can be found everywhere in the Kingdom. This is particularly the case for HIGOLD.

Brand recognition with kitchen sinks is less strong compared to sanitary ware products. However, concerns remain for purchasing a good quality product (e.g. quality of the stainless steel and the thickness). This explains the rise of Asian manufacturers, suffering less from a lack of recognition compared to other household appliances.

Forecasts

Given the exceptional circumstances related to the spread of the COVID-19 virus and measures in place for its containment, forecasts for 2020 and beyond are based on the latest information available at the time of publication. BRG has attempted to factor in the latest developments – see Macroeconomic data in Table II.3, and supporting summary table at the end of the Background section. Given the fluidity of circumstances at this time, we expect that these forecasts are likely to be superseded by events, and therefore BRG will be updating them, as required, in any subsequent update of our estimates scheduled during 2020.

Sales of kitchen sinks are expected to increase during the forecast period, driven by high construction activity in the residential sector but also in the new housing segment.

However, 2020 will probably be significantly affected by counter-measures from the government to tackle the COVID-19 pandemic, which include curfews and a slowdown in construction activities. More details are mentioned in the “Background” section.

Within the non-housing segment, most of the demand should come from the hospitality industry, as the country is now focusing on developing tourism rather than purely religious tourism. Tourism visas can now be obtained online or upon arrival for 49 countries. Strong interests from international hotel chains are clearly perceived since many have ambitious projects to expand their offer throughout the country.

Within the residential sector, plans to provide thousands of social housing to the population along with an easier access to mortgages should boost the kitchen sink market in the coming years. Indeed, the country has suffered for many years from a shortage in housing.

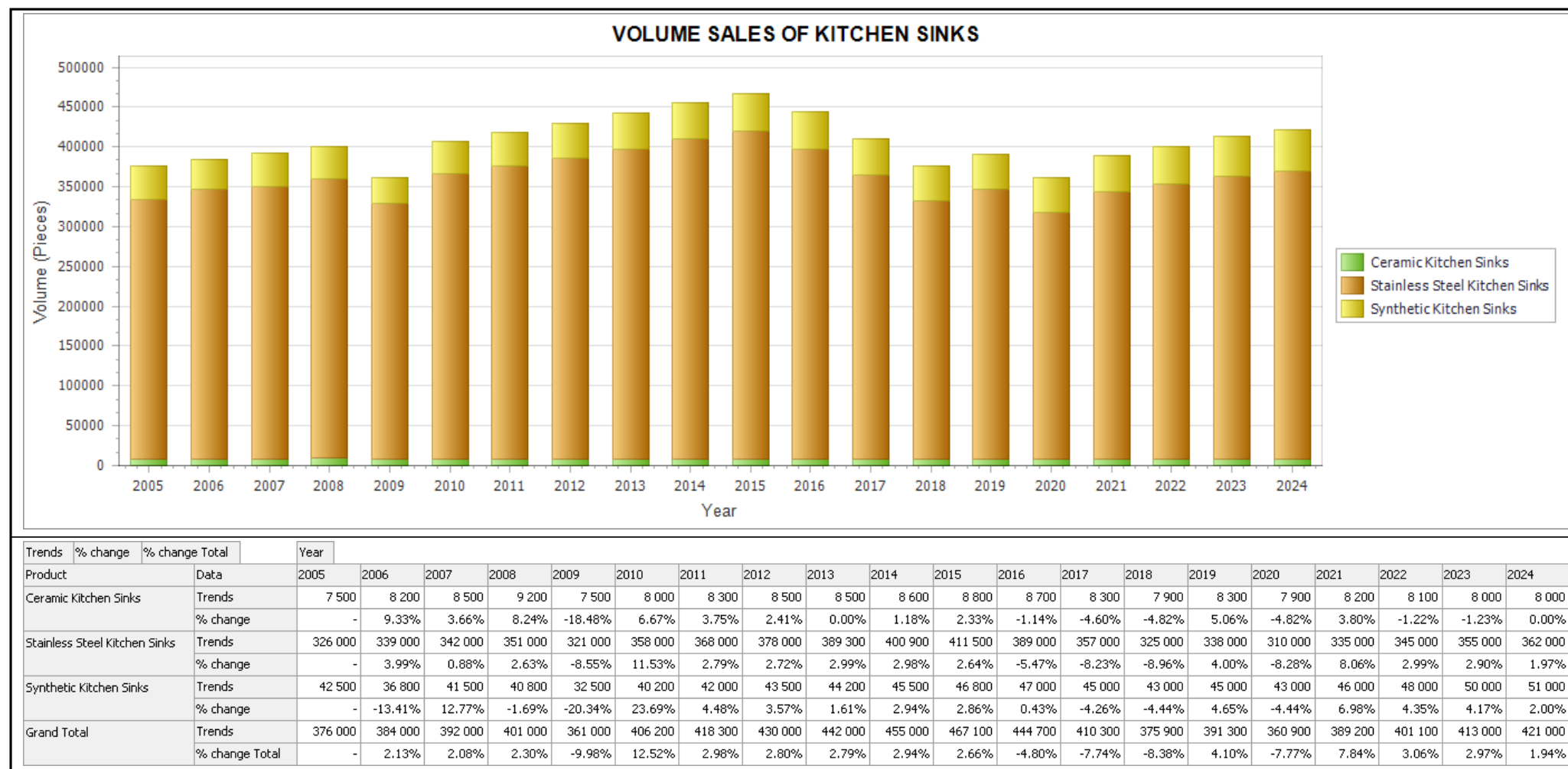
New economic cities such as KAEC is currently being built on the West Coast. With 260,000 apartments and 56,000 houses, it constitutes massive sales opportunities for shower walls. NEOM is the new project city launched by the Crown Prince MBS. Futuristic and transnational (Jordan & Egypt), the city should also boost the shower wall market over the forecasting period.

Radical reforms initiated by the Prince include the development, for the first time in the history of Saudi Arabia, of the tourism industry (not purely religious) targeting the upper market, and covering an area of 34,000 km², including 50 islands. Many hotels and resorts should be built, and the area should be administrated independently to the rest of the country, to allow the integration of international standards. In addition, 2021 should witness the completion of the largest hotel in the world: the Abraj Kudai and its 10,000 rooms.

The kitchen sink market is expected to grow for the forecasting period, should the radical reforms engaged by the Crown Prince not encounter any obstacles. Failure in diversifying its economy, continuous low oil prices, societal changes happening too fast, pauperisation and political tension in and out of the country constitute the main challenges for the construction sector in Saudi Arabia and consequently, the shower wall market.

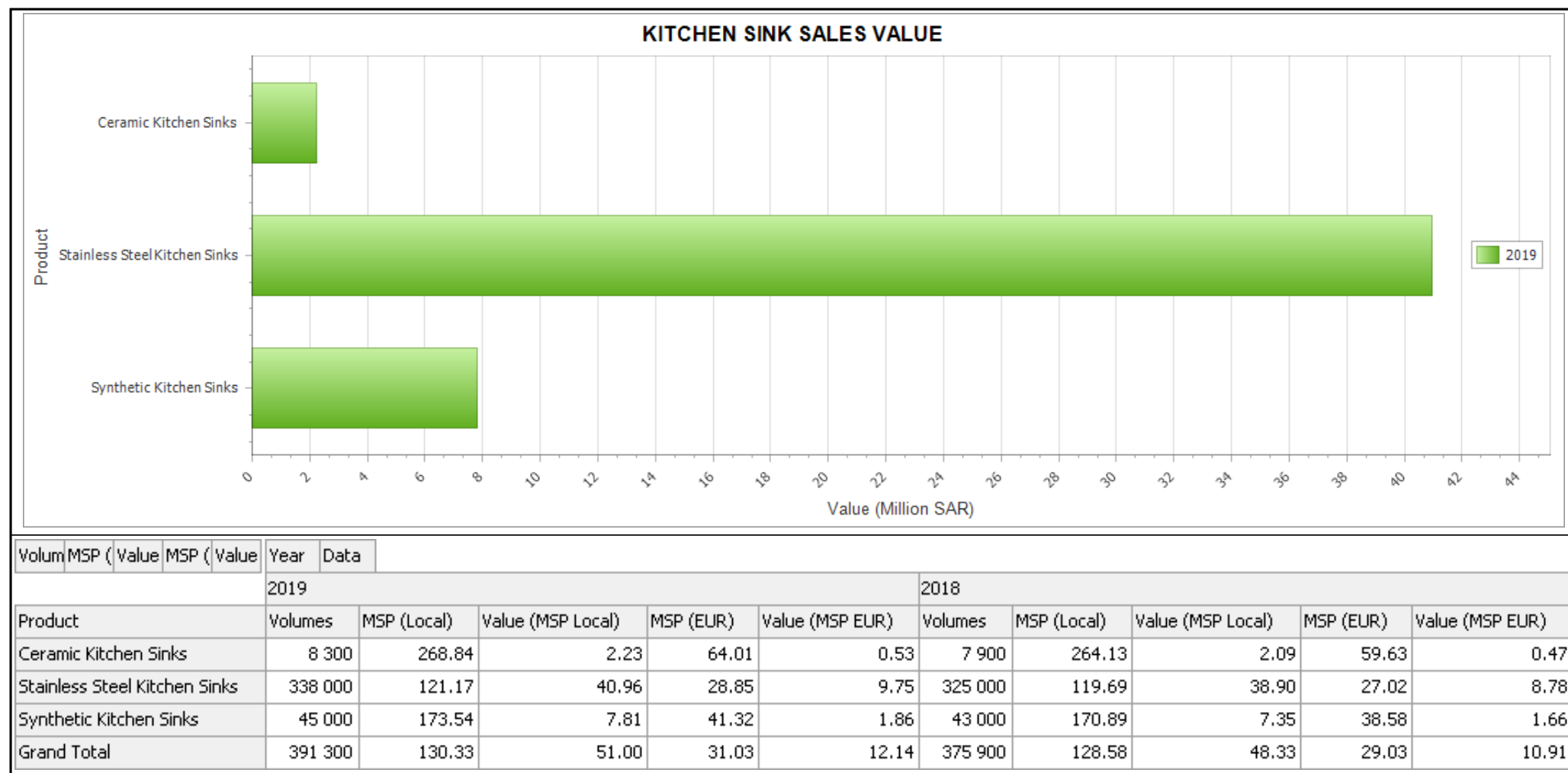
6.2 Historical Trends and Forecasts : Kitchen Sinks

SA - SUMMARY OF TRENDS IN THE KITCHEN SINK MARKET : HISTORICAL AND FORECASTS



Source: BRG based on industry interviews.

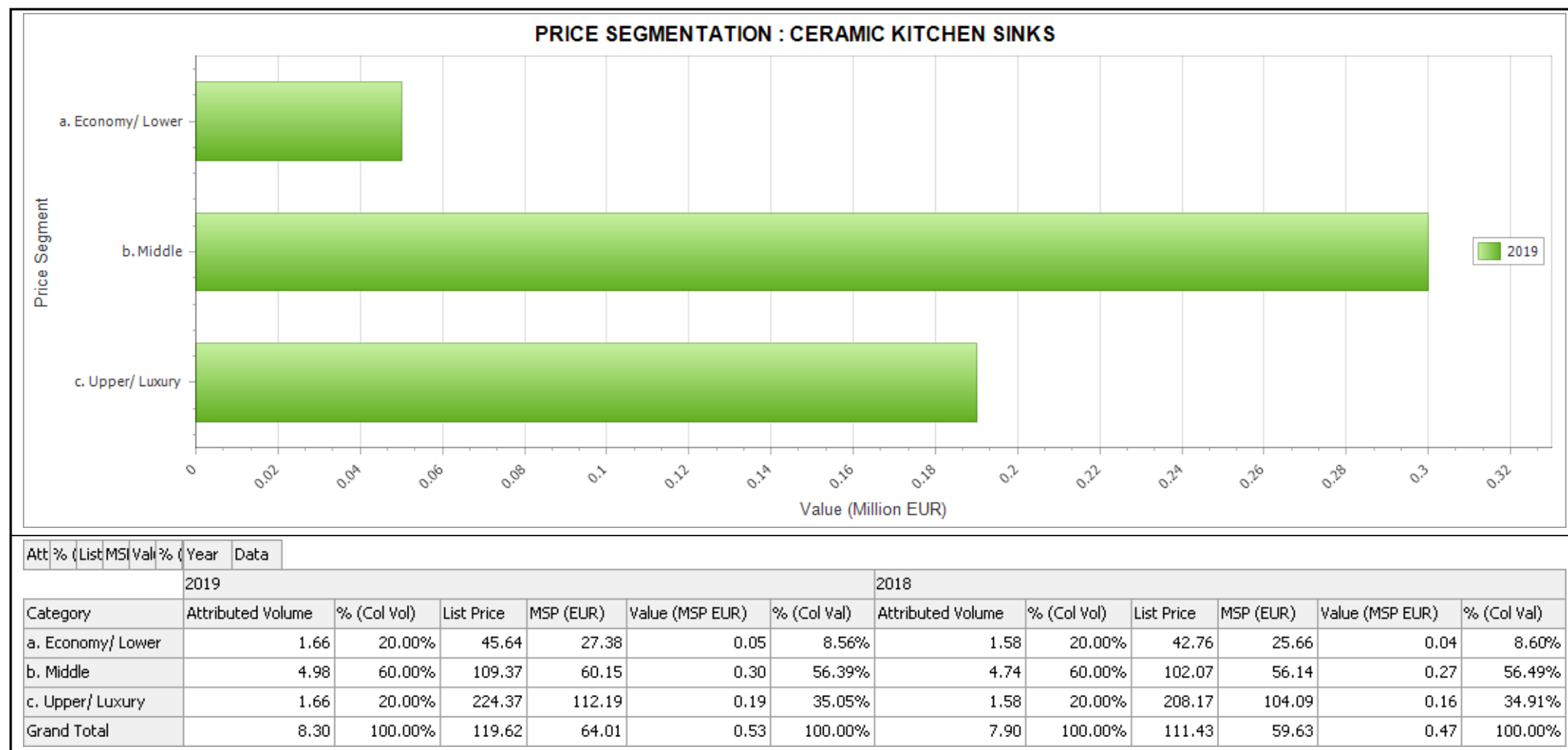
6.3.1 Prices and Market Values : Kitchen Sinks
SA - ESTIMATED VALUES OF THE KITCHEN SINK MARKET



Source: BRG based on industry interviews. Local Prices Shown in SAR. Values Shown in Millions (at MSP = Manufacturers' Selling Price)

6.3.2 Price Segmentation : Ceramic Kitchen Sinks

SA - ESTIMATED PRICE SEGMENTATION FOR CERAMIC KITCHEN SINKS

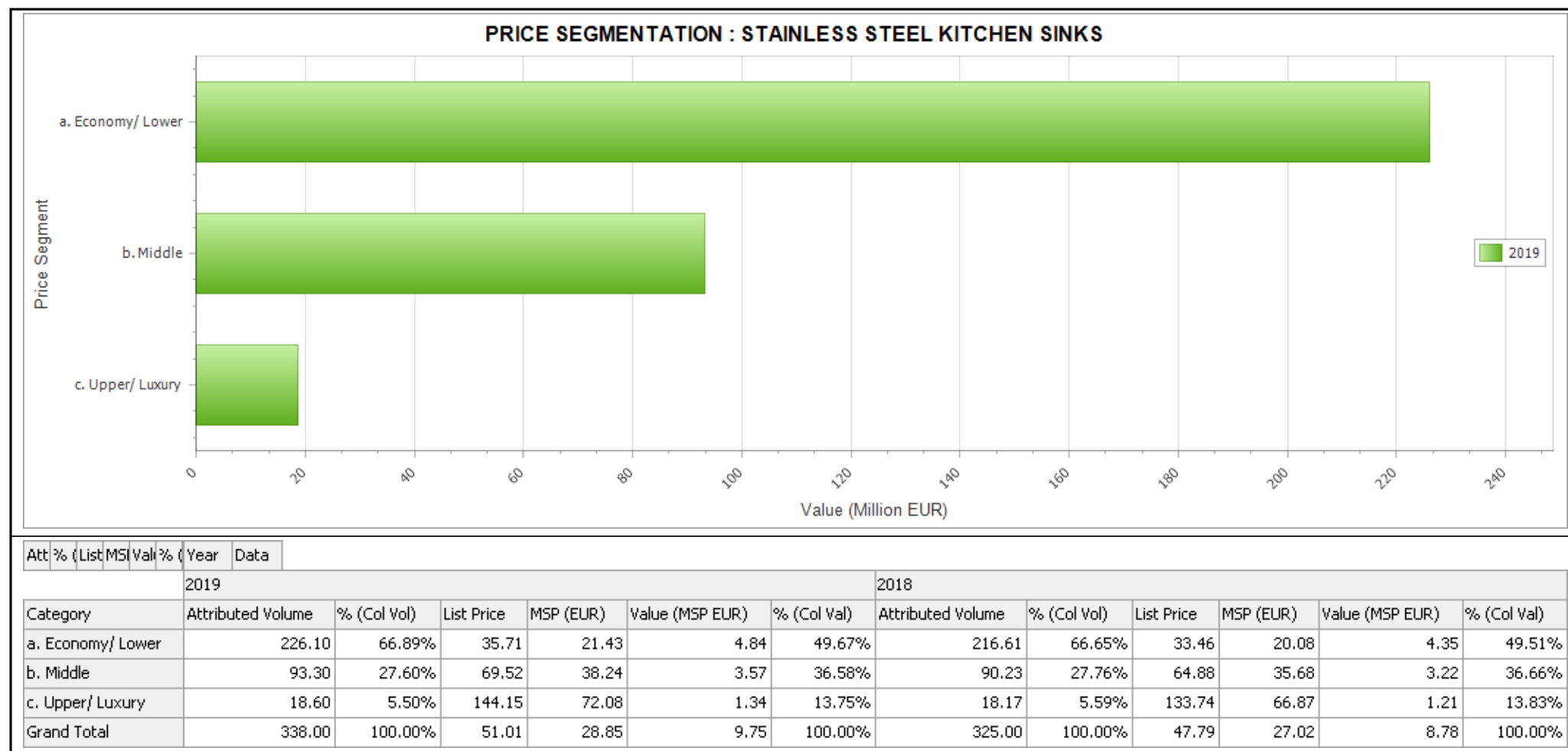


Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

Volumes Shown in Thousands and Values Shown in Millions (at MSP = Manufacturers' Selling Price). Economy/ Lower <€40, Middle €40-€80, Upper/ Luxury >€80

6.3.3 Price Segmentation : Stainless Steel Kitchen Sinks

SA - ESTIMATED PRICE SEGMENTATION FOR STAINLESS STEEL KITCHEN SINKS

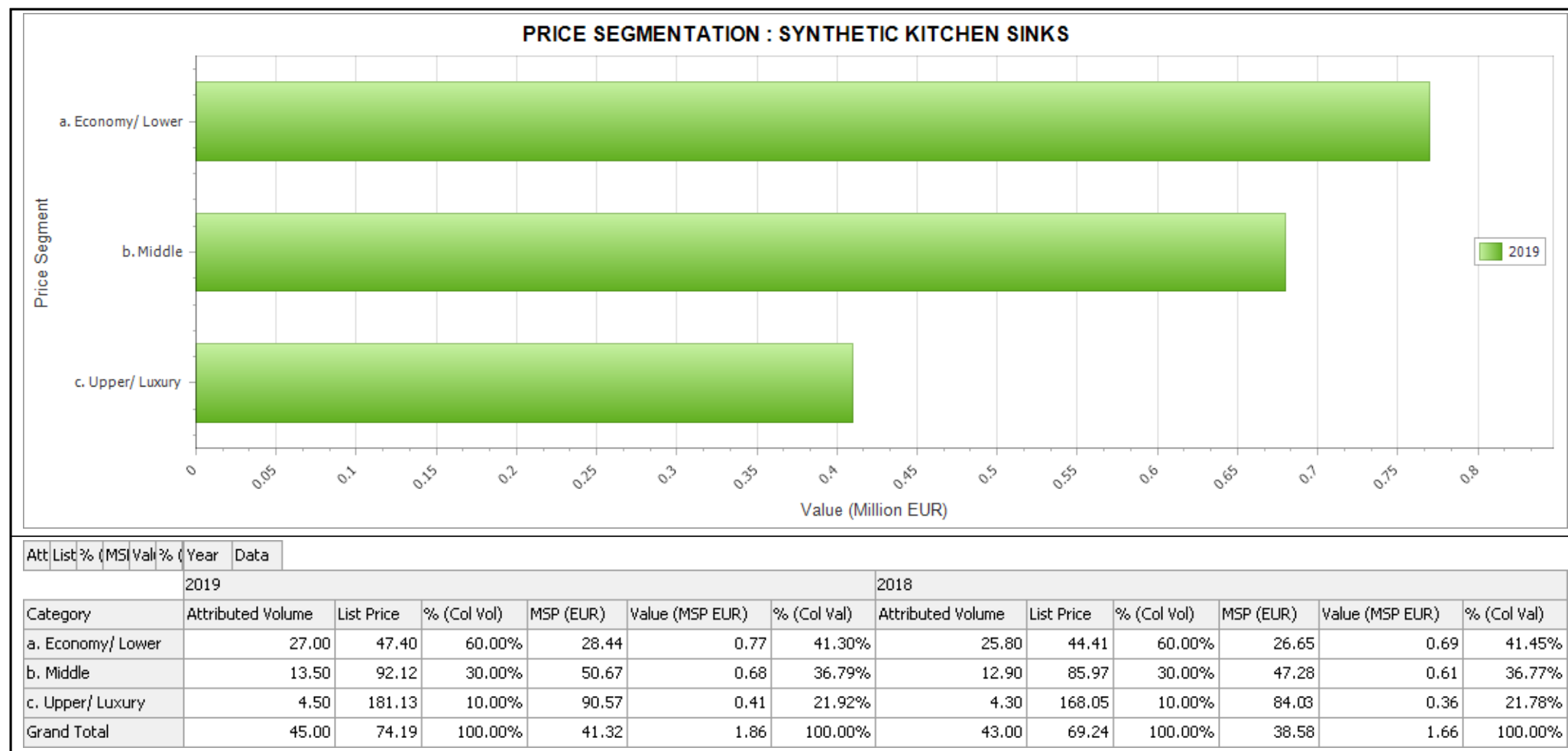


Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

Volumes Shown in Thousands and Values Shown in Millions (at MSP = Manufacturers' Selling Price). Economy/ Lower <€30, Middle €30-€50, Upper/ Luxury >€50

6.3.4 Price Segmentation : Synthetic Kitchen Sinks

SA - ESTIMATED PRICE SEGMENTATION FOR SYNTHETIC KITCHEN SINKS

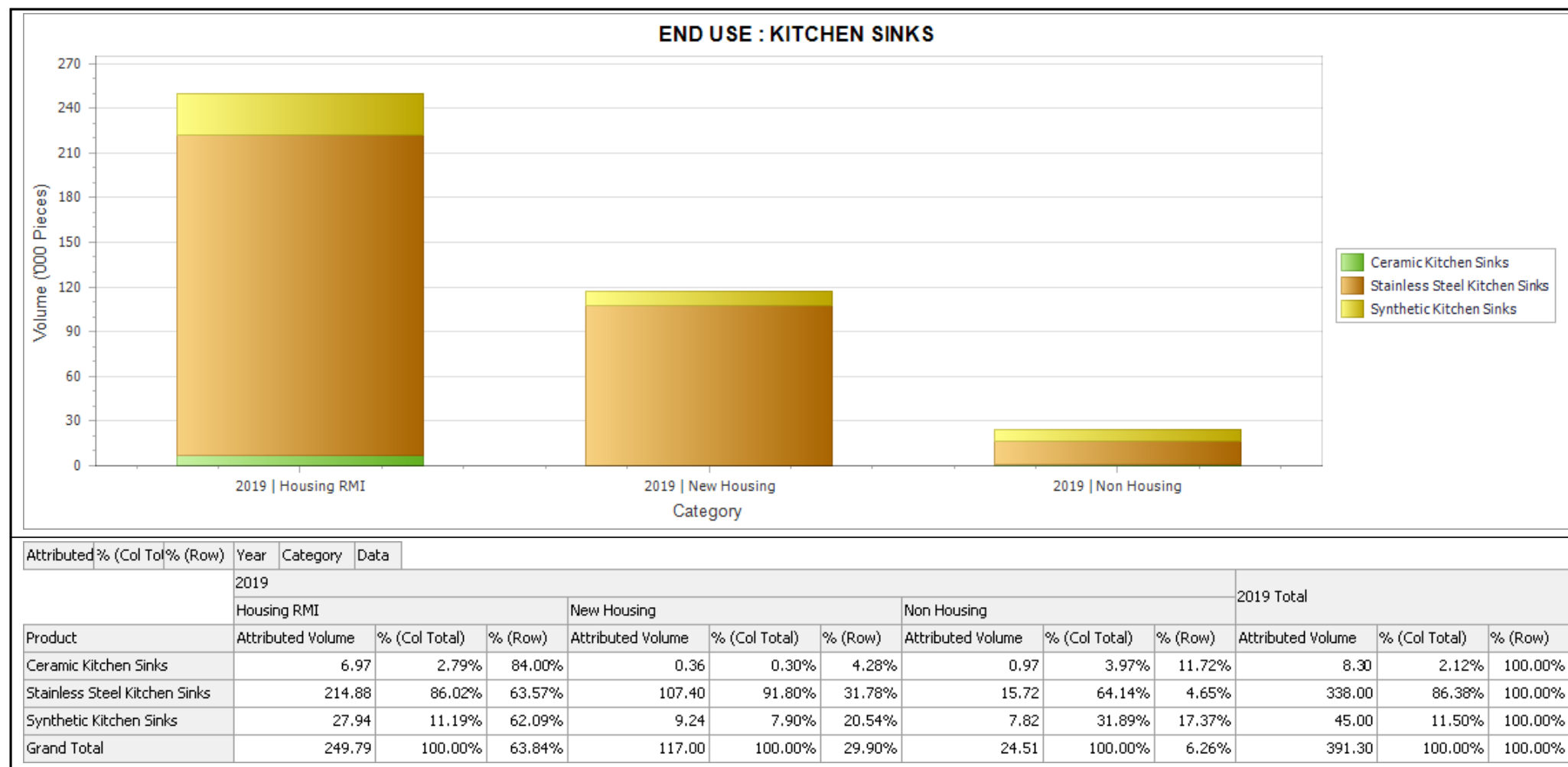


Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

Volumes Shown in Thousands and Values Shown in Millions (at MSP = Manufacturers' Selling Price). Economy/ Lower <€40, Middle €40-€70, Upper/ Luxury >€70

6.4.1 End Use : Base Year

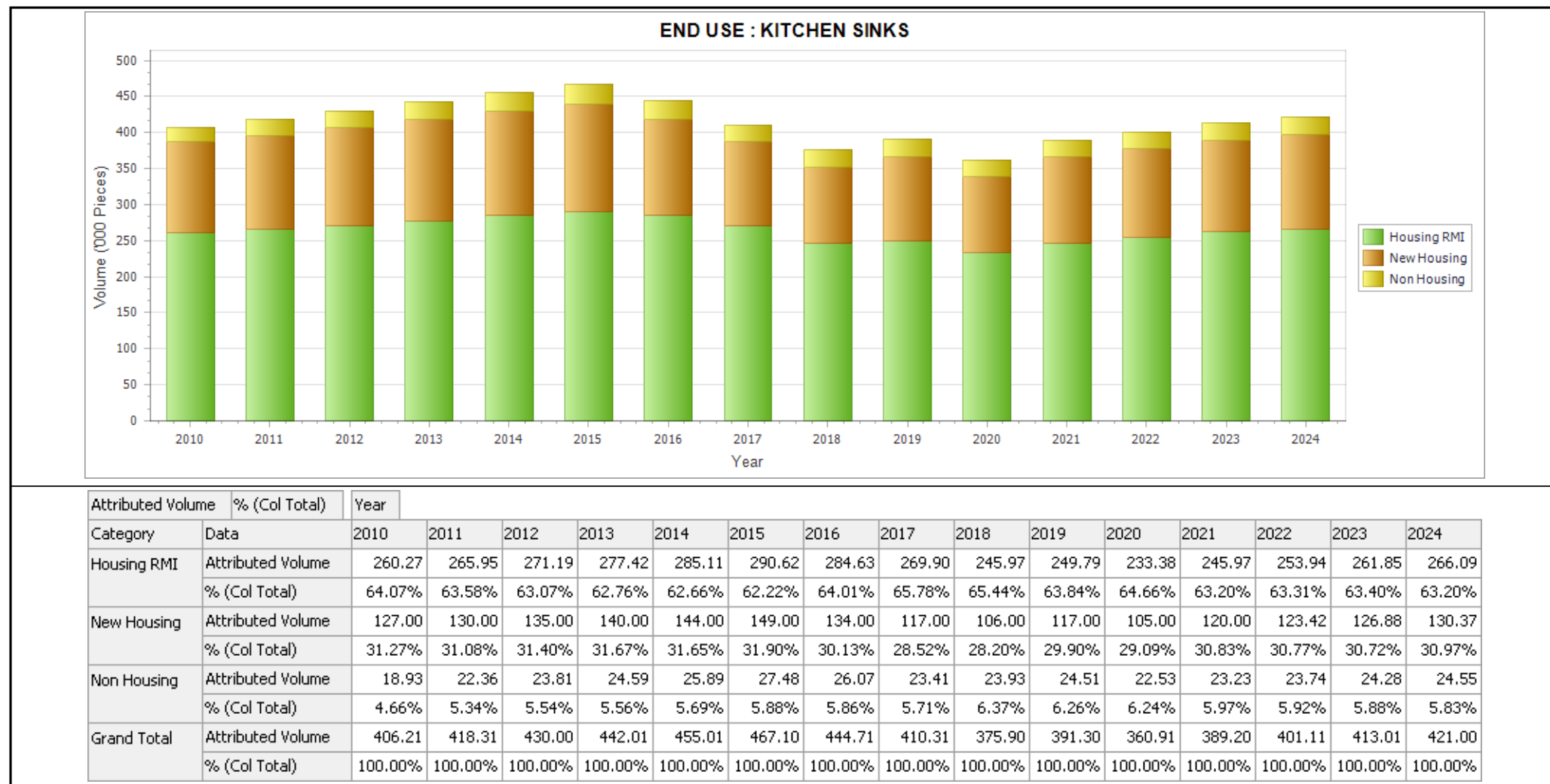
SA - SALES OF KITCHEN SINKS BY TYPE AND END USE SEGMENT ('000 PIECES)



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

6.4.2 End Use : Historical and Forecasts

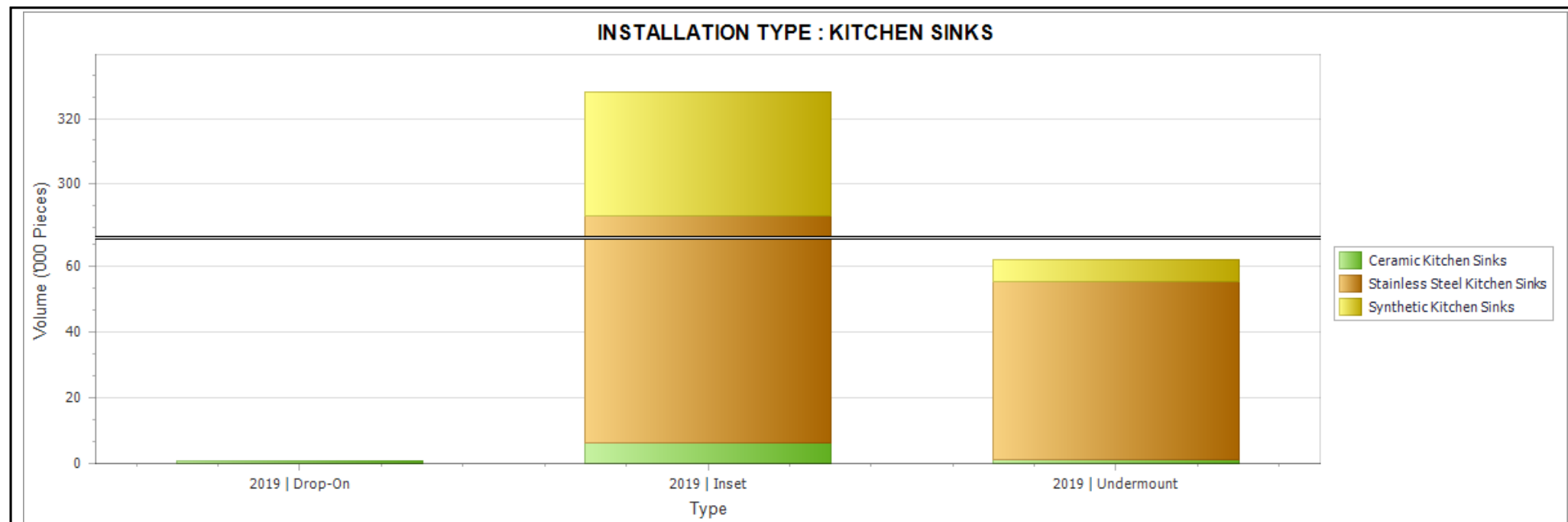
SA - SALES OF KITCHEN SINKS BY END USE SEGMENT ('000 PIECES)



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

6.4.3 Sales by Type of Installation : Kitchen Sinks

SA - KITCHEN SINK SALES BY INSTALLATION TYPE ('000 PIECES)

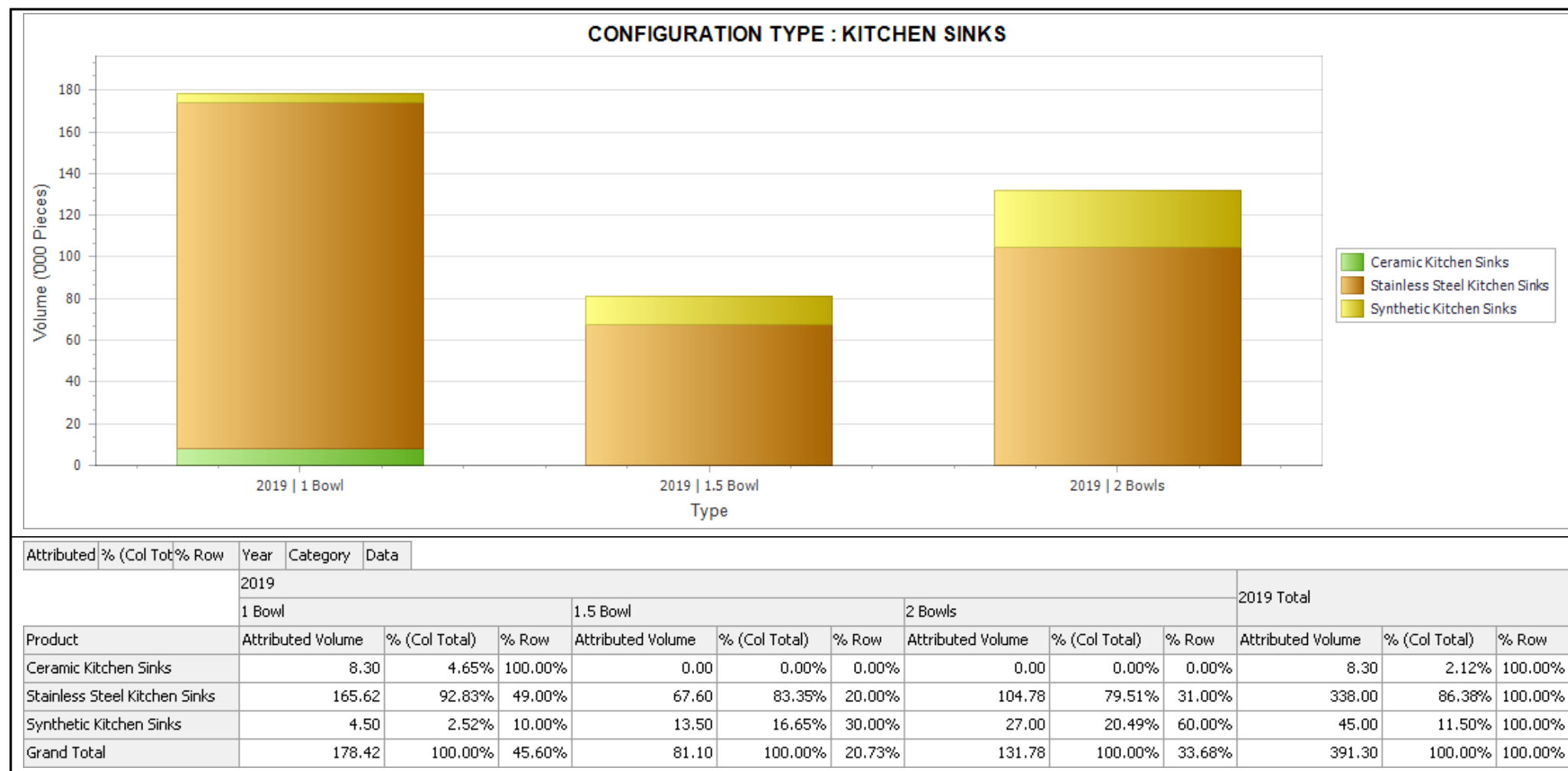


Attributed	% (Col Tot)	% Row	Year	Category	Data							
2019												
			Drop-On			Inset			Undermount			2019 Total
Product	Attributed Volume	% (Col Total)	% Row	Attributed Volume	% (Col Total)	% Row	Attributed Volume	% (Col Total)	% Row	Attributed Volume	% (Col Total)	% Row
Ceramic Kitchen Sinks	0.83	100.00%	10.00%	6.14	1.87%	74.00%	1.33	2.14%	16.00%	8.30	2.12%	100.00%
Stainless Steel Kitchen Sinks	0.00	0.00%	0.00%	283.92	86.48%	84.00%	54.08	87.00%	16.00%	338.00	86.38%	100.00%
Synthetic Kitchen Sinks	0.00	0.00%	0.00%	38.25	11.65%	85.00%	6.75	10.86%	15.00%	45.00	11.50%	100.00%
Grand Total	0.83	100.00%	0.21%	328.31	100.00%	83.90%	62.16	100.00%	15.88%	391.30	100.00%	100.00%

Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

6.4.4 Sales by Type of Configuration : Kitchen Sinks

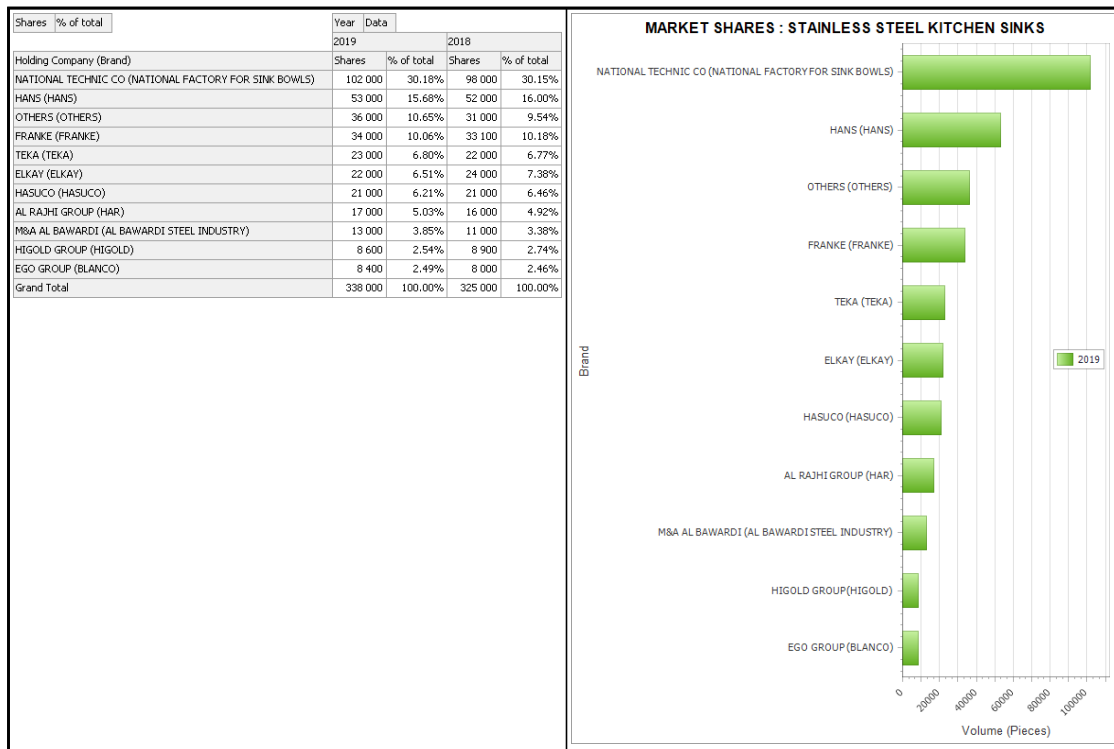
SA - KITCHEN SINK SALES BY CONFIGURATION TYPE ('000 PIECES)



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

6.5.1 Market Shares : Stainless Steel Kitchen Sinks

SA - ESTIMATED MARKET SHARES FOR STAINLESS STEEL KITCHEN SINKS



Source: BRG based on industry interviews.

6.6.1

Route to Market: Kitchen Sinks
SA - ESTIMATED DISTRIBUTION FOR KITCHEN SINKS: 2019

Manufacturer / Importer

Manufacturers / Importers
100.0%

15.2%
Worktop Manufacturers
15.2%

Wholesale Level

Manufacturers	Worktop Manufacturer
37.5%	3.0%
Wholesalers / Merchants	
40.5%	

Retail Level

Manufacturer	Worktop Manufacturer	Wholesaler
0.0%	0.0%	0.0%
Internet Retailers		
0.0%		

Manufacturer	Worktop Manufacturer	Wholesaler
0.0%	0.0%	0.0%
DIY Retailers		
0.0%		

Manufacturer	Worktop Manufacturer	Wholesaler
34.0%	6.0%	17.0%
Specialist Retailers		
57.0%		

Manufacturer	Worktop Manufacturer	Wholesaler	Internet	DIY	Specialist
0.0%	3.0%	13.0%	0.0%	0.0%	17.0%
Installers					
33.0%					

End Use Level

Manufacturer	Worktop Manufacturer	Wholesaler	Internet	DIY	Specialist	Installer
11.4%	2.2%	10.5%	0.0%	0.0%	38.0%	31.7%
Residential						
93.7%						
New Build				Residential RMI		
29.9%				63.8%		
Project		Non-Project		Project		Non-Project
21.0%		8.9%		4.8%		59.0%

Manufacturer	Worktop Manufacturer	Wholesaler	Internet	DIY	Specialist	Installer
2.0%	1.0%	0.0%	0.0%	0.0%	2.0%	1.3%
Non-Residential						
6.3%						
New Build				Non-Residential RMI		
4.0%				2.3%		
Project		Non-Project		Project		Non-Project
3.6%		0.4%		0.2%		2.1%

6.6.2

Route to Market: Kitchen Sinks
SA - ESTIMATED DISTRIBUTION FOR KITCHEN SINKS: 2024

Manufacturer / Importer

Manufacturers / Importers
100.0%

15.5%
Worktop Manufacturers
15.5%

Wholesale Level

Manufacturers	Worktop Manufacturer
38.0%	3.0%
Wholesalers / Merchants	
41.0%	

Manufacturer	Worktop Manufacturer	Wholesaler
0.0%	0.0%	0.0%
Internet Retailers		
0.0%		

Manufacturer	Worktop Manufacturer	Wholesaler
0.0%	0.0%	0.0%
DIY Retailers		
0.0%		

Manufacturer	Worktop Manufacturer	Wholesaler
35.0%	6.0%	17.0%
Specialist Retailers		
58.0%		

Manufacturer	Worktop Manufacturer	Wholesaler	Internet	DIY	Specialist
0.0%	3.0%	14.0%	0.0%	0.0%	16.5%
Installers					
33.5%					

End Use Level

Manufacturer	Worktop Manufacturer	Wholesaler	Internet	DIY	Specialist	Installer
10.5%	2.5%	10.0%	0.0%	0.0%	40.0%	31.2%
Residential						
94.2%						
New Build				Residential RMI		
31.0%				63.2%		
Project		Non-Project		Project		Non-Project
22.0%		9.0%		4.6%		58.6%

Manufacturer	Worktop Manufacturer	Wholesaler	Internet	DIY	Specialist	Installer
1.0%	1.0%	0.0%	0.0%	0.0%	1.5%	2.3%
Non-Residential						
5.8%						
New Build				Non-Residential RMI		
4.5%				1.3%		
Project		Non-Project		Project		Non-Project
4.0%		0.5%		0.1%		1.2%

Source: BRG Based on Industry Interviews. - Totals may vary due to roundings

6.6.3 Route to Market - Consolidated View : Kitchen Sinks

SA - ESTIMATED DISTRIBUTION FOR KITCHEN SINKS : 2019

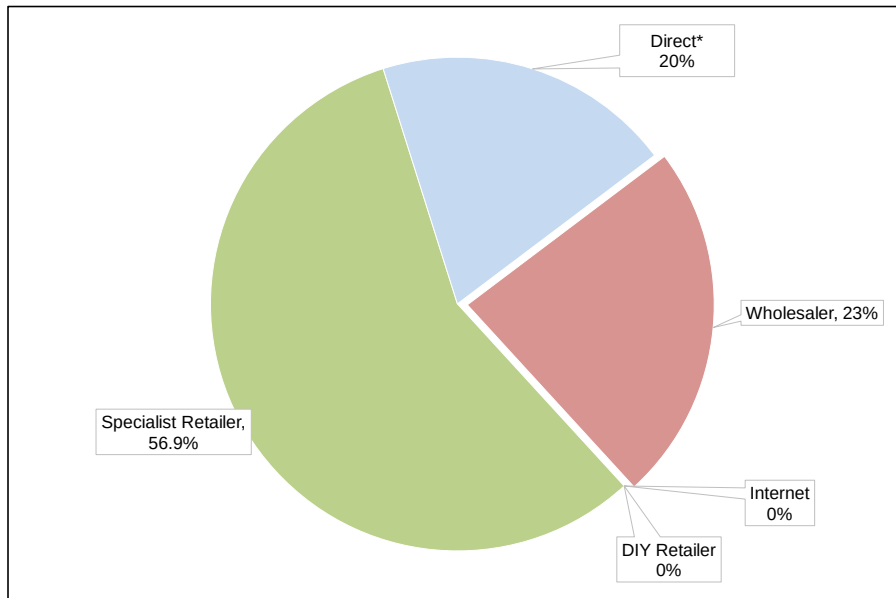
Route to Market - End Use Level					Project		Non-Project	
Wholesaler	Internet	DIY Retailer	Specialist Retailer	Direct*	Residential	Non-Residential	Residential	Non-Residential
23.5%	0.0%	0.0%	56.9%	19.6%	25.8%	3.8%	67.9%	2.5%
100%					29.6%		70.4%	

6.6.4 Route to Market - Consolidated View : Kitchen Sinks

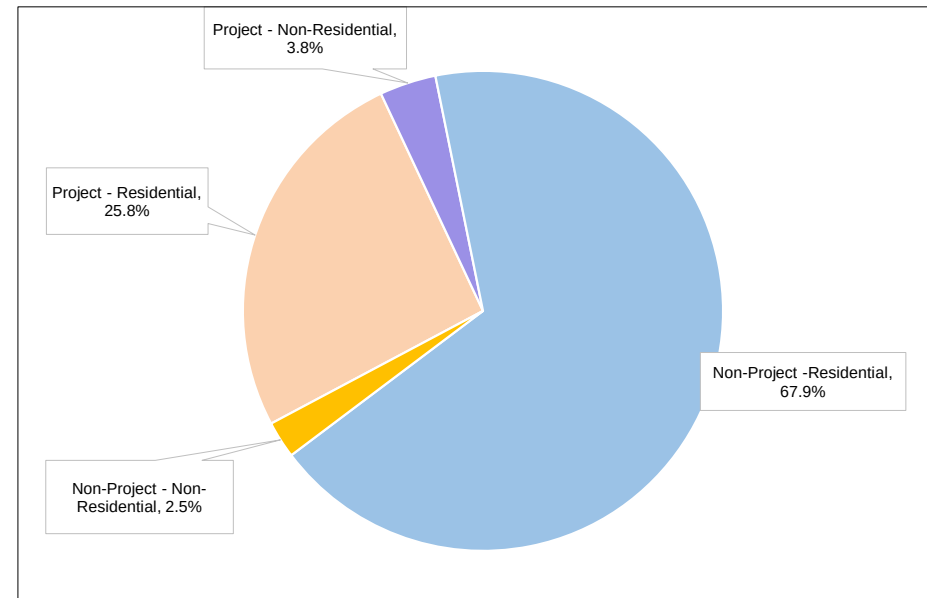
SA - ESTIMATED DISTRIBUTION FOR KITCHEN SINKS : 2024

Route to Market - End Use Level					Project		Non-Project	
Wholesaler	Internet	DIY Retailer	Specialist Retailer	Direct*	Residential	Non-Residential	Residential	Non-Residential
24.0%	0.0%	0.0%	58.0%	18.0%	26.6%	4.1%	67.6%	1.7%
100%					30.7%		69.3%	

SA - SALES OF KITCHEN SINKS BY DISTRIBUTION CHANNEL: 2019



SA - SALES OF KITCHEN SINKS BY POINT OF DECISION AND END-USE SECTOR: 2019



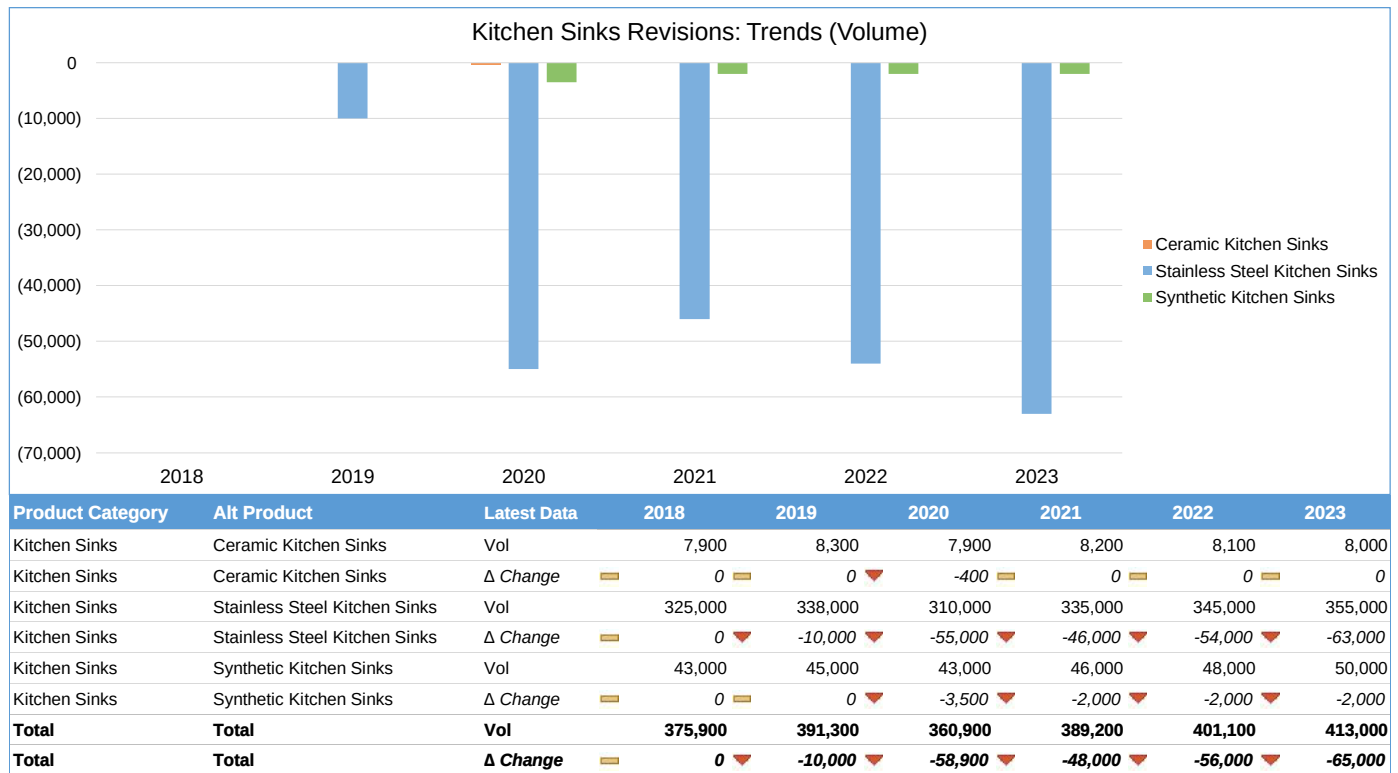
Source: BRG Based on Industry Interviews.

*Direct includes sales going directly from manufacturers to installers, contractors and private customers.

6.7 Revisions in the Saudi Kitchen Sinks Market (April 2020)

SA - REVISIONS IN THE SAUDI KITCHEN SINKS MARKET

Data Comparison: April 2019



The overall market volumes for stainless steel kitchen sinks were revised downwards for base year due to the lower than expected sales activities that impacted the retail market in the country, affecting primarily the replacement segment.

SAUDI ARABIA

KITCHEN FAUCETS

THE MIDDLE EASTERN BATHROOM & KITCHEN PRODUCT MARKETS



Market Characteristics and Product Mix

Despite the absence of major manufacturers of kitchen faucets, Saudi Arabia is a huge exporting market for Western and Asian countries. The near absence of regulation, such as legislation to standardise products, gives China (but also other manufacturing countries with low production costs) a definite comparative advantage. Consequently, one of the main characteristics of the kitchen faucet market is the high presence of low-quality products. The second characteristic directly linked to the first one, is the high replacement rate, despite a market not yet saturated considering the on-going urbanisation and more recently, the creation of new cities. Indeed, intense residential construction activities have led the faucet market to grow fast in the last decade, mostly due to high demand for housing generated by the population growth and the solid financial resource of the government.

The welfare state in Saudi Arabia is one of the most important in the world, and it plays a key role in the political stability of this absolute monarchy. Providing houses to its population is fundamental in Saudi Arabia's domestic policy. With a huge shortage of housing and a population pyramid overrepresented by young adults, the need for housing seems to be endless despite important efforts made by the government to satisfy the population. This element has structured the end use segments, keeping high the share of kitchen faucets sold to the new housing segment.

Faucets installed in non-housing represent an important part of the total number of kitchen faucets sold in the country. Coffee shops and restaurants, but also offices, education centres and to a lesser extent, hotels, captured most of the kitchen faucets sold in the country. Kitchen faucets installed in large restaurants are generally from Western brands for the quality required.

Within the kitchen faucet market, only two types of products are generally installed, one- and two-head mixers. Although digital (electronic) mixers are available on the market, sales volumes have so far remained low.

Most Saudi houses are equipped with one kitchen (as opposed to bathrooms since most Saudi homes are equipped with several bathrooms) with one kitchen sink and one faucet. The product range for kitchen faucets is higher than those found for bathrooms. This is because they are intensively used as most Saudis eat (and cook) at home (either they have a long lunch break, or they start their day early to finish early). Also, most Saudis use tap water to cook and some Saudis are aware of the importance of the material used to make faucets: the zamac material (low quality) is generally avoided.

With regards to the type of installation, a slow trend towards concealed systems exists, which is mostly driven by the non-housing segment.

In Saudi Arabia, housing refurbishments are limited to light work. For heavy work, a building is more often than not, destroyed in order to rebuild a brand new one. It is more cost effective and large scale refurbishments such as those made in the UK, are not in the Saudi people's culture.

When moving to a new dwelling, many Saudis replace their bathroom and kitchen faucets, along with the replacement of other interior building products.

The family privacy within a Saudi home is highly valued but at the same time, receiving guests is part of the Saudi culture. Therefore, all houses have a room dedicated only to guests. The kitchen is generally not meant to receive guests at all. The number of kitchens per dwelling is not linked to the size of the dwelling. Almost all houses have one single kitchen, generally maintained by the maid. Kitchens are seen as practical and for this reason, faucets installed on a kitchen sink are generally chosen for quality, rather than design.

Beyond the fact that the one-head mixer is more practical, it has also to do with how the water is supplied. For some Saudi households living in old buildings, cool water comes from a tank where the water is cooled to the ambient temperature (the tank is cooled by the air conditioning system). During the summer, the electric storage water heater is turned off. Yet, the water is cooled there and comes out from the faucet when the head for hot water is turned on. Conversely, the hot water comes out from the faucet by turning on the head for cold water, as it comes directly from outside through pipes, and is generally hot.

A kitchen faucet in Saudi Arabia is mostly used by the maid, rather than the owner, but it is the latter that decides on its replacement. According to some distributors, some households replaced their products due to faulty installation rather than an issue with the product itself.

Recent Market Trends

In 2019, sales of kitchen faucets increased in Saudi Arabia, thanks to the return of construction activities boosting both sales of kitchen faucets to the residential and non-residential segment.

According to distributors, an increasing number of two-head mixers were replaced by a one-head mixer, but this displacement was not as obvious as it was for sanitary application. In other words, sales volume of two-head mixers dedicated to kitchens declined more than the one-head mixer.

Prices and Market Values

In 2019, the MSP for kitchen faucets increased slightly, thanks to a higher demand for this type of product as well as more liquidity available in the country, following years of austerity measures.

One of the factor influencing the MSP in Euros, is the fluctuation in the exchange rate between the Euros and the Saudi Riyal. The exchange rate has no influence on the local MSP as the SAR is pegged to the USD.

Brand recognition in Saudi Arabia for kitchen faucets in 2019 is not really important, this explains the high share of unbranded product in this market.

The introduction of the VAT in 2019 had a limited impact on the retail price for end users, as this increase was somewhat absorbed by a reduction in the margins.

In 2019, the one-head mixer is the product that most influenced the average MSP development. From a supplier point of view, Chinese manufacturers and their large volume of faucets sold in the country have the strongest influence on the average MSP for kitchen faucets in Saudi Arabia. From the market perspective, the intense competition among manufacturers and the bargaining power of Saudi customers constituted the two main forces that structure the kitchen faucet market in Saudi Arabia.

New Housing

In 2019, sales of kitchen faucets to the new housing segment grew further, thanks to the return of a positive growth in terms of housing completion.

This growth was largely due to a better economic climate and better access to loans and an increasing number of partnerships between private investors and the government.

The government is focused on increasing the house ownership rate of its population, one of the lowest in the region, and this is part of the goal mapped in the SAUDI VISION 2030.

Housing RMI

In 2019, sales of kitchen faucets to the replacement market increased following a higher number of houses sold within the existing dwelling stock, which led to refurbishments and the replacement fittings.

Despite prices of dwellings declining and the improved access to loans, many houses remained vacant following the departure of two million immigrants (effect of the “Saudisation” programme mentioned in the Background).

Non-Housing

In 2019, the non-housing segment experienced an increase in sales as more hotels, restaurants and coffee shops opened throughout the country.

Moreover, the better economic climate led to an increase of offices in the country. Since most of them are equipped with a mini-kitchen, it contributed to the sales of kitchen faucets to the non-housing segment, in 2019.

Supply Structure

Kitchen faucets are exclusively imported as there is no major manufacturer operating in the country. This is due to the massive price difference between Asian and Western production cost. For that reason, a part of Asian imports was made of Western brands producing in Asia, such as GROHE.

KOHLER offers electronic kitchen faucets, but very few have been sold so far. GROHE has many distributors throughout the country. SAUDI CERAMICS is one of their major distributors, distributing a large panel of product, including the electronic mixer MINTA TOUCH.

Water filter faucets are mostly found online. In Saudi Arabia, many houses are equipped with a filtering system, either in the point-of-entry (whole house), or in the point-of-use (under the sink). These two types of installation constitute a barrier to entry for water filter faucets.

Forecasts

Given the exceptional circumstances related to the spread of the COVID-19 virus and measures in place for its containment, forecasts for 2020 and beyond are based on the latest information available at the time of publication. BRG has attempted to factor in the latest developments – see Macroeconomic data in Table II.3, and supporting summary table at the end of the Background section. Given the fluidity of circumstances at this time, we expect that these forecasts are likely to be superseded by events, and therefore BRG will be updating them, as required, in any subsequent update of our estimates scheduled during 2020.

Lower construction activities and lower retail activities, due to government measures to tackle the pandemic of the COVID-19, should negatively affect the kitchen faucets market for 2020. More details are mentioned in the “Background” section.

BRG believes that the CAGR, by the end of the forecast period, should remain positive, as the possible sales loss of 2020 should be offset by the end of the forecast period.

Radical reforms initiated by the Crown Prince Ben Salman should increase the effectiveness of the completion of construction projects (through the reduction of corruption as well as the creation of PMO's throughout the country), particularly housing construction.

Also, economic measures to boost the non-oil & gas sector, should contribute to the overall improvement of the kitchen faucet market in the country, such as the

investment made in the tourism sector, with the aim to make Saudi Arabia a top destination in the region, with thousands of hotel rooms planned in the coming years.

New cities are under construction such as KAEC, which should provide massive opportunity for the sale of kitchen faucets.

KAEC is situated on the West Coast. Not less than 260,000 apartments and 56,000 villas are expected to be built. Consequently, sales of shower accessories in Saudi Arabia should continue to grow steadily during the forecasting period. Once completed, KAEC will be the size of Washington. Another futuristic and transnational city (Egypt and Jordan should participate) called NEOM, is planned to be built in the North West of the country.

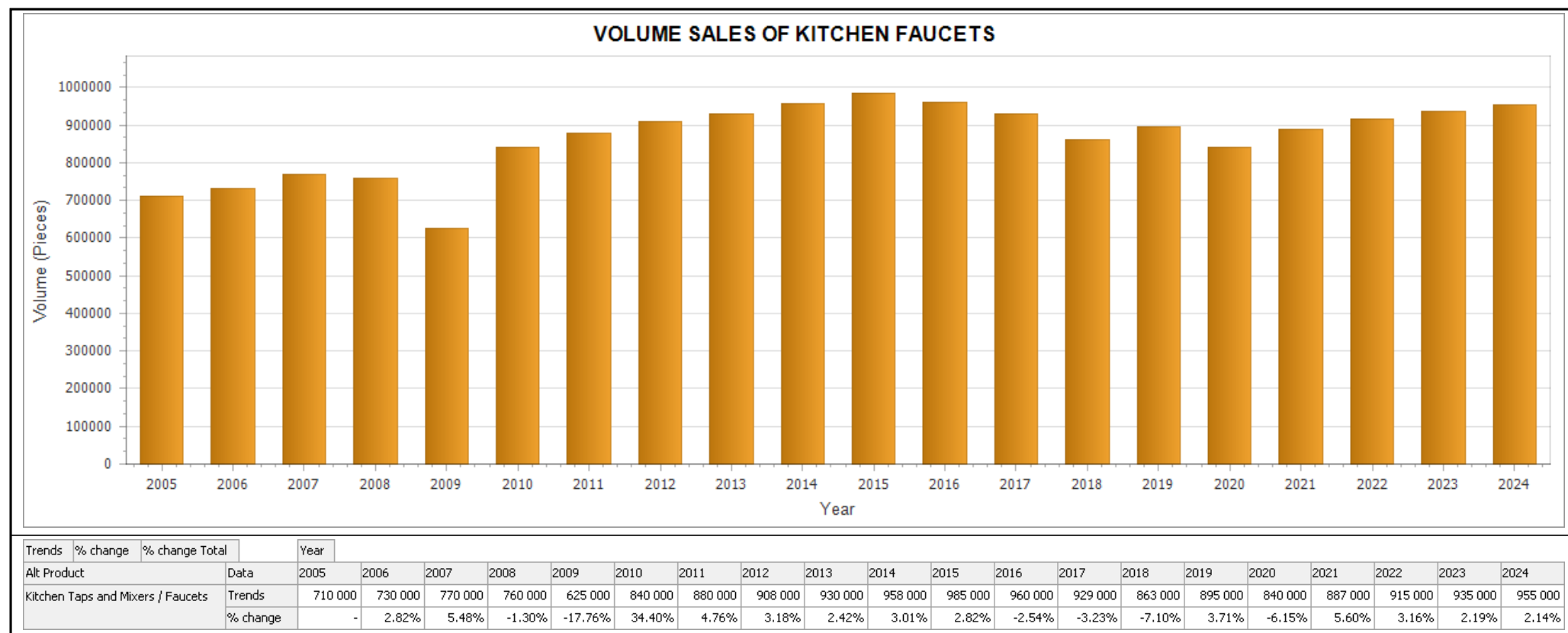
The socio-economic reforms initiated by the Crown Prince MBS have led the country to be more open. Beyond the economic diversification, deep and fast changes in the Saudi society may encounter some resistance from the most conservative of society, which may disturb the construction sector, if not the overall stability of the country.

Despite the government focus to put effort into increasing the effectiveness of the project completions, some projects might continue to suffer from delay, due to the effects of the Saudisation, which increase the risk of shortage in manpower and/or an increase in construction costs.

Considering these elements, BRG expects the sales of kitchen faucets to continue to grow during the forecasting period.

7.2 Historical Trends and Forecasts : Kitchen Faucets

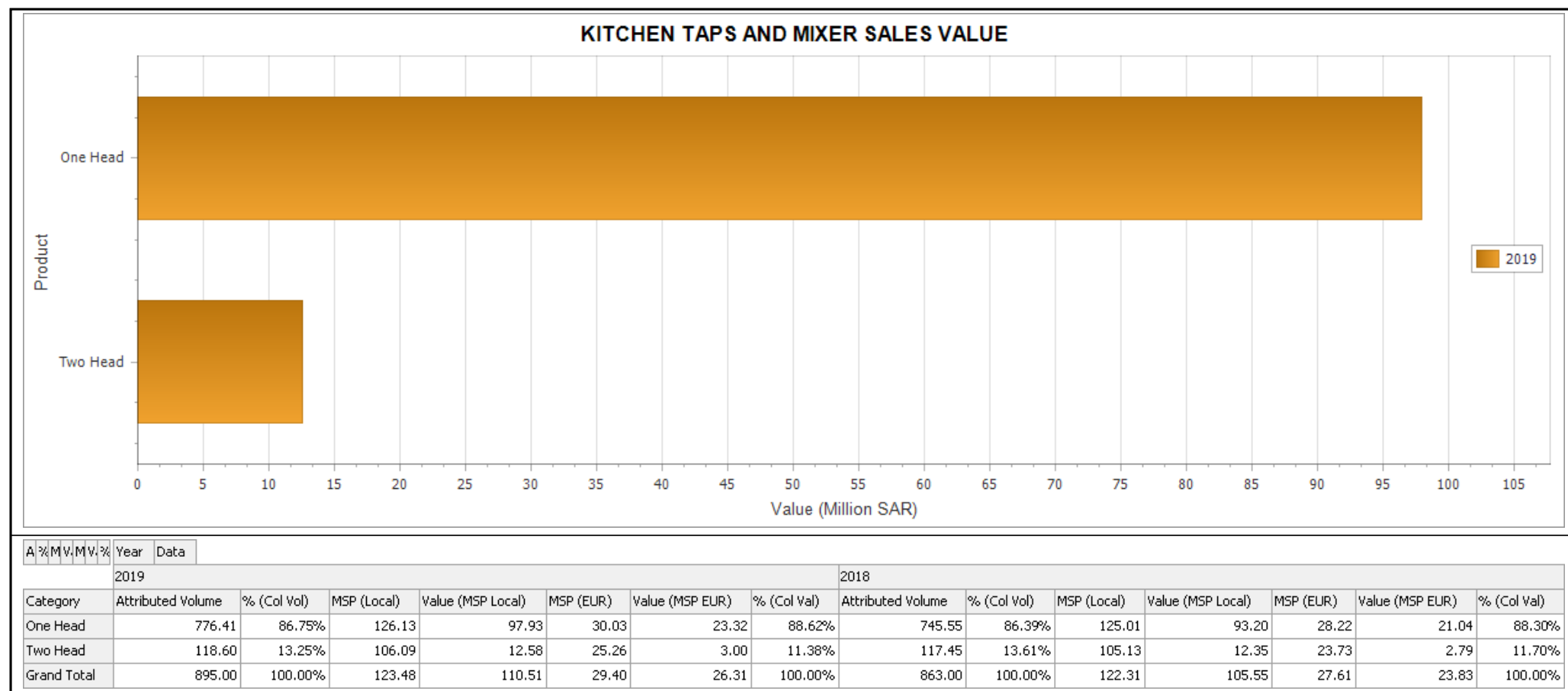
SA - SUMMARY OF TRENDS IN THE KITCHEN FAUCET MARKET : HISTORICAL AND FORECASTS



Source: BRG based on industry interviews.

7.3.1 Prices and Market Values : Kitchen Faucets

SA - ESTIMATED VALUES OF THE KITCHEN FAUCET MARKET

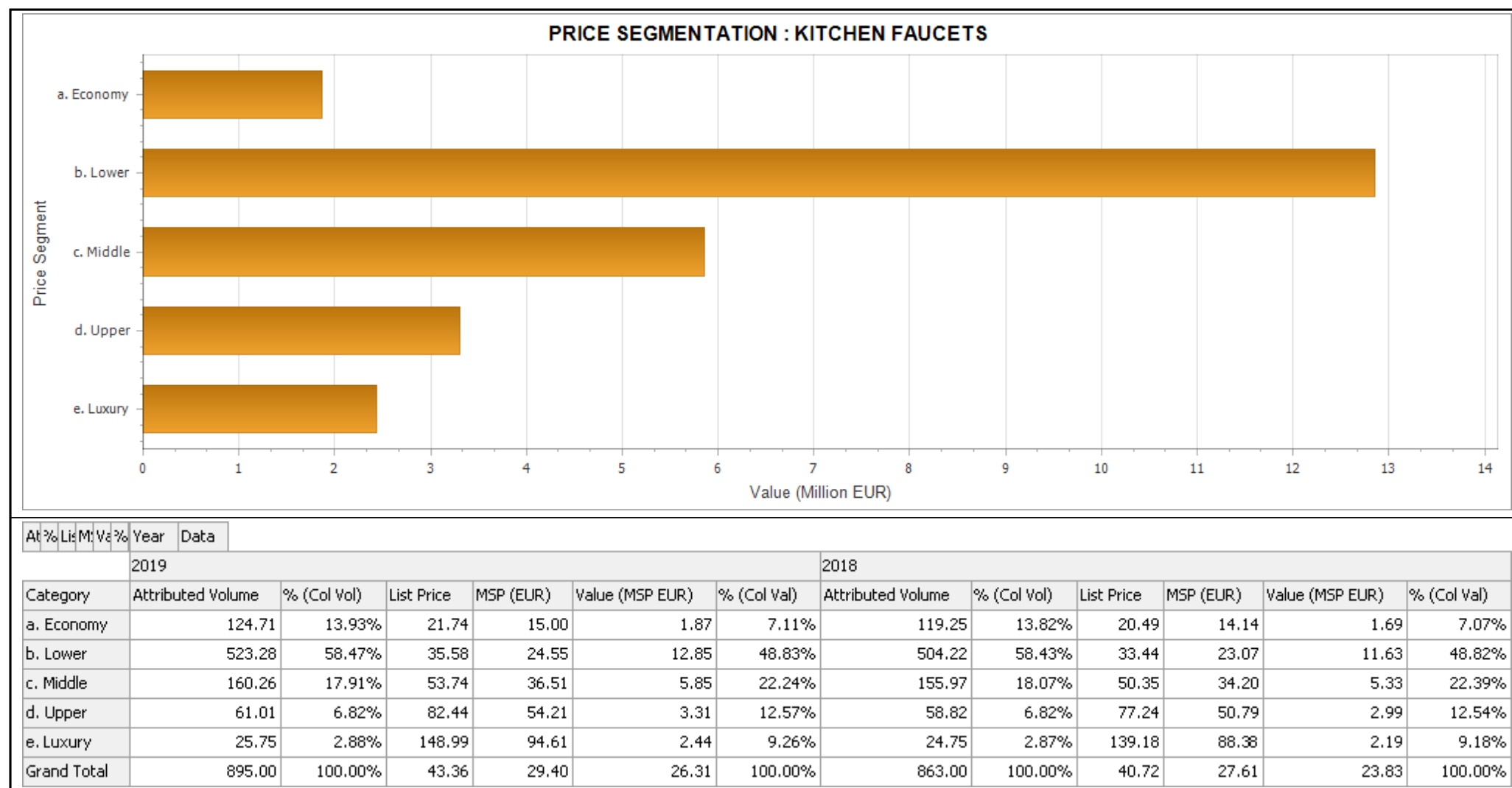


Source: BRG based on industry interviews. Total may show slight variance compared to market data due to rounding. Local Prices Shown in SAR.

Volumes Shown in Thousands and Values Shown in Millions (at MSP = Manufacturers' Selling Price).

7.3.2 Price Segmentation : Kitchen Faucets

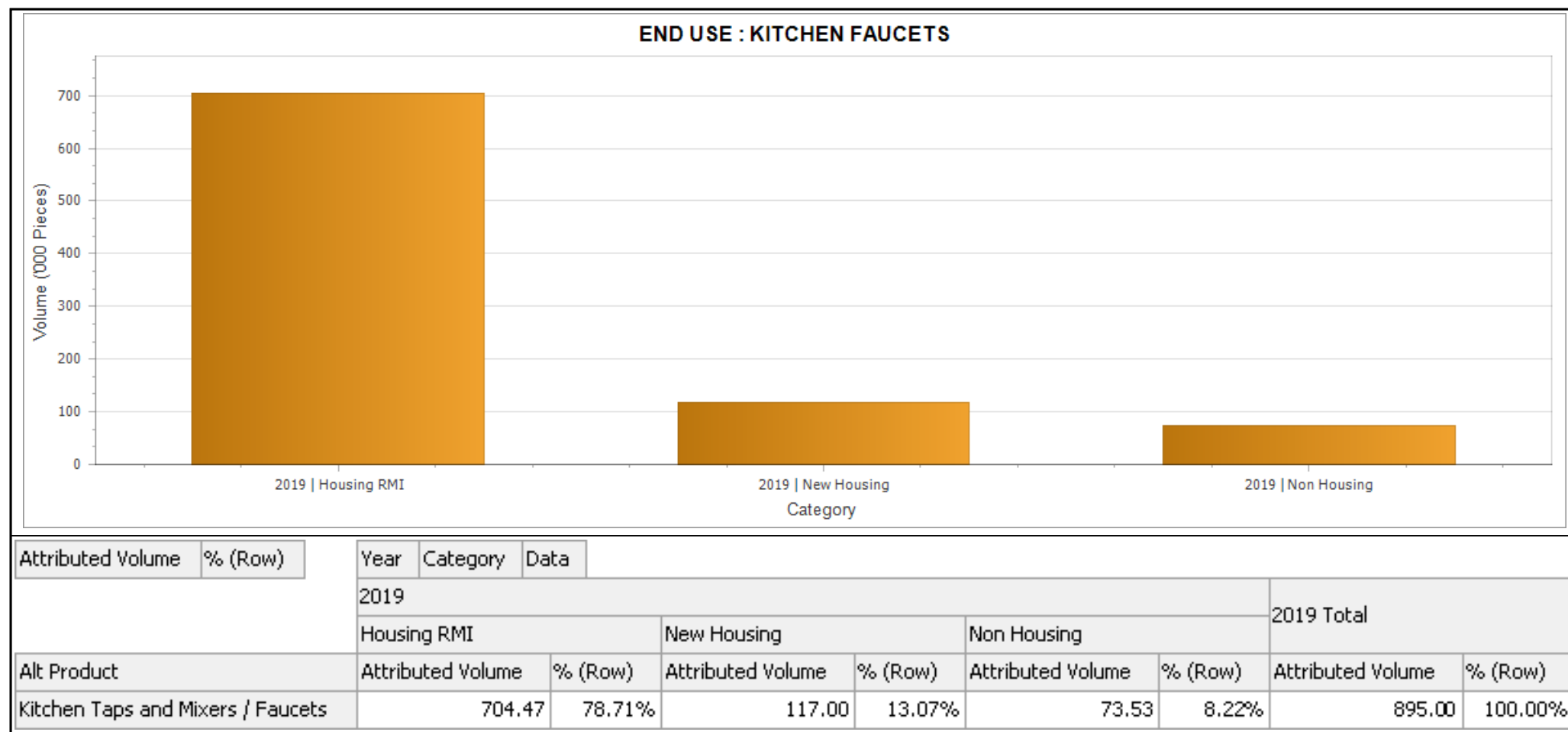
SA - ESTIMATED PRICE SEGMENTATION FOR KITCHEN FAUCETS



Source: BRG based on industry interviews. Total may show slight variance compared to market data due to rounding. Volumes Shown in Thousands and Values Shown in Millions (at MSP = Manufacturers' Selling Price). Economy <€15, Lower €15-€30, Middle €30-€40, Upper €40-€60 and Luxury >€60

7.4.1 End Use : Base Year

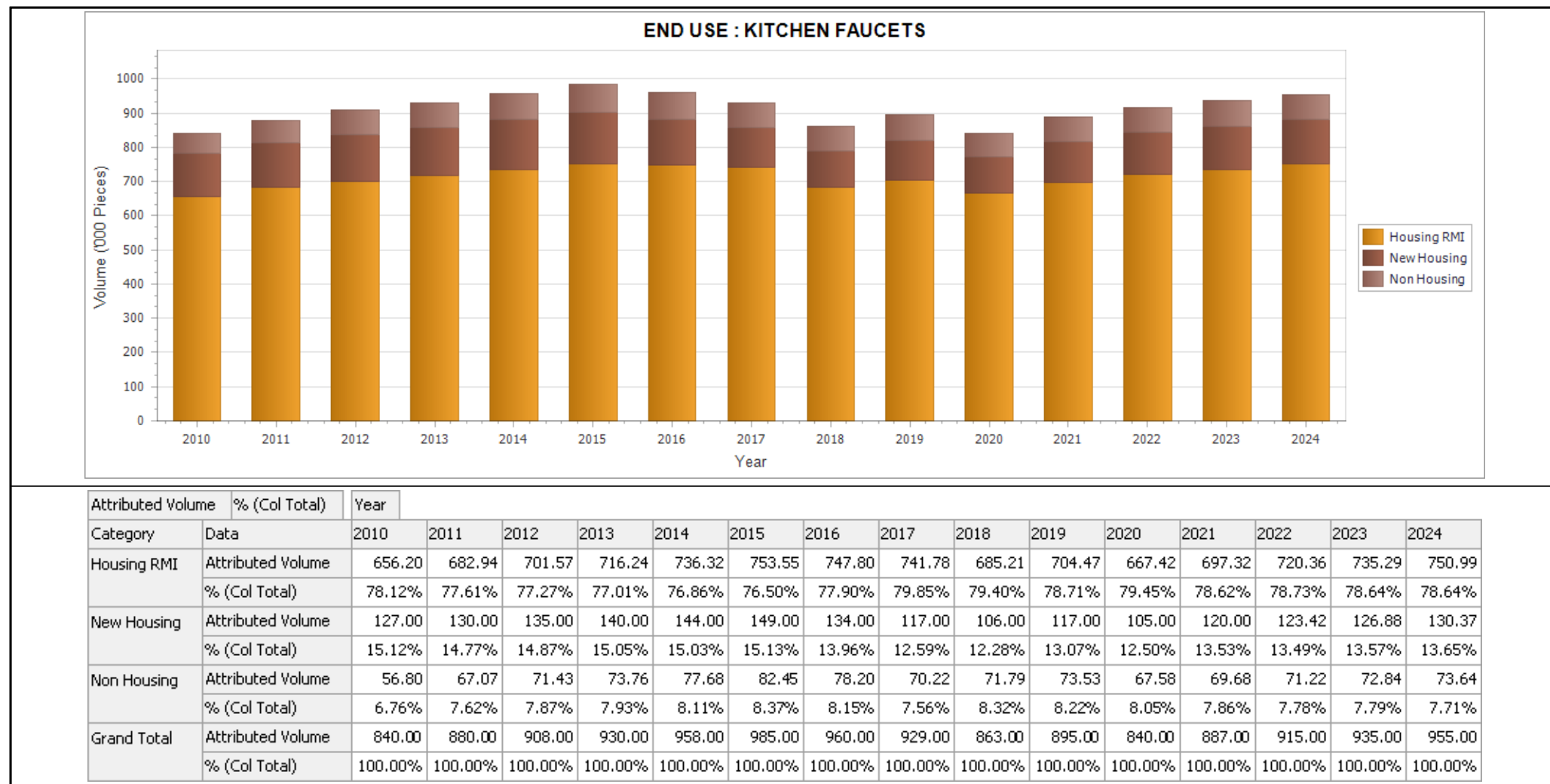
SA - SALES OF KITCHEN FAUCETS BY END USE SEGMENT ('000 PIECES)



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

7.4.2 End Use : Historical and Forecasts

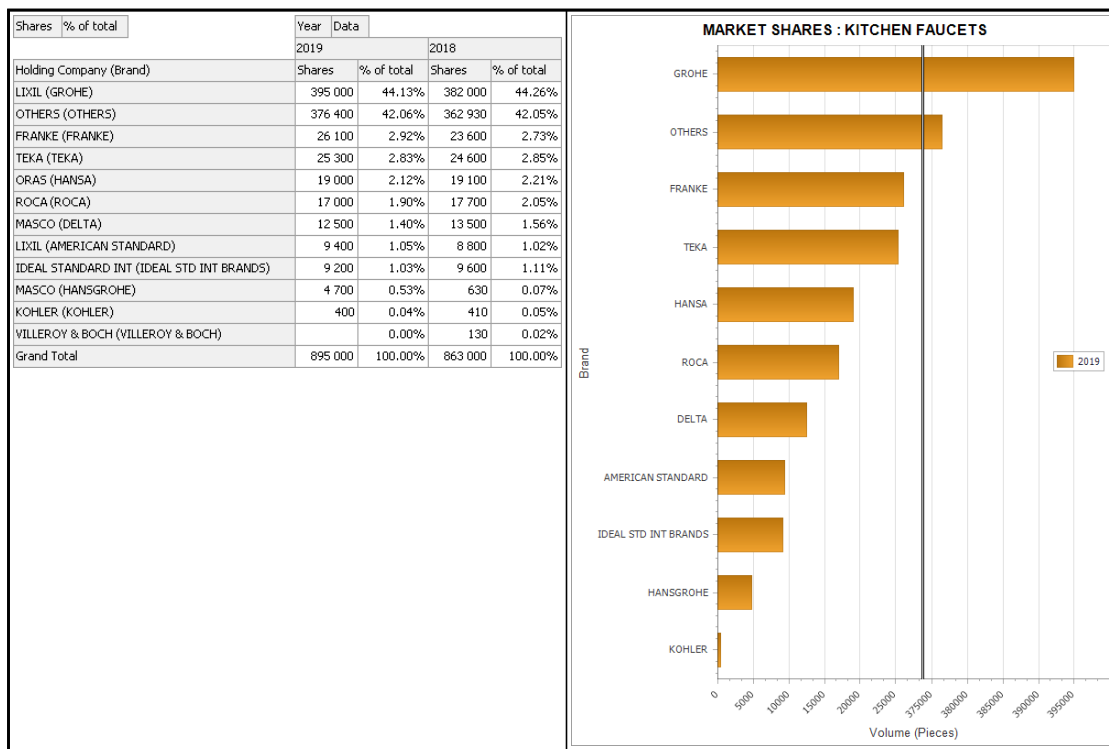
SA - SALES OF KITCHEN FAUCETS BY END USE SEGMENT ('000 PIECES)



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

7.5 Market Shares : Kitchen Faucets

SA - ESTIMATED MARKET SHARES FOR KITCHEN FAUCETS



Source: BRG based on industry interviews.

7.6.1

Route to Market: Kitchen Taps & Mixers / Faucets
SA - ESTIMATED DISTRIBUTION FOR KITCHEN TAPS & MIXERS / FAUCETS: 2019

Manufacturer / Importer

Manufacturers / Importers
100.0%

Wholesale Level

69.5%
Wholesalers / Merchants
69.5%

Retail Level

Manufacturer	Wholesaler
0.9%	0.0%
Internet Retailers	
0.9%	

Manufacturer	Wholesaler
0.0%	0.0%
DIY Retailers	
0.0%	

Manufacturer	Wholesaler
19.5%	41.0%
Specialist Retailers	
60.5%	

Manufacturer	Wholesaler	Internet	DIY	Specialist
0.0%	18.0%	0.5%	0.0%	16.5%
Installers				
35.0%				

End Use Level

Manufacturer	Wholesaler	Internet	DIY	Specialist	Installer
9.0%	10.5%	0.2%	0.0%	40.0%	32.1%
Residential					
91.8%					
New Build			Residential RMI		
13.1%			78.7%		
Project	Non-Project	Project	Non-Project	Project	Non-Project
8.0%	5.1%	5.0%	73.7%		

Manufacturer	Wholesaler	Internet	DIY	Specialist	Installer
1.1%	0.0%	0.2%	0.0%	4.0%	2.9%
Non-Residential					
8.2%					
New Build			Non-Residential RMI		
4.5%			3.7%		
Project	Non-Project	Project	Non-Project	Project	Non-Project
4.0%	0.5%	1.2%	2.5%		

7.6.2

Route to Market: Kitchen Taps & Mixers / Faucets
SA - ESTIMATED DISTRIBUTION FOR KITCHEN TAPS & MIXERS / FAUCETS: 2024

Manufacturer / Importer

Manufacturers / Importers
100.0%

Wholesale Level

69.0%
Wholesalers / Merchants
69.0%

Retail Level

Manufacturer	Wholesaler
1.5%	1.0%
Internet Retailers	
2.5%	

Manufacturer	Wholesaler
0.0%	0.0%
DIY Retailers	
0.0%	

Manufacturer	Wholesaler
19.0%	40.0%
Specialist Retailers	
59.0%	

Manufacturer	Wholesaler	Internet	DIY	Specialist
17.0%	0.0%	1.0%	0.0%	15.0%
Installers				
33.0%				

End Use Level

Manufacturer	Wholesaler	Internet	DIY	Specialist	Installer
-7.5%	28.0%	1.0%	0.0%	40.0%	30.8%
Residential					
92.3%					
New Build			Residential RMI		
13.7%			78.6%		
Project	Non-Project	Project	Non-Project	Project	Non-Project
8.0%	5.7%	5.4%	73.2%		

Manufacturer	Wholesaler	Internet	DIY	Specialist	Installer
1.0%	0.0%	0.5%	0.0%	4.0%	2.2%
Non-Residential					
7.7%					
New Build			Non-Residential RMI		
4.7%			3.0%		
Project	Non-Project	Project	Non-Project	Project	Non-Project
4.2%	0.5%	1.1%	1.9%		

Source: BRG Based on Industry Interviews. - Totals may vary due to roundings

7.6.3 Route to Market - Consolidated View : Kitchen Taps and Mixers / Faucets

SA - ESTIMATED DISTRIBUTION FOR KITCHEN TAPS AND MIXERS / FAUCETS : 2019

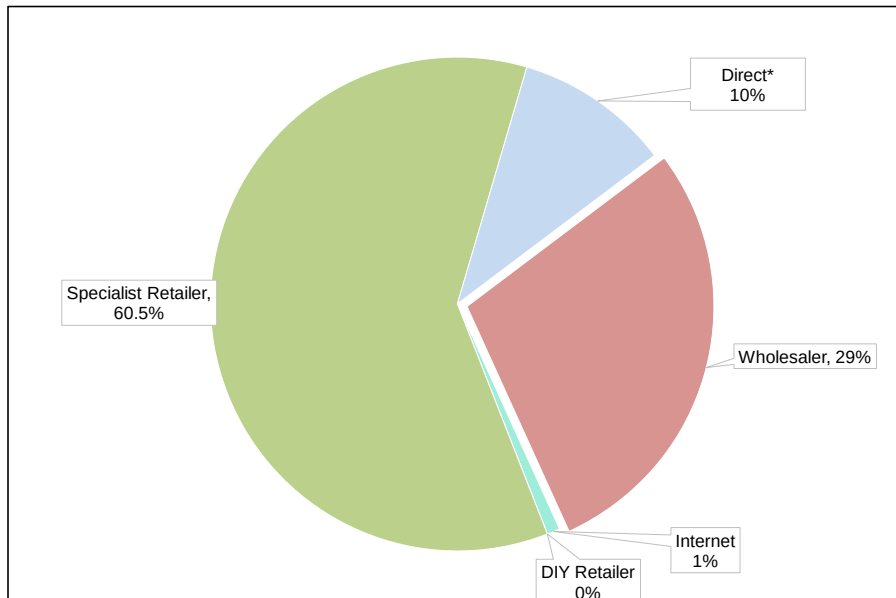
Route to Market - End Use Level					Project		Non-Project	
Wholesaler	Internet	DIY Retailer	Specialist Retailer	Direct*	Residential	Non-Residential	Residential	Non-Residential
28.5%	0.9%	0.0%	60.5%	10.2%	13.0%	5.2%	78.8%	3.0%
100%					18.2%		81.8%	

7.6.4 Route to Market - Consolidated View : Kitchen Taps and Mixers / Faucets

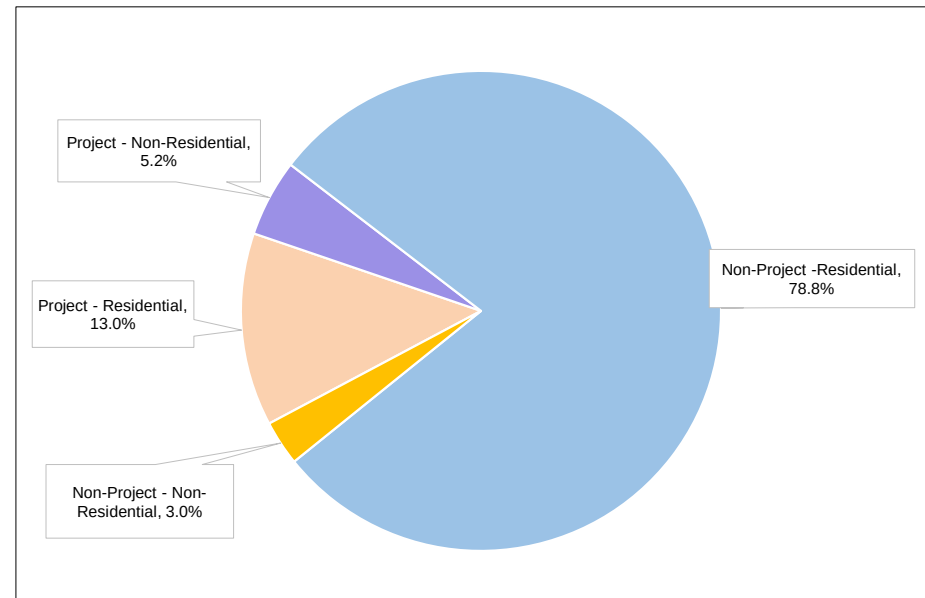
SA - ESTIMATED DISTRIBUTION FOR KITCHEN TAPS AND MIXERS / FAUCETS : 2024

Route to Market - End Use Level					Project		Non-Project	
Wholesaler	Internet	DIY Retailer	Specialist Retailer	Direct*	Residential	Non-Residential	Residential	Non-Residential
28.0%	2.5%	0.0%	59.0%	10.5%	13.4%	5.3%	78.9%	2.4%
100%					18.7%		81.3%	

SA - SALES OF KITCHEN TAPS AND MIXERS / FAUCETS BY DISTRIBUTION CHANNEL: 2019



SA - SALES OF KITCHEN TAPS AND MIXERS / FAUCETS BY POINT OF DECISION AND END-USE SECTOR: 2019



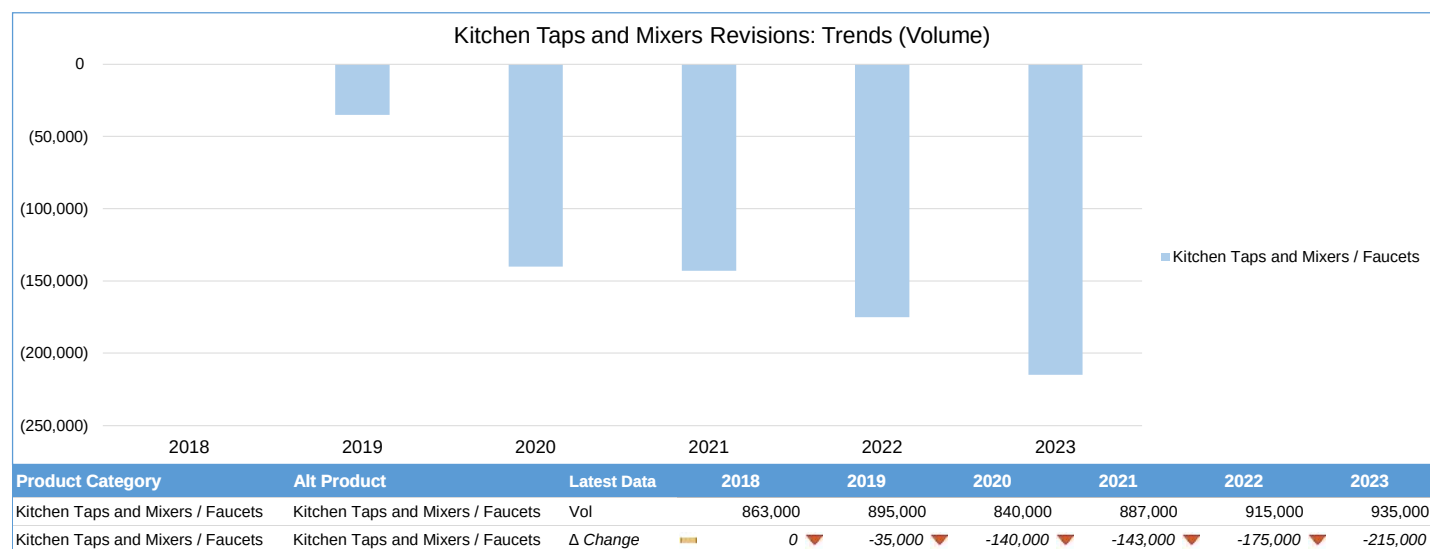
Source: BRG Based on Industry Interviews.

*Direct includes sales going directly from manufacturers to installers, contractors and private customers.

7.7 Revisions in the Saudi Kitchen Taps and Mixers Market (April 2020)

SA - REVISIONS IN THE SAUDI KITCHEN TAPS AND MIXERS MARKET

Data Comparison: April 2019



The overall volume sales of kitchen faucets were revised downwards for base year as slower than expected retail sales in the country affected the market. Indeed, housing RMI was especially impacted by the lower demand, consequently affecting the overall sales.